

PNB Housing Finance Ltd. (PNBHOUSING)

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“PNB Housing Finance Limited's Q1 FY'23 Earnings Conference Call ”

Mr. Hardayal Prasad Managing Director & Chief Executive Officer
Mr. Kaushal Mithani Interim Chief Financial Officer
Mr. Sanjay Jain Company Secretary and Head Compliance
Mr. Pankaj Jain Chief Sales Officer – Retail
Mr. Jatul Anand Chief Credit & Collections Officer
Mr. Neeraj Manchanda
Mr. Amit Singh Chief Risk Officer
Chief People Officer
Ms. Valli Sekar Chief Sales & Collections Officer -Affordable housing
Ms. Deepika Gupta Padhi
Head - Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'23 Earnings Conference Call of PNB Housing Finance Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Deepika Gupta Padhi. Thank you and over to you ma'am.

Deepika G Padhi : Thank you, Steven. Good evening and welcome everyone. We are here to discuss PNB Housing Finance Q1 FY'22 -23 Results. You must have seen our business and financial numbers in the presentation and the press release shared with the Indian stock exchanges and is also available on our website.

With me, we have our entire management team across verticals sitting over here, led by Mr. Hardayal Prasad, -- Managing Director and CEO.

We will begin this call with the "Performance Update by the Managing Director and CEO" followed by an interactive "Q&A Session." Please note this call may contain forward-looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward-looking statements involve risks and uncertainties that may cause actual development and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward-looking statement to reflect future events or circumstances. A detailed disclaimer is on slide 34 of the investor presentation.

With that, I will now hand over the call to Mr. Hardayal Prasad. Over to you, sir.

Hardayal Prasad: Thank you, Deepika. Good evening, everyone and welcome to our Q1 FY'2023 Results. On behalf of the Company, I extend a very warm welcome to all of you.

Let me start with the "Business Update." As we communicated about our focus on the retail segment, we registered disbursements growth of 96% during the quarter as compared to the same quarter previous year. We disbursed Rs.3,451 crores in Q1 FY'23 with retail segment contributing 98% of the total disbursements. During the quarter, the Company disbursed gross amount of Rs.76.5 crore s under the co-lending which is in 20:80 ratio. We are also in discussion with other banks for co-lending arrangements.

On loan assets, retail loans registered growth of 2% YoY 1% sequentially to Rs.50,294 crores as on 30th June 2022. The corporate loan asset declined by 45 % YoY to Rs.6,006 crores as on 30th June '22 on account of sell down and accelerated prepayments. The loan assets for the Company outstanding as on 30th June 2022 is Rs.56,301 crores and the assets under management is at Rs.64,849 crores.

On expansion of our footprints in the affordable housing segment, we have operationalized 10 new locations during the quarter, bringing the total number of locations to 34. As of 30th June 2022, our Unnati segment AUM was Rs.3,047 crores.

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Coming to our asset quality, with our continuous efforts to reduce the GNPA, I am pleased to inform that our GNPA on IndAS basis, reduced by 23 % during the quarter primarily on account of corporate book. The corporate book gross NPA registered a decline of 37 % in Q1 FY'23 to Rs.1,732 crores as compared to Rs.2,738 crores as on 31st March 2022. The decline in the corporate GNPA is on account of resolutions through change of developer accounts, closure in two accounts, ARC sell-off in one account and write-off in two accounts. Retail GNPA declined by 3% during the quarter to Rs.1,907 crore s as compared to Rs.1,968 crore s as on 31st March 2022. In percentage terms, the gross GNPA is at 6.35 % as on 30th

June 2022 as compared to

8.12% as on 31st March 2022. We continue to focus on improving our asset quality going ahead.

As of June 30, 2022, the net NPA was at 4.26 %

With the increase in the repo rate in Q1 FY'22, the Company passed on the increase in rates to its customers. The impact of increased interest rate is yet to be fully reflected in the yields. In terms of liabilities, the impact of increase in repo rate is reflected in the cost of borrowings as the overall cost of borrowing increased by 11 basis points.

The Company has reduced its liquidity in the books to around Rs.3,800 crore s on standalone basis as on 30th June 2022 as compared to Rs.7,085 crore s as on 30th June 2021.

The profit after tax on a sequential basis increased by 39 % to Rs.235 crores in Q1 FY'23. The ROA is at 1.47% in Q1 FY'23 as compared to 1.24 % for financial year 2022. With the increased percentage of retail book, it is imperative to see the ROA of the retail book. Our retail book ROA over time has increased from 1.3 % in FY'20 to around 1.5 % in Q1 FY'23. The leverage has come down to 5.1 times as on 30th June 2022 from 6.33 times as on 30th June 2021. The Company is comfortably capitalized with CRAR at 23.9% and tier -1 at 21.4 %.

The residential sector is experiencing an increase in demand particularly in tier -2 and tier -3

cities . As per ICRA, the portfolio of NBFC s, HFC s is expected to grow by 9 %- 11% on account of pent -up demand and increasing level of economic activity . To leverage on this opportunity , we will continue to focus on retail lending , expand our affordable housing loan offering , improve our portfolio credit quality and enhance efficiency through digital interventions .

On the capital raise , PNB has received its approval from RBI to infuse Rs.500 crore s in the rights issue of the Company . Further , the Company has received the final settlement order whereby issues raised with respect to the preferential issues have been settled under SEBI settlement proceedings regulations 2018. The draft letter of offer is in the final stages and to be filed at an appropriate time .

With this , I would like to open the floor for questions and answers . We have the entire management team sitting over here to answer to your questions and we welcome any question that you have, and we'll be more than happy to answer them . Thank you very much for coming and attending this meeting .

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Moderator: We will now begin the question -and-answer session . The first question is from the line of Ravi Naredi from Naredi Investments. Please go ahead .

Ravi Naredi : Want to ask when PNB Housing Finance Company will revive its gross NPA ; Gross NPA is 6.40% as on 30th June '21, 4.05% NPA level on 30th June '21 while it is 6.35 % on 30th June '22, while net NPA has risen to 4.26 % on 30th June '22. When whole country , bank and housing finance Company improve their performance , but maybe sad to know PNB Housing is nowhere in the game , what is the main problem behind this scenario ?

Hardayal Prasad: It's a fact that the NPAs had gone up significantly and th ere are historical reasons why it had gone up . And then subsequently in December , because of the November RBI circular , there was an impact on the Company where about Rs.800 crores of NPA s. But if you look at the two quarters that are important . In one day it is not possible for any organization to bring down the NPA straightaway . If you look at the two quarters which is the March quarter and the June quarter , you will fin d that there is a significant reduction in the NPA that has been done . In the March quarter , we have reduced the retail NPA by almost about Rs. 600-700 crores. A nd in this quarter , there has been a decline as the reduction of almost about Rs.1,000-odd crores , which is about 23 % of the NPA s have come

down in Q1 FY'23 versus only Q4 FY22 . I can't bring it down straight away , but, yes, there is massive effort that is being done both on the corporate side and on the retail side and the reduction has taken p lace both on the retail and the corporate side . There are very large number of accounts which are under resolution . We have resolved , I think about Rs.1,000 crores and we have another Rs.1,000 crores sitting over here which we are attempting to resolve, and I am very sure that in the next one or two quarters we should be in a position to resolve . That's on the corporate side . On the retail side if you look at it , there are scenes of the matter, and we are very clear that we would like to bring down the NPA s to less than 2 % going forward . I think that's what it is . It's a journey that we are going to take, and the journey has already started right from December 2021 , two quarters we have exhibited that there we can reduce the NPA s and will continue to exhibit the same kind of rigor in terms of reduction of NPA s.

Ravi Naredi: One figure I would like to discuss with you . Our market cap is Rs.6,000 crore s. Our Loan Asset is Rs.56,000 crore s nowhere in the history of finance market we have seen so much low mar ket cap of any finance Company in compared to Asset. What I want to know how many more bad debts is lying in the Company which need to come outside , why the market is not giving any good value to the PNB Housing, that is my question to all management team you are sitting there ?

Hardayal Prasad: I think we have cleaned up everything . In fact we were among the first HFC s which recognized the NPA s while the time was up to September '22. We still went ahead and recognized the NPA which was as per the Reser ve Bank of India direction in December '21 itself . So, I think there is nothing that is lying as hidden either in the retail side or on the corporate side . We have gone ahead, and we have cleaned up everything . That is one part of it . In terms of the market cap, you would have seen that when the preferential issue was announced the share price went up from about Rs.440 which was on the days it was trading to almost about Rs.900. So, there is a potential

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in the market , there is a possibi lity of growth . It's just a question of because of some reason and you know the reasons because I'm sure that the kind of investment that you are doing in terms of actually looking at the balance sheet , looking at us the approval from PNB had not come . I think that is one of the largest things that is there . Now that the PNB has an approval to invest

Rs.500 crores. It's just a matter of time that the DLoF is submitted and the capital is raised. There are three important things that actually would help us in improving the share price in the market cap and everything. One of them is the capital requirement that was always actually at the back of the burner, but it has come forward, we will come out with the rights issue. The second was on the growth. In two quarters, we have shown that there is a growth. I would talk only about the retail because two years back we had very clearly said that we will not do corporate. We did a growth of almost about Rs.700 crores quarter-on-quarter on the retail in the last quarter of the financial year 2022 which is January to March. We have again done quarter-on-quarter growth of about Rs.550 crores in this quarter. I think there is a very clear green shoots that are coming in. So, that is the second part of it, first is the capital, second is the growth and third is the NPA. If you really look at it in the last six months, we have reduced the NPA by about Rs. 1,700 crores. I think these are the way forward and I would say that we are now moving in the right direction, and we didn't want to say anything unless

we demonstrated to you in the next two or three quarters that there is a growth. If you look at the disbursement, it has grown by 96% over the June quarter of FY'21. So, the disbursements are going up, the Loan Asset is going up, the NPAs have come down. I'm not saying it's a very rosy picture, but I think there is a very clear direction that the Company is on the path of recovery.

Moderator: The next question is from the line of Anand Mundra from Soar Wealth Management Managers. Please go ahead.

Anand Mundra: I have one question. You mentioned that you have grown in retail quarter-on-quarter, but the disbursement has not grown in Q1 FY'23 as compared to Q4 FY'22. Am I missing something, I just wanted to clarify that?

Hardayal Prasad: First is actually you know that there is a growth, and it is very clearly reflected in the numbers which you would have seen. In terms of the disbursement that you are seeing, I think we did a very good almost about Rs.3,600-3700 crores of disbursement in Q4 FY'22. Now, again we have done almost about Rs.3,400-3500 crores. This is the slower month. If you would have looked at the results of some of the HFCs, most of them have shown almost about 20% to 40% decline in the numbers in comparison to Q4. Our decline is only 7%. And this is usually a soft period; April, May, June is actually always a soft in terms of any HFC that you look at it, you would find that the numbers come down significantly as what it was done in March quarter. I think we have just had a minor blip in terms of the 7% decline, but we remain steadfast in terms of showing the growth and hope that our growth will be approximately in the high single digit.

Anand Mundra: So, any guidance for the growth for this year with respect to the disbursement or the AUM, sir, retail book?

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Hardayal Prasad: I said about a higher single digit growth we are expecting this year. We already have grown by 1%. If you look at it as annualized basis it's a 4% growth. While the market is slow in April-June, we still have had an annualized growth of about 4.3% or 4.4%. So, going forward things are only going to improve. There was one more thing that happened in the first quarter and that is actually the interest rate. There are two things; one is the interest rate, there is an increase of about 90 basis points in interest rate, which actually dampened the market to some extent; the second is the input costs which has gone up significantly. The input costs in the construction activity have actually increased the 20% to 25% increase in the price of a property which is also little dampening from what the general public had seen, which was amongst the lowest interest rate, lowest prices and everything for the last year. So, that was little dampening. I am sure that people will come forward because if you look at the mortgage market to the GDP it is only at 10%. There is massive scope sitting over there in terms of the growth and I'm sure that people are realizing, and the growth will come in. And we are right now after all the cleaning up that we have done, we are suitably placed to actually encash on that growth.

Anand Mundra: You have given a guidance of high single digit AUM growth for the financial year FY'23 in retail. Correct?

Hardayal Prasad: High single digit which is anything from 8% - 9% is what we are looking at. I mean high single digit would be 7% to 9%, but that's the kind of growth that we are looking. We already have done 4.3-4.4% at a period which is normally very soft.

Anand Mundra: Sir, in market I am assuming you are competing with likes of HFCs, HDFC or ICICI Bank and another place. It's very difficult to compete with them; their cost of funds are really low. What is the differentiation which we bring to the table for the customer,

otherwise customer will

definitely would like to go with a larger bank which may offer better products or better pricing as compared to us? We are not focusing on that segment.

Hardayal Prasad: A couple of things. One is today, for the best customers who say about 800-plus CIBIL score.

My interest rates and the competitors interest rates are almost at the same ; 7.5-7.55% is what I also quote, and they are also quoting . So, as far as the class of customers that we are looking at it, the salaried and others who normally go over there , we still have interest rates which are pretty competitive . So, that is one thing . So, I'm in the competition and that is why I am growing . The second is that my actually ability to underwrite self-employed and NHL is far superior than any of the bank . So, even actually this quarter if it has been a little slow , I will ensure that these capabilities that we have in terms of delivering , nobody can deliver in about three to three and a half days, we actually not only deliver it , but we aspire to deliver it in three to three and a half days to four days to a self-employed personal applying for a loan . I think these make us very , very distinctive in terms of the way we deliver it . So, if the interest rates are competitive , if my delivery is good , people will come to me , otherwise what was happening was because of the speed of my delivery , people are coming to me , but then after three months to six months I was realizing that people were running off from me , the portfolio would shift, somebody would take over, because you want a loan today , I was able to give it , the bank was taking a month to give it, so he takes a loan from me , but he comes back to me after three months and says I want to

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move on to some other bank. That we have significantly arrested it is almost 60% down. We have significantly reduced the runoffs . So, I think these are two things . Because of the interest rates we are coping , the sharpness which the sales is actually entering into the DMA relationships , the APF relationships , the salaried . Our salaried is doing very well , we are actually increasing our salaried significantly which actually leverages from the risk also .

Anand Mundra: How much is the balance transfer for this quarter? Earlier, it used to be 18% for the year.

Hardayal Prasad: 9%. So, I told you. During the COVID, the issue was that earlier everybody was quoting very high interest rate . The differential between me and the other used to be about 50 basis points about the best of the banks . During the COVID when the interest rates regime started coming down , the differential went up to almost about 100 basis points to 150 basis points . And that was the reason why the numbers that you are giving have resulted into that . Because there are so many things happening on our portfolio , we wanted profitability , we wanted to ensure that the Company remains steadfast . The moment we realize that it is time for us to go back to the market , we have actually paired the interest rates which are very competitive with the market . And that is the reason why this has come down significantly .

Anand Mundra: So, 9% is for what period , sir?

Hardayal Prasad: 9% is annualized, which means 2.25% for the quarter .

Anand Mundra: Another thing which is very important for the growth in the rights issue . What is the pricing for the rights issues ? Why it is keeping kept as suspense for all the minority shareholders ?

Hardayal Prasad: So, one is on March 9th, the board has approved the capital raise of Rs. 2,500 through the rights issue and that's the public knowledge . Now subsequently PNB has also received RBI's approval to participate in the rights issue and the approval is for Rs. 500 crores which again has been announced and they would

hold the shareholding at 30 % or below but above 26 %.. This is the second thing which is one of the most significant thing that has happened that this time they were able to get approval , last time they were not able to get approval . The third is that we have already appointed investment banker , legal counsel and everybody is onboard , and the draft letter of offer is almost at the final stage . There are certain regulatory and other issues that are being sorted out . Once these are sorted out , the Company is planning to file the DLoF as soon as possible and maybe it is within weeks also . So, this is what we are going to do it . And then with respect to the preferential issue also we have got it completed . As far as the SEBI is concerned , the settlement is final, and everything has been completely taken over . So, this is where we stand . I think if some of those issues can get sorted out ... I can't give you , I can say a few weeks , but if unless those issues are sorted out , I will not be able to apply to the SEBI with the draft letter of offer . We are working very , very vigorously on these issues . Hopefully, we should be in a position to file as quickly as possible on this . And the biggest advantage is that the capital raise will bolster our capital position and enable the Company to accelerate the growth . For the rating agencies and others , this is again one of the most significant thing . And with the leverage almost at 5.1 % which we have brought it down and our capital adequacy at 23.9 % , I think this is one of

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the sweetest things that could happen for this Company to go ahead and then book new , because this is a growth capital that we are looking at it .

Anand Mundra: But sir, it would be really helpful if you can give some guidance in the pricing because it's really suspense from last six months ?

Hardayal Prasad: Timing actually sir, I cannot say to you because there are certain issues that I need to address it. The moment we address those issues, we will be in a position to do it. I can apply it tomorrow, but the point is that I'm not going to get an approval unless everything is complete as far as that draft letter of offer is concerned.

Anand Mundra: Rights issue price will be approved by the board; SEBI will just defer from that. You give an indication what price board is giving an approval for rights issue?

Hardayal Prasad: Sir, I will not be able to give you the price. Let us go and then we have investment bankers to sit with SRC, sit with the board to come out with what exactly would be the price on the rights issue.

Deepika Gupta Padhi: Once we file the DLoF, because it is not a fast track, it's under normal track, generally SEBI takes some time to come back on to that, and once we get an approval from SEBI on the DLoF, we file the letter of offer and at that point of time is what the pricing gets decided by the board. The pricing is open, in the sense that it will depend upon the market price at that point of time and how the stock is behaving in the market, basis that the pricing will be decided by the board and of course with the recommendation of our investment bankers that the pricing will be decided and announced to the market.

Anand Mundra: With respect to Unnati AUM, it has not grown in this quarter compared to last quarter.

Hardayal Prasad: We had mentioned to you, or we had actually explained that not only we have created a small vertical, but we have also now a head of the Unnati, which is the chief sales officer who is looking after the Unnati. She has joined about a month back over here and we are revamping the whole product, and she comes with almost about 26 years of experience in the mortgage industry and about 10 years to 15 years' experience only on the affordable. The team is being assembled, the policy changes

are being done, because affordable obviously we've realized it's a very different thing that what we were doing in terms of that. So, the Unnati portfolio is actually going to be completely different. So, that churning was taking place during this quarter, and we hope to go ahead and start booking the business as early as maybe September, it could be August also, but September definitely.

Anand Mundra: What was the disbursement in Unnati segment last quarter?

Hardayal Prasad: Last quarter, I think Rs.140 crores of disbursement. That is because the whole policy is undergoing change. So, there were new completely new approval matrix that has been defined

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and how it is going to be rolled out, the ticket sizes, on the eligibility norms, a lot of things are going ahead and that is the reason why it had slowed down to some extent.

Anand Mundra: Sir, I understood that. If there was Rs.140 crores disbursement, AUM should have been grown by actually Rs. 50-60 crores, net of repayments. Why there is a degrowth in AUM by Rs. 50 crores?

Pankaj Jain: Actually, what has happened is though we have done the fresh disbursement of Rs. 140-142 crores, but we have seen slight runoff on the Unnati and hence as our MD has mentioned that we are going through the transformation in Unnati business, we are scaling it up, we are redesigning the entire model and the business that we are doing as usual was on a slowdown method and at the same time the attrition was a bit higher.

Anand Mundra: How much was the runoff?

Pankaj Jain: Run off in the Q1 on Unnati portfolio was 25% on annualized basis.

Valli Sekar: This is Valli Sekar. I'm heading the affordable housing piece here. Currently, in the Unnati product what we were concentrating was in the lines of priority sector lending wherever loan amount was in the range of up to Rs. 35 lakhs, but the actual affordable housing would be like the EWS, LIG -1 and LIG -2 which the government prescribes which would be in an average loan rate of approximately Rs. 9 to 10 lakhs. Since we were doing this loans up to Rs. 35 lakhs, we were seeing significantly a lot of runoff in this loan portfolio. As far as affordable housing is concerned; the runoff is generally in the range of 4% to 5% only. So, completely we are revamping the entire product policy procedures and we are completely coming in line with the actual affordable housing market. So, you will see a turnaround in the product and in the policy and procedures in maybe by the end of next quarter and from October you will be seeing numbers growing in this as per the actual affordable housing policy in the market. Thank you.

Hardayal Prasad: Very competitive products, competitive interest rates and the delivery and everything is going to be actually then you can compare that particular portfolio with the affordable or the other competitors who are there in the market doing similar kinds of business where the ticket size is anything between Rs. 8 -15 lakhs.

Anand Mundra: So, sir what is the gross yield, I just wanted to understand sir, if there is a 25% run off what is the main reason for that?

Hardayal Prasad: 6.25% actually run off in a quarter.

Anand Mundra: 6.25% for three months, and these guys portfolio has moved, it has moved to bank, or it has

moved to some other NBFC ?

Hardayal Prasad: Actually, what happens is, some of the banks suddenly become very aggressive in terms of the priority sector especially, when they have a shortfall in the priority sector lending, they become PNB Housing Finance Limited
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very aggressive in terms of actually capturing that business and at that stage as portfolio start moving here and there. Even when actually on the co-lending side when we go and talk there are various ways in which banks are looking at it

Some of them are looking at priority sector, some of them asked for self-employed, some of them said I want NHL. So, it's a different mix of the portfolio that, that particular bank would like to build to ensure that, to actually give a guidance that this is the kind of portfolio I would like to accept under the co-lending platform. So, whenever there is a shortfall in the priority sector lending, it is when actually we will see this kind of effort, but what worth is mentioning you that it is normally about 4%. So, there is a little uptick between 4% and 6%, the 2% is actually that additional delta on Unnati platform. Moderator: Thank you. The next question is from the line of Krishnendu Saha from Quantum AMC. Please go ahead.

Krishnendu Saha: Most of my questions has been answered, thank you. But just on the Unnati, what has been the GNP A over there ?

Neeraj Manchanda : See, prominently the Unnati the after this COVID impact it is 150 odd bps higher than what in general we are facing now. So, it is in the range of delinquencies of around 3%.

Krishnendu Saha: 3% is the number, okay.

Hardayal Prasad: There is one more thing that we are doing it is actually we are revamping the whole collection system of Unnati. And we are setting up a complete infrastructure right from the ground only for collection of Unnati because that is much more rigorous collection process and other thing. We anticipate that not only the new portfolio that we are going to build will actually the collection will take place of that, and the delinquencies kept low. But this existing also we are very, very sure with this new Unnati vertical coming up. It will also look at the existing delinquency of the Unnati portfolio. So, one is the existing Unnati and then the new Unnati kind of portfolio that we are going to build. And both of them should see after maybe just as Valli mentioned that you will start seeing some traction, somewhere around October, November, the disbursement will start, but the traction that you will see maybe from December onwards you will find that there is traction coming up in the business as well as in the collection machinery.

Moderator: Thank you. The next question is from the line of Nikhil Walecha from Franklin Templeton. Please go ahead.

Nikhil Walecha: Sir, you have shared GS3 as per IndAS is it possible to share the GNP under the IRAC?

Hardayal Prasad : We don't maintain in the IRAC, we maintain it under the POS IGAAP, but only through POS we can give the IndAS actually also builds in the interest rate, but now we are monitoring it only for the IndAS. There it created, the interest component is added to it. If you want we can give you those numbers also there would be a differential of about - Neeraj Manchanda : of around Rs. 300 crores. In the IGAAP and IndAS there would be a differential of almost about that is amount.

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Nikhil Walecha: Understood. And secondly, I see that the Stage -3 coverage have dropped slightly, I believe some of that would be due to write-off, but given that there is an aging of NPA, so that coverage should increase. So, why it has decreased and even the provisioning from the P&L side also it has dropped. So, ideally you should have increased the PCR but what is the reason for the decrease in Stage -3 PCR ?

Neeraj Manchanda : Yes, see this what we are looking at a Stage -3 number is you have rightly mentioned it is after the set off of these write-off with the provision numbers. And then also we need to understand that there has been an upgradation of one account which has moved from Stage -3 to Stage -1. And then one account has been sold to the ARC. So, there has been also exhibited, but we are maintaining the provision on the impairment against the investment side that net number. In terms of the provisioning and the vintage period

respective, everything is considered here. So, what

we have actually written off are the vintage accounts only, which are a large exposure, including one of Rs. 244 crore exposure we have, it is after applying all the resolution strategies what we are having.

Hardayal Prasad : So, the reduction is mainly because of those three, four accounts where one is we utilize some when it was sold to the ARC and two write-offs are there, they were fully provided accounts so

that has been used and there has been some decline in the NP As even of Rs. 100 crores of retail. So, that is all the primary reason otherwise, it's not that that we have deliberately reduce the NPA, reduce the provisions.

Nikhil Walecha: Okay. And sir earlier you used to share GNP A of segment wise construction finance, LAP, can you share it now, how it is trending?

Hardayal Prasad: I don't think that we were, only annually we were doing it, we have not done it quarterly. But what we will do is that Deepika will get in touch with you the investor relations department and they will share some numbers with you.

Deepika Gupta Padhi: The retail and corporate GNPA is shared in the presentation. You can have a look at Slide #16, which gives the NPA for retail as well as for corporate.

Hardayal Prasad: Actually, now increasingly we are bringing the focus on the retail because we have already stopped doing the corporate so obviously the corporate there is no new loan that is being sanctioned. As the no new loan is being sanctioned, once the account becomes NPA an NPA in percentage terms look very, very scary. But the point is on the retail side it is very important that whether we are able to actually manage and bring down the NP As on the retail side, and that's where we have worked towards reducing it.

Nikhil Walecha: Understood. And sir, if I look at the spreads, it's at 1.4 % which is all time low and the reason that you have mentioned is quite, I can understand that there is a heightened competitive intensity, but on the incremental basis also, if I look at your incremental cost, it's closer to 7.5% based on the recent NCDs. So, what are the incremental spreads, that you are working at?

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Kaushal Mithani: Spread we are looking at is more around 1.5 -1.6%. And how it will come about is that we have instituted increase on our lending rate by 35 basis point which has been captured in the quarter, another 50 basis which will come in July to September, whereas cost of borrowing will not go up to that extent simply because we have certain fixed rate liabilities as well. So, we will add to the spread, spread will slightly increase.

Hardayal Prasad: One thing is there that in this quarter the cost of borrowing has gone up by 11 basis point because of the mix of our borrowing that we have. And in terms of the yield because we are focused now only on the retail it's going to be very different than what you would have looked at, so traditionally if you start looking at comparing it with that, though yields whatever coming from a sense whichever again, very high yielding interest rate, very high yielding. Now, it is only going to be the retail loans, with the retail loans with more and more focus on the retail loans obviously, we will have to start living with a spreads which are on the retail side and when he talks about 1.55 to 1.6 % it is basically the retail that is pumping the se.

Nikhil Walecha: Understood. And just a final question from my side is, as we will do a fresh raise then our tier I will again increase, and ROE will further reduce. So, unless and until we increase our growth to say 25%-30% level it would not improve substantially. So, can you give some medium to long term guidance like how are we looking at say three, four years AUM growth or how are we looking at ROE from the three to four-year per

spective.

Hardayal Prasad: We have submitted it to the regulators also, but we are going to, listen first of all we still have a large book, we still are the fourth largest HFC and we have a large book. So, a small company with about Rs. 5000 -10,000 crores of AUM it's very easy for them to say I've grown by 20% and all that stuff, for us it's a little challenging, because at Rs. 50,000 -60,000 crores to grow. So, when I say that we are going to be on high numbers even if I say 9%-10% it translates into Rs.5000 -6000 crores of growth straightaway. So, that is what we are looking at, we are looking at high numbers this year, in high single digit and obviously going forward these numbers will improve. I think we are in a sweet spot in terms it's a cyclical industry and we are in our sweet cycle, for the next four, five years I would anticipate that going is going to be good on the mortgage industry. So, the going is good there is no reason for an HFC especially when it has cleaned up its books, and it is ready to go. It is demonstrating in the two quarters that it is actually growing, to actually go ahead and start and especially another very significant thing is that the next two years you would also find that this Unnati, which is a new Unnati kind of affordable kind of Unnati, that will start kicking in, even if it doesn't give me a very high AUM but it still gives huge amount of advantage in terms of the spreads, in terms of the margins, NII, NIMs and everything. So, that's what we are looking at it.

Nikhil Walecha: Understood. And sir just one more question. How is the co-lending partnership working, forward you have some co-lending partners so how's the traction over there?

Hardayal Prasad: We have already reported we have actually with one of them, we have agreements with two, one private sector and one public sector organization. One private we have already given them Rs. 78 crores, and is in 80:20 ratio. And to the other partner also we have given significant number,

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we are also in discussions with some other players , with some other banks to actually provide that kind of . We are expecting that it's still early times because there is straight through processing and the reason is not us, some of these banks want absolutely, seamless integration with our system, our systems are ready, my API 's are ready, I 've shared my API 's, but these banks and some of them are large banks, they are not ready with their API 's, once those API 's are integrated fully is that that stage that the flow will take place, and we anticipate that the numbers will start coming in . Right now, we are pushing the files through SFTP, and we are seeing that actually these can be booked under them. With the numbers that we have given it to the other bank we will see some traction in the co -lending.

Nikhil Walecha: Understood. So, as of now it 's very small, but you expect it to pick up?

Hardayal Prasad: It all depends also when a co -lending is good, we 'll have to bring in first of all my AUM, it affects my AUM. When I have transferred Rs. 61 crore my AUM has come down by Rs. 61 crore . So, we have to actually pair it and see what is profitable for me , what is good for me, what is the customer 's requirements , if the customer is really, very finicky about the interest rate, we will have to bring in a partner where the interest rates are slightly in median between both the interest rates of that organization and our organization. So, it 's a mix bag of how you would like to handle the co-lending. However, the co-lending also provides a good opportunity for fee based income which is what we are also looking at it .

Moderator: Thank you. The next question is from the line of Sanjeev Kumar Damani from SKD Consulting . Please go ahead.

Sanjeev Kumar Damani: Sir, am I speaking to Hardaya

I sir.

Hardayal Prasad: Yes, sir.

Sanjeev Kumar Damani: Sir, I'm very impressed the way you all answered. So, I congratulate on that to you. Sir , my first question is that , can you quantify the total loan accounts that as on today you hold or as on 30th of June , total accounts that we hold of the loans given ?

Hardayal Prasad: About 2.52 lakhs account , so there are multiple accounts also .

Sanjeev Kumar Damani: So, 2.5 lakh accounts we hold where we have given to entities we have given loan . Can I know our employee size as on date ?

Hardayal Prasad: around 1,400.

Sanjeev Kumar Damani: 1400 are directly on our payrolls and do we have associates also working for us?

Hardayal Prasad: Yes, we have on our sales side there will be approximately 1400 people working only for the sales and underwriting.

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Sanjeev Kumar Damani: Okay, but are they all employee of the company of the company or they are an associate of the company?

Hardayal Prasad: No, sir. We have a subsidiary which provides us this manpower .

Sanjeev Kumar Damani: Okay. We have a separate subsidiary where people are recruited to work for this organization.

Hardayal Prasad: Yes, sir.

Sanjeev Kumar Damani: So, it saves us some cost that's better.

Hardayal Prasad: Yes, sir.

Sanjeev Kumar Damani: So, I was observing that your retail portfolio is really going up and you are quite well spread into the middle of India and below down South also, but being a Punjab National Housing Company are you not present in North or PNB Bank also does the housing finance as such sir in North area?

Hardayal Prasad: Sir, we are pretty strong now in North India. We are across India, we are at 70+ cities, we have almost 99 branches and we have also our outreach offices. So, we are pretty strong in terms of the distribution network, geographically, city wise and everywhere if you look at it . On the North side, we definitely are strong but , I would admit that as a PNB brand name and brand organization, we still have big opportunity to encash on the PNB brand by actually making much bigger inroads into the market which is what we are planning and today if you look at it in the last about few months, we are seeing that there is a good traction that is coming in the North. Traditionally we have been very strong on the West.

Sanjeev Kumar Damani: So, now, sir when we talk about our NP A gross and all that. So, do you feel, or do you face problem in collecting EMI properly every month from even small , small individuals who have taken loans from you for housing or repairing or something like that , are their failures, it is the sum total that you are showing as gross NPA is largely from retail side, or it is an old baggage that we are carrying of the corporate?

Hardayal Prasad : No sir it is retail , actually most of the time now we are talking about the retail , corporate is something we talk of completely differently, because for last two years, we are doing only retail there is no disbursement that is taking place other Rs. 50 - 100 crores of the old sanction . In

terms of the collection efficiency, we are almost at about 98% collection efficiency. So, we are able to collect, we are able to get money, we have feet on street, we have whole arrangement, we have digital tools to actually get the money. So, everything is there, provided it on our application where a customer can come check his EMI, see how much money he has to pay, he can there itself repay us by the click of a button. So, there are multiple ways in which we have calling centers that are there. So, we actually very through the advanced analytics, the delinquency or actually the repayment is split over there, something goes directly to the calling center, something goes to the field depending on the metrics that we use, and that is the way PNB Housing Finance Limited

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we actually try and save the money. So, the cost of collection has come down if you look at it, there is a big difference in the way the collection is happening. Earlier most of the NBFs and HFCs were actually collecting, they would collect one or two installments and then they would wait and next month again they would go, now we are very clear that you need to remove complete irregularities, because the very fact that from Rs. 800 crores that we had actually because of the Reserve Bank of India in March, we are just about Rs. 61 crores of account which are actually less than 90 days, but because of the Reserve Bank of India definition. So, we are able to collect the money now that is the reason why we are able to reduce our NPAs.

Moderator: The next question is from the line of Aditya Doshi from Chanakya Capital. Please go ahead.

Aditya Doshi: I just wanted to know that our corporate portfolio has, sir our composition of corporate loan book has almost reduced to 9% from 22%. So, will PNB HF again relook at corporate building given that real estate market is picking up and project completion is not much of an issue in today's scenario, and we can cross sell that to retail. So, what's your strategy on that? And second is follow up to the Unnati book. Since Unnati is a fairly new product, so why do we require it to again revamp it again. And second have we outsource collection of Unnati?

Hardayal Prasad: So, two things, the first question is you're actually on the corporate book, whether we are going to restart the business. We have been looking at it to restart the business however, because of the very high NPAs that we were holding, and the market also was not very supportive. That was one of the reasons why we had not ventured back into the corporate book. Now we find that there is much more order and discipline that is there with the builder and there are certain type of builders who are pretty good and the deep pockets also, we are definitely reviewing it that what should be our sweet spot in terms of doing it. We have done projects which are Rs. 1,000 crores also, but we are going to look at the sweet spot what we want to do it at some point of time, at the appropriate time we will reenter the market as an HFC it is essential that we have actually present across the mortgage industry, one of the primary reason why we had pulled back was also because of the capital constraints that we had and the risk weightages that you have to attach to a corporate loan is 100% and we did not have the capital at that time to go ahead and to continue to do it that was one of the reasons, the moment the capital is there, we should be in a position to restart the business, because capital is important, if the growth story comes on the retail, I would not like to actually get hamstrung that I do not have the capital to actually go ahead and to lend. So, that is one thing on the corporate book.

The second is actually on your own Unnati collections, the collection is more or less actually we have in sourced it but yes, we also work with some of the collection agencies who are accredited, who have the required trained people on it, we also use them for collection purposes, it is not that it is used only for the Unnati it is used across the organization also in certain ways.

Aditya Doshi: Okay. So, is it fair to assume once the rights issue is through, we can go and if you can provide some timeline when we can enter this maybe during this year or next upcoming quarter?

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Hardayal Prasad: I cannot give you the timeline, because I need an approval from the Board, because Board in 2020 July, it had asked not to do this business. So, I will have to go back to the Board. I will go back to the Board once the situation stabilizes; I have a fairly good capital adequacy which will

support the business and the growth. And so, there was one question that what would be a growth trajectory in the next two years, I have to factor that in to ensure that the capital is adequate to take care of the growth that comes not only on the retail side, but also on the corporate side.

Moderator: Thank you. The next question is from the line of Krishnendu Saha from Quantum AMC. Please go ahead.

Krishnendu Saha: It's about the restructured book which was around 4% or 4.5% of the own book, so, I was just wondering how is that what is the number of projects, how are the payments coming across can you throw some light on that?

Neeraj Manchanda : Sure. So, on the retail side, the restructuring book outstanding principal outstanding in around Rs. 2,016 crore, and out of that around Rs. 300 crores has already moved to Stage -3 which is part of the Rs. 1696 NP As on POS level, and almost 75% of the customers either in the form of principal or interest outstanding have started making the repayment.

Krishnendu Saha: Okay . So, it 's a 25% of the customers to move to Stage -3?

Neeraj Manchanda : Around 15 % , Rs. 300 crore.

Krishnendu Saha: You said t hat they have all started paying, there 's nothing left , no moratorium left for anybody left?

Neeraj Manchanda : No. As I said around 75% of the customers have reverted back to the repayment stream. So, another 20 % to 23% odd customers are still in moratorium.

Hardayal Prasad : The book over Rs. 2,100 - 2,200 crores , 30% is actually the number over there. But almost about Rs. 1500 to Rs. 1600 have started the repayments. And the numbers that we have given of NP A also remaining would be one DPD onwards , some of them would be one day , 30 DPD or whatever it is, though that is being monitored completely separately in terms of the restructured , restructured book and the mora t book has been completely relooked at in the way we would like and there 's a big focus in terms of ensuring that these people should, especially the ones who have started, they should continue to actually repay and the ones where the business is coming up because we had a very large pool of self -employed within this. People where the business has restarted there 's no reason for them not to do it. So, whether he 's repaying it is good with us, bad with others, bad with others, good with us, or bad with me, good with others we are actually looking at t he portfolio, dissecting it completely, and then seeing to it that actually we reach out and we say that you have to repay to us . So, if it requires a little tough stance to be taken, we are taking those stances, the opening up of the legal machinery today , the SARFAESI and other things, when I spoke to you only on the feet on street and on the collection side, or what we would on cash collection. However, now we see that there is a both the administrative

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machinery, as well as the legal machinery the court , they are allowing us to actually issue and take the physical possession of the properties, there are a significant number of physical properties that we have taken, the auction is open, all these things are helping us in terms of actually putting th e required pressure or to ask for the money, there is no reason why I 've lend I will not ask for my money, there is a security underlying over there, he needs to either repair me, sell it to me, or whatever he wants to do it, put it on the auction. So, we are using all these machinery to ensure that these are brought down progressively .

Krishnendu Saha: Right. Sir, just on the capital raise, we already had 21 % - 22% capital adequacy Tier-1. So, what is the hurry that we have raise the money , couldn 't we wait and clean up the book a little bit more , grow the book and we still have time , why do we need the money so soon, that was my thought t. So, I don '

t know if you could put in some thought on that part ?

Hardayal Prasad : It is the money required for the growth , we are starting new verticals, we have stopped doing some businesses which required higher capital and that is the reason why you are seeing this , the moment you start it will be high yielding book, how do I do it because if the capital is a constr aint to me, all this , this everything is interlinked. I will start doing it suddenly it will come down below 20 or 18 and you will again ask me, what have you done , why are you doing it. It is important that we take a very , very conscious call-in terms of how we want to actually enter the market , it cannot be start and stop if I enter the market I have to be there for some time.

Krishnendu Saha: So, in the near future, we would like to get into high yielding , developer or the corporate book?

Hardayal Prasa d: Unnati, is also high yielding , is affordable , is high yielding , what Valli spoke about between 8 lakh to about 15 lakh is the high yielding book which is about 11% to about 12 .5%, 13%, which is what the competition is offering also . In fact competition is charging much more than what we are actually anticipating .

Krishnendu Saha: Just on the Unnati book, what is the difference between a tenure of the old Unnati book and the new Unnati book?

Hardayal Prasad : New we have not introduced it , we are going to introduce it that is the reason that what she was trying to explain that is you will see some results from the third quarter , it is a different product, completely different product , different underwriting standards , procedures are different , collection strategy is different. So, it is going to be a very different way in which the business is handled. And it is not exactly like a prime business that is handled. This company is very good , it knows how to do prime , but it also needs to actually do as a full suite, housing finance company this is also required to be done.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Deepika Gupta Padhi for closing comments . Over to you ma 'am.

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Deepika Gupta Padhi: Thank you, everyone for joining us on the call. If you have any questions unanswered, please feel free to get in touch with investor relations. The transcript of this call as well as the audio of this call will be uploaded on our website which is www.pnbhousing.com. Thank you.

Management: Thank you very much. Thank you everyone for joining us.

Moderator: Thank you. Ladies and gentlemen on behalf of PNB Housing Finance Limited, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Nov 2022

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November 01 , 2022

BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173 National Stock Exchange of India Limited,
Listing Department
"Exchange Plaza "
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir /Madam ,

Sub: Transcript of Earnings Conference Call held on October 27, 2022

In continuation of our letter dated October 27, 2022 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended , please find attached the transcript in respect to the earnings call held on October 27, 2022, on Un -Audited Standalone and Consolidated Financial Results of the Company for the Quarter and Half Year ended September 30, 2022.

A copy of the same is placed on the website of the Company <https://www.pnbhousing.com/>

This is for your information and records .

Thanking You

For PNB Housing Finance Limited

Sanjay Jain
Company Secretary & Head Compliance
Membership No. F2642
Enclosed : As above

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"PNB Housing Finance Limited's Q2 & H1 FY'22-23
Earnings Conference Call "

October 27 , 2022

MANAGEMENT :

Mr. Girish Kousgi MD & CEO

Mr. Vinay Gupta CFO

Mr. Sanjay Jain Company Secretary and Head Compliance

Mr. Pankaj Jain Chief Sales Officer – Retail

Mr. Jatul Anand Chief Credit & Collections Officer

Mr. Neeraj Manchanda Chief Risk Officer

Ms. Valli Sekar Chief Sales & Collections Officer -Affordable housing

Ms. Deepika Gupta Padhi National Head IR & Treasury

PNB Housing Finance Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 & H1 FY'22 -23 Conference Call of PNB Housing Finance Limited . As a reminder, all participant lines will be in the listen -only mode, and there'll be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call , please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms . Deepika Gupta Padhi , Head -Investor Relations and Treasury. Thank you and over to you .

Deepika Gupta Padhi : Thank you , Mike. Good evening and welcome , everyone. We are here to discuss PNB Housing Finance Q2 & H1 FY'22 -23 Results. You must have seen our Business and Financial Numbers in the Presentation and Press Release shared with the Indian stock exchanges and is also available on our website.

With me, we have our management team across verticals , led by Mr. Girish Kousgi -Managing Director and CEO . Mr. Girish joins us as MD and CEO effective 21st October 2022. He's a seasoned banker with vast experience across a variety of loan products, including housing loans, business loans, LAP, personal loans, among others. Prior to joining PNB Housing Finance , he was the MD and CEO of Can Fin Homes Limited .

We are also joined by Mr. Vinay Gupta, who joins us as CFO effective 26th October '22. He has extensive experience of over 20 -years in financial management, financial planning, accounting, treasury operations and MIS. He was previously associated with SBI Cards and Payment Services, MF s.

We'll begin this call with the Performance Update by MD and CEO followed by an interactive Q&A Session . Please note, this call may contain certain forward -looking statements, which exemplify our judgment and future expectations concerning the development of our business.

These forward -looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations . PNB Housing Finance undertake no obligation to publicly revise any forward -looking statements to reflect future events or circumstances . A detailed disclaimer is on slide #25 of the Investor Presentation .

With that, I will now hand over the call to Mr. Girish Kousgi . Over to you, sir.

Girish Kousgi: Good evening to all the investors. Welcome to Q2 & H 1 FY23 Earnings Call of PNB Housing .

I'll give you a context with respect to Market and Outlook. So, housing industry is really doing very well . The entire industry is in sweet spot and so is PNB Housing. Demand is quite robust . Demand which started after COVID FY'21 -22 Q3 onwards ...to be specific October onwards, demand has been quite robust.

In spite of intermittently disruptions by a quarter or two because of COVID second wave and third wave , I think demand has been quite robust in real estate as a space has revived with more than one and a half years, and this cycle would last for next four to five years.

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Even though the interest rates have gone up in last little over a year's time , still, the affordability is pretty high. And demand is quite robust across all geographies , across all segments. And if you look at the industry, I think industry will be able to post growth of about 12 % to 13% this

year over last year. This is about the industry and the outlook.

Coming to PNB Housing, let me give you some data points on three parameters: One is Q2 YoY and number two H1 this year compared to H1 of last year and of course QoQ i.e. sequential.

I think we need to very clearly segregate retail and corporate. To start with, I'll give you consolidated numbers and then I'll get into retail and corporate separately. If you

look at Q2

performance on a YoY basis, there has been a growth of disbursement by 21% YoY. The book on a consolidated basis has degrown by 4% YoY but if you look at retail, there is a growth of 4% YoY.

In terms of revenue, the growth is about 6% YoY, PAT is close to 12% YoY, yield, of course is not comparable on a YoY, course, we have to compare yield on a sequential basis; yield for Q2 at a book level is 10.70%. Cost was 7.32%, spread of 3.38%, NIM of 4.14%, GNPA 6.06% and net NPA of 3.59%, CAR at 24% and leverage of 5x.

Now, talking about retail, in Q2 FY23 disbursement growth of 24.5% YoY and, book has grown by 4% YoY. And if I were to talk about retail GNPA, it is 3.39%, down from 3.53% in Q2FY22.

For corporate, I think disbursement growth is negative 48% YoY because we are degrowing corporate book. Book has degrown by 44% YoY, it was Rs.10,250 crores, now it is Rs.5,708 crores. GNPA, I've given you the overall numbers. So, if we look at GNPA numbers, nothing much change in terms of the amount, of course, the NPA stands at about Rs.1,734 crores, which stands to about 30%.

Talking about H1, disbursement growth is 49%, book has of course degrown by 4%. Revenue is negative 5.6%, PAT growth by 4%, yield is at 9.66%. I think some of these numbers are common for both so I'll not get into that.

In terms of strategy, going forward, I think the story is going to be around retail. And within retail, we have two segments, one is affordable and one is non-affordable. I think there's going to be very good focus on non-affordable and we're going to be very aggressive on affordable.

So, for H2, we plan to open more than 25 branches largely in affordable space.

Today, if you look at retail book, which is about Rs.52,000 crores, affordable is about Rs.3,000 crores. So, we want to grow that book very aggressively, because we've seen that market is conducive, and will be able to build book at a higher yield and with very low delinquency. We've seen that any companies in the industry they're doing very well in affordable. We were primarily focusing on non-affordable segment within the entire housing space. Going forward, our focus will also be on affordable.

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In terms of mix going forward, we would want to maintain non-affordable 75% and affordable 25%. This is more on the incremental over the next two to three years' time. I think at a portfolio, we think slowly we'll start building the affordable book.

In terms of HL and non-HL, we want to reach to a stage where our HL is 75%, non-HL is 25%.

Today, if you look at a portfolio level, our non-HL is about 28% -odd.

We are trying to change our entire IT infrastructure, which might take about 15 to 18 months' time. So, this will help us in better delivery to our customers in terms of TAT, in terms of trying to integrate various KPIs so that we can fast track our decision process.

We had a challenge of book depletion. So, we have a very strong retention team. If we have to compare Q2 vis-à-vis Q1 of this year, we were able to arrest BT out. In Q1, BT out was about Rs.1,350 crores and in Q2 this number is about Rs.1,100 crores. So, going forward, this number is likely to come down. In terms of total closure, Q1 was about Rs. 3,450 crore and Q2 was about Rs. 3,150 crore and this is on a growing book.

This being my first earnings call, I thought I should give more time for all of you to ask questions, because you'll have lots of questions to ask. Before I open the forum for Q&A, there's one thing which I want to clarify on the provisioning because there has been a significant increase in provisioning compared to Q1; Q1 was Rs.49 crores and Q2 is Rs.243 crores. So, this Rs.243 crores has three parts; one is ARC sale, second is written off and the third is we have provided Rs.60 crores additional.

This apart, I think there has been a slight increase in the ECL provisioning. This Rs.243 crores actually has four components. So, you should read from Rs.49 crore, the number in Q2 has gone up to Rs.80 crore and the rest is write-off of ARC sale and additional provisioning. In terms of credit cost, for Q2 it is slightly on the higher side, it's 1.54%, H1 is 0.94% and for the whole year we are expecting credit to be around 1%.

I would request to open the floor for Q&A.

Moderator: We will now begin the question-answer session. We have the first question from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi : What will be your top priority to run this company to raise the funds , to raise the AUM or to bring down the NP A level ? And second , company AUM is around Rs.66,000 crores, market cap is Rs.7,000 crores. So, with due regards to all of you PSU employees, I say if this company was in private sector , market cap maybe Rs.50,000 crores to Rs.70,000 crores. So, where we have challenges and how we overcome from them ?

Girish Kousgi: We are pretty aggressive on growth and you will see in next few quarters we will be growing by a healthy percentage, which will be much above the industry growth rate both on disbursement and book. So, first, the growth will start on disbursement and then it will catch up with the book

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growth. Now while we say that we want to grow, so we want to grow in non-affordable space and also on affordable. So, we are now getting into affordable in a big way. That's going to lead our growth story along with non-affordable segment, that is point a. b) we will definitely bring down our GNPA and NPA. Going forward, a), we will work on growth, but both disbursement and book, b), we will bring down our delinquencies, our GNPA will come down, net NPA will come down. And number three, we will also ensure that while we do these two things, we are profitable. So, in terms of margins, we will ensure that we have a bare threshold which we will maintain and if we can get back to basics and grow with profitability, with lower delinquency, I'm sure I think market will reward, I think that's the expectation.

Ravi Naredi: Will bring in new people to the company as per your convenience, or you will run with existing employees ?

Girish Kousgi: PNB housing team is excellent. While I say that we will always be open to hire talent from market ... whenever there is a need and when there is an opportunity, we will also try to hire talent from market. So, largely, I think the existing team is going to deliver.

Moderator: We have the next from the line of Simran from Omkara Capital. Please go ahead.

Simran : I have three questions. First is, will the company focus on the gross NPAs going forward? Second question is on the loan growth front, because we are seeing very flattish sort of loan growth over the quarters. And third, where you see the cost of borrowing of the PNB Housing Finance is going to be on the peak in the upcoming quarters ?

Girish Kousgi: So, in terms of growth, I mentioned that if you look at H1FY23 I think we've grown by 49% YoY, I'm talking about disbursements. So, book will catch up. So, probably, this year we'll see growth in book by about maybe close to 10%. One year from now or maybe five quarters from now, we should be able to see growth in book of over 15%. On a steady state in the long run, our disbursement growth at least for next few years is going to be 25% and book growth will be 18%. We are working on to bring down our GNP A. As I told you, the story is going to be on retail because corporate book we are degrowing the book and obviously, on a depleting book, the NP As would look on a higher side. We have a plan for resolution on the corporate book. But, having said that, our focus would be

to try and bring down GNPA on the retail book. So, you will see that progressively going forward from this quarter onwards, there will be improvement in GNP A. It might take some time, but definitely you will see the GNPA coming down quarter-on-quarter from this quarter.

Simran : My third question was that where you see the cost of borrowing is going to be peak for the PNB Housing Finance in the upcoming quarter ?

Girish Kousgi: We are part of the system and therefore would have to operate within the system. But today given the context of where a company stands, definitely, our cost is going to be slightly high.

Today, we're talking about cost of 7.32%. But when we get our growth story on, when we see that the delinquencies are coming down, I'm talking about GNPA, anyway, we are high on

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liquidity. And once we improve our quality from now onwards, we will also get the cost advantage. As of now the cost of borrowing is 7.32%. I expect in next two to three quarters still there could be increase in cost in the industry by about 0.5% to 0.6%. And to that extent, we will also try to pass on that to our customers. And as I mentioned earlier, we will definitely maintain profitability. To that extent, for me the starting point is margins, because we have very less control on cost and therefore, we would get fixated on the margins and then accordingly try to adjust the yield. And we are focusing largely on affordable from now onwards, there we have a higher yield opportunity. And even I will be able to grow the book because we see less competition in tier two, three and four cities vis-à-vis compared to large cities and tier one cities. So, we have an opportunity of building book at a higher yield, therefore we'll be able to maintain margins. I think all these things will happen parallelly, it's not sequential. On the cost front, it might go by another 50 or 60 bps in next two to three quarters time and we are ready to absorb

that and still grow at a healthy rate.

Simran: Your focus is primarily driven on the affordable going forward, am I right?

Girish Kousgi: No. Today, our focus is retail. If you look at my retail book, it is Rs.52,000 crores, out of Rs.52,000 crores, Rs. 3,000 crores is affordable. We see opportunity in both affordable and non-affordable, but today if you see our concentration is on non-affordable which is about Rs.49,000 - Rs.50,000 crores. So, we want to grow non-affordable space, at the same time, we want to get aggressive on the affordable space as well, because we don't see too much of a difference in the portfolio quality between affordable and non-affordable and therefore we want to get into affordable. I'm talking about the industry. So, we will get very aggressive on affordable and we will continue to be aggressive on non-affordable. So, our focus is going to be on retail; two segments - affordable and non-affordable.

Moderator: The next question is from the line of Dipti Kothari from Kot hari Securities. Please go ahead.

Dipti Kothari: My question was do we have any significant update on corporate resolution?

Girish Kousgi: We have an update, but at this point in time, let me be honest with you, corporate book is depleting, every quarter, there is a runoff and this book is now Rs.5,700 crores, if you look at my overall book, I think it's less than 10% and going forward, we're going to grow very aggressively on the retail side. On the corporate side, we're working on some of the accounts. So, only thing is since considering the nature of these accounts, the resolution may take slightly longer time. So, I won't be in a position to give you a definitive timeframe as to what would be the resolution, let's say in next two quarters, three quarters, four quarters, but we are working on resolution. So, we will see that coming through in the next three

to four quarters time. In next

quarter or two, I won't be able to commit on that, because we are still working on some of the accounts.

Dipti Kothari: Have you taken any write-offs in this quarter?

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Girish Kousgi: So, I mentioned that out of total provision of Rs.243 crores, Rs.80 crores is ECL, and the balance has three components; one is write-off, one is ARC sale, and we have provided Rs.60 crores additional.

Moderator: We have the next question from the line of Himanshu Taluja from Aditya Birla Mutual Fund. Please go ahead.

Himanshu Taluja: I just missed your initial commentary, but I've heard that your endeavor is to bring down the gross NPA on the asset quality improvement on a quarter-on-quarter. So, what sort of a credit cost we should expect over the next two quarters? And when you think a normalized credit cost will likely be visible?

Girish Kousgi: This year credit cost will be around 1%, and from next year onwards we can say that we'll reach a level where we can talk about normalized credit cost.

Himanshu Taluja: This is for retail?

Girish Kousgi: This is on the retail.

Himanshu Taluja: Would you like to also build up like on the corporate portfolio or would you like to build any contingent buffer to provision buffer?

Girish Kousgi: So, I think internally we're working on that. Only thing is on resolution, I wouldn't be able to give you a definitive timeline. While we're working on the corporate book, of course, now the pool has come down drastically. So, on the retail side, definitely we can expect normalized credit costs from coming financial year onwards.

Moderator: Thank you. We have the next question from the line of Ashwini Agarwal from Demeter Advisors. Please go ahead.

Ashwini Agarwal: So, two questions kind of along the lines asked by previous participant. So, the first question is on spread. If I look at your Q2 spread excluding securitization income, that's about 2.6% which is kind of a little bit on the higher side compared to the previous two quarters. And given that now obviously, banks and prime borrowers like HDFC, et c. are rising very rapidly. Do you think this number of 2.6% as a spread is sustainable?

Girish Kousgi: Yes, spread of 2.2% is sustainable.

Ashwini Agarwal: Okay. Spread of 2.2% including securitization is sustainable in your case?

Girish Kousgi: 2.2% is sustainable yes.

Ashwini Agarwal: Okay. The second thing is that, on your corporate book while you have made some additional provisions during Q2, so you still have a fairly large NPA pool on your corporate and you are

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talking about due to some resolution so there's Rs.1,730 crores worth of corporate GNPA's, I just wanted to ask, what is the provisioning level on the corporate GNPA and as this book is

resolved how much more write off or pain do you need to take on this?

Girish Kousgi: So, on the corporate book, book is about Rs.5,700 crores, GNPA is about Rs.1,734 crores. So, I would say that the coverage is close to almost about 50% on the corporate NPA.

Ashwini Agarwal: Okay. And what's your estimate, how much do you need to kind of watch through the P&L over the next couple of quarters?

Girish Kousgi: That is what I told you it is very difficult for me to give an estimate for next couple of quarters, because knowing the nature of this account, sometimes it will take a longer time, sometimes you see revision coming through and therefore I can only say that we are adequately covered. And we are constantly working on resolution because number of cases obviously in corporate would be less and PCR is close to 50% as I mentioned, so we will constantly, we will constantly work to ensure that we are adequately covered and at any given point in time

Ashwini Agarwal: You earlier in your

our conversation, you said that for the full year the credit cost will be in the vicinity of 1% and next year.

Girish Kousgi: This is both retail and corporate put together.

Ashwini Agarwal: Correct, yes I get that. And you had also said that fiscal 24, which is the next financial year, we should expect to see normalized credit cost.

Girish Kousgi: On the retail book.

Ashwini Agarwal: So, what would be your estimate of normalized credit cost on the retail book?

Girish Kousgi: Given the fact that what we have seen credit cost on the retail for last few quarters. It should be in the range of 40 to 50 bps on retail.

Ashwini Agarwal: So, if you work with a 2.2% spread, and I'm assuming your leverage will remain around 5x, because your rating sort of needs to be maintained or improved and your cost to income ratios remain under control and 40 to 50 bps of credit cost. So, what kind of normalized ROA and ROE do you think you could expect say three or four quarters down the line?

Girish Kousgi: See, I mentioned 2.2% spread as a threshold so it could be higher. So, 2.2% is something which we will maintain at any given point in time this is threshold and let me also talk about within NIM of 3.2%; spread of 2.2% and NIM of 3.2% is something which we will always maintain to the threshold. Now, having said that even today, if you look at our spread it is much higher than 2.2%. So, going forward our spread will be upwards of 2.2%, threshold is 2.2%. So, you will see that every quarter now, there will be definitely improvement on all the metrics which I mentioned last few minutes. And today we are talking about today's situation. So, next three to PNB Housing Finance Limited

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four quarters, down the line you will see most of the parameters improving. And even the return ratios will improve.

Ashwini Agarwal: And sir the last question is that let's talk about the retail NPAs. You're saying that your retail GNPA ratio has declined and it has been declined the absolute GNPA on the retail side about Rs.2,700 crores and it's now down to some Rs.1,769 crores. So, what are you doing to or can you help me understand what's driving this, is it just the economic situation where people are feeling more positive are paying up and some of your restructured loans are coming back or is there a change in the way you are pursuing retail?

Girish Kousgi: Okay. The resolution in retail on the GNPA would be much faster vis-à-vis compared to corporate number one. And within retail, we work on pre-delinquency management and post-delinquency. So, pre-delinquency we use business intelligence to identify customers who would get into stress and we cure them before they could become delinquent #A. #B, all the delinquent accounts we start from x bucket. So, we have a call center strategy, there we use self-care, tele calls and feed. So, for each bucket whether it is 0 to 30, 1 to 30, 31 to 60 or 61 to 90 or 90 plus which is basically NPA or recovery. So, for each of these categories, we have a strategy largely, for SME -2 if it slips with NPA our strategy is to first try and collect. Now after November 12 RBI circular once the account flows into NPA, now you have to collect the entire overdue not just two EMI the way it was prior to November 12 of last year. So, that's a strategy. Now suppose if the account slips in the NPA, it gets into slightly deeper bucket, then we take the legal route. So, largely, the report for us is through SARFAESI. And they use OTS as a very effective tool to try and collect. So, we have different strategy for different buckets, whether it is in NPA, or early bucket. So, in retail we have a very clear strategy on collection starting from x bucket right up to recovery which is being 60% plus.

Ashwini Agarwal: And sir last question, what do you think will be your corporate loan strategy once you've cleaned up with

with current stress that you're dealing with. Would you be a pure retail lender or you would say that 15% to 20% corporate book as an overall part of the book still be desirable from a NIM and spread management perspective?

Girish Kousgi: See there are two things here talking about corporate now we are very keen to #A rundown the

book, #B resolve sticky account and once we reach a comfortable level of GNPA then we may restart but on a very small scale and the proportion of corporate may not be substantial or it will be very less. So, we will be pick and choose in terms of not doing corporate loan, #A. #B, within retail especially on the affordable space, we see a lot of lift in the yield. So, we see very good opportunity and therefore, we will focus on retail primarily both affordable and non-affordable. Affordable is basically which will bring the growth in book could be much lower compared to non-affordable even the ticket size but, there we have an opportunity of growing the book at a higher yield so we get better margin. On the non-affordable we can grow the book faster, but the margin will be slightly lower compared of affordable. So, it's a fine balance between affordable and non-affordable. And we also have a good proportion of non-home which can get us better yield basically focusing on LAP, NRPL and LRD, I am talking it's all about retail. So, all I'm

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saying is that without focusing on growing the corporate book till the time we feel comfortable to start doing corporate business in spite of focusing only on retail, we have the wherewithal to maintain spread, grow the book faster and be relevant in the market.

Moderator: Thank you. We have the next question from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Two question, firstly any update on the capital raise that we have been planning to do?

Girish Kousgi: Yes, so we are planning for rights issue, we will file before the calendar year.

Nidhesh: Okay. And the quantum of the rights issue will be on Rs.2500 crores?

Girish Kousgi: Yes.

Nidhesh: If I look at one of the shortcomings that PNB Housing in the cost of funds, our cost of funds is almost 100 to 150 basis points higher than the peers who are operating in the same segment. So, how do you plan to bridge that gap, over a period of time what are the steps that you think are required to bridge this gap of cost of fund differentiated?

Girish Kousgi: See, basically it's a journey. According to me in mortgage business the starting point is portfolio quality. So, once we get our GNPA on track and when we show growth with decent profitability everything will fall in its place. So, cost of funds, which today for PNB Housing is slightly on the higher side, over a period of time it will come down and maybe a few quarters down the line you will be able to raise from the market at a much better rate. So, it's a journey. So, we need to take the scores, we need to go through the journey and ensure that we get all our pieces right. Few quarters from now, we won't be talking about high cost of funds for PNB Housing.

Nidhesh: Okay. So, the focus on asset quality and if asset quality improves, we will automatically.

Girish Kousgi: Our focus is very clear, our focus is on growth, asset quality and profitability with high liquidity, this is our mantra. So, these are not sequential everything is parallel.

Moderator: Thank you. We have the next question from the line of Sukriti Jiwarajka from Laburnum Capital. Please go ahead.

Sukriti Jiwarajka : Some of my questions around the fundraising has already been asked. So, just one follow up on tying in the fundraise and the corpus fund, of course the asset quality and the growth will help but one of the outcomes of the slide #16 could be your rating upgrade. I've been saying, one of the outcomes of the writes issue

could probably be rating upgrade, which would automatically give us a cost to funds advantage. And that could come much sooner than let's say GNPA going down and a lot of other long-term fluctuations. Do you think that will be enough to meet this 50 - 60 bps increase that you are anticipating this year, to sort of get a net-net zero increase in cost of funds?

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Girish Kousgi: Yes, you're partly right but we need to work on all the pieces because recently we've got outlook upgrade. So, all these things, according to me would have to run parallelly yes, definitely raising capital is a big plus for the company. It will definitely help us to raise funds at a much lower rate than what it is currently. But yes, if we can work on growth strategy, profitability and asset quality, the cost will be much lower. And we will be able to compete with some of the best HFCs in the country in terms of cost leadership.

Sukriti Jiwarajka : Okay. And second question is, when you talk about affordability, you mean the Unnati kind of living that PNB would already bring, you don't need this sub 10 lakh loans, or let say what Aavas or HomeFirst would be doing?

Girish Kousgi: See affordable means up to Rs.35 lakhs that will be focus in the affordable space.

Sukriti Jiwarajka : No, can you narrow it down, is this because it's a very wide reach and you can't be building different verticals and capabilities because we don't have too many examples of one HFC doing a 6 lakh loan well and a 40 lakh loan well?

Girish Kousgi: No, we have quite a few HFCs who are focusing on both affordable and non-affordable space,

as far as PNB HFL is concerned we are building capability, it's already on course, we will have a separate team to manage affordable business, while we are already there in the non-affordable space, we see a lot of opportunities so we have built a team to manage affordable. So, in terms of the difference between affordable, non-affordable one in terms of ticket size, more than ticket size, in terms of profile probably, I'll give just one example affordable will be basically focusing on tier two, tier three, tier four, and urban outskirts pocket #A in terms of geography, #B in terms of profile, CAT B, corporate and CAT C corporate, in terms of builder CAT B, and CAT developer. When we talk about non-affordable it will be focusing on CAT A corporate, CAT A builder, and focusing on top cities and Metro. These are the three, four differences of course there are many more, I just thought let me give you a flavor of affordable and non-affordable. So, we see opportunity in both and we don't see too much of a difference in the book quality at the industry level. So, for PNB Housing it's a journey for us, we need to definitely bring down a GNPA, we are working on that. But the book we are going to build henceforth would definitely be at a far lower delinquency.

Moderator: Thank you. We have the next question from the line of Ameya Gawande from Metaverse Equity Fund. Please go ahead.

Ameya Gawande : So, I just have a couple of questions. So, first is with respect to Unnati segment. What were the disbursement numbers and were there any one offs for the quarter?

Girish Kousgi: At this point in time talking about Unnati, because we are just starting that now, we just started so we want to scale it up. So, today, if you look at the numbers, it'll be very less, if we look at our total disbursements, Unnati would be close to close to about 3-4% of the total disbursement. But going forward incrementally, we want to scale affordable up to 25% incrementally.

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Ameya Gawande : And sir about the run offs?

Girish Kousgi: We don't see too much of a difference between affordable and non-affordable at this point in time.

Ameya Gawande : Okay, sir

And sir second question is with respect to the growth you will be chasing for next three years. If you could just give some numbers?

Girish Kousgi: So, in the opening remarks I mentioned that we will be focusing this year the growth on disbursement would be about 40% odd. And growth in book would be about close to 10%. Now from next year onwards, industry would grow at about 12% -13%. On book we would grow at about 18% and disbursement 25%.

Moderator: Thank you. We have the next question from the line of Franklin Moraes from Equentis Wealth Advisory. Please go ahead.

Franklin Moraes : So, in terms of the assets sold to ARC, what would have been the gross book value and the net book value on the sale?

Girish Kousgi: I will have to come back to you on that because, specific no data I will come ...

Franklin Moraes : Okay. So, some provisions would have been reversed because of the sales?

Girish Kousgi: Not in the ARC.

Franklin Moraes : Okay. And I also wanted to understand if we add the ARC sales and the write offs, if we adjust for both of these things in absolute levels would the gross NPA levels, would it have been the same or would it have still absolute?

Girish Kousgi: It will be on the lower side but slightly. There's a marginal improvement, net of write off and ARCs.

Franklin Moraes : Okay. And we have been doing a lot of ARC sales also recently so just wanted to understand the pipeline in terms of the quantum, what is the quantum of ARC sale that we are likely to do within the next two or three quarters?

Neeraj Manchanda : The company has not done too many ARC deals, it is the second deal, the first was done on the SR structure, which was a one large corporate account. This is the second one in retail portfolio which was on the cash basis. As such as of now there is no confirm pipeline.

Franklin Moraes : And on the credit cost we had mentioned, the normalized credit cost on the retail aspect. So, is there some concern still on the corporate book, because of which we are a little bit hesitant to give credit cost guidance?

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Girish Kousgi: No, for this year I have given the numbers, so credit cost is going to be around 1%. There is no concern on the corporate book, the only challenge on the corporate book is that given the nature of the account, the resolution, you can't predict the resolution timeline. See in retail I can say suppose the account gets into NPA within five months, six months, either I can get into OTS with the customer or I can get into legal mode through SARFAESI and realize the asset, so I

have a definite timeline, I can say within six or seven months I will be able to crack. But in corporate will not be able to give that kind of timeline, that 's what but for giving the timeline, there is no difference. Of course, the concern is that we have quite a large NPA pool. But in terms of resolution, there is no concern, there is only thing we are able to give the exact timeline. Franklin Moraes : And lastly on the capital raise you had mentioned that you will be filing the rights issue proposal by this calendar year. So, would it be safe to assume by the end of this financial year at least we would have the rights issue in place in terms of getting the money?

Girish Kousgi: It depends so it might get concluded before the financial year or it may slip to quarter one of next financial year.

Franklin Moraes : But Q1 is kind of the outer deadline?

Girish Kousgi : Yes, I would say before close of Q1 probably it will get complete.

Moderator: Thank you. That was the last question. I would like to hand over the call to the management for closing comments.

Deepika Gupta Padhi : Thank you everyone for joining us on the call. If you have any questions unanswered please feel free to get in touch with investor relations. The transcript and the audio of this call will be u

ploded on our website. Thank you.

Moderator: Thank you. On behalf of PNB Housing Finance Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

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Date: January 31 , 2023

The BSE Limited,
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Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173 National Stock Exchange of India Limited,
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on January 24 , 2023

In continuation of our letter dated January 24, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript in respect to the earnings call held on January 24, 2023 , on Un -Audited Standalone and Consolidated Financial Results of the Company for the Quarter and Nine Months ended December 31, 2022 .

During the earnings call there was a confusion wrt the retail book under moratorium as on 30th Sept 2022. It was mentioned during the call that no account is under moratorium however few cases might be a part of restructuring morat. The same is further clarified in the Transcript on Page 11.

A copy of the same is placed on the website of the Company www.pnbhousing.com

This is for your information and records.

Thanking You,

For PNB Housing Finance Limited

Sanjay Jain
Company Secretary and Head Compliance

Encl: a/a

January 24, 2023

MANAGEMENT SPEAKERS :

Mr. Girish Kousgi MD & CEO

Mr. Vinay Gupta CFO

Mr. Neeraj Manchanda Chief Risk Officer

Ms. Deepika Gupta Padhi National Head IR & Treasury

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Moderator: Ladies and gentlemen, good day, and welcome to the PNB Housing Finance Limited's Q3 & 9M Months FY'22 -23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Deepika Gupta Padhi, Head Investor Relations and Treasury. Thank you, and over to you.

Deepika Gupta Padhi: Good evening and welcome everyone. We are here to discuss PNB Housing Finance Q3 & 9M FY'22 -23 Results. You must have seen our business and financial numbers in the presentation and the press release shared with the stock exchanges and also available on our website.

With me, we have our entire management team across verticals, led by Mr. Girish Kousgi -- Managing Director & CEO of PNB Housing Finance.

We will begin this call with the Performance Update by the MD & CEO followed by an Interactive Q&A Session.

Please note, this call may contain forward -looking statements, which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. A detail disclaimer is on Slide # 26 of the Investor Presentation.

With that, I will now hand over the call to Mr. Girish Kousgi. Over to you, sir.

Girish Kousgi: Good evening, and welcome to the earnings call. I think we had a very good quarter. I think there were a lot of positives to take back and work further on it. So, if we basically talk about the numbers on a YoY, disbursements have grown by 21% for the quarter and, for the nine months have grown by 39%. So, Loan book growth last quarter, it was negative 4% ; this quarter we are at 0.3%. If you look at retail, because the focus is going to be on retail going forward, the retail book has grown by 2% QoQ . And YoY it has grown by 7%. Corporate book, as I had mentioned earlier also, we are de-growing. So, on a YoY it has de -grown by 39%.

In terms of revenue, registered a growth of 20% YoY for the quarter, and 2.5% for the nine months. PAT is up by 43% YoY for the quarter and 15% for the nine months. Yield is at 11.38%, last quarter was 10.7%. The cost of funds has slightly gone up; it was 7.32%, went up in last quarter and now it is 7.55%. We have improved spread from 3.38% to 3.83%. NIM from 4.14% for the last quarter to 4.68% this quarter.

I think the big story is around traction in business, both on disbursement, loan book and also on asset quality. So, if we look at asset quality, GNP A is now about 4.87%, if you compare this number last quarter it was 6.06%, and the net NPA is now about 3.22%. If we talk about retail,

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specifically, retail GNP A is 2.86 % and net NPA is 1.96%. So, corporate as I mentioned, it's degrowing. So, if you look at CRAR, it has improved; now it is 24.6% and Leverage is at 4.89x. Largely, the focus was on retail. We focused on few things; one is on the disbursement I can say that in the last two months there is very good traction and this would continue in future. In terms of loan book, we have done a great job in terms of retention. So that has also helped us to grow our book. So, we have to a large extent controlled on the part foreclosures, and also BT out.

Now, we have tweaked our credit policy to a certain

extent and also process to ensure that the

book what we're going to build in future is of pristine quality. And we've done some design level changes in terms of ticket size, in terms of product mix. We are focusing now more on home loan vis-à-vis compared to non-home loans. In terms of profile, we are now focusing more on salaried vis-à-vis compared to self-employed, and within salaried the focus is now also on government employees, which is a very small portion in our portfolio, because this segment will give us the least delinquency. We have seen this in the industry and therefore, we want to do that shift within salaried. So, we have now changed our strategy in terms of focusing on retail granular business. To that extent, high ticket loans, I think it has come down drastically directionally, and going forward as well, we can see this in the book, what we are going to build in future. Today, retail disbursement accounts to 92% of the loan book.

In terms of affordable, we have now setup the entire team, we have a dedicated team starting from sales, credit, operations and collections. The entire architecture is different, the policies are different, and set of branches, channel partners, segments, I would say everything is different, starting from pricing to segment employees from affordable backgrounds, the entire architecture is different for affordable. We have started business in this segment in last week of December.

So, probably this quarter, we'll be able to see some traction there and it will carry on going forward. I had mentioned in the last quarter that incrementally going forward affordable will contribute about 25% of business which is let's say 12 months from now, it will start contributing about close to 20% - 25% of incremental business, that's our focus on affordable, it has started very well. And, the book growth would have been slightly higher, but we had certain subsidy amount to adjust, this is on PMAY, and therefore, the book growth what you see is little less, otherwise the book growth would have been far better than what you see now.

We have done a few changes in the sales structure; we are now much more closer to market and we have added more, if I can say, more zones, more regions, so that we are much closer in terms of tracking, monitoring and business development.

On the credit side, we are working on automation and digitization. We have just launched (STP) Straight Through Process, this is for salaried segment. So, this would give us faster TATs and efficiency in credit underwriting and standardization. So, this will pick traction in next couple of quarters.

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In terms of policy as I mentioned, we have done some tweaking just to ensure that the book whatever we build in future will be of very good quality. And we have done certain process changes; we have tried to cut down on some of the redundancies and improve efficiency.

In terms of collection, the collection strategy is very, very clear; we have now four different verticals under collection. One is completely focusing on bounce and x-bucket. There we have seen significant improvement in the collection efficiency, and then for the entire SMA pool, that is SMA-0, SMA-1 and SMA-2 we have a different set of team, managing this to ensure that the slippages are the lowest. In fact, Q3 saw significant reduction in the slippages; the slippages were down to the extent of 25%, which is basically NPA, 90-plus to 360 will again have a different dedicated team and 360-plus we will have recovery. So, we will have X-bucket, SMA, NPA and recovery. So, we have done this tactically, we've done this bifurcation within the collection architecture. We've had highest NPA recovery and the slippages have come down by 25%. And we have fast tracked the entire legal process in terms of SAR

FAESI, in terms of settlements in

time, in terms of sale of assets. I think all these things have resulted in asset quality improving especially on the retail front.

What we have done is, as I mentioned, we are now slowly trying to change the profile mix, product mix, and also in terms of ticket size now we are trying to get more granular and we want to focus on retail. We've seen some improvement in terms of the mix what we want. It's hardly of course one quarter, so, it will take some more time to see this impact coming in. So, our salaried share has increased incrementally. Our profile in the product mix, we have seen that HL is gaining more traction when we compare to non-HL, and in the ticket size we are seeing that up to Rs.1 crore the share of the percentage of cases which are being booked are on the increasing

side.

I would now open the forum for Q&A.

Moderator: We will now begin the question -and-answer session. We have our first question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : So just two or three questions. Firstly, on the corporate book, have there been any NPA resolutions that you've seen in this quarter among those four or five large accounts? Secondly, during this quarter, I think you've talked about some impairments or provisions that you've taken on assets held -for-sale. So , if you could just kind of throw some more color on what is the quantum of these assets held -for-sale and what have we actually classified under assets held -for-sale? And sir, then on margins, just wanted to understand , last quarter, it seems like there is a one-off in the margins, and probably something that should kind of normalize in this quarter . But, seeing margin expansion in this quarter as well in a rising rate environment, something very, very counterintuitive. So , if you kind of just explain what has happened there , how is it that we are looking at margins expanding , and how long you want to suggest this maybe just one-off from this assignment loans can continue? And lastly, sir on the OPEX side, I think on the affordable bit , you have said that you've added about 80-odd branches during this quarter if I kind of heard you right . So, wanted to understand that how should we look at OPEX since there

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are so many branches which are getting added , so this entire affordable that we have built up , why is it not reflecting in the OPEX numbers that we've reported?

Girish Kousgi: You see, resolution is both in NPA and non -NPA pool in the corporate . In terms of margins, I had mentioned that for a profile like PNB Housing we should look at NIM of 3.2 % and Spread of 2.2 %. Currently , NIM is at 4.68% and spread stood at 3.83%. In terms of assignment, basically this is a lag effect. So , sometimes it is plus , sometimes it is minus , and the only thing is it evens out in a year's time and therefore I think that is something part of business and we should continue with that. In terms of OPEX , I think whatever OPEX you're seeing now that is I think most of the OPEX of affordable vertical is already built in. So , what you're seeing now is , most of it is part of what we've already built in , because all the branches are operational and most of the spends are already done . In terms of asset held -for-sale, I think we had a small pool , so we have just marked it down to realizable value and that is the effect what you can see in P&L, so there is a bit of charge to P&L.

Abhijit Tibrewal: What is the quantum of these assets which are held-for-sale?

Girish Kousgi : It was roughly Rs.100 crores , but it is now completely marked down to the realizable value. So, it is one -off instance you can say and these were some legacy .

Abhijit Tibrewal: : And this Rs.100 crores are not your NPA accounts is what you said?

Girish Kousgi : These

assets were not in NPA accounts , those were current assets held -for-sale.

Abhijit Tibrewal: On that corporate NPA resolutions that I asked , I missed you. There were no resolutions during the quarter is what we –

Girish Kousgi: There were some resolutions, which was both in NPA and non NPA -pool, but the amount was quite less , I think the quantum is not huge. But having said that, on the corporate side, we are working on resolution. So, as I mentioned earlier, it will take about four to six quarters for us to completely come out of the entire corporate NPA pool. So we are working on account -by-account on resolution , and we see a lot of positive feelers what we're getting in terms of resolution . That would start happening in next four to six quarters. Unless and until , if there is some kind of one -offs which probably you might look at , we are open to all the options.

Abhijit Tibrewal: Just a follow up question on the margins, the guidance was more around the margins of 3.2% , but finding it a little difficult to understand that until I think the first quarter of this fiscal year, margins were around 2.36 % is what I'm seeing in front of me and they are about 4.68 % now. So other than I would say this one -time gain that we're getting from the assigned pool, other than that no one -offs, and it's just expanded from 2.36 % to 4.68 % now?

Girish Kousgi: That is right. So see , I'm talking on a long term steady state , I'm not talking about next two, three quarters. If you have to look at both Spread and NIM in next two, three quarters, I don't think so you would not see much of a change what you're seeing now. But if I have to talk about the long

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term guidance on a steady state business, I think normalized NIM and Spread would be in the range what I mentioned.

Moderator: We have our next question from the line of Sharaj Singh from Laburnum Capital. Please go ahead.

Sharaj Singh : First question is on a disbursement. Despite the expansion we've taken , and the guidance is

given, we require around Rs.5,000 crores of disbursements quarterly rate. How do we look at that?

Girish Kousgi: I can only say that in last two months, we have seen very good traction on disbursement and also on the closures. And I had mentioned last quarter that we are looking at a book growth of about close to 10% especially on the retail. So, I think we will be able to hit that number, because now we are at about 7%, I think with Q4 we will be close to about 10%. And guidance from next year onwards, I had mentioned that disbursement will be 20% to 25% and book would be about 17%.

Sharaj Singh: 17% of the Loan book?

Girish Kousgi: On a YoY, yes, correct on the loan book.

Sharaj Singh: Second question is on the yields. We've seen an expansion on the yield excluding securitization. So how much of this is for the NPA reversal and how much is the rate now?

Girish Kousgi: Sorry, I didn't get your question. You were talking about the –

Sharaj Singh: The loan book yields excluding securitization.

Vinay Gupta: They've expanded by around 90 bps.

Girish Kousgi: It'll be less than 100 bps, that's the gap. Sometimes it is 70 bps, sometimes it is 80 bps, yes.

Sharaj Singh: How much of this is attributable to NPA reversals and how much of this is pass-through?

Girish Kousgi: I didn't get your point... what is NPA reversal?

Sharaj Singh: NPAs have gone down from 6.06% to 4.87% from the entire book on QoQ.

Girish Kousgi: Correct, I think that is because of a few things. One is the slippages have been controlled and there is a NPA recovery and there are certain one-offs in both retail and corporate.

Sharaj Singh: What I'm trying to understand is if I look at the yields which have gone up by 90 basis points, some of this would have come from the NPA reversals which have taken place, right. What

is

this portion which could be attributable for the reversals?

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Neeraj Manchanda: There is no correlation between NPA reversal in the yield per se. This is the portfolio yield we are talking about.

Sharaj Singh: One question on the cost of fund side. I understand that 65% of our borrowings are floating rate.

On this floating portion of the borrowings, how much of the rate hike is yet to pass-through?

Girish Kousgi: Yes, yes, it has been fully passed on to a customer.

Sharaj Singh: On the cost of funds, the borrowings have been reset completely, or there are some borrowings which would reset in the upcoming quarters?

Girish Kousgi: Most of it is done and we have quite a bit of pool which will happen in the next few weeks.

Sharaj Singh: One question on the provisions. The total provisions have come down QoQ from Rs.2,100 crores to Rs.1,760 crores. So, have we taken any write-off during the quarter?

Girish Kousgi: We have taken write-off of a small pool in retail and a small pool in corporate as well.

Sharaj Singh: One last question on the asset for sale we've marked down. What is the nature of these assets, are these treasury assets?

Vinay Gupta: These are certain current assets basically repossessed assets, which we were holding for sale and these were some legacy assets, very old, which we are planning to dispose of.

Moderator: We have our next question from the line of Anand Venugopal from the BMSPL Capital. Please go ahead.

Anand Venugopal: My question is in regards to our provisions. It's still remain high and hence we are not able to achieve good ROEs. How do we get to 15% ROE from here?

Girish Kousgi: So, basically, if you are leaving the one-off, it is quite less. So, in the last quarter, I had mentioned that for this year, credit cost will be about 1% and this is maybe from coming year onwards... I

am just for a minute leaving the corporate book aside, I'm talking about retail, I think it will start normalizing because we have seen a lot of traction on the retail NPA. Also, on the corporate NPA we are seeing a good visibility. Only thing is that timeframe is little longer given the nature of those accounts and the size of the loans. So, basically when we talk about credit cost, we should ideally look at the slippages and the stage movement. I think these two are something which one needs to worry about. And if it is a one-off, because of that if the credit cost is going up... even in that case now we are talking about overall nine months of credit cost of 1.13%.

Now, for the whole year we'll be able to maintain 1% unless there is a one-off. In terms of our focus now being on retail, and within retail, not just prime, even the affordable, and there is a clear guidance given in terms of disbursement growth and book growth, and also in terms of margins. I think in the next few quarters, we will see good traction on all the parameters what I mentioned, be it growth in disbursements or growth in book or profitability, I think in all these

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things there will be a good traction. I will leave that for you to work out on the ROE, but yes,

this is the guidance and outlook for next few years.

Moderator: We have our next question from the line of Ashwini Agarwal from Demeter Advisors LLP . Please go ahead.

Ashwini Agarwal : I was intrigued about your opening comments and how your renewed focus is going to be on salaried and within salaried on government employees. So, two questions here . This is more or less the space where the PSU banks and the large commercial banks are very active in . And therefore from a strategy perspective, if you go back into the market, which is very keenly competed for, what is the edge that PNB Housing brings, because as a standalone housing finance company, your cost of

of funds are not as competitive as they are for the bank, so, why go there, why not focus on the self-employed category, which obviously is more difficult to manage, but at least as a profile where the competition is somewhat discrete, could you help me understand the reason behind the change in strategy?

Girish Kousgi: A very good question , sir. I think we have seen for last many decades in this industry, a) self-employed as a profile compared to salaried is highly delinquent ; b), also the book attrition is higher in the self-employed segment. Now, when we talk about retail, we are looking at increasing the salaried profile. Now, in salaried, there are two things . One is if we focus on slightly lower ticket size, which is very safe, for example, in Rs.1 crore , Rs.2 crores , ticket size , we will have book depletion pressure . And therefore, let's say we focus on 30 -40 lakh ticket size, which is basically from salaried, this is a segment where we see that this segment is not that price-sensitive and therefore pricing strategy very well fits in . There won't be depletion pressure ; today, if we look at all the housing finance companies, all the small banks, I think their focus is on this . Our USP would be, a), in terms of our digital strategy where we get direct customers to us; b), we have door step service ; c), our advisory to customers, especially on the legal and technical front, and we always ensure that our TATs is very competitive in the market. And therefore, I think looking at all these things, we have an advantage ; a), in terms of being present there , through door step service , we can increase a book at a higher yield with less book depletion , and also we are able to see this particular segment on the asset quality side behaving very well.

Ashwini Agarwal: Maybe I misheard... I thought you said that your focus is going to be on 1 crore loans in your opening remarks.

Girish Kousgi: No, no, no, what I said was, our focus is going to be on both salaried and self-employed , but within the entire profile mix, we would be slightly skewed towards salaried, which means we will be increasing our share in salaried, within salaried we would focus on all the segments , but yes, we would also focus on 30 -40 lakhs of ticket size. Now , this is a vast segment where on the private side , CAT -B, CAT -C employees would cater to , and on the government side this is a typical segment where the book is very good ... the book depletion pressure is quite low , and this set of customers are not that rate-sensitive , and therefore it fits into our pricing strategy. So , we

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would focus on all ; we would ideally keep the ticket size of around 26 -27 lakhs. So this chunk could be major portions for us within salaried.

Ashwini Agarwal: Sir, could you also explain the focus on the affordable side , what kind of customers you're looking at , the average ticket size that you're looking at , and who's the real competition there , and how do you differentiate yourself?

Girish Kousgi: So, on the affordable side, basically in terms of geography, there is opportunity in metros , big cities and Tier-2 and Tier-3 towns. Now, for example, if it's a metro, we're talking about the entire periphery at the outskirts so there we have a very good opportunity. In terms of segments basically focusing on let us say if you talk about good CAT -C developer and good CAT -D developers. In terms of profile, it will be let us say both private and government employees whose income is in the range of 40,000 to 55,000 / month . So, in terms of affordability , our ticket size is going to be 16 to 17 lakh. On the prime it will be 26 - 27 lakh and on affordable 16 lakh to 17 lakhs and in terms of affordable I think we would benchmark with some of the listed affordable companies whose ticket size in the range of about 20-22

I think 70% to 80% of that would be our affordable segment.

Ashwini Agarwal : And which is the reason why you are kind of signaling to a lower sustainable NIM in the long run, but that hopefully will be offset by lower OPEX to total asset as asset growth takes place and lower credit cost thereby driving up the ROE, is that how I should see it?

Girish Kousgi: Actually, if you see the margins in last few quarters it is really varying, it is fluctuating and therefore with respect of guidance this is the minimum what we are going to protect and if everything goes well obviously we will be able to maintain this and probably it will be much higher than what I mentioned.

Moderator: Thank you. We have our next question from the line of Vikram Damani from Damani Securities. Please go ahead.

Vikram Damani : Question regards to the rights issue you said in your press release that the draft letter was filed back in November any updates on when we can expect further clarity and what are we planning in terms of quantum of pricing etc.?

Girish Kousgi: We are awaiting confirmation from SEBI to take this forward.

Vikram Damani : Any idea sir as to how long that might take any internal planning anything you can throw light on?

Girish Kousgi: I think there was some queries which were resolved and our overall timeframe is by end of March or so or it might just slip to let us say first week or second week of April and at this point in time we are awaiting SEBI 's approval.

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Vikram Damani : One last question sir I did not come across specific cost -to-income number, do you all disclose that you all share that?

Girish Kousgi: So, I think we probably sort of missed out so let me give you this, so for 9 months it is 18% and the quarter it is already 14.8%. So, we can take it as 17% to 18% as the normalized cost -to-income.

Moderator : Thank you. We have a next question from the line of Aditya Doshi from Chanakya Capital. Please go ahead.

Aditya Doshi : My question was related to fee income if we see fee income as a percentage to disbursements so last four quarters we have been disbursing around 3,500 crore, but if we see that as a percentage of disbursements it has reduced from 3% from Q1 of this year to now 2%, so can you throw some light on whether fee income has reduced for last two quarters?

Girish Kousgi: Actually, the fee income related to disbursements is actually deferred so it is accounted in the interest income line itself. So, it is accounted at a yield level. The fee income that you are seeing here is more like a P&L income and some other charges which are recovered.

Moderator : Thank you. We have our next question from the line of Abhay Modi from Helios Capital. Please go ahead.

Abhay Modi : I was going through the Draft letter of offer in there it is mentioned that the retail loans about 21.7% is under moratorium I mean can you tell how much is it as of end of December and when do you think it will end?

Girish Kousgi: Actually, morat and restructuring , I think it is almost for the entire industry , it has almost come to an end or maybe it is in the final stages. So, today what NPA pool we are seeing I think most of it is already taken into account because this moratorium started in the year 2020 from March 2020. It was basically for Quarter 1 and Quarter 2 of 20-21 if I am not wrong. So, then of course we had a slightly higher moratorium rate. So, now all those things are budgeted and all those things are taken into account and now what we see is the NPA pool whatever had to flow from morat pool or the restructured pool has already flown. So, what we see now is consolidation of all those things.

Abhay Modi : Are the loans and the moratorium or is it over because it is mentioned it is still under moratorium as of 30th of September 22?

Girish Kousgi: No, it is over because this was in

2021 the first and the second time got over in October , I think

it was April to June and September. So, basically Quarter 1 and Quarter 2 so that is over.

Abhay Modi : So, as of December 2022, there are no loans under moratorium?

Girish Kousgi: Under morat no.

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Abhay Modi : In September , it is 21 % so all of these loans have come out of moratorium in the current quarter?

Girish Kousgi: Basically, the morat was for 3 plus , 3-6 months , after that there was restructuring resolution under resolution 1 and resolution 2. So, we may have some accounts under the restructured pool, but even in the restructured pool it was for a period of two years. So, we would have structured it in a different way for example , in certain set of cases would have 3 months morat, certain cases would have 6 months morat and then the step of EMI or the full EMI. So, if you are talking about morat I think none of the accounts are today in morat, would we have few cases which are part of restructuring the answer is yes. In all those accounts the EMI would have started because two years morat is something which is not given and whatever you had given whether it is 3 months, 6 months or any that is over. Both on now the entire pool be it retail or corporate.

Abhay Modi : Now I understand that is exactly why I am asking this question because this is mentioned in the Draft letter of offer that is why I am asking this question that it says very categorically that 21.7%

of our retail loan book as of 30th of September 2022 is under moratorium , that is what I am asking you?

Girish Kousgi: We will have a look at this because there is nothing which is now under moratorium.

Further Clarification: "During COVID, our retail customers with cumulative POS of approx. INR 18,000 Crores availed moratorium (during the period Mar '20 to Aug '20). The Company closely monitors the performance of such customers. As on Sep 30, 2022, and as reported in the DLoF, out of approx. 18,000 Crores, customers with value of INR 11,309 Crores are outstanding in our book . Of this INR 1,895 Crores got restructured under Covid OTR scheme. Further, out of this restructured book, customers with outstanding of INR 285 crore are in moratorium as on 30th Sept 2022 "

Abhay Modi : There are no loans under moratorium as of now everything added is restructured or in NPA?

Girish Kousgi: Right.

Moderator : Thank you. We have a next question from the line of Sanket Chheda from DAM Capital. Please go ahead.

Sanket Chheda : My first question was that credit cost run rate since last couple of quarters it has inched up, but it is quite high at about 170 -180 so while on margins you mentioned it is 4.7, but steady state we would like to see at 3.2 -3.3 and maybe that is a conservative guidance and maybe would be around 3.7 -3.8, but that is a big drop so on and we are making ROA of say 150 -160 bps as of now so on, let we say compensate in credit cost somewhere when it normalizes over 24 -25 what are the kind of average that we are seeing and are we seeing credit cost normalizing to say 50 bps-70 bps in FY 24 or FY25?

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Girish Kousgi: So, if we look at H1 credit cost it is 0.94, 9 month is 1.13 and if I remove one off it is 0.72. So, this year leaving one off the credit cost will be 1%. Now on the retail side very clearly we can see credit cost normalizing at about 0.6 so I am very sure on that. On the corporate side , I am very sure about resolutions, but if there is one off obviously the credit cost is going to be slightly more. So, I think the way I would want to see credit cost is that with one off, without one off. So, definitely if not coming year next year we can see credit cost of about 0.6 to 0.65 , that is for sure. Now, on the retail side coming year we can see about 0.6. Now, if we take b

oth retail and

corporate together and if there is one off then the credit cost could be slightly higher than what I mentioned.

Sanket Chheda : In this release we have also incurred some impairment on asset held for sale which is like 52 crores, what is there?

Girish Kousgi: Actually, we had clarified that this is a small pool of assets which was held, this is very old book legacy pool so that we have already clarified. We have mark it down and now that is on that.

Sanket Chheda : So, that pattern we should see as a part of credit cost only right?

Girish Kousgi: No, that is not part of credit cost anyway it is one time. So, this is a legacy pool so if you see of course we have charged the P&L, but that is not part of credit cost.

Sanket Chheda : When we talk about disbursements maybe we will close loan book this year which is slight lower single digit growth YoY and on that even if grow 20% -25% the next year , the growth that we are guiding we would not be able to do that under the disbursement growth is much higher maybe for at least FY24 and then from FY25 it can normalize to the number you are guiding, but is that the right way to look at?

Girish Kousgi: If we look at Quarter 3 the disbursement growth is 21%. If we look at 9 months YoY we are at 39%. So, what we have guided is about 22% to 25% of disbursement growth and 17% growth on the book so this is very much possible because if not just the disbursement even on the book retention. So, we are working on both and therefore we see that this is quite possible.

Sanket Chheda : My question was sir that this year you have been doing and 20%, 22% is possible on disbursement I am not denying that I am saying that has not resulted in income for this year, so we are guiding for say 15% plus AUM for next investment growth has to be much higher?

Girish Kousgi: This I was talking about 12 months from now coming year. So, this year we had guided book growth of close to 10%.

Sanket Chheda : And lastly sir out of overall restructured how much is in Stage -2 or there is some part which will be in Stage -1 or Stage -2?

Girish Kousgi: So, talking about retail what is in NPA is about close to 15% and what is in Stage -2 is ~ 20%.

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Sanket Chheda : So, it is either in Stage -3 or Stage -2 I think it is Stage -1 out of restructure?

Girish Kousgi: See for the restructuring book we have got a 15% NPA and that number is static there is no additional incremental we have seen in the last two, three quarters. So, whatever the stress we

are looking into restructured book that is getting slightly now.

Sanket Chheda : I am asking that of the restructured book is there anything in Stage -1 or the entire restructuring is either in Stage -2 or Stage -3?

Girish Kousgi: No, not the entire in Stage -1. So, if this is add to the SICR logic which we have already discussed in the earlier investor calls as per that only we are doing.

Sanket Chheda : I just wanted to know how much is in Stage -1 not entirely that way, but how much is in Stage -1 of the restructured if we have that number handy?

Girish Kousgi: We can come back to you on that. So, as I mentioned earlier because now Morat and restructuring is behind us. Now, whatever we are seeing is the result of both moratorium and restructuring. So, whatever NPA pool we see in either retail or corporate is post moratorium and restructuring so we can get back to you on specific numbers.

Moderator : Thank you. We have a next question from the line of Pratik Chheda from Guardian Capital Partners. Please go ahead.

Pratik Chheda : So, in the opening comments you mentioned that there has been a control on the run out and pre-closures, what has been change in strategy here I mean what has been the key difference that led to this lower BT out and if you can also quantify what is the BT out percentage maybe a year back s

ame quarter year back and what is it today?

Girish Kousgi: What I was saying was I think our overall run off in a month was close to about 1,000 crores.

So, that 1,000 crores we are able to control it to less than 800 crores so that we were effectively able to manage which means this is largely coming out of BT out and also for closure and part closure. This also includes normal run off.

Pratik Chheda : So, in terms of percentage if we just have to step out the BT out and for closure not the normal run off how much would that be a year back?

Girish Kousgi: It has come down drastically. Of course, even though these are early days but we have seen very good traction in last couple of months and we hope that this trend will continue and there is scope for another 50 odd crores to come down.

Pratik Chheda : So, my second question is on the margins hit I would like to know what was our yield rate on affordable piece and when we say that we are going to get incremental business of around 25% from the affordable segment that is I am assuming it will be slightly better yield even much more better yield and on the other hand we are seeing that there is a 50 bps, 60 bps compression

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coming in the margins, so this is slightly counter intuitive, what is going to really contribute majority which is the major segment which you are going to contribute to the normalization in margins, is it when I say growth plan which we might offer in terms of trying to grow maybe little bit more faster?

Girish Kousgi: See affordable book would definitely be able to generate a higher yield vis-a-vis compared to prime so that in that sense definitely you are right. All I am saying is that we have seen some fluctuations in the past and it may continue for next few quarters and therefore as in the long if you talk about next three to four quarters I think NIM and spread there would not be too much of variance from what we are seeing it now I am talking about long term steady state. So, obviously affordable is going to come at a higher yield compared to prime.

Moderator : Thank you. We have a next question from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : What are the incremental yields on affordable housing segment and the prime home loan segment which we have got in Q3 or we are getting in the month of January?

Girish Kousgi: Basically, what yield we are seeing now is largely from prime and affordable is going to be at least about 125 to 150 high.

Nidhesh Jain : What are the prime yields if you can share that level what is the yields in absolute percentage?

Girish Kousgi: So, it will be prime housing is about 9.00% and affordable will be in the range of 11%-12.00%.

Nidhesh Jain : And secondly just one off that we are getting from our assignment income so I understand it is because of MCLR rate changes which led to this one-off, so as interest rate stabilizes then one off will not recur next year probably, is that the right understanding?

Girish Kousgi: Yes, absolutely you are right because now we have seen that interest rate has almost peaked out and therefore this one off whether on the negative side or positive side I think would not probably happen in the next few quarters to come.

Nidhesh Jain : And sir it is a function of we changing our interest rate to the customer or it is function of banks changing their MCLR which write this one off?

Girish Kousgi: It is linked to the bank base rate.

Nidhesh Jain : And lastly on the operating expenses we have added almost 80 odd branches on affordable segment, but if you look at employee expense or non-employee expense we have not growth in fact employee expense have declined sequentially, so is there any one off in the employee expense or what should be the quarterly OPEX that we should build in going forward?

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Girish Kousgi: On the affordable I think most of the OPEX is already built in because all this is spent during the financial year. So, in terms of OPEX I think there is no major one off and therefore going forward we will see only a marginal increase in the OPEX not a significant increase.

Moderator : Thank you. We have our next question from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Just trying to understand little bit on the arrangement that you have on the assignment that you did, so is the rate fully pass through whatever the changes that bank will make or is it something that your cost of assignment from the bank will be linked to their MCLR what you are charging to the customers?

Deepika Gupta Padhi: In most of our cases it is linked with the MCLR of the respective financial institution. So, whenever there is a change in the MCLR of those financial institutions and accordingly it is passed on. So, if I have changed let us say the rate by 50 basis point however the MCLR changes by 20 basis points the pass on will be 20 basis point.

Nischint Chawathe: So, you will end up kind of having a positive or a negative impact to that extent?

Deepika Gupta Padhi: Yes and that is how this assignment income which comes in our P&L.

Nischint Chawathe : Just again when I am looking at the yield on loans and that has kind of gone up by almost around 200 odd basis point over the last two quarters I am sorry around more than 200 basis points of the last two quarters, so is it something that it is just to do with the fact that you have raised the benchmark rate or is there kind of higher increase in the incremental loans or anything on that cost?

Deepika Gupta Padhi: It is a function of both. So, if we see our yield excluding this securitization in Q3 FY23 it is 10.83 % there is an increase of 90 basis point and as MD has mentioned earlier that this is primarily on account of the increase in the rates by the company.

Nischint Chawathe : And so, will be the case between Q1 and Q2?

Deepika Gupta Padhi: Yes.

Nischint Chawathe : And this is the entire benchmark going up right?

Girish Kousgi: Yes.

Nischint Chawathe : And just one last question I know we touched upon it, but to understand the entire COVID restructured loans of INR 2,037 crores , these would be Stage -2 or 1 depending on I think the dpd of the loans

Girish Kousgi: Yes.

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Nischint Chawathe : And you probably shared the breakup offline in terms of how much stage one-off ratio?

Deepika Gupta Padhi: Sure.

Moderator : Thank you. We have our next question from the line of Akash Sethia from Elin. Please go ahead.

Akash Sethia : So, my questions have already been answered earlier so I am just going to step back into the queue.

Moderator : Thank you. We have a next question from the line of Sandeep Joshi from Unifi Capital. Please go ahead.

Sandeep Joshi : The question is actually related to corporate book closure, sir since you have completed about 3 months in the organization you would have actually spent a good amount of time to go through all lumpy exposures, so you can you give a sense on the performance of corporate books in terms of do you expect any lumpy slippages near term or do you believe all stressed assets are already recognized and you do not expect any incremental repeated in the book?

Girish Kousgi: So, I have seen the entire portfolio at a close detail so I think we are adequately provided. All the accounts which are in Stage -1, very closely I have seen and I do not expect any slippages in next few quarters as of now we do not see any slippages and we are also looking at some resolution, only thing is the timeline for resolution might take some time and if we look at the entire NPA pool as well so there are close to 50% of the NPA pool where we

see very good

traction on the resolution and therefore I do not see any slippages happening in the next few quarters.

Sandeep Joshi : And sir how the Stage -2 will be performing I mean are there any sticky lumpiness over there or the book is churning?

Girish Kousgi: Stage -2 is 0, we do not have any case in Stage -2.

Sandeep Joshi : With all retail in Stage -2?

Girish Kousgi: Yes exactly.

Sandeep Joshi : Second question is on the income on assigned domains I mean you just answered to the earlier participants that how the math works, so I just want to check so from next quarter onwards there will be no such income or do you think some part of it is going to be passed on by the other financial institution and that effect will come in next quarter?

Girish Kousgi: Basically, if we get triggered off with change in repo. So, if there is no change in the repo or if the interest market condition if there is no change I think there would not be any impact.

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Sandeep Joshi : So, whatever repo rate hikes have already been happened and the rate which was improved by the financial institution that has been passed completed till now or some part is pending?

Girish Kousgi: It is passed on completely.

Sandeep Joshi : So, if there is no repo rate hike there will be zero income in next quarter?

Girish Kousgi: There would not be any fluctuation because I think the trigger is change in repo.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to management for closing comments.

Deepika Gupta Padhi: Thank you everyone for joining us on the call. If you have any questions unanswered please feel free to get in touch with investor relations. The transcript of this call as well as the audio will be uploaded on our website which is www.pnbhousing.com . Thank you very much.

Moderator: Thank you. On behalf of PNB Housing Finance Limited, concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

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CIN: L65922DL1988PLC033856

Internal

Ref: PNBHFL/SE/EQ/FY24/ 22

Date: May 23, 2023

The BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173 National Stock Exchange of India Limited,
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on May 18 , 2023

In continuation of our letter dated May 18, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript in respect to the earnings call held on May 18 , 2023 on Audited Financial Results (Standalone and Consolidated) of the Company for the Quarter and Financial Year ended March 31, 2023 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

This is for your information and records.

Thanking You,

For PNB Housing Finance Limited

Sanjay Jain
Company Secretary & Head Compliance
Membership No. F2642
Enclosed: As above

MANAGEMENT SPEAKERS:

MR. GIRISH KOUSGI MD & CEO

MR. VINAY GUPTA CFO

MR. NEERAJ MANCHANDA CHIEF RISK OFFICER

MS. DEEPIKA GUPTA PADHI HEAD INVESTOR RELATIONS & TREASURY

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Public Moderator: Ladies and gentlemen, good day, and welcome to the Q 4 & FY'22 -23 Earnings Conference Call of PNB Housing Finance Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi – Head of Investor Relations and Treasury. Thank you, and over to you.

Deepika Gupta Padhi: Thank you Faizan. Good evening and welcome everyone. We are here to discuss PNB Housing Finance Q 4 & FY'22 -23 Results. You must have seen our business and financial numbers in the Presentation and the Press Release shared with the Indian Stock Exchanges and also available on our website.

With me , we have our entire management team across verticals, led by Mr. Girish Kousgi – our Managing Director & CEO of PNB Housing Finance.

We will begin this call with the "Performance Update " by the M D and CEO along with the financial performance by our CFO – Mr. Vinay Gupta followed by an Interactive Q&A Session. Please note, this call may contain forward -looking statements, which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. A detailed disclaimer is on Slide # 29 of the Investor Presentation.

With that, I will now hand over the call to Mr. Girish Kousgi. Over to you, sir.

Girish Kousgi: Good evening to all the investors . Happy to share we had an eventful Quarter 4 and the whole year was pretty good compared to last year. Broadly, I'll be covering on the growth , especially on the Prime , then asset quality on the Retail side, Corporate book and performance both on A) in terms of resolution and B) also in terms of GNP A and net NPA, capital raise and Affordable business which we have started recently.

In terms of growth, very clearly there was a growth in Retail side on both disbursements and book. If you look at disbursements over the last year, we have grown by 36% on the Retail side and book growth was 10%. So , Q4 FY23 disbursement was all -time high in the last 14 quarters. On the G NPA side, if you have to look at the last quarter , the GNPA on Retail was 2.86 % as on Q3FY23 and as of Q4 FY23 it is 2.57 %. Net NPA was 1.96% last quarter and Q4 FY23 was 1.74%. So, very clearly we can see that growth is back . Disbursement even sequentially there

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Public was a growth of about 33% that is Q4FY23 over Q3FY23 . And sequential book growth is 4.4% on Retail. So, very clearly growth is back both on disbursements and book and also in terms of asset quality, both GNPA and net NPA has come down.

We had one of the best quarters for delinquency in the last 14 quarters. So , it was all time best in the last 14 quarters for both business as well as asset quality.

If we have to look at the Corporate side, as I had indicated earlier, we are degrowing the book .

We are working on a resolution . There has been a significant resolution what you have done in the last few quarters and if you look at the book as of Q4 end, it is around Rs. 3800 crore . The same number last year was Rs.7,375 crore , so the book has degraded by 48.5% . In terms of sequentially , the book has degraded by 23% and that was as per our plan . In terms of NPA, last year

the NPA was Rs.2,738 crores and this year Rs.846 crores so there have been a 69 % drop in GNPA and compared to 31st December 2023, GNPA was Rs.1,307 crores and now it is Rs.846 crores. In terms of percentage , it looks high, which is at 22.25% GNPA and net NPA is 18.24 % , but this Rs.846 crores is only two accounts and out of Rs.846 crores there is a one account which accounts to 92% of GNPA . This account is backed by one of the leading developers. To that extent, more or less GNPA side we are sorted . We are still working on a resolution . If you look at the overall book , disbursement had grown by 33% yoy and book growth was 2.4% yoy in FY23 , this is both Corporate and Retail put together .

As you are aware , we have been talking about moving to the Prime segment . Earlier , we were focusing on Super Prime so now we have shifted and we have changed the segment, so therefore there will be lift in yield which will improve the profitability and our focus has been to have a n ideal mix of more skewed towards Salaried then self-employed . The ideal mix is 70 :30, so we see there has been a lot of traction in terms of moving towards sourcing more Salaried . In terms of Product , our focus is going to be more on Home vis-à-vis compared to non-Home . So, incrementally we are trying to get this mix so it will take some time . Eventually , we would want to get there where a focus on Home is more . So, in the mix we'll be skewed more towards Home vis-à-vis compared to non-Home . In terms of profile, more salaried compared to self - employed and self -employed - non-professional.

We started Affordable business in Q4FY23 . We did about Rs.137 crores of disbursement. It was just the start so I think it will gain traction from this quarter onwards. We have 82 branches, which are now completely operational . These are dedicated Affordable branches and we will see a good contribution coming in from Affordable in the overall Retail segment.

As you are aware, we were able to raise capital recently to the tune of Rs.2,494 crores. Now this capital will be used for growth. Basically , this is growth capital.

I'm sure you have seen the numbers. I would request Vinay to take you through the "Financial Performance " and then we can get into the Q&A.

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Public Vinay Gupta: Good evening all. I will cover the "Financial Performance " for the quarter and full year ended FY22-23.

First of all, with respect to Q4 FY23 :

Overall that PAT that was delivered is Rs.279 crores, which is a growth of 65% year-on-year and 4% on a quarter -on-quarter basis. Net interest income improved 57% year-on-year, though there is a decline of 19% quarter -on-quarter . However, there was a one -off in Q3 under the securitization income due to margin true -up on account of increase in yield. Excluding that NII declined by 6% quarter -on-quarter .

Pre-provision operating profit improved 32% year-on-year and operating expenditure increased 23% year-on-year. The spread on loans as of Q4 is 2.65% , there is a decline on a sequential basis , however , again there was one -off under the securitization in Q3 . Excluding that it is more or less comparable from what we have seen in Q3.

The company has also increased its lending rates by 30 basis points at the end of March, the impact of that will come in the first quarter of next financial year, which will help us in offsetting some of this decline. NIM stood at 3.74% and gross margin stood at 3.83% for the quarter. Similarly, on a full -year basis, we have delivered a PAT of Rs 1,046 crores versus Rs.836 crores in the same period last year. This is a 25% growth year-on-year. On a full year basis, the spread on loans is 2.8 % , NIM is 3.7 % , gross margin is 4.1 % and ROA is 1.6%.

The leverage that we have closed as of March '23 is 4.9 x and our ROE is 9.98 % as compared to 8.

9% in FY 22.

This is the brief on the Financial Performance . Now we open it up for the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Samip Bhansali from Tata Mutual Fund. Please go ahead.

Samip Bhansali: Yes, I would like to know what is the status on the restructured book as on March '23 and how much is the provision that we are holding against the restructured book?

Neeraj Manchanda: As on 31st March 2023, we are having a restructured book of Rs.1,870 crore. And we are carrying the provision of around 12 % to 13% in our book.

Samip Bhansali: These are primarily your wholesale assets, right?

Neeraj Manchanda: No. These are COVID restructured retail accounts and many of those accounts have already

started making the payment, they've gone back to the paying stream.
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Public Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shri Investments. Please go ahead.

Onkar Ghugardare : With the capital raise just finished , where are the growth opportunities you are seeing and how you will be deploying that capital?

Girish Kousgi: So, basically, capital what we have raised is for growth , we see a lot of opportunity both on Prime and Affordable . Prime is business what we've been doing for a long time and in Prime what you have done because of 2 -3 reasons we want to move segment – One is from Super Prime to Prime . That is because we used to have a lot of stress in terms of customer attrition. Therefore, we are now in the process of moving from Super Prime to Prime and in Prime we see a lot of opportunity not just in terms of growth , but also in terms of building book at a higher yield number one. Number 2, we have just started Affordable Housing so there we see a lot of opportunities which will help us to build book at a much higher yield than Prime . So, the yield what we are looking at Affordable is about (12%+) and on Prime the average yield is about (10%+), so there there's a very clear difference of about 2% between Prime and Affordable . We see opportunity in both . In terms of geography , we see very good opportunity in the South both for Prime and Affordable and certain markets in the North and whole of West. So, in terms of geography, in terms of segments, and in terms of products, we see a great opportunity. And today, if you see probably PNB Housing is the only Company which has two different verticals – one for Prime and one for Affordable . So, we have dedicated branches for these two – Prime and Affordable dedicated team and the customer segmentation is different. So, we see a lot of opportunity and this capital will be used for growing business.

Onkar Ghugardare : I was asking about what kind of what kind of disbursement growth you are looking out for say next 2 -3 years since you have recently ventured into Affordable as well and another thing is on ROE and ROA front, what's your target on this one ? Thank you.

Girish Kousgi: So, in terms of disbursement growth , we are looking at about (22%+). This is at a consolidated basis, both Prime and Affordable put together . On Affordable , the growth will be higher because of the smaller base, but I think overall on Retail , we will be able to grow at about (22%+) on disbursement for the next 2 to 3 years ' time and on book, we will be able to grow at about 17 % odd.

Vinay Gupta: And on the ROA front, as you can see, we have improved returns from 1.2% last year to 1.7% in Q4 annualized . So, we are working on improving it further and we are hopeful with the mix of Affordable coming in, we should be comparable to any other good Affordable Finance Company .

Onkar Ghugardare : And we can expect the gearing to remain here, right?

Vinay Gupta: Gearing currently is at 4.9 x, but with the

capital coming in there would be some pressure on gearing. Obviously it will improve with the capital coming in, but we have plans for a better utilization over the next two to three years.

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Public Girish Kousgi: So, typically if you look at any Housing Finance Company be it on Prime or on the Affordable side, the acceptable leverage is around 7.5x to 8x, but for us we will be pretty comfortable around 6x. Post-capital raise we will be at 4 x, but we would have scope. So, we are comfortable around 6x.

Onkar Ghugardare : And on a consolidated basis, the disbursement growth you mentioned is around 17%, right?

Girish Kousgi: Disbursement will be (22%+). Book growth will be 17%.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Two questions from my side. So, one on the yields, even if you look at the yields adjusted for one-off securitization in Q3, it has actually fallen by almost 20 basis points sequentially. So, I was just wondering when we look at the industry trend, it is generally improving and it was quite surprising for us it is declining. So, what is happening on the yield side Sir in Q4?

Girish Kousgi: So, if you look at the yields, we have passed on the higher rates to the customers end of Quarter 4 and also the beginning of Quarter 1 this year. So, this of course in terms of increase in interest rate, but as I mentioned, we are changing segment and there we will see an upside of yield, which will be at least 0.8% higher than the Super Prime . So, which means that we will be able to maintain yield on Prime side at around (10%+) and an Affordable 12%. So, if we compare it with Quarter 3 , of course, yes , there has been a slight drop in yield but I think this is something which will get corrected from this quarter onwards .

Renish: So, basically I just wanted to understand what is led to this 20 -basis point of reduction. It was

the book mix in Q4 which doesn't look like because the Retail has gone up, right, so. I was just wondering; it is just because the book mix change is leading to this reduction or is there any write-off, interest reversal or something else to that?

Vinay Gupta: Yes, some part is related to book mix because the composition of Retail is going up as compared to Corporate so that is adjusting to some extent the yield. There was also a securitization true-up which came which is on account of repricing that happens. So, the future cash flows get adjusted so there is marginal impact on the securitization also. But our core interest income is almost flat quarter-on-quarter.

Girish Kousgi: And even if you look at the cost of borrowing, it went up compared to Quarter 3, which was 7.55%, it went up to 7.76%, so the impact is that we have passed on the benefit end of Quarter 4 and beginning of Quarter 1 of this year. And even the cost of borrowing went up, and the mix within the overall book also changed, and it was more of Retail and less of our Corporate and therefore that had an impact on the yield. But now, today, if you look at the entire composition, 94% of the book is Retail and this benefit of interest rate increase twice in the last few weeks will give us that upside from this quarter onwards.

Moderator: Thank you. The next question is from the line of Rajesh from K Securities. Please go ahead.

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Public Rajesh: Yes, I wanted to understand in the Investor Presentation, Slide #10, you have mentioned that there is a Rs.1,500 crore that is write-off and resolution, what is the actual write-off here and what is the resolution over here?

Vinay Gupta: That split we have not shared. It has been a mix of both resolution and the write-off that we have done during the year. This is what we have shared on the page as well.

Rajesh: So, going forward, how much will we be disbursing in the Corporate? Will we not be growing the Corporate book at all or we will be growing a little bit over there, what would be an ideal Retail versus Wholesale going forward?

Girish Kousgi: So, I think, to de-grow Corporate book was a decision which we had taken because we wanted to resolve GNPA, bring it down to comfortable levels before we could restart so this was by design and therefore you will see Corporate book going down since last few quarters. Now if you look at last year and this year, the Corporate book has gone down by about 48% to 49%. Now, the GNPA has come down and still we have about Rs.846 crores in terms of absolute number. Probably sometime this year we may restart a Corporate business, but we will restart in a small way focused on certain locations, specific builders, specific projects, and smaller ticket size. The idea of starting Corporate is to A) ensure that we are in this business which will also help us in terms of Retail penetration. So, we would not do standalone Corporate business. So, whatever business we do that will be linked to Retail penetration and in terms of mix, our Corporate book at any given point in time would not exceed 10% of overall book.

Rajesh: One last question from my side, if you look at the NPAs on the Retail side, we are still not as good as most of the competition. So, how are we going to address it, number one? What is an ideal NPA ratios for the Retail book going forward?

Girish Kousgi: So, if you look at a couple of challenges, what we had a few quarters back was also on the Retail asset quality. So, now we've got a good fix on that. Now if you see for the last two quarters, our recoveries are more than flow. So, this trend will continue and GNPA will keep coming down. Probably 4 to 6 quarters from now, we would be comparable with some of the best Housing Finance Companies in the industry in terms of Retail NPA. And that's what I was mentioning that Quarter 3 was very good for us in terms of asset quality on the Retail side and Quarter 4 was one of the best in the last 14 quarters.

Rajesh: What's the comfortable NPA ratio that we will be maintaining? Can you guide in terms of what kind of NPA will be comfortable and how will we achieve that in the next two to four quarters?

Girish Kousgi: Any enterprise given the mix of Corporate, Affordable, and Prime, I think anywhere between 1.25% to 1.35% should be the ideal GNPA level.

Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

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Public Vivek Ramakrishnan: I just wanted to know strategically between the Prime and the Super Prime segment, what is the customer difference that you see, that's question number one. And then in terms of what kind of credit cost differences would you see between the 2 segments because you're getting an 80 bps higher yield and then to grow your businesses, would you especially because you have thrust on Affordable Housing is just taking off, would you need more OPEX going forward? Those are my questions, Sir.

Girish Kousgi: So, if you look at Super Prime and Primes, let's say set of institutions, which would focus on CAT -A developer projects for Retail funding and CAT -A corporates were funding to their employees that is basically Super Prime. So, in Prime, what we focus is CAT -B and CAT -C developers for Retail funding and CAT -B and CAT -C employer - employees for lending. So, basically here we have an upside in terms of yield which is 75 to 80 bps. This also would include large chunk from the government sector, be it Central or State Government. In terms of GNPA, the difference between Super Prime and Prime is not significant. It's only about 10 to 15 bps is the difference what we have

seen in the industry till now and therefore not much of a difference in the portfolio quality. The idea of getting into Prime is that A) we would be able to grow faster. B) We would be able to build book at a higher yield. C) Customers would stay for a longer time. So, the loan on the book is going to be for a longer time and that could be beneficial in terms of customer retention and growth of the book.

Vivek Ramakrishnan: So, the other question on operating expenses of this, what do you see the opex -to-income ratio?

Vinay Gupta: Opex-to-ATA right now is around 0.8%. It has been consistently at around 0.7% to 0.8%. Most of the investment related to the Affordable segment has been done in the current financial year.

So, infra, people, all that investment is done so this seems to be sustainable. While there would be some investment that we need for IT and ramp up of Roshni or Affordable after few quarters.

Girish Kousgi: And just to add on the difference between Super Prime and Prime in Prime, the ticket size would be lower and therefore these customers are not that rate sensitive and therefore they tend to stay on book for a longer time.

Moderator: The next question is from the line of Ashwini Agarwal from Demeter Advisors. Please go ahead.

Ashwini Agarwal: A couple of questions from my side. One is this additional capital, what does that do to your credit rating and potentially to your borrowing costs and the other thing is that if you look at the higher equity and therefore lower gearing, what do you think would be the Fiscal '24 delivered ROA and especially the ROE given higher equity so these are my two questions.

Girish Kousgi: If you look at the last couple of quarter performance, I think very clearly it is evident that there is a significant improvement in growth, significant improvement on the asset quality and this is also true in terms of Corporate book in terms of GNPA. With a capital raise it will definitely help us and we have been engaging with the rating agencies and also bankers. This will have multiple positive impact. One is A) because of performance, on business, on the asset quality, pre-capital raise. So, we are engaging with rating agencies. So, this should positively have a PNB Housing Finance Limited

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Public relook in terms of possible upgrade. So, we are engaging with the agencies on this front. Not just this, we would also have access for cheaper funds from the National Housing Bank since our GNPA and net NP A has come down drastically over the last one year. 3) In terms of borrowing from the bank, because of all these things we will be able to raise funds at a much lower rate. All put together, our cost of funds would come down. In terms of ROA, in the mid-term, we are very sure that we'll be able to cross 2%.

Ashwini Agarwal: And return on equity, Sir.

Vinay Gupta: So, similarly, there would be some pressure on the ROE with the new capital coming in but with the improvement in ROA, we are sure that we'll be able to sustain the current ROE.

Ashwini Agarwal: One more question, I mean on the spread side, I'm still at a loss as to why these spreads should have contracted because your book mix is more or less the same between Q3 and Q4. It was 92% and now the Retail is 94% so it's not much of a difference, and the decline in the Corporate book appears to be from a non performing account. So, there you couldn't have been accruing income anyway. So, I am not quite sure as to why your next year spreads have declined in Q4 over Q3. Is there something that we are missing?

Vinay Gupta: So, on the spreads I mean there is some impact. Yes you rightly said the impact is not very material with respect to mix change. The other impact is primarily on account of securitized book. So, there is some repricing and there is some run off which happens on

the securitized

book and that is slightly uneven this quarter there was a higher impact of repricing. So, on the future cash flow repricing has to be upfronted. So, that led to some impact of 10 bps- 15 bps over there. So, this is an overall impact of around 20 bps.

Ashwini Agarwal: So, the securitized book also gets mark -to-market is it?

Vinay Gupta: Securitized book does not get mark -to-market, but you have to take into account the impact of repricing and any prepayment s that happens on our securitize book. So, that has to be true up every quarter. So, there is some minor impact or volatility in that particular part which happens on a quarter -on-quarter basis, but on a core yield we are able to sustain the similar kind of yield subject to this minor mix impact that has come on account of Retail and Corporate.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : Couple of questions firstly can you share the quantum of disbursement in the Affordable segment then what are the average yields that we are having in that book?

Girish Kousgi : So, actually we just started Affordable business in Quarter 4 so we just started. So, we will start seeing meaningful numbers from this quarter, but just to quote a number we did Rs.137 crores in Quarter 4 and from this quarter onwards now you will see good scale up on Affordable.

Nidhesh : And what are the yields that we are charging on the segment?

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Public Girish Kousgi : It is about 11.5 % - 11.6%.

Nidhesh : Secondly, can you also quantify the improvement in cost of funds that we are likely to see after this capital raise then credit rating improving and availability of funding as you mentioned that from NH B and other sources will also improve, so can you quantify what sort of improvements we can see in cost of funds over FY24?

Girish Kousgi : Today , if you look at the cost of funds of a company which has got all the advantages that vis-a-vis let us say PNB housing in terms of cost the difference is close to about let us say 90 to 100 bps. So, we will be able to cover over a period of time close to 40 to 50 bps out of that. So, we see over a period of time with performance improving quarter-on-quarter with capital raise , with possible upgrade in rating and also access to fund cheaper funds we see that the cost could come down by 40 to 50 bps .

Nidhesh : And lastly on the on the credit cost front given that we have decent right of pool on the Corporate side, Corporate NPA are still slightly on the higher side and we expect resolution to play out in FY24, so do we in the situation where we may have very negligible or negative credit cost given that recoveries may plan out from these pools going into next one year?

Girish Kousgi : So, on the Corporate NPA it has only two accounts. In NPA, we have only two 846 crores is only two accounts and out of two one accounts to about 92% of the overall NPA and I mean the other account we have resolution in place and this one account which is 92% of total NPA is this project is backed by a leading developer. So, we do not see much of a challenge in terms of resolutions and credit cost for this year what we had guided that is 0.6% is largely on the Retail side.

Nidhesh : But sir do you see like the possibility like the credit cost can be negligible because as we see resolution from these two accounts and some of the written off accounts also in the Corporate side may see some resolution?

Girish Kousgi : Yes it is possible.

Nidhesh : And any timeline you see when this resolution can play out?

Girish Kousgi : This year we are planning for good amount of resolution would not be able to confirm any percentage, but definitely yes whatever credit cost we have considered for this year is largely on Retail and

and whatever write back you are going to get from Corporate that is something which we are very closely working and we have seen some resolution happening in last couple of quarters.

So, this year is going to be very good in terms of resolution and even from the write-off pool .

Nidhesh : The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Sir, just want to understand I mean we kind of addressed this a couple of times in this call itself that we will be utilizing the capital for growth, just wanted to re-clarify now that you have spent

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Public maybe close to more than six months at PNB housing I mean there is nothing really on the asset quality front in Retail that you want to utilize this capital for , Corporate very clearly what you have highlighted just two accounts there. The other user have been written off or sold to ARC so Corporate what you guided two accounts that are there you are expecting resolutions in FY 24 and at the same time also stated there could be recoveries from the written off Corporate accounts, but on the Retail front I mean where do you think some of these capital can be utilized for cleaning up the Retail asset quality?

Girish Kousgi : If you look at Retail there has been a good story in the last two quarters and some of the things which I mentioned last time is that now we are now pretty aggressive on legal. So, all those efforts will start playing out in Quarter 1 and Quarter 2 and which is what I even mentioned especially on the Retail side maybe in for four to six quarters time we should be comparable with some of the best companies in terms of asset quality. The last two quarters there has been a very good story. The slippages in Quarter 3 was down by 25% and in Quarter 4 as I mentioned this quarter is the best ever in the last 14 quarters. So, it is a very good story on the Retail side and every quarter you will see GNP A coming down because our recoveries are going to be more than slippages. This capital is very clearly for growth which is why we have guided credit cost of 0.6% and that is only for Retail and this capital is very clearly for growth because we have

started Affordable and business opportunity is quite large in the segment and even there is lot of scope in terms of Prime if you look at the lift in disbursement in last two quarters it is very evident that very clearly growth is back and within two quarters if you see I think the cover up on the Retail side book growth is close to about 8% and we have guided 17% book growth from this year onwards. So, very clearly there is a need for us to grow and the market is quite large and therefore this capital is going to help us for growth.

Abhijit Tibrewal : So, given that you now successfully completed this capital raise one thing I wanted to understand is if there is a credit rating upgrade will that help us in start tapping the debt markets again and the other thing is during this call itself you highlighted that we selectively start doing the Corporate book again and will be primarily done to for Retail penetration so I mean on one side we compare ourselves or we at least aspire to be like one of the best or among the best HFCs, but if I look at I mean most of the HFCs today I mean none of them really have been very, very successful on the Corporate side so why not stick to Retail because there is enough and more opportunities in Retail I mean is doing Corporate really kind of a mandatory for growing the Retail book as well?

Girish Kousgi : So, I think it is a very good point. So, our focus is on Retail and if you see today 94% of the book is Retail. So, our focus will be on Retail. Now having said that there is some opportunity on the Corporate side as well, but we will do Corporate business strate

gically which can help us

to increase our Retail business. So, which is why I told we would do Corporate the select developers in select markets which you may restart end of this year which would help us to increase our Retail penetration and also in terms of concentration in terms of mix our Corporate book will always be in single digit. So, we would not do Corporate business as a standalone business from profitability point of view, it will be only to help us to grow our Retail book.

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Public Abhijit Tibrewal : The question that I asked on whether I mean it opens up opportunities to raise money from debt markets now?

Girish Kousgi : Definitely yes. So, we would have an opportunity in the debt market. So, we will raise debt because we are to raise debt even regulatory also whatever incremental borrowings are going to need 25% has to come in the way of NCD. So, we will raise and this capital raise and good performance since the last couple of quarters would help us in terms of raising debt at a much lower rate.

Moderator : Thank you. The next question is from the line of Subramanian Iyer from Morgan Stanley. Please go ahead.

Subramanian Iyer : I had data keeping question if you could please share the list of the restructured book into Stage - one, two and three?

Neeraj Manchanda: So, as I told you on the Retail side we have got an Rs.1,870 odd crore restructure for Retail out of that around Rs.300 crore is into the (90+) otherwise it is all standard.

Subramanian Iyer : And how would the performance of this book be I mean would this be predominantly zero DPD or if you could just share some color on the performer?

Neeraj Manchanda: It has already been a COVID restructured loan and COVID has gone by and now it has been more than two years and many of the accounts have come back to the repayment stream and all the assets are backed by security coverage which is also good. So, there is no additional stress which we are envisaging in this book and I think it has been reached to a Stage -where we can say that all the risk which was built up to the COVID has been settled and normalized. So, from the zero DPD or 1 to 30 DPD, we do not see any significant risk arising from that book.

Girish Kousgi : So, after COVID and restructuring whatever the impact of COVID and restructure is already seen in our NPA. So, the impact has already happened and this is not now I think over a year back and now what we are seeing is more and more of resolution and which is why we have seen very good resolution coming in last two quarters and this will continue. So, absolutely there is no stress what we see. In fact, now the entire pool is the same for us. So, whether it is a normal flow from standard to Stage -3 or a restructured pool flow to Stage -3 we do not see any difference, because now whatever had to happen has already happened and now what we see is only resolution from the NPA pool.

Subramanian Iyer : And if you could also give the potential split of the Retail disbursement in FY23 into Prime, Super Prime and Affordable I probably missed the number when you gave it?

Girish Kousgi : No, I think Super Prime was not that significant. So, now over the last two quarters we have moved the needle and now we are focusing more on Prime. So, in terms of percentage, now Super Prime is very, very less. Affordable last quarter we discussed disbursed Rs.137 crores.

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Public Subramanian Iyer : So, in the coming year can we expect maybe something like an 80 -20 between Prime and

Affordable or how will these numbers look like?

Girish Kousgi : See incrementally if you look at Affordable eventually we want Affordable to contribute 2 5% of incremental disbursement, but this year we will be able to reach about 10% to 11%

Moderator : The next question is from the line of Venkatesh Ramakrishnan from ICICI Bank. Please go ahead.

Venkatesh Ramakrishnan : I just wanted an input on your opex ratio is about 0.8% generally we have seen that the housing finance and other companies the peer group generally it is 2.8 % to 4% or 5% we see that your opex is relatively low just that is there any specific reason how you are able to manage large book at a low opex ?

Girish Kousgi : Actually, we want to further bring down opex . So, I think it is good feedback, but yes we are working on cost optimization. We want to bring down opex from this level to the extent possible. We take your feedback, but yes our endeavor is to bring down from the current level as well.

Moderator : Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : What was the incremental cost of funding for the quarter?

Vinay Gupta : Average Cost of Borrowing for the Q4 FY23 is around 7.75% and the incremental cost of borrowing is around 8.05%.

Nischint Chawathe : Sorry the incremental that you would have done or the repricing that would have happened would be at what rate did you say that that 8 % because I am just saying that the incremental that you did?

Vinay Gupta : 8%-8.1%.

Moderator : Thank you. The next question is from the line of Renish from ICICI . Please go ahead.

Renish : So, on the coverage side this quarter we saw the drop in coverage so in a steady state this is where do you see the coverage issue settling?

Vinay Gupta : Coverage as Mr. Girish explained it was primarily on account of Corporate . So, there we are only left with two accounts where also the resolution is in progress. So, on Retail our coverage is around 32% and it has been consistently at that level and we would like to maintain it at that particular levels.

Renish : And sir once again circling back to the yield question so you did highlighted that the repricing on the securitization book as like 15-20 basis point or maybe 10 -15 basis point of yield

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Public compression this quarter, but generally a rising rate scenario your securitized pool will get repriced at a higher rate, so how does it impact negatively on the yield side ?

Vinay Gupta : So, actually in this quarter you would have seen the MCLR increase was quite high as compared to the previous quarter. So, most of the banks have increased MCLR during Jan, Feb, March months. So, the increase in MCLR was significantly higher than the increase that we see on the rate reset that we do. So, the net impact was negative in this quarter that has led to this.

Renish : So, it is basically the cost of borrowing for your securitization pool has gone up which has led to the yield compression on our book, is that correct understanding?

Deepika Gupta Padhi : It is basically Renish the spread which we generate on the securitized pool has come down because we have not increased the rate as such in this quarter whereas the MCLR rates have gone up substantially and hence the spread on which we which we generate has come down resulting into this .

Renish : So, should we consider this as one-off?

Vinay Gupta : See there are two reasons. One is obviously the compression or decrease in the spread. So, that is already called out as a one-off in our entire presentation. The second impact is repricing you know which happens for the ...

Renish : Should we consider as one-off in this Q4?

Vinay Gupta : Repricing is not one -off repricing will continue I mean that is something which will keep happening and that is why we have not carved it out as a one-off. You will see that impact every quarter, but it is slightly volatile sometimes the impact is lower, sometimes it is higher . So, there could be a 10 to 15 bps impact on account of that.

at.

Moderator : Thank you. The next question is from the line of Ashwini Agarwal from Demeter Advisors. Please go ahead.

Ashwini Agarwal : You mentioned strategic growth plan do you have anything else in mind other than Affordable housing when you mention the word strategic?

Girish Kousgi : No, I mentioned that we will be growing both in Prime and Affordable business. So, this capital will help us to grow at a much faster pace because the market offers that kind of opportunity today. So, we will be growing pretty aggressively keeping of course asset quality in mind. You know on both Prime and Affordable I mentioned on the Corporate business we would do

strategically just to help us in terms of Retail growth.

Ashwini Agarwal : No, I was referring to slide 3 where you said that proceeds would be utilized to fund strategic growth plan and I was wondering are you hinting at some inorganic?

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Public Girish Kousgi : The same growth in Retail both Prime and Affordable.

Moderator : Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Just to kind of reconfirm so restructured number that you have shared Retail Rs.1,870 crores and there is no wholesale account which has been restructured at least in one which is under restructuring now in Corporate account which is under restructuring now. So, that is one thing I kind of wanted to confirm, the second thing again on the restructured book for the benefit of everyone is there any Retail account which is still under moratorium or everyone has exited moratorium and resumed repayment and thirdly I mean a couple of days back or rather yesterday, when we had one of the larger HFCs reporting its results they said that they have classified the entire restructured pool in Stage -2, so while you have given out a number of Rs.300 crores is in 90 plus out of this Rs.1,870 crores, just wanted to understand the rest of it I mean all of it is parked in Stage -2 or they are based on the actual DPD some of it could be in Stage -1 and the rest in Stage -2?

Neeraj Manchanda : First of all, these are the Retail restructured numbers under the COVID this thing. In Corporate we have only Rs.108 crore and there is no delinquency nothing we see there. It is performing absolutely fine and perfect. In this Rs.1,800 odd crore number we have told already that Rs.300 odd is NPA and as we already discussed earlier I think whether probably you have missed out it has been made a part of non-normal kind of a business scenario what we have it has already been many, many months this normalization has come back. The allocation of this portfolio in Stage -2 or Stage -1 is actually depending on the performance. So, it is standard as of now and that is all.

Moderator : Thank you. The next question is from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg : Sir, just a few clarifications regarding the yield for Q4. So, firstly want to understand that where do you book this income or reversal from securitization because if I see your slide number 19 so there you have some difference in your reported yield versus yield ex-securitization, but I do not see any line item in your Slide #21 which is P&L which shows some income from the income on derecognize items so just want to understand where do you book this income from securitization?

Vinay Gupta : It is interest income only we have not shown it separately under the P&L line, but it is a separate line which is there.

Bhuvnesh Garg : It is in interest income you book it on?

Vinay Gupta : Yes.

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Public Bhuvnesh Garg : And secondly sir in Slide #19 only so if I look at your yield excluding securitization so it seems to have dropped by 20 b

ps QoQ so excluding securitization, so just want to understand what you like to do?

Vinay Gupta : So, again, this is not excluding securitization it is excluding one-off in securitization which is a spread movement which we have explained MCLR versus our rate change movement. So, that is what we are calling at one-off. Apart from that there are few other movements which happen in securitization on account of repricing of that securitized book. So, that sometimes cause minor volatility sometimes it is positive, sometimes it is negative. So, that impact is around 10 to 15 basis points.

Bhuvnesh Garg : And sir what is our guidance for NIM or spread in FY24 and next two years?

Girish Kousgi : On a steady state spread should be 2.5 % and NIM 3.5 %.

Moderator : Thank you. As there are no further questions from the participants I now hand the conference over to the management for closing comments.

Deepika Gupta Padhi : Thank you everyone for joining us on the call. If you have any questions and unanswered please feel free to get in touch with Investor Relations. The transcript and audio of this call will be uploaded on our website, that is www.pnbhousing.com. Thank you.

Moderator : Ladies and gentlemen, on behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

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Internal

Ref: PNBHFL/SE/EQ/FY24/ 48

Date: July 27 , 2023

The BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173 National Stock Exchange of India Limited,
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on July 24, 2023

In continuation of our letter dated July 24 , 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript in respect to the earnings call held on July 24 , 2023 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the Quarter ended June 30 , 2023 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

This is for your information and records.

Thanking You,

For PNB Housing Finance Limited

Sanjay Jain
Company Secretary & Chief Compliance Officer
Membership No. F2642
Enclosed: As above

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Public

“PNB Housing Finance Limited
Q1 FY '24 Earnings Conference Call”
July 24, 2023

MANAGEMENT SPEAKERS:

MR. GIRISH KOUSGI MD & CEO

MR. VINAY GUPTA CFO

MS. DEEPIKA GUPTA PADHI HEAD INVESTOR RELATIONS & TREASURY

PNB Housing Finance Limited

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Public Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2023 -24 Earnings Conference Call of PNB Housing Finance Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi, Head, Investor Relations and Treasury. Thank you and over to you, ma'am.

Deepika Gupta Padhi: Thank you, Aman. Good evening and welcome everyone. We are here to discuss PNB Housing Finance Q1 FY24 results. You must have seen our business and financial numbers in the presentation and press release shared with the Indian Stock Exchanges and is also available on our website. With me we have our entire management team across verticals sitting over here led by Mr. Girish Kousgi, Managing Director and CEO. We'll begin this call with the performance update by the Managing Director and CEO followed by an interactive Q&A session.

Please note this call may contain forward -looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward-looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statement to reflect future events or circumstances. A detailed disclaimer is on slide 28 of the investor presentation.

With that I will now hand over the call to Mr. Girish Kousgi.

Girish Kousgi: Good afternoon and welcome to all the investors to Quarter 1 Earnings Call . First of all, thank you very much. We completed a rights issue in Quarter 1 to the extent of Rs.2,494 crores and thank you so much for longstanding support to the company. Issue was subscribed 1.21 times. All the four top shareholders, namely PNB, Carlyle, Ar es SSG and General Atlantic, they participated in the rights issue and this apart, I think a lot of institutional investors they

participated .

Proceeds of the rights issue are being utilized for disbursements. Quarter 1 was very , very eventful for us and as a Company we have done well on most of the parameters. On retail disbursements , on a Y -o-Y we have shown a growth of 8%. Market is quite robust. There was a bit of cyclical low aspect in quarter one. But yes, we have been trying to do a lot of things to de-risk the book what we are going to build in future. For example, our focus was more on salaried. Our focus was more on home, our focus was also more on low ticket, you know, size in terms of our incremental disbursements. On a quarter -on-quarter compared to quarter four , there was a drop in disbursement . This is in line with, you know, market trends in the industry. And we saw a lot of traction in affordable space , we were able to grow our disbursement by 66%. In quarter one , we did Rs.228 crores, and the previous quarter was Rs.137 crores. We see a lot of traction, and that was really, really , you know, good for us.

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Public And if you have to look at the log in numbers just to give you a data point, log in numbers on a Y-o-Y grew by 11% and sanction value by 15%.

On the loan book, on the retail side, we were able to grow by 11% and this happens to be the highest ever book growth in the last 15 quarters. Overall loan book grew by 5% on a Y-o-Y basis . Sequentially loan book grew by 2% and retail loan book grew by 3%.

We are on track in terms of our guidance for book growth which is about 17 % to 18 % and disbursement growth of 22 %+ for the year. In spite of our conscious strategy in terms of de-growing corporate book, the loan book crossed Rs.60,000 crores. So as of 30th June, the book was Rs.60,395 crores and this again is highest in last seven quarters. In terms of customer retention, I think there has been a significant improvement on a Y-o-Y basis. Last year, quarter one, the book runoff was 23 %, which is down to 16.58% this quarter. The book run-off has reduced by over 600 bps.

In terms of asset quality, there has been a lot of traction. We are pretty aggressive on SARFAESI and legal action. There is significant focus on cash collections and settlements. We have a good pool of retail loans which is ready for auction. So, for the remainder of the year we should see good traction in terms of NPA reduction.

So typically, when you see quarter 1, quarter 1 will be muted A) in terms of growth, B) in terms of asset quality improvement. Generally, there is a slight increase. I think given our book and the challenges what I had discussed in the past, we were able to still bring down GNPA on the retail book. I think the traction is pretty good. I think in next few quarters, we will see this number coming down, quarter-after-quarter.

With respect to corporate GNPA, we have two accounts. There has been no addition at all. The only thing is, because of IndAS, the percentage looks higher, and also the book de-grew compared to March.

So, if I have to talk about credit cost for the quarter, it is 0.36%. I think it was largely, we had said in the past that we will build up ECL, we will increase the PCR, I think to a large extent of 0.36%. It was only to true up ECL, especially on the retail and to a certain extent on corporate. Otherwise, credit cost has been very, very less for the quarter.

So, I was talking to you about our focus on getting the profile mix right. I think we are inline in terms of what we had stated earlier. So, our salaried is increasing. If you look at year-on-year, there has been consistent increase in salaried and the self-employed share is going down. This is true even incrementally as well.

Just to give you some data points, if you have to look at less than INR1 crore, it was higher by 4.3% as compared to last year quarter 1 and if you have to see that number now. It is increased

to about 85.3% okay, if you have to look at less than Rs.1 crore it was 81% last year quarter 1, which means our focus is A) on retail, B) in terms of up to Rs.1 crore. So, our focus is up to Rs.1 crore, even though we have a cutoff at Rs.3 crores, we rarely do any case beyond Rs.3 crores, our focus is up to Rs.1 crore.

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Public So, we are seeing that there is a lot of concentration of the loans, what we do, up to Rs.1 crore. This is good for the portfolio in the long run. This same trend is seen even incrementally as well. And when we saw this data a couple of quarters back in terms of geographical mix, we were quite low in South. So, we consciously tried to increase our business from South. If you have to look at let's, say quarter 4 of last year, it was 32.5 % and quarter 1 of this year which is just after a quarter, we are close to about 36% in South.

So, the mix in quarter four on disbursement was North was 34.3 %, West was 33.2 % and South was 32.5 %. Quarter one, North is 35.3 %, West is 29 % and South is 35.8 %. So, we are slowly trying to increase our business from South, which was pretty low given the mix what works for this industry and same trend is seen incrementally as well.

Total branches expanded to 198 as on 30th of June which was 189 as on 31st of March, 23.

Affordable branches expanded to 88 as on 30th of June, primarily, in Tier 2 and Tier 3 cities. On the affordable, we would reach 100 branches in a quarter or two. Currently, we are at 88, and we will reach about 100 branches in the quarter or two.

On the corporate book, we had two NPAs last quarter, this year as well this quarter as latest two NPAs, total amount is INR854 crores. Out of this one account constitutes to 92%, which is back by a large developer. The increase in corporate NPA is because of IndAS effect. There has been nil in Stage 2 in corporate from the last few quarters, there has been zero accounts in Stage 2. On a Y-o-Y basis. The corporate book has de-grown by about 45%, and sequentially, the book has gone down by 10%.

A little bit on the financials. On revenue on a Y-o-Y basis, we've shown a growth of 21%. Net interest income there is growth of 70%, PPOP is 41% and PAT there is a growth of 48% from Rs.235crores to Rs.347 crores. Yield has improved even sequentially from 10.41% to 10.59%. Cost, there was a marginal increase in cost. So last quarter, the cost of borrowing was 7.76%, and now it's 7.97%. So now the cost on portfolio and incremental both are around 8%.

Spread is flat. We are at a 2.62% last quarter was 2.65%. NIM slightly improved from 3.74% to 3.86%. Gross margin improved from 3.83% to 3.91%. Credit cost, as guided for the year is

0.6% , quarter 1 was 0.36%, as I mentioned, 0.36% was largely this was due to true up in ECL, both in retail as well as corporate since we wanted to increase our PCR.

ROA, which was 1.71% last quarter and for the whole year of 1.61%, now rise to 2.07%. ROE has increased to 11.18%. Capital adequacy now we are at almost 30% and the leverage is 3.82x. I think a couple of points on the outlook. I think demand is quite robust. We are seeing a lot of traction across markets. So, we see a lot of demand on the prime side and more so on the affordable side. Even I am privy to some of the reports which talked about for the demand going down, but we have not witnessed that even that the base is very small. We started a few months back, but we are seeing a little good traction on the affordable piece. So, there will be a lot of traction in the coming quarters on the affordable side.

ROA of 2.07%, which is the highest in almost a decade for the Company. And in terms of guidance, I think we had mentioned the Spread of 2.5%, NIM of 3.5% and credit cost for this PNBH

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Public year, it will be 0.6%, and from next year onward, it will be 0.4%. We're happy to inform that CARE rating has revised the rating outlook to positive from stable. The credit rating of the company from CARE is now AA with positive outlook. And we are engaging with rating agencies for possible outlook change or an upgradation.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Yes, Hi team. Congrats on a good set of numbers. So just one question on the margin side. Okay. So now considering that, we have raised capital to the tune of Rs.25 billion in May, so of course, there will be a positive impact on the borrowing side in coming quarters. Given this quarter, there is an impact of only one month and given the portfolio mix is going to shift towards affordable and prime, which is a high yielding book. So, for what is the reason, we are still guiding for a lower NIM in coming quarters. When you say that, full year NIM will be at 3.5% versus more than 3.8 % now?

Girish Kousgi: No. Actually, in terms of guidance, spread and NIM, this is the threshold. So, we will be able to sustain what NIM is seeing now, which is about 3.75 % or so, but the guidance on a long - term steady state is going to be 3.5 %. That is the threshold , what I mentioned.

Renish: Okay. And so, maybe next couple of quarters, there is a fair amount of chance that, NIM could sustain it around this level, considering the fundraising and the book mix change?

Girish Kousgi: Yes.

Renish: Okay. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Ashwini Agarwal from Demeter Advisors, LLP. Please go ahead.

Ashwini Agarwal: Yes, thank you. Congratulations to the team for the pretty good numbers. So, two or three questions . One is, how do you feel about the retail GNP A numbers, considering the kind of mix you're pursuing? Do you think in a couple of years, we should be looking at industry level NPAs, which are GNP A ratios somewhere in the handle of 1.2 % to 1.4 % and a credit cost in the ratio of 20 basis points to 30 basis points. I know you have 40 basis points guidance of fiscal '25, but how do you feel about this?

Girish Kousgi: GNP A, I think two years is too long a time, so we are looking at being comparable with the best in the industry in next four quarters to five quarters , the numbers what you mentioned . In terms of credit cost, I would want to stick to 0.4 % because this will be a mix of both prime and affordable. Typically, if you look at credit cost for a company, which is focusing only on let us say super prime and prime, credit cost will be around 0.2 %, could be 2 bps or 3 bps more or less.

But if it is a combination of prime and affordable and with every passing quarter, the mix of affordable will keep increasing because that is where we see lot of value, of course coupled with primary segment. And therefore, we would like to guide a credit cost of around 0.4 %. So, PNB Housing Finance Limited

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Public we can take the call maybe after three quarters or four quarters. At this point in time, we feel that 0.4%, given the mix of prime and affordable, which will emerge over a period of time, that is what we feel is comfortable.

Ashwini Agarwal: Okay, and sir, over the next two years, what kind of gearing do you think is achievable? You have an eye on credit rating as well, but , unless the gearing goes to at least 5 x or 6x, the ROE handle will not go to mid -teens, at least that's what I think. But how do you feel about gearing and the ROE versus the credit rating balance?

Girish Kousgi: So, we are at 3.8 2x now, so we have, we will be comfortable between 6 to 6.5 times. So that's our plan, and we also have an ambition to grow book to a

level of Rs.100,000 crores.

Ashwini Agarwal: And which should therefore translate into an ROE say 2.5-3 years out in the handle of 16%, 17%, would that be fair?

Vinay Gupta : Yes, I mean, it will take three to four years to reach a level of 5 plus and then it should further increase from those levels.

Ashwini Agarwal: And do you plan to return to paying dividends at some point?

Girish Kousgi: We will take an appropriate call at the appropriate time but yes, the idea is to grow a profitable book, keeping in mind all the return ratios. As far as the unit is concerned, I think we will take an appropriate call-in consultation with all the stakeholders.

Ashwini Agarwal : And so, the last question is the large corporate loan account, do you have any sense on when it will get resolved either by way of a sale or a settlement or something?

Girish Kousgi: See as we speak, we are working on all the corporate accounts. Today, if you see the book has come down to almost about, little over 3,000 crores, right? So, we really don't see stress in the existing book. And if you look at our book for the last few quarters, we don't have anything in stage 2. And we have just two accounts in NPA. Out of two accounts, one account constitutes about 92%. And we have been constantly working on resolution.

And we have done some resolution in the last few quarters. So naturally if you see I think the book should run down maybe in next three years and all, but we are trying to accelerate the repayment, it could be possible resolution in terms of settlement. We are looking at various options so I think the book would definitely run off but not, the time frame is not over three years in any which way.

Ashwini Agarwal: Okay. Now my question was more relating to this one large NP A Rs.800 odd crores number. I mean is there any visibility on that getting resolved?

Girish Kousgi: We are working on resolutions, and it is through multiple channels. So, I would not be able to divulge more details on that. But I can only say that we are pretty comfortable.

Ashwini Agarwal: Okay, perfect. Thank you, sir. All the best.

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Public Girish Kousgi: Thank you.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investments. Thank you, sir, all the best. Thank you. Please go ahead.

Ravi Naredi: Thank you very much for the opportunity to meet. Sir, your investor presentation, page number 10, you have shown Rs.2,762 crores reduced from corporate loan book. Will you tell us how much we have received and how much we have write-off?

Deepika Gupta Padhi: So, if you can see in the same table, we have also given below that what all has been through our sell-down, natural run-off as well as write-off. So, if you can see from March till June which is five quarters, we have a natural runoff around Rs.1,100 crores, Rs.1,400 crores of sell down and Rs.1,500 crores of approximate as the write-off.

Ravi Naredi: No can you give the bifurcation of Rs.2,762 systematically Rs.1,140 and Rs.1,500 how I can reconcile this?

Deepika Gupta Padhi: So, look we, yes, we will share so it's basically from March because that's where the year we have taken ...

Ravi Naredi: No problem from March or June whatever you want to tell please say how much we have write-off? How much we have received? Two figure I want. How much we write off and how much we received?

Deepika Gupta Padhi: So, write-off is there around Rs.1,500 crores and the balance will be a part of either run-off or the sell down.

Ravi Naredi: What is the meaning of run-off?

Girish Kousgi: Actually, repayment.

Ravi Naredi: Yes. Okay. And this now balance payment is Rs.3,416 right? And you are telling one is 80% is in 1 group only, right? Real estate large developers?

Girish Kousgi: No, the book is

now around Rs.3,400 crore we have NP A about Rs.850 crores out of Rs.850 crores there are two accounts, two NPA accounts, out of two, one account constitutes to 92% of the NPA.

Ravi Naredi: Okay 92% of NPA and we are hoping it will settle in this current year, current financial year or maybe next year?

Girish Kousgi: I think we have been pretty aggressive on resolution, so we are pretty positive that this should get resolved in the next few quarters.

Ravi Naredi: Sir, secondly, after right issue, PNB holding comes at second number after Carlyle. Carlyle has

32.7%, PNB 28.2 %. So, what will happen now? Is PNB will lose as a promoter soon? Or will you change the name PNB housing ?
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Public Girish Kousgi: So, I think I would not be able to answer that. As of now, PNB is a promoter, and they intend to continue as promoter.

Ravi Naredi: As per company's act, now PNB has no promoter at all because Carlyle has more stake than PNB. If Carlyle has given you the proposal in the next board meeting, please change the name. You have to change it?

Deepika Gupta Padhi: No, sir. It is not like that. Even under the regulation, it is not like that. PNB will continue to be the promoter. They have also, if you can see that there's a press release, they have issued that they'll continue to be the promoter. They currently hold 28.2% stake in the company and even our trademark agreement is very clear on that front that we continue to use the brand name of PNB.

Ravi Naredi: Because as a PNB, the company has been total mess till you remove the name of PNB, it can't be bright future. So, my opinion, how you change the name, it will be more better for investor and you. Okay, thank you very much .

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: In the investor presentation which you have uploaded, you have mentioned, in the conference call just now, you mentioned that you are targeting around 17% to 18% of loan book and disbursement of 20% -21%. So, this quarter it is a huge difference. It's around 5% -6% growth and 3% -4% growth. How will you manage that for the whole year if you are targeting 17% -18% and 20% -21% kind of growth?

Girish Kousgi: Yes, correct. So, if you see quarter 1 is always cyclical, so I think this is true for the industry. For all the HFCs we can see this trend. So, for us, there are two or three reasons. One, of course it is cyclical and number two, quarter one of this year, quarter one of last year is not comparable. Now, having said that, if you look at our last couple of quarter's performance on either book growth on the retail side or disbursement growth, we've been pretty good on that. So, our 17% to 18% book growth and disbursement growth of 21% is intact and we'll be able to achieve that.

Onkar Ghugardare: So, but in order to compensate for this low growth of this current quarter, we'll have to do significantly better for the rest of the year, right? Nine months. So, is it possible to do that?

Girish Kousgi: Very much possible. I just want to touch upon the earlier point, I think if this is done. See PNB is a promoter and they very clearly confirmed that their holding is now 28.2 %. They are a promoter and the name continues and PNB, as a parent and as a promoter, they have been really supportive to us. At the same time, we also have a few large investors like Carlyle, Ares SSG, and GA. So, they're all supportive, and nothing changes, just because the shareholding has changed.

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Public Onkar Ghugardare: Okay , so second question, my second question is on the fact that you mentioned that if I heard that correctly, the gearing is currently 3.82 x and it will take around 4 to 5 year

s to reach
gearing at 5x levels. Is that correct?

Vinay Gupta: Yes, 3 to 4 years is what we are expecting. We should reach somewhere around 5 plus and again depending on the growth and overall target that we have a Rs.100,000 crore of loan book , it might be faster also. But I mean this is what seems likely scenario right now.

Onkar Ghugardare: Okay, so in 3 to 4 years, 5 plus gearing and what kind of ROE we can achieve?

Vinay Gupta: Should be mid -teens.

Onkar Ghugardare: ROA. I am talking about.

Girish Kousgi: We are now at 2.07 %. I think with every quarter and the mix changing, obviously, there will be focus on profitability, given the growth, what we have guided. So definitely, I think it should improve. We'll not be able to give you a number at this point in time, but definitely it will improve.

Onkar Ghugardare: Okay, so ROE you are targeting mid -teens, right? In the next three to four years, correct?

Girish Kousgi: Yes, three years.

Onkar Ghugardare: Okay, next three years. And assuming that you are saying that Rs100,000 crore book, that is also for next three years from current Rs.60,000 crore ?

Girish Kousgi: Yes, three and a half years.

Onkar Ghugardare: Three and a half years from Rs.60,000 crores to Rs.100,000 crore, right?

Girish Kousgi: Yes.

Onkar Ghugardare: Okay, thank you very much.

Moderator: Thank you.

Girish Kousgi: And just a point on the other one, see if you look at you know, few quarters back our overall book growth was negative, and retail also was flat. So last year, we closed retail growth at about 10% and overall book at 2%, and quarter 1 is got to do with the cyclical nature of the industry. So, in next three quarters we will be able to cope-up and this is, this we have seen at least for many -many years, at least for little over two decades in this industry.

Moderator: Thank you. The next question is from the line of Pratik Chheda from Guardian Capital Partners. Please go ahead.

Pratik Chheda: Yes, thanks for taking my question. So, my question is more on the strategic part. When we say that we want to grow aggressively in affordable housing, so what is the strategy here?

Because this is anyway a very crowded space and there are players who have created their

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Public niche, somebody in the maybe 20 km radius of the city, somebody in the 50 km radius of the city. So, what is our strategy? Where are we placed, what are the ticket sizes we will be targeting and how much sort of infrastructure in terms of physical branches or employees are we likely to put in place in the coming 12 months or so?

Girish Kousgi: So basically sir, affordable, see, let me take one minute to explain about the market segmentation. There are basically four segments. Super prime, prime, affordable income, affordable assessment-based. So as of now, our focus is on prime and affordable income-based. So, we are not into affordable assessment. So, it's hardly anything. So, we don't cater to super prime, and we don't cater to affordable informal segment. We focus on the second and third bucket. Our prime business is focused on the second segment which is called prime and our affordable cater to affordable income based.

Now today, if you look at any organization, be it a bank, whether it is private or PSU, many HFCs, large, mid-sized, or small, or even NBFC, all of them focus on at least two or three buckets. So, if you look at HFCs, some of the mid-sized HFCs and small HFCs, they focus on prime segment and affordable income segment. So, this space is not really crowded.

What is really crowded is the affordable informal segment, which is a high-risk business. So, when we say that we want to grow affordable businesses aggressively, so my definition of aggressively, overall, both prime and affordable put together is about 17% -1

8% book. If we

talk about affordable because the base is very small, we might grow at a maybe another 7% to 8% more than the overall growth. So, when we say aggressively, that is the definition of aggressiveness, it is not 40% -50% definitely we will not get there. For the simple reason our focus is on asset quality whether it is prime business or affordable business.

Now there is a very clear segmentation, A) in terms of customers, B) in terms of geography, C) in terms of type of properties, D) in terms of what is the ticket size we focus. In affordable, our ticket size will be about Rs.16 lakhs to Rs.17 lakhs. On the prime side, it will be Rs.10 lakhs to Rs.12 lakhs more than affordable ticket size. In terms of customer segmentation, top-notch customers, which is CAT-A customers, and to a certain extent, CAT-B customers, would form part of the prime and super prime.

For affordable, it's going to be CAT-C, both on salaried and self-employed. If you talk about salary, somebody who's earning, let's say, a salary between, let's say, Rs.35,000 to Rs.50,000, Rs.55,000 salary, who can afford to take a loan of about, let's say, Rs.17 – Rs.18 lakhs, that is an affordable segment.

On the self-employed side, somebody who's earning the income of, let's say, between Rs.3 lakhs to Rs.4 lakhs, INR4.5 lakhs per annum that is our segment.

In terms of geography, a prime business would be not at the city center, but slightly away.

When it comes to affordable, segment it will be in the outskirts. It will be in the periphery of the given town or cities. There's a very clear segmentation of prime and affordable. In terms of branch, we have dedicated branches for prime and dedicated set of branches for affordable.

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Public The customer segment is different. The set of channel partners are different. The entire team is different, whether it is sales team, credit team, collection team, the entire team is different.

Pratik Chheda: Sure, this explanation really helps. Secondly, whenever we talk about, we look at affordable

housing in a similar risk profile, they tend to operate with a very materially lower leverage than what you are guiding for a 5.5x or 6x. So, if you also sort of take that route, are you saying that your leverage for the prime business will be slightly higher than that?

Girish Kousgi: So, as I told you, basically, when we talk about affordable, there are two segments within affordable. One is income and one is informal. So largely our focus is going to be on affordable income based. So, what you're saying is true, for set of companies, which focuses largely on affordable informal. Now, if you have to look at the asset core quality difference between let us say, prime and affordable, it's about 10 bps to 15 bps. So yes, to answer your question, leverage obviously on the affordable would be slightly lower compared to leverage on the prime. But for us, today we have a book of about Rs.60,000 crores. Out of that, retail is about Rs.57,000 crores

So, what I'm saying is that it will take some time for us to build the affordable book because we just started affordable, right? It will take some time. Incrementally, we will be able to reach about this year, it will be about 10% to 11% and in next two years, we might reach to about 20% to 25%. But at a book level, this is incrementally. At a book level, it'll take time to catch up. So, given the mix of prime and affordable, I'm seeing around 6x to 6.5x leverage is pretty comfortable.

Pratik Chheda: Fair enough. Thank you very much. Lastly, on the corporate side, what would be a security cover for the 92% GNPA account that you talked about? How much would that be? And is there any real account, which is there under stage 2 right now, which can likely to slip in the next two quarters - three quarters? Or should

we expect that this is the asset quality as more than that in the next two, three quarters? Or should we expect that this is the asset quality as more than that in the past? Is there anything additional that can come out in the next quarter or so?

Girish Kousgi: So normally, we don't talk about any individual accounts, but just to answer your question, A) our coverage is more than 2 times. B) I think corporate is more or less sorted and we're doing a lot of work on resolution and to run down the book as soon as possible. At the same time, we would also have certain write-backs in the next few quarters.

Pratik Chheda: Yes, perfect. Thank you very much.

Moderator: Thank you. The next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.

Kushan Parikh: Thank you for taking my question. I had primarily two questions. The first question is around the write-backs actually that you mentioned just now in the previous question. So, we have taken write-offs to the tune of more than Rs.2000 crores odd over the last six quarters. This is both corporate and retail combined. So just wanted to understand, what is the kind of or the PNB Housing Finance Limited

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Public quantum of write-back that we expect and over what period of time do we expect that write back to come back to us?

Girish Kousgi: See, these are corporate accounts. So, the nature of accounts are such that, I think nobody would be in a position to predict. But having said that, in the next few quarters, definitely we're expecting some write back.

Kushan Parikh: Sir, it would be helpful if you could share some sort of estimate that we would have for this?

Girish Kousgi: At this point in time, it will be difficult, maybe in future if we are very sure of that but we are doing a lot of work on the resolution and we are using multiple tools and in certain accounts we are working where a new developer would come in. In certain accounts, we are fast-tracked legally. So multiple tools are being used to try and resolve this account.

Given the nature, it will be very difficult to give a definitive timeline. But definitely, yes, we are really pretty aggressive on the resolution, especially on the corporate side. And in the next few quarters, definitely they will be like that. It will be difficult to quantify how many accounts, what amount, it will be difficult to quantify because the amounts are large, these are corporate accounts, but definitely there will be write-back.

Kushan Parikh: I understood. And just also on the retail written-off accounts, I mean any guidance on that in terms of write-back?

Girish Kousgi: There is no guidance on it, but it happens every month. So, I think that's part of our GNPA plan and also our profitability plan. So, we've said that the next four to five quarters our GNPA at a company level, would be comparable with one of the best in the industry.

Kushan Parikh: So that's quite helpful. And my second question was around the cost of fund. So, I mean, we're currently at a book cost of 8%, incremental cost of 8%. So, what is the scope of reduction that we see in cost of funds given that now our rights issue is completed, and I mean, that should help our capital position. So, just trying to understand what is the scope of the reduction in cost of funds that we see over the next 12 odd months?

Girish Kousgi: Yes, so definitely I think we also see some improvement on the cost of funds side. So, as I had mentioned in the earlier earnings call, so now we will have access to NHB funds, which will come at a lower cost, that is number one. And number two, we are engaging with all the banks. And few banks have already passed on the interest rate benefit to us, considering company performance improvement and also capital position strengthening. So, this also we expect going forward.

And we are engaging with other rating agencies for outlook change, both upgradation. So, we're working parallelly with all of them. So, definitely we should see a few of those. Today if you see the difference in cost between the best managed in terms of cost and that is about 50 bps, right? I think we'll be able to easily cover 50. Yes, 50% to 60% of that we should be able to cover in the next few quarters.

Kushan Parikh: Okay, so you're saying this 50-bps gap, we should be able to cover 50% to 60% in the next few quarters?

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Public Girish Kousgi: Yes.

Kushan Parikh: Understood. Just one last clarification related question if I can squeeze it in. Thank you. So just on the loan growth guidance, the 17% to 18% loan growth that we are speaking of, is that on the retail loan asset?

Girish Kousgi: Yes, yes. That's on retail.

Kushan Parikh: And that would be, that would involve about 25% disbursement growth. Is that the right understanding?

Girish Kousgi: Disbursement will be 22%.

Moderator: Thank you. The next question is from the line of Manish Maheshwari from Manu Group Family Office. Please go ahead.

Manish Maheshwari: Sir, what is the total deposit base as on 30th June?

Deepika Gupta Padhi: It is around Rs.17,000 crores.

Vinay Gupta: Around 30% of our total borrowings.

Manish Maheshwari: So, what is the guidance on credit cost for whole of FY24?

Deepika Gupta Padhi: 60 basis points.

Manish Maheshwari: And gross NPA and net NPA?

Girish Kousgi: There is no guidance on GNPA and net NPA. So, as I have told in next four to five quarters, it would be quite comparable in the industry.

Manish Maheshwari: Sir, we are going very aggressive on affordable housing per se. So, if you look at affordable housing, affordable housing demand has been shrinking, right? In the recent past.

Girish Kousgi: Sir, we started an affordable business just few months back. So, in the first part of the quarter when we started, we did about Rs.137 crores and in Q1 we did Rs.228 crores. The base is very small and this year we said, the mix is going to be about 10% to 11%.

Manish Maheshwari: Mix of the total...

Girish Kousgi: Disbursement between prime and affordable.

Manish Maheshwari: 10% to 11%.

Girish Kousgi: Yes, so which is not a totally aggressive. Current year, disbursement -mix between prime and affordable is going to be about let us say 90 %-10% or 89 %-11% level.

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Public Manish Maheshwari: And you have kept your NIM guidance also a little low right, I mean the NIMs that we have NIMs for this for the current quarter is 3.86%, right?

Girish Kousgi: Normally when we give guidance, we give guidance keeping in mind the long term on a steady state. So, there could be fluctuations in the short term but on a long-term basis, on a steady state, this is the guidance.

Manish Maheshwari: And loan growth, I mean one of the previous participants was perhaps alluded this particular thing, loan growth guidance you have given for 17% to 18% on the retail side.

Vinay Gupta: Yes, right.

Manish Maheshwari: And which would percolate down to what sort of disbursement for FY '24?

Girish Kousgi: Sir, I think every company would have their own math. So as far as we are concerned, sir, disbursement growth to be about 22% and retail book growth about 17% to 18%. Because it is a combination of what mix we are going to have and what is the runoff. There are so many things that get into this but as an outcome we would be able to deliver 17% to 18% of book growth and 22% of disbursement growth.

Given the industry growth rate, this is the -- for us. I have said this before again and I will be

saying this. For us asset quality is the starting point. We are back to basics now. We are talking

about increasing our -- we are talking about increasing the salaried within the profile, increasing home within products, between home and non-home. And we want to ideally reach to ideal mix of between prime and affordable. And the disbursement of growth of 17%, 18%. If you look at the industry, industry so far last few years they have been growing at about 13%, 14% and we are talking about 17% -18%.

And asset quality is the starting point. Our asset quality in the next four quarters to five quarters will be comparable. So, the growth rate of 17% - 18% given no strong demand in the sector for the next few years, 17% -18% for us it is positive.

Moderator: Thank you. Manish, may we request you to join the queue for any follow-up, as we have several participants waiting for their turn. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Thank you, sir, for the opportunity. So, if I look at the top 5 state share in retail loan assets which is topped by Maharashtra, Delhi and Tamil Nadu. Is your retail GNPA geography wise breakup also on similar lines?

Girish Kousgi: It's almost similar.

Shweta Daptardar: Okay. Thanks for that. Sir, secondly, you have been reiterating the fact that there is incremental focus on the salaried segment. But if I look at one year mix between self-employed versus salaried, then that has not sort of changed materially. Sir, what is the target mix here and the timelines for the same?

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Public Girish Kousgi: So here, there are a few things. See, when we talk about the portfolio, what we are going to build it. So, we are talking about few things. One is the customer segment, second is the profile, third is the collateral and fourth is the ticket size. So, as I have mentioned in the past, we are now back to basics. So, if you always look at portfolio, portfolio obviously will take some time to correct. If you look at it incrementally, we are in the right direction. So, that's our focus.

So, our pricing strategy, our geography strategy, everything is aligned more to our goal, which is basically to change the profile mix, product mix, focus on low ticket price. I spoke about focusing on up to Rs.1 crores. I spoke about, especially within LAP, some of those high value cases which we had in a portfolio in the past, which we are doing in the past. So now, we have come out of that. So, this is a journey, it takes time.

While we have a portfolio to deal with it, we are dealing with it, the portfolio is what we're going to build, this is the direction in which we want to go. I mentioned about, ideally want to get to a salaried and self-employed -- of 65% and 35%. It will take time. So, we are on the right track, and it will take time for us to get there.

Shweta Daptardar: Sure, that's helpful, sir. Thank you.

Moderator: Thank you. The next question is from the line of Franklin Morris from Equentis Wealth Advisory. Please go ahead.

Franklin Morris : Yes, congratulations on a good set of numbers and having been able to achieve multiple milestones in this quarter. So, my question is on the recovery, you alluded to the fact that, there could be certain recoveries that we can expect in the coming quarters. So does your credit cost factor in these recoveries?

Girish Kousgi: I see, I had, again, I want to say the same thing. So last year, if you see a credit cost was 1.15 % and this year, we said it is 0.6 %. If you look at Q1, it is 0.36 %. And this 0.36% significant portion of that is towards building up PCR. So, on the corporate side, the write-backs are not factored into this.

Franklin Morris: Got it. And secondly, you also mentioned in your opening remarks that you have increased the share of South. Now traditionally, we have been a player, who have operated in the No

orth and

you know, in the West. So, is this going to be directional? Or is this just a one-off?

Girish Kousgi: No, it's like this. So, we are a national player, and we want to present in most of the states, which are good for us, from A) business point of view, B) repayment culture point of view. So, we have done little tweaks that are, otherwise if you look at between South, North, and West, largely these three zones, all the three would be 30% plus. So, it's going to be almost equal. And we are not largely present in East. So, the tweaks are going to be very, very marginal. But yes, now even at a portfolio level, 1% or 2% would mean a lot to do good for the portfolio.

Franklin Morris : Yes, sir, thanks a lot.

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Public Girish Kousgi: Thank you.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for the closing comments. Thank you, and over to you.

Deepika Padhi : Thank you everyone for joining us on the call. If you have any questions unanswered, feel free to get in touch with the Investor Relations team. The transcript of this call will be uploaded on our website as well as the audio. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of PNB Housing Finance Summit, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Oct 2023

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Internal

Ref: PNBHFL/SE/EQ/FY24/ 74

Date: October 30 , 2023

The BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
National Stock Exchange of India Limited,
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on October 23 , 2023

In continuation of our letter dated October 23 , 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript in respect to the earnings call held on October 23 , 2023 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the Quarter and Half Year ended September 30, 2023 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above intimation and documents on rec ord.

Thanking You ,

Yours faithfully ,

For PNB Housing Finance Limited

Sanjay Jain

Company Secretary & Chief Compliance Officer

Membership No. F2642

Enclosed : As above

MANAGEMENT SPEAKERS:

MR. GIRISH KOUSGI MD & CEO

MR. VINAY GUPTA CFO

MS. DEEPIKA GUPTA PADHI HEAD INVESTOR RELATIONS & TREASURY

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY 2023 -24 Earnings Conference Call of PNB Housing Finance Limited. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi, Head, Investor Relations and Treasury. Thank you, and over to you, ma'am.

Deepika Gupta Padhi: Thank you, Dr. Orwin. Good evening and welcome everyone. We are here to discuss PNB Housing Finance Q2 and H1 FY23-24 results. You must have seen our business and financial numbers in the presentation and the press release shared with the Indian Stock Exchanges and is also available on our website. With me we have our management team over here led by Mr. Girish Kousgi, our Managing Director and CEO. We will begin this call with the performance update by the Managing Director and CEO followed by an interactive Q&A session.

Please note this call may contain forward looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward-looking statements involve risk and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward-looking statement to reflect future events or circumstances. A detailed disclaimer is on slide 27 # of the investor presentation. With that, I will now hand over the call to Mr. Girish Kousgi. Over to you sir.

Girish Kousgi: Good evening and welcome to all the investors to Quarter 2 FY24 Earnings Call. The second quarter was very eventful. We have done well on all the parameters, disbursement, growth, then margins, asset quality and profitability. If I have to talk about disbursement, quarter 2 we disbursed INR 4,165 crores in retail. This compared to last year, quarter 2 was INR 3,52

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registering a growth of 18% Y-o-Y and sequentially we have grown by 13.6% on retail disbursement. In affordable we are seeing very good traction. We just started this business about eight months back and quarter 1 we had done INR 228 crores and quarter 2 we have done INR 374 crores. Disbursement in affordable segment has contributed 9% of total retail disbursement in Q2 FY24. In last 8 months, our AUM for affordable segment has reached INR 745 crores and we are very confident of crossing INR 1,000 crores in the short term. On login and sanctions the growth is about 31% Y-o-Y. So, we have seen overall growth not just in disbursement, but also on login and sanction. Market is quite robust; we have seen very good traction. Our loan book guidance of 17% stands. So, H2 would normally be better compared to H1 and quarter 3 and quarter 4 will be very good for the company and we will be able to maintain 17% to 18% of the book growth.

On the loan book, overall loan book Quarter 2, the book was INR 60,852 crores. This compared to last year Quarter 2 was INR 57,832. On a Y-o-Y, the growth is 5.2% and sequentially it is 0.8%. So, we had resolved one large NPA account in the corporate and

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therefore, the corporate book has de-grown. So, corporate book has been de-growing. Talking about the corporate book, the book as of September is 2022-23 which was INR 5,700 crores last year quarter 2, which is a degrowth of 58% YoY and this is as per plan because we have taken a call to degrow the book, work on resolution, bring down the NPA and then you know at the right time restart corporate business.

That restart of corporate business is well within our plan. So, very shortly we are going to restart in a different form altogether, focusing on select projects, select locations, a ticket size of INR 150 crore to INR 200 crore. Okay. I'm not very sure whether I was heard, no, I spoke about retail disbursement, sanctions, logins. Okay, now let me continue. On the corporate, we have a plan to restart business that we will start in a few quarters. We will be doing it in a totally different format, focusing only on construction finance. We will pick and choose on developers, locations, projects. The ticket size is going to be about INR 150 crores. And this is the plan, and we will restart. The plan was to degrow the book. At one point in time, the book was INR 18,000 crores. We have degrown. As of September, the book is INR 2,381 crores. Same number last year, Q2 was INR 5,700 crores. So, there is a book degrowth of 58% in the last one year and sequentially the degrowth is about 30%.

Retail loan asset grew by 12% Y-o-Y to INR 58,471 crores on September 2023. With H2 FY24 expected to perform better than H1, we are on track for as mentioned earlier, we are on track for 17% to 18% growth on book. Core retail book run-off reduced to 17.1% in Q2 FY24 from almost about 20% in Q2 of last year. So, we had taken certain decisions that we need to get the mix changed on the profile side. So, we have been increasing salaried segment. We are going a little slow on self-employed and in terms of product we are focusing more on home and slightly less on the non-home piece and we have completely moved to retail granular business. So, if we look at our retail disbursements to less than 1 crore it is now close to 88% incrementally compared to 85% in quarter 1. So, this is due to our increased focus on lower ticket loans.

I am not very sure because there was some disturbance. Let me repeat on sanction and logins. I mentioned about the disbursement in quarter 1 and quarter 2. We have seen a very good traction on logins and sanctions. On a Y-o-Y basis, we have shown a growth of 31%. So, we see very good traction. Market is very good. It's quite robust. Demand is robust. And our disbursement is good.

dance and book guidance are on track. We also thought we should do some bit of tweak in terms of geographical concentration.

So, we have been increasing our share in South. South is a very good market. If you have to look at H1 FY23, the South contributed to almost about 29.5%, and if you see that now, quarter 2 FY24, it has gone up to 36.7%. So significant increase in contribution from South. If you look at West, West was around 36%. And this is by design, we have come down to about 29.2%. North, for us, North includes a couple of locations from East as well, which was 34.64% has now come down to 34.13%. So, I think broadly North is same, West is slowly coming down and South is going up.

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On asset quality, on a Y-o-Y, last year, quarter 2, we were at 6.06% and now we are at 1.78%, that is 427 bps lower. And compared to quarter 1, we were at 3.76%, now we are at 1.78%, which is 197 bps lower. In terms of retail GNPA, compared to last quarter, which was 2.49%, now it is 1.74%. On a Y-o-Y which was 3.39% last year, quarter 2, now we are at 1.74%, which is 165 bps lower.

On the corporate side, last quarter GNPA was 25% and now it has come down to 2.86%. So, net NPA is now at 1.19% compared to 2.59% last quarter and a year back quarter 2 FY23 it was 3.59%. So, there has been a very good traction on corporate with resolution of one large account and on the retail side also I think it has been a combination of aggressive cash collection and also a bit of, we took a one-off call on the retail side, and we also increased the PCR.

On the borrowing mix, there has been a very little change compared to last quarter. However, in the next two or three quarters there will be a slight change. Our bank borrowings, which was 42% last quarter, now it has come down to about 40%. And this might further come down by 1% or 2%. Deposits, it was about 32% and now it is 31.4%. I think it would remain where it is. Maybe it might go up by 1% or 2%.

NCDs, we are slowly increasing. We are now trying to raise from market in terms of both NCDs and CPs. CPs, which was 0.7%, now it is 3.3%. So slowly, we are increasing. NHB refinance, as of now, it is 4.8%, but this will go up since we very shortly will be availing the finance from NHB. So, on the liability mix, not much of changes, but there is a slight tweak in terms of bank borrowings, NHB, NCDs and CPs.

On margins, I think we had guided spread of 2.5% and NIM of 3.5%, and this would be maintained. On credit cost, we had guided 0.6% for this year. And from next year onwards, it will be 0.4%. I think we are very much on track. If you look at H1 credit cost, it is 31 bps. Last quarter was 36 bps, and this quarter is 26 bps. CRISIL and ICRA has updated the outlook of PNBHFL to positive from stable in quarter 2 of FY '24. Care updated the outlook to Positive in quarter 1.

I would request Vinay to cover on financials.

Vinay Gupta: Good evening, everybody. I will take you through some of the key financial highlights. So, as you have seen, PAT, we have reported around INR 383 crores of PAT in Q2, which has grown 46% year-on-year. For H1, our PAT grew by 47% to INR 730 crores. Revenue grew by 6% year-on-year to INR 1,779 crores in Q2. However, there was a one-off of INR 160 crores in Q2 FY '23 on assigned loan due to benchmark rate reset, excluding the one-off of last year, revenue grew by 17% year-on-year. Similarly, for H1, revenue has grown 13% to INR 3,487 crores.

Yield and cost of borrowing is at 10.58% and 7.99%, respectively, during Q2 FY '24, which are maintained at similar levels on a sequential basis. Spread is also maintained at 2.59%.

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NIM for the quarter is 3.95%, up 9 bps quarter-on-quarter. On a year-on-year basis, again, NIM shows a decline

by 19 bps due to the one-off that we spoke about in the interest income line last year. Excluding one-off, NIM has actually improved by 83 bps on a year-on-year basis during Q2 FY '24.

Credit cost for the quarter is 26 bps for Q2 and 31 bps for H1 FY '24, which is within our guidance of 0.6% for FY '24. We maintain our guidance on the credit cost for full year at 0.6%.

ROA, which was at 1.6% for FY '23 is 2.14% for H1 FY '24; we have also registered an increase in ROA on a sequential basis. ROE for H1 is 11.1%.

In Q2, opex has grown 24% year-on-year, and in H1, opex has grown 25% year-on-year. This is primarily driven by royalty expenses and investment for affordable business, which was not there in the last year. Capital adequacy is at 30.38% as of 30th September, which includes Tier 1 capital at 28.5%.

Handing it over to Deepika.

Deepika Gupta Padhi: We can now open the floor for Q&A, please.

Moderator: The first question is from the line of Varun from Kotak Securities.

Varun: I had a question regarding the cost of borrowing. Your cost of borrowing looks to have flattened out. But still, there must be some impact left of NCDs re-pricing, right? Do you expect this to settle?

Vinay Gupta: NCDs are all fixed rate. So, there is no impact left. And again, for MCLR also, most of the repricing has already happened. And hence our cost of funds are flat right now.

Varun: I mean to say that as they mature, you need to refinance it. If you are raising NCDs or getting them replaced the other kind of borrowing. So, your incremental must be higher than what you have borrowed something like 2 years or 3 years ago?

Vinay Gupta: No, no, no, not really. The cost is actually almost same or, in fact, slightly lower than what it was like 2-3 years back.

Varun: Okay. So, this is what you would expect for this full year and going forward, maybe slightly benefit?

Vinay Gupta: Yes, yes. It should be -- it's a regular course of business, we will keep replacing. This should not have any much impact.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: I was just looking on the slide, it was 14,000 channel partners. This is for all retail loans. Is that a fair understanding?

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Girish Kousgi: Yes, this is for all the retail loans, largely on the prime side and deposit agents, both put together, we have 14,000 partners.

Shubhranshu Mishra: Understood, sir. So that was like entire 100% of your sourcing, if you can follow what would be a concentration in the channel partners. So, we say top 100 channel partners contribute to what percentage of disbursements versus, say top 500 partners contributing to what percentage of distribution, dispersion?

Girish Kousgi: No, there is no concentration. We have multiple channels. One is DST. Second is DSA. Third, we have Digital. And of course, to a small extent, we have branch walk-in, which we call as direct. So, there is no concentration because our -- if we have to look at the sourcing mix between DST and DSA. DSA is about 40% and DST 60%. So, there is no concentration with respect to sourcing from DSA.

Shubhranshu Mishra: Understood. And in terms of branch concentration, top 10 branches contributing to any particular number of disbursement, if you can speak on that, concentration of branches?

Girish Kousgi: No, there is no concentration in terms of branches. But of course, there are -- the top 5 states

for us is Maharashtra -- this is on a book level: Maharashtra, Delhi, Tamil Nadu, Telangana and Karnataka. And typically, if you look at these 5 states would always be the top 7 or 8 states for us. So, it is -- we had changed our strategy. And we wanted to get better share from South and therefore, we were a little bit more focused on South and that is why we said

that

there is a shift in business, and there's an increase almost by about 7%-9% in the mix from South.

Shubhranshu Mishra: Understood. And if I can just even one last question on the South strategy. If I say South, credit would be slightly super float because of the number of organized players that could be slightly more salaried versus North India. So then are they necessarily taking the yield compression building into the business from the South?

Girish Kousgi: I couldn't hear you properly. I think your question was that we are now focusing more on South because we want to increase our salaried. I think it is not just South, it is across the country, all geographies we want to change our profile mix. We wanted to increase our sourcing from salaried. And typically, South happens to contribute on the higher side on the salaried side. Otherwise, we are present across the country, and our focus remains -- focus on 20-odd states where we are present.

Shubhranshu Mishra: That a fair understating would we be NIM compression as we focus more on salaried?

Girish Kousgi: Not really because within salaried, see, one is in terms of profile, we have changed our mix incrementally slightly skewed towards salaried, but what we are doing on salaried also, we are now focusing more on the affordable side, affordable income salaried, so that the yields could be higher.

So, there is no yield compression because of the change in profile mix. Within salaried, we have identified opportunity where we can build the book at a higher yield.

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Shubhranshu Mishra: Understood. Thanks. I will come again in the queue.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi, sir. Sir, two questions from my side. One is on this excess provision right back.

Obviously, we had due to the large corporate account, getting resolved. So, in P&L, where does it reflect? And the stage III provision is also sort of flat. There is no subsequent increase in the PAT as well. So, does it, try to assume that we have done a write-off in the retail side?

Girish Kousgi: So, on the retail side, we -- of course, obviously, we got a write-back of provision on the corporate account. And that we have utilized for three purposes. One is ECL true up on retail & corporate, and also we took some one-off on the retail apart from cash collection.

Renish: So, you mean retail write-off, one-off retail write-off?

Girish Kousgi: Yes. That's right.

Renish: Okay. I am got it. And secondly, sir, this slightly from a medium-term strategy point of view, so let's say, pre-COVID our leverage used to be 7x - 8x, and we used to generate in 14% -15% ROE on a 1.5 % kind of ROA.

Given our ROA has improved significantly and considering our guidance, be it on NIM, be it on credit costs, be it on the growth side. It seems to suggest that current trajectory more or less will sustain. So where does our ROE should settle maybe in the medium term considering the post leverage?

Girish Kousgi: See if we now look at our affordable business, I think incrementally, it is contributing to about 9%. So, I had earlier mentioned that this year, it will be close to 10%. It looks like, we might exceed what I had indicated earlier. So, we are pretty aggressive on the affordable side, and we are able to build traction on the affordable side.

So maybe this year, we'll end up with slightly more than what I had indicated earlier. So, with every quarter, the mix between Prime and Roshni is getting changed. Roshni is affordable. So - and I also mentioned that we'll be able to maintain margins at the current level.

So going forward, it has to only improve. It will take time because affordable, it is small ticket loans and therefore, it takes time. But we probably would

be one of the housing finance

company to build a book of, let's say, INR 1,000 crores fastest. And so, with every passing quarter, the mix keeps changing. So eventually, the ROE profile also should improve.

Renish: So, the steady state ROE should be 17% -18%?

Girish Kousgi: So, our gearing now is 3.77 x, okay? So, we plan to take that up to 6 -6.5x, since we are now focused on growth also along with profitability. So, we have a vision of building book to INR 1 lakh crores. And therefore, a leverage, which is now less than 4 x might go up to 6 - 6.5x. So, this might happen in the next 2.5 years to 3 years. Now ROE is low

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because, obviously, we raised rights --we did rights issue recently, and there will be a drag for some time, but that will catch up with growth and volumes.

Renish: Got it. And sir, just last question on the growth side. Considering our first half growth is slightly muted. I mean on a YTD basis; it is close to 1.5%. Now even if we have to go with the lower end of the guidance, which is at 17%, which implies a very tall task in the second half, implying maybe 7% odd sequential growth rate in Q3 -Q4. So just wanted to reconfirm that, we are confident of maintaining this run rate in Q3 -Q4, right, sir?

Girish Kousgi: If you look at last four quarters, we have done a lot of tactical changes in our strategy. And just to mention a few, we wanted to reduce the ticket size, focus on retail. Today, as I mentioned, we are close to 90% upto INR 1 crores . LAP ticket size has come down drastically. The focus is now more on home. Focus is more on salaried. So, we've done all of these things and also the book, what we're going to build in the future has to be pristine. And therefore, we've taken -- I know last time I was mentioning, we have taken some calls in terms of certain geographies, certain products, we have peaked some of the processes . So basically, if you see last three quarters to four quarters, we spent a lot of time to get all of these things right, so that a few quarters from now, we will be one of the best housing finance companies and would be comparable, right?

And I had guided book growth of 17% to 18%. That is intact. So, we will be able to grow at 17% this year over last year. And we had guided disbursement growth of 22% plus. We'll be there very comfortably.

Renish: Got it, sir. Thank you so much and best of luck, sir.

Girish Kousgi: Thank you.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. Good evening everyone. Just following up from the last participant. Your guidance of 17%-18% loan growth is on retail, right, not on...

Girish Kousgi: It is on retail. But however, if you look at the corporate book, it is de-growing. So now the book is less than INR2,400 crores. So, the guidance, what we had given was on retail. Yes, you're right.

Abhijit Tibrewal: Yes, right, sir. Sir, the other thing is, again, coming back to that write-off that we have done. So, it seems like -- I mean, excluding this one corporate account that we have resolved, the gross stage III has come down by about INR 400 crores , excluding that corporate account. And out of that, we've taken around INR 320 crores of write-offs in retail.

So, if you could just explain this part a little better that whatever releases we had from the corporate NPA account, almost INR 200 crores of releases is what I see. How did we kind of -- because this -- I mean one would have thought, we will want to increase the provisioning cover

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on your maybe retail loans. But contrary to that, we've chosen to kind of write-off. So, if you could just explain the thought process behind that?

Girish Kousgi: So, if you look

at our overall GNPA March '22, it was 8.13%. Now last quarter, it was 3.76%.

And this quarter, it is 1.78%, right? Now even if you look at retail , March '22 was 3.89% and last quarter was 2.49%. So, what I'm trying to say is that there has been a consistent decline in the retail GNPA as well, not just the corporate.

Now whatever provision write-back would it be, we have utilized that for three things. One is as ECL true up, that is PCR on retail and ECL on corporate. And we utilize the amount for a bit of write-off. So, it is a combination of all these three.

Abhijit Tibrewal: Perfect, sir. And sir, just one clarification here. I'm just referring to Note number 4 of the SEBI results release. There, it says that from this corporate NPA account, which has been resolved, we have recovered INR 828 crores. Am I reading it, right?

Girish Kousgi: Yes, you're right.

Abhijit Tibrewal: Got it. And this, all of this INR 828 crores, we have received it in cash?

Girish Kousgi: Correct.

Abhijit Tibrewal: There are no tranches which are involved ?

Girish Kousgi: Yes, it's 100% cash deal.

Abhijit Tibrewal: Got it. There is just one last question. Again, you kind of talk to, senior leaders like you in the industry. Some where there is an acknowledgment that maybe in mortgages, particularly smaller ticket mortgages against INR15 lakh to INR25 lakh, INR30 lakh kind of ticket size, there is some slowdown that people are talking about.

Are you also seeing that because, obviously, it doesn't reflect in the disbursement numbers that you've reported. But are you structurally seeing some slowdown in maybe urban affordable or

lower ticket affordable housing?

Girish Kousgi: So, if we talk about affordable income base, the competition has increased. But if you talk about overall affordable which typically all the NBFCs and HFCs focus, there is no slowdown.

As I had mentioned, there are four segments, super prime, prime, affordable income, affordable assessment. So, if you're talking about, a bit of prime on the lower side and affordable income, there for some time, there was a bit of slowdown, but we have not seen any slowdown. For us, we had to correct a lot of things internally.

And therefore, we had guided a disbursement growth of 22%, and we have already shown 18% growth. So, in next two quarters, we will catch up and we will be more than 20% -23% growth on disbursement. On the book, we had guided 17% to 18%. And in the next two quarters, we will catch up and we will be able to show growth of 17% -18%.

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So, we have not seen -- even if you look at our affordable, even though the size is very small because we started about eight months back. If you see whatever be the size, we are seeing significant traction given the number of branches and team size.

We have seen significant traction. We've been growing at about 60% quarter-on-quarter on the affordable. So, we have not seen that slowdown. However, even I have read many reports which spoke about a bit of slowdown in the segment.

Abhijit Tibrewal: Got it, sir. And sir, just one last question. My line also is too bad when you were explaining the ROA improvement and consequently, ROE also improving as leverage picks up. Is the understanding right that, obviously, we have reverse on the borrowing cost side.

Going forward, there could be potential credit rating upgrades, which could feed into an improvement in what the decline in borrowing costs at the same time. As you keep doing affordable, maybe yields can improve marginally from here, which suggests that margins could remain stable to a minor improvement.

But, in terms of your guidance of credit costs of 40 basis points for next year, opex, I don't know, how much of a room is there to further optimize opex. So just trying to understand, what is it that you

were telling about ROE expansion from next year onwards, '25 onwards?

Girish Kousgi: See in terms of opex, we will be more or less stable in terms of percentage will be somewhere between 80 bps to 90 bps. In terms of credit cost, I had guided 40 bps from coming year onward. This is blended. I'm not talking about short term. I think long term. 40 bps will be the credit cost given the blend of prime and affordable.

And the mix, as I mentioned, is changing. So incrementally, this year, we will probably, looks like, we will be at about 12% and add on Roshni out of the overall disbursements what we are going to do this year, and this will keep improving.

So, I think directionally, I think our effort is to ensure that we identify pockets where we can build book at a much higher yield on the prime side, increase Roshni penetration so that the yields would be higher and which will help us in better profitability.

On the opex side, we'll be able to maintain at the current levels between 0.8% to 0.9%. I think on the credit cost, it will be 40 bps coming around onward. I think this is the overall direction what we want to give.

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Yes, as the overall NPA has come down drastically, what would be the guidance or trajectory of NPA coming to the 2 - 3 quarter as well as the next 2 years?

Girish Kousgi: See, I think in next 3 to 4 quarters' time, we would want to be one of the best in the housing finance industry on asset quality.

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Onkar Ghugardare: Yes, I was asking about the net NPA trajectory for, say, next 2 -3 quarters as well as for next 1 - 2 years on a gross level?

Vinay Gupta: Yes. So, I think MD has responded. So right now retail GNPA is at 1.74%. We are trying to bring it down in line with any other comparable with housing finance company. And we shall be comparable on this parameter in the next 2 -3 quarters inline with any other well-managed housing finance company. Even on the credit cost, we have guided around 0.6% for this year and 0.4% from next year onwards.

Onkar Ghugardare: This in line with the other NBFCs or best in the class you are talking about?

Vinay Gupta: Yes

Onkar Ghugardare: For individual as well as for the corporate loan, right?

Vinay Gupta: Yes. Overall, yes, because largely, we are now retail, 96% is our retail loans. So, it's overall.

Onkar Ghugardare: Okay. Just wanted to know what are the cost of funds for this quarter and incremental cost of funds right now?

Vinay Gupta: It's almost same as previous quarter. We have closed this quarter at 7.99%, and incremental also is somewhere in the same range, 7.9%.

Onkar Ghugardare: Okay. And there were a couple of one-offs in this quarter, say, like for pre-provisioning profit and for NIMs and all that. So that would continue for the next quarter as well? Or that will normalize in the coming quarters?

Vinay Gupta: No, no, there are no one-offs in this quarter. One-offs were in the last year same quarter. So, for a comparable purposes, we have excluded and given a comparison. But this quarter, there are no one-offs. Even on the credit cost side, – I mean those one-offs are utilized for financing provision on corporate side and taking certain one-off on the retail side. But other than that, there are no one-offs in the financials in this quarter.

Onkar Ghugardare: Okay. Can you just highlight your guidance on ROA front?

Vinay Gupta: ROA right now is around 2.24% this quarter. It has been improving sequentially. Previous quarter was 2.1 %, and now we are at 2.24%. Our endeavour is to keep improving and keep working on it. I mean, we are not giving guidance on this. We have given guidance on the spread and NIM, which we have maintained.

Onkar

Ghugardare: As far as the gearing is concerned, you have already mentioned in the next 2, 3 years, you will be at 6.5 -7x, right?

Vinay Gupta: 6 to 6.5x is what we are trying.

Moderator: The next question is from the line of Kunal Shah from Citi Group. Please go ahead.

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Kunal Shah: So, the question is with respect to yields, given that now the focus is also going to be on the individual as well as the home loan portfolio. And given the ticket size of almost like INR29 lakhs and INR 32.5 lakhs in NHL, how do we see the risk in terms of the balance transfer given where we are in terms of the cost of borrowing?

And over last 3-odd quarters, how much has been pricing at par with, when we were growing the retail portfolio, how much have we been able to pass on in terms of the lending rates? So, if you can just kind of let us know in terms of the incremental lending rate particularly in this category of ticket size?

Vinay Gupta: Runoffs perhaps have been very stable and consistent. We have been in the range of 16% to 17%. This is total runoff, including the regular EMI payoffs and B Ts and foreclosures. The total there has been in the range of 16 % to 18 %. It used to be in the range of 22% -23%. So, it has been now in this particular range for the last few quarters, and we intend to maintain it. I didn't get your second part of the question; can you just repeat?

Kunal Shah: I just wanted to check what it's somewhere around 4.5% run rate for the quarter, which leads to like almost 18% in runoff. But just in terms of the risk on the yield side, because this is going to be extremely competitive. And have you seen the pricing path for us, maybe for the industry, if the rates have gone up, to what extent have you also have been able to pass it on over the last quarter in terms of particularly based on loan portfolio, how much is the lending rate increase that we have taken?

Vinay Gupta: So, we have completely passed on the entire increase that we have seen on the repo rate. So that has been completely passed on, roughly 240 to 250 basis points has been passed on. And this is the rate now on a steady-state basis after all pass on are done.

Kunal Shah: Okay. So incremental would be how much now on home loan and LAP?

Vinay Gupta: Incremental yield is between 9.6 % to 9.7 %.

Kunal Shah: 9.6% to 9.7 % compared to our book yield of 10 %?

Vinay Gupta: Correct.

Kunal Shah: Okay. And lastly, in terms of break up, so this INR45 crores, if you kind of help in terms of much will be write-back, how much was the write-off, and there is some recovery especially that you may highlight, was not able to give in terms of how much will write-off in the recovery. So INR45 crores is the net amount? Yes.

Vinay Gupta: Yes. So INR 199 crores was the write-back that we have got on resolution of one corporate account. And the net P&L impact is INR 45 crore. So, you can work out the math for the result.

Kunal Shah: Okay. And this entire amount would be write-off then largely, or it would be provisioning as well?

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Vinay Gupta: It is used for both for strengthening Stage 1 ECL on the corporate and for strengthening ECL

on the retail and for certain one-offs that we have taken on the retail side.

Moderator: The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Sorry to just continue with the previous participant question. If I look at your presentation in terms of the ECL provisioning, Q-o-Q, your total ECL provision has dropped from INR 1,485 crore to INR 1,196 crore. This is despite you taking the INR 245 crores kind of provisioning, which is the INR 199 crores write-back and the INR 45 crores to the P&L. So, is it fair to understand

that the overall write-offs would be somewhere around INR 400 crores to INR 450 crores?

Vinay Gupta: No, no, no. It's not.

Jigar Jani: So, can you just explain me the bridge as to why our ECL provision is kind of going down despite having write-backs and provisioning to the P&L?

Vinay Gupta: No, I think that we can take up offline. I mean that is like a lot of numbers, so we can take it up offline.

Jigar Jani: Sure, sir. No worries. And just wanted to know what is the incremental yields that we are doing on the affordable housing portfolio on the HL and the LAP side or we are just doing HL right now?

Vinay Gupta: Overall, as I said, it is between 9.6% to 9.7%. On the affordable side, our overall yield is around 11.5%.

Jigar Jani: And we'll be doing both HL and LAP here right?

Vinay Gupta: Yes. Both HL and LAP put together.

Moderator: The next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: Sir you said that on construction finance, you would want to grow this book back again. So, if you can throw some light in terms of strategy, like how you're planning to grow this book?

How much of the average ticket size? And what share we can expect from this book in an overall loan book?

Girish Kousgi: So, I think as a mix going forward, when we start doing corporate business, in the overall mix, this will be less than 10% at its peak. So, we will restart this business in a few quarters from now. And when we restart, we'll be focusing only on construction finance, will be picking choosy on builders and projects and locations.

Moderator: The next question is from the line of Harshvardhan Agrawal from Bandhan Asset Management. Please go ahead.

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Harshvardhan Agrawal: So just wanted to get some more colour on the write-off that you've taken on the retail part.

One is, could share the quantum of the write-off? And secondly, you gave some more colour as to what kind of ticket sizes those loans were -- were there specific in geography with the independent houses or apartments, if you can give some more colour on that, please?

Vinay Gupta: The write-offs, as I stated, it was on the P&L side, around INR 200 crores we had, which was available to us. The net P&L is INR 45 crores. So around INR 245 crores we have used between write-offs and for strengthening the PCR on Stage 1 assets of corporate. So, it is basically a combination of these two that's where funds have been utilized. It was largely doubtful 2, doubtful 3 categories of assets.

Harshvardhan Agrawal: And so, this like what ticket size of loans that we had written off?

Girish Kousgi: These are normal retail cases. So, there is no any -- no specific pool as such, but these are normal retail cases, which were in NP A in doubtful 1 and 2 category.

Harshvardhan Agrawal: Sure. And then just one last thing as to because the guidance that we have given on the asset quality, it tends to increase from further year on. Any such one-off write-offs that we planning in future quarters?

Girish Kousgi: As of now, there is no plan. There is no plan for any one-off in future. We'll not be able to comment on that. But definitely, as our endeavour is to try and bring down the NPA on retail side as well. I think largely it will be driven by collections and legal.

Moderator: Thank you. We have the next question from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg: A couple of questions. Firstly, sir, what was our BT out rate for this quarter and for the last couple of quarters?

Vinay Gupta: See, overall, we have given a runoff rate of 16% to 18%. This includes normal runoff as well as BT and foreclosure. It will be somewhere between 7% to 8% only for BT.

Bhuvnesh Garg: And

what was it for Q1 and Q4?

Vinay Gupta: Q1 was also -- it is in the same range for the last few quarters. It used to be in the range of 9% to 10%. It has come down to the level of 6% to 7% now for the last few quarters.

Bhuvnesh Garg: Got it, sir. Okay. And in terms of growth, if I look at on our slide six, that we have growth path

for retail loan book. So, in Q2, I mean, our retail loan book has gone by INR 1,493 crores, similar slightly lower than what the growth was in Q1. But generally, what we have seen that Q2 is a better quarter than Q1. So, what explains this lower growth in retail loan book?

Girish Kousgi : No, retail has grown better in Q2 than Q1. And if you look at disbursement sequentially also there has been a good 13.5% -13.6% growth over quarter one.

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Bhuvnesh Garg: Right, sir. But in your slide six, top left here, I see from April to June, INR1,507 crores and then from June to July to September, INR1,493 crores. That is the increase in retail loan asset.

Just want to understand ?

Vinay Gupta : Yes. There is some impact of write-off in that, so hence it is looking lower. But if you see gross disbursement, that has grown 14% quarter-on-quarter.

Bhuvnesh Garg: Got it. And sir, considering that our total disbursement for H1 has grown at about 13% Y-o-Y and we are guiding for 22% Y-o-Y growth for full year, so what gives you confidence that it will accelerate in next two? So, what are the key trend driver that you are witnessing?

Girish Kousgi : So, I think last three, four quarters, as I mentioned earlier, we were really working on -- trying to change some of this mix, profile mix, product mix, geography mix, moving away from super prime completely and moving to prime and affordable. So, we were focusing on all these things and therefore it was by design consciously we had to grow at this level.

And H2 is always better than H1 and within H2 you will see that quarter 4 would be really very good compared to quarter 3 and quarter 3 will be far better than quarter 2. And we will cover up in quarter 3 and quarter 4. So, which is what I mentioned earlier as well, 17% to 18% of a book growth and 22% to 23% of disbursement growth is well in sight.

Bhuvnesh Garg: Got it sir. That's it from my side. Thank you. Good answer. Have a good day. Thank you.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi: Thank you. Sir, my question is regarding your comment -- in your comment in press release, the INR 160 crores one-off in Q2 financial year '23. And so, it excludes NII grow 35% year-on-year. So please elaborate this INR 160 crores one-off income. Its comment was not in last year Q2 results also. So...

Vinay Gupta : See, as I said, whenever there is a benchmark rate reset, even on the securitized book, you have to change the rate for that book. And you have to take an upfront gain. So that upfront gain came as a one-off in Q2 last year when we changed our rate reset by around 100 basis points. So, it was one time gain that came last year, which is not there in the current quarter. So hence, it has been called out separately.

Ravi Naredi: And the next question is regarding the COVID -19 related stress assets, INR1,600 crores approx. So, what is the average tenure of this exposure? And what is your assessment related to this exposure?

Girish Kousgi : So, I think you're referring to restructured pool. So, the tenor is on par with the entire portfolio tenor. So, there is no difference. But for only changed that during the restructuring period, some of these customers would have opted for moratorium -- interest moratorium, which could be for maybe ranging from three months to 12 months or maybe 15 months. So otherwise, the tenor is broadly in line with the entire portfolio,

retail portfolio.

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Ravi Naredi: Okay. thank you, sir.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Thank you for allowing me a follow up. Just one question. Girish, your opening remarks talking about restarting construction finance in a couple of quarters. You'd also mentioned the ticket size that you're looking for. Can you just elaborate on that? What ticket size you're looking for?

Girish Kousgi: So yes, we are still working on that, but there is a plan to start corporate business. very shortly, could be two, three quarters from now. So, when we restart, we'll be really pick and choosy. We will do corporate business more from a strategic point of view, which could enable our retail growth. Ticket size would be about INR150 crores to INR200 crores. That is what we would be looking at. And we'll be very pick and choosy on the developer projects and we will do in select locations.

Abhijit Tibrewal: Got it, sir. And sir, typically, this projects that you're planning to do, I mean I understand, I mean, maybe two, three quarters away too early to comment given that maybe you've not started working on this piece yet? But broadly will the yields in the corporate book that you

will be building be lower than the yields that we have in retail today?

Girish Kousgi: Not at all. I think the yield on corporate will be much higher than the retail book. But yes, I know since we are going to focus on select developers, good developers, the yield may not be significantly higher than the prime yield. But definitely, if you compare to, let's say, a affordable business, Roshni, it will be on par or maybe slightly less than that. Because today, Roshni our yield is about 11.5%. I think this would increase over a period of time and this could grow beyond 12%. So even the corporate book yield would be on similar lines.

Abhijit Tibrewal: Got it, sir and that's all from me. Thank you so much.

Moderator: Thank you. We have the next question from the line of Varun from Kotak Securities. Please go ahead.

Varun: Hi, sir. Thanks for giving me the opportunity. So, if I look at the restructured book, that was about INR 1,700 crores. And there is some movement of that into NPAs and some of it has been on paid off. There's still some INR 1,500 crores in the standard book. So, is this coming out of resolution or have some all of it moved out of moratorium where are they right now in stages and what's the provision?

Girish Kousgi: So as of now, there is nothing in the restructured window. So, all those cases, which were restructured, EMI have fallen due, and they are servicing. So, whatever we see today in various stages, Stage I, Stage II, Stage III is post the completion of a restructured period.

Varun: And are there any additional provision on this restructure or as per ECL model, that's what you've provided?

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Girish Kousgi: There is nothing additional.

Vinay Gupta: As per retail ECL model, the provisioning is done.

Moderator: Varun does that answer your question?

Varun: Yes.

Moderator: Thank you. We have the next question from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Yes, you were talking about overall loan book growth of 17% -18%. That was only for retail category or overall loan book you're talking?

Girish Kousgi: The retail category, because corporate we are degrowing and by the time we start, it will take another two to three quarters. So, the growth what we were talking was only on retail.

Onkar Ghugardare: And what about the overall growth there?

Girish Kousgi: I think more or less, it will be in line because today, if you see out the over

all portfolio, retail is

about 9.6%. And even if you see -- and even if you see what the book was last year, I think the gap is going to be about maybe 3% -3.5%, otherwise -- largely the growth is going to come from retail till we start corporate.

Onkar Ghugardare: So overall growth would be similar to the retail?

Girish Kousgi: 17% to 18%, what I mentioned was on retail.

Onkar Ghugardare: Yes, correct. But once you start growing the construction finance?

Girish Kousgi: construction finance, it will be a very small business for us. At its peak, it will be less than 10% of the entire portfolio.

Onkar Ghugardare: Okay. And right now, the retail is consisting around 9.6% of the overall loan book?

Girish Kousgi: Yes.

Onkar Ghugardare: Okay. All right.

Moderator: We have no further questions on the queue. I would now like to hand over to the management for closing comments. Over to you, sir.

Deepika Gupta Padhi: Thank you, everyone, for joining us on the call. If you have any questions unanswered, please feel free to get in touch with Investor Relations. The transcript and audio of this call will be uploaded on our website. Thank you.

Moderator: Thank you. On behalf of PNB Housing Finance Limited, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2024

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Internal

Ref: PNBHFL/SE/EQ/FY24/ 99

Date: January 30, 2024

The BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
The National Stock Exchange of India Limited,
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on January 24, 2024

Ref: Our letter PNBHFL/SE/EQ/FY24/93 dated January 24, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript in respect to the earnings call held on January 24, 2024 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2023 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above intimation and documents on record .

Thanking You ,

Yours faithfully,

For PNB Housing Finance Limited

Sanjay Jain
Company Secretary
Membership No. F2642
Enclosed : As above

January 24, 2024

MANAGEMENT SPEAKERS :

MR. GIRISH KOUSGI MD & CEO

MR. VINAY GUPTA CFO

MS. DEEPIKA GUPTA PADHI HEAD (INVESTOR RELATIONS & TREASURY)

PNB Housing Finance Limited

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Internal Moderator : Ladies and gentlemen , good day and welcome to the Q 3 and 9M FY 202 4 Earnings Conference Call of PNB Housing Finance Limited.

As a reminder, all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing "*" then "0" on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi – Head, Investor Relations and Treasury. Thank you, and over to you.

Deepika Gupta Padhi: Thank you, Yashashree . Good evening and welcome everyone.

We are here to discuss P NB Housing Finance Q3 and 9M FY23 -24 Results . You must have seen our business and financial numbers and performance in the presentation and the press release , which was shared with the stock exchanges and is also available on our website.

With me, we have our management team led by Mr. Girish Kousgi – our MD and CEO. We will begin this call with the "Performance Update " by the Managing Director and CEO followed by an interactive Q&A session.

Please note this call may contain forward -looking statements, which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risk and uncertainty that may cause actual development and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statement to reflect future events or circumstances. A detailed disclaimer is on Slide 31 of the Investor Presentation.

With th at, I will now hand over the call to Mr. Girish Kousgi. Over to you, sir.

Girish Kousgi: Good evening to all the investors. Welcome to Earnings Call .

Considering the transformational journey since Quarter 3 of last year, I must say this is a good quarter. In the last 4 years, that is 16 quarters, the last 3 out of 4 quarters have been the highest in disbursements and also book growth on retail. 3 out of 4 quarters has been about Rs. 4,200 crores to Rs. 4,400 crores of disbursement.

So, we were at about INR 1,000 crores of book growth one year back. So, quarterly book growth was about INR 1,000 crores. Now, we have reached a level of about INR 1,600 crores. Last year, Quarter 4 was an exception where we had grown the book by over INR 2,500 crores.

So, I had guid ed book growth of about 17% in retail. I think that has to be moderated. In YTD, we are at about, you know, if I have to compare on a Y-o-Y, December end, we are at about

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Internal 13.2%. So, it looks like this year we will end up with a book growth of around 1 5%. However, for the coming year, the guidance on book growth is at 17%.

Disbursements:

On disbursements, we will be near to 22% in terms of growth over last year. There were certain

challenges, now which are all resolved. Of course, in Quarter 3, we had two challenges. One, of course, in terms of Chennai floods. So, both our prime and affordable business has a bit of dependency on business from Tamil Nadu. So, that had a bit of challenge, a bit of an impact. So, we also had some internal challenge in the West in terms of the portfolio. So, we had to tweak the policies. We had to reach the teams. All of those things are resolved. So, if you also look at West, West incremental shares which used to be about 35% had gone down to 28%. While we were quite bullish on the South, the South, which was about 31% has gone up to 37%. So, now all of those are sorted. So, we expect West to come back. So, we will see growth coming back in Quarter 4 more than what was in the past.

Corporate:

On corporate as per plan, we ran down the

book from INR 18,000 crores to about INR 2,200 crores.

In terms of the restart, it is not a priority for us as of now. So, we will see in the future. We also had tactically taken a few calls in terms of de-risking portfolio. So, now if you see out of the overall portfolio, retail is 96.5% and the balance being corporate. So, there was a bit of focus on the profile mix. So, there was a slight skewness towards salaried. We moved away from high value to low value and mid-size value ticket size.

So, there was also a bit of a tweak in the product. So, our focus was slightly more on home, vis-a-vis compared to non-home. And even now we are focusing up to 1 Cr. As you are aware, there has been a rating upgrade by India Rating from 'AA' to 'AA+'. So, now our focus is completely on retail, no high value sourcing, a little skewness towards the salaried and a little skewness towards home.

We have been strengthening geographical mix. I have spoken to you that South is a good market which will get us good business and also at a little higher yield. So, we have been focusing on increasing our South contribution overall mix.

We were also trying to be future ready and therefore we had taken a call to increase the branch network both in Roshni as well as Prime. So, as I had indicated earlier in my various interactions, Roshni by March we will be at 160 branches and Prime will be close to 140. So, overall total branch network by March will be around 300 branches.

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Internal

Roshni:

And also on Roshni, since we had started this business about a year back, I think consciously we were operating with certain product suite. Now we will expand that and there will be an upside in yield which is currently about 11.5%-11.6%. So, this yield will go up to 12.5% from April onwards because we are now opening up all the product suite which was by design.

In addition to our initiative of starting Roshni to scale up business and also to get better yield, we are also now planning to come up with emerging market. So, this will be dedicated about 40 to 50 branches which would start from April and these branches would focus on higher yield business. So, this is by design. So, we will have three verticals. We have Prime, Roshni and from April, we will have emerging markets and the number of branches could be about 40 to 50. So, this by design would be sourcing business at a higher yield. The yield could be about 35 to 40 bps higher from our current Prime yield.

Deposits:

On deposits, earlier it was a call to manage the concentration risk, which used to be about one third of our entire liability profile. So, now in the last two quarters we are growing. So, there will be a focus on deposit growth in future as well.

Happy to share that PNB Housing, now we are a Great Place to Work. So, this is for November 23 till November 24. This obviously means stability and a motivated team.

Cost of borrowing:

On the cost of borrowing, there has been an upgrade in rating as all of you are aware. We have got sanction of INR 3,000 crore from NHB, and we have drawn the first tranche. So, this would help us in bringing down the cost.

Deposit book is growing, and deposit comes at a slightly lower cost. So, that would also aid in terms of bringing down the cost of borrowing. And now we are more active in wholesale debt market both in terms of CP as well as NCD and we are in continuous negotiation and discussion with banks for a possible repricing.

Collection:

On collection, the focus has been on cash collections and OTS. So, we have a good pool in auction bucket. So, quarter three, there was lot of focus on auction. So, that will now materialize in quarter four. So, quarter three saw maximum number of auctions. So, this was the highest ever. Effort is now on sale of property and whatever auction we have done in quarter

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Internal some bit of auction work we have done in Jan, we will try to realize that in quarter four. Efficiency across buckets in collection starting from X bucket, SMA -0, SMA -1, SMA -2 has improved.

Recovery:

On recovery especially in corporate, so we have one account which is an NPA, and we had mentioned that you know we will be resolving that. Now, as per the plan, we are expecting a complete resolution in Quarter 4. And we have a few accounts which are in write-off. So, we have a good amount of write-off pool. So, we are in discussion and some of the accounts are in final stage of discussion. So, there could be a possible write-back which will start from Quarter 4 onwards on the corporate side. Even on the retail, we have a good pool from where we can expect write-back. So, this also would start from Q4 onwards and it will continue for next few quarters.

Credit cost:

In terms of credit cost, we had guided 60 bps for the year. For H1 it was 31 bps. I think first 9 months it is 32 bps. Quarter 4 will be in line with the existing credit cost. So, I had mentioned 60, I think it will be about 31-32 bps and I think even for next year it will be on similar lines. I would request Vinay – our CFO to cover the performance highlight and then we can open up for Q&A.

Vinay Gupta: Good evening, ladies and gentlemen.

I am pleased to present an overview of our "Financial Performance" for the Q3 and 9 months ended FY '24.

You must have seen our PAT reported is around INR 338 crores for the quarter. It has grown 26% year-on-year. For the 9 months, the PAT is INR 1,069 crores, which has grown 39% year-on-year. Our total revenue is INR 1,752 crores as against INR 1,795 last year and INR 1,777 in Q2. For the 9 months, it is INR 5,233 crores versus INR 4,885 crores.

Net interest income declined 19% year-on-year and 10% quarter-on-quarter to INR 595 crores. However, during both Q3 FY '23 and Q3 FY '24, there were one-offs in the securitization income line. Excluding one-offs, the net interest income is INR 622 crores, which is flat year-on-year due to a gradual shift in our mix towards retail. Since the corporate mix is coming down, there is a gradual shift in the overall yield mix, which is causing this hit. On the 9-month basis though, our net interest income has grown by 7% at INR 1,884 crores.

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Internal The yield and cost of borrowing is at 10.2% and 8.07% respectively for Q3. Excluding one-offs in yield and cost of borrowing, the number stood at 10.3% and 7.98% and the spread is at 2.12%. Excluding one-off, spread is 2.3% and the NIM is 3.49% for the quarter.

We have given a walk also reported an d ex-one-off numbers in our investor deck which is there on the Page #21 to clarify the numbers reported as well as ex-one-off.

In Q3, OPEX grew 35% Y-o-Y and remained flat Q-o-Q. We continue to invest in Roshni branch expansion and upgradation of IT infrastructure and royalty expenses, the incremental spend that has come in the current financial year.

Credit cost continues to be in the similar range at 34 bps for Q3 and for 9 months is at 32 basis points. ROA has improved for the 9 months at 2.08% versus 1.61% in the last financial year. ROE is 10.5% for the 9 months of FY '24. Capital adequacy remains strong at 29.53% as on 31st December with Tier 1 at around 27.97%.

Thank you. This is the brief on financial performance.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Ashwini Agarwal from Demeter Advisors LLP. Please go ahead.

Ashwini Agarwal: So, my first question is with the net interest income drop, right? You have the yield compressing and the cost of borrowing going up. Now, I understand

some of the yield compression is because

of the change in mix, corporate going to retail and leaning towards salaried.

So, I have multiple questions here. One is that, how do you get the drop back up or do you think that this is the new normal? Number two is linked to that; this is the AA+ rating, what does that do to your cost of borrowing? What should we expect the net interest margin or the spread to look like both for the 4th Quarter as well as for Fiscal Year '25? That's my first question.

Vinay Gupta: So, as you rightly mentioned, yes, there are certain impacts of the corporate book running off and moving towards the safer segments. Going forward, there are two reasons, you know, why the spreads can improve.

One is on the cost of borrowing front. As you mentioned, the ratings have improved. Plus, we

have also got access to the NHB funding now. So, these two factors should help us in improving the cost of borrowing. Even if you see the incremental cost of borrowing, it has been declining. And we should see some benefit of this coming up in the next one to two quarters. Even on the rating part, now that we have got an upgrade, we would be working with most of the banks to revise the spreads and get some benefit on the existing borrowing as well as on the new borrowing. That is one.

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Internal Second, as the Roshni mix improves, there is going to be a kicker on the yield. And secondly, as Girish mentioned, we would be moving towards an emerging market segment within Prime to get or target higher yield segments. So, that will also give a kicker over the next few quarters. So, this is how we are trying to manage.

Girish Kousgi: Just to add to what Vinay said, on Roshni, as I mentioned, we will be operating in a lot of the segments which we have not till now. So, that would start from April. So, we expect to take the yield up from 11.5% in Roshni to about (+12.5%).

Ashwini Agarwal: So, if I think about, you know, could you quantify the benefit on cost of borrowing both from the NHB refinancing that has become available to you as well as the rating upgrade? I mean, quarter on quarter, the cost of borrowing declined by one basis point. I mean, what do these two events mean to cost of borrowing?

Girish Kousgi: So, one is, see, on the NHB, there is a sanction of INR 3,000 crores and we have taken the first tranche. So, there is the difference, if I have to compare now with my cost of borrowing and the rate at which we get from NHB, which is blended for refinance and affordable housing. So, now there will be a gap of about 60 to 70 bps. So, that is the gap because earlier this gap is to be slightly higher. Now with repricing, so, the gap is going to be around 60 to 70 bps. So, that is number one.

And number two, as we mentioned, now we are engaging with all the bankers, and it is a constant effort to get the rate repriced on the lower side. And on the business side, the mix will keep changing because we just started Roshni about a year back and now, we are going to start emerging market verticals. These two would operate at a very different yield.

On Roshni, as I mentioned, we have a plan to take the yields up minimum by 100 bps and this is from April. And even this emerging market, this vertical also will get started from April. So, one, it will help us to grow. Number two, it will also help us to get a better yield. And on the other side, on the cost of borrowing, there is some scope there for us to bring down the cost.

Ashwini Agarwal: Girish, if I recall, what you had said almost a year ago was that over a period of time, the spread will definitely come down from where they were. But you were still confident of keeping them at around 275 basis points, give or take, and net interest margin 3.75 to 4. bps. But you are running much lower than that, especially on the

spread part. Where do you think you want to be 1 - 1.5 years from now?

Girish Kousgi: It is like this. See, if I have to talk about margins, I think NIM will be around 3.5% and let's say on the fee it will be about let's say around 30 bps. So, it will be about 30 bps on the fee. In terms of yield by changing the mix and getting into new and starting a new vertical, getting into new segments, so, this will keep changing. The mix will keep changing. So, on NIM will be around 3.5% and on the spread, it depends on the movement but on NIM will be around 3.5% and fee

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Internal today it's about 25 bps. So, that will be about 30 odd bps and the yield because we are now focused on retail and within retail now, we will be operating in three different segments Prime, emerging markets and Roshni, emerging markets and Roshni will give us a kicker on the yield.

Ashwini Agarwal: On the spread, do you think 2.5% is an unrealistic target?

Girish Kousgi: See, it all depends on how the interest rate market pans out in next couple of quarters. Obviously yes, you know, at that point in time, obviously, we were at a much higher and even today if you look at ex-one-off, we are at about 2.31% and this has, see, today, we should also look at one more thing. See, corporate book is degrowing, right? Even if you have to compare it with last quarter and this quarter, there has been a drop of about 22% on average basis in the Corporate loan book.

So, if we take standalone, I think, see, if you have seen even for Quarter 3 some of the companies which have announced results, so there has been a contraction on the spread and yield, right. Now for us the impact was because of whatever reasons we mentioned earlier. I think the point to take away is that we had guided for 60 bps of credit cost for the year and that now looks like 31-32bps for the whole year. A. B, and this would also continue for the years, at least for next year and next to next year. That's number one.

And number two, we have a large pool where we have a write-back opportunity, both on corporate and also on retail. So, if you look at the ROA profile, I think it will be 2%+.

Ashwini Agarwal: Sir, second thing is on the growth. I mean, at the end of the day for sustainable ROE to emerge of, say, mid-teens or slightly higher than mid-teens are 16-17%. We need to see a much better leverage on the book and therefore growth. And this corporate reducing, even when the retail is going up, has been holding down growth. You mentioned that for Fiscal '25, your desire is to grow the retail loan book by 17%. And my question is, why not more? Because the market leader has vacated the lower end space of 50 lakhs or less. That's what we hear from the street and from your competitors. And from whatever we can observe, there is a lot of real estate activity. So, what's holding down growth or why are you growing only at 17% and not higher given how strong your balance sheet is?

Girish Kousgi: Very good question. So, actually, if you see where we were a year back, you know, obviously, we had to move a lot of pieces. We did a right issue, raised capital. We brought down corporate GNPA. We brought down retail GNPA, you know, as a strategy both by collection, OTS, sale of property and one-off. Right? So, this is a transformational journey and now we are almost about one year since we started this journey.

Now, to answer your question, I think the growth could be more, but we want to balance growth with profitability. So, that is the whole point because end of the day, growth is important, profitability is important. So, we need to manage both of these things. Given the fact that we are

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Internal still through the transformational journey, you

know, obviously, we need to work on a lot of things and that's the reason 17% growth.

Moderator: Thank you. We have our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Sir, first, if you could help understand what are the one-offs on the interest income line in this quarter?

Vinay Gupta: Abhijit, one-off in the current quarter is on account of MCLR changes that have happened on the securitized pool. So, that has given a one-off of around INR 16 crores in the interest income line.

Abhijit Tibrewal: So, this was, I mean, a negative impact on your interest income.

Vinay Gupta: Negative impact. Right. And on the interest cost line also, there was a one-off of INR 12 crores, which we had to pay at the time of maturity of certain ECBs, which was not amortized earlier.

Abhijit Tibrewal: So, I mean, that was my second question. I mean, you have already given in your presentation almost INR 12 crores on account of ECB hedging. So, very clearly in your borrowing mix, you can see that there are ECBs which have got retired in this quarter and because of its impact of INR 12 crores, but please correct me if I am wrong from what we have always understood, the ECBs, which are raised by NBFCs and HFCs, they have to be fully hedged. So, at the time of maturity, why was this outgo of INR 12 crores?

Vinay Gupta: No, it was fully hedged. There was a minor difference of some paisa in the rate at which it was taken versus the rate at which it was hedged. That was more of an operational delay, which we had to bear at the time of maturity. So, this was only specific to deal that got matured in this quarter.

Abhijit Tibrewal: And Sir, in terms of guidance and what you have said until now, from what I could make out, for FY '24, you have moderated the retail number guidance to 15%, but you have maintained for FY '25, the retail number guidance at 17%. Likewise, on credit costs, you are suggesting that having seen nine months of this fiscal year, we could potentially be doing 31 to 32 basis points in this fiscal year and then for the next year as well, you are now guiding for a similar level of credit costs of 30 to 35 basis points. Is that correct?

Girish Kousgi: Yes, it's correct.

Abhijit Tibrewal: Now, just two questions that I have. The other thing I wanted to understand is this quarter, we have added 12 branches and in the 4th Quarter, we are planning to add another 85 to 88 branches to reach that guided number of 300 branches.

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Internal Girish Kousgi: Correct.

Abhijit Tibrewal: So, the last part of the branch additions will come in the 4th Quarter.

Girish Kousgi: No, in fact, a lot of work has happened in quarter three in terms of identifying the premises and all of those things are done. We declare branches open only when it is ready and when we, you know, after intimating and once it is ready and when we start the operation. So, we by March will be at 300 branches. So, a lot of work has happened in quarter three.

Abhijit Tibrewal: And sir, last question that I had was on the disbursement momentum that we saw during this quarter, sequential decline, something we not usually used to see among HFCs, disbursement decline from the second quarter to third quarter. I think in your opening remarks, you were trying to talk about some disruption that you have seen. So, if you can just recover that again, what kind of led to a sequential decline in disbursements?

The related question I had was on slide number 21, where you have given your P&L reported as well as excluding one-offs. I mean, very clearly in this quarter, what really changed led to a 20 - 21 basis points compression in margins or 20 basis points compression in spreads where very clearly we have not really acc

elerated disbursements. So, was this more in the nature of trying to retain customers so that the book run-off is lower, wherein you had to offer lower interest rates to customers because this is just one quarter that I am talking about, not full year. What really led to this kind of a compression in margins in spreads or yields for that matter?

Girish Kousgi: So, I think let me take the first question. So, what I had mentioned was in this quarter, in quarter three, we had certain challenges which were both internal and to a certain extent external. I think it was more internal. As I mentioned that we had, I spoke about West, how the market share is changing. I spoke about the South, how it is changing, that had an impact. Now we have fixed in terms of leadership, in terms of team, in terms of trade policies, all the tweaks, because we had to ensure that the portfolio what we build is of the same quality. That is one reason. And second, we also had an impact in quarter three, because for us Chennai floods had a bit of an impact and to a certain extent on pricing, what you said that in terms of retention, in terms of book depleting and also I think to a large extent talking about the yield as I mentioned that corporate book is depleting.

So, these were the reasons, and which is why I was mentioning that, directionally we want to ensure that there is growth and see if you look at one year back, we were at about 0 or negative and now on retail we have reached a stage of 13.2%.

So, it looks like this year we'll end up with around 15% maybe give or take 25 bps, 30 bps now which is why I'm saying that for the coming year the growth is going to be 17% why not more?

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Internal answered that why not more because we need to manage both profitability and growth. Second question, I'll request Vinay to address.

Vinay Gupta: So, the second question first is with respect to the mix change. So, if you see the last quarter our average corporate book was around INR 3,000 crores which has now come down to around INR 2,200 crores. So, while we resolved this one NPA account last quarter that was also giving some income. So, that has led to a drop or change in mix from corporate to retail.

Second, with respect to as you rightly said due to address competition in certain select geographies we have booked business at a slightly lower yield in this quarter to address the competition. These are the large two reasons for the drop that you see.

Abhijit Tibrewal: Vinay sir just trying to understand this the first thing that you said about change in mix from corporate to retail last quarter there was interest income that was booked from the corporate NPA account which got resolved and because it got resolved last quarter, this quarter there was no contribution from that corporate NPA account in interest income?

Vinay Gupta: Yes, correct

Girish Kousgi: Because the recovery was both (P+I) Principle plus Interest. So, there we had an upside on the interest.

Moderator: Thank you. We have our next question from the line of Renish Bua from ICI CI Securities. Please go ahead.

Renish Bua: Sir, just two questions from my side one on this write-backs which you are expecting over the next two to three quarters. So, can you please quantify I mean what kind of write-off we have, and you know how much of that is on the block or let's say very close to resolution?

Girish Kousgi: So, I won't be able to quantify, but yes on the corporate side we have a total pool of about INR 1,700 crores. On the retail we have over INR 500 crores. So, we have an aggressive strategy for write-back. So, you will see that panning out from this quarter onwards. So, why I'm saying this quarter is because in corporate we've been working since last one year and on the retail side we had to move all the a

ccounts to the stage of auction and then of course we will start realizing that and therefore I'm saying it will start from this quarter and it will pan out in next three to four quarters time. So, we have a good pool both on corporate and retail. So, there will be a good opportunity on write-back.

Renish Bua: Sir, you also mentioned about one large corporate account getting resolved so this is from the write off pool or this is from let us say ...

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Internal Girish Kousgi: No, it is not large. What I mentioned was there is one NP A account incorporate so that we are expecting resolution in Quarter 4 and from the write off pool we have few accounts which we are working on. So, which will materialize.

Renish Bua: When we say this credit cost guidance of 35 basis point this is after considering this write -back or this is x write -back?

Girish Kousgi: So, I had mentioned that first 9 months you've seen credit cost of 32 bps . So, Quarter 4 would be similar trend and coming it also would be similar trend and this is not netting off from the write -back .

Renish Bua: So, write -back will be the upside risk or let us say downside risk to our credit cost guidance?

Girish Kousgi: That is right. So, I think to put another word that write -back opportunity is not budgeted then when we said that coming year credit cost will be on similar lines.

Renish Bua: Sir, again just circling back to the yield slide on 21 wherein our asset yield has moderated from 10.48 % to 10.29 % which is sort of adjusted for the one -offs. So, this entire reduction is purely because of the competition or let us say is there something else is also there let us say we are shifting from a sub -prime to prime or maybe prime to super prime customer segment. I mean how one should break up this?

Girish Kousgi: In terms of segment change the yields will improve. So, today if you look at our yield it is comparable or maybe slightly better than some of the other companies. If you look at the yield let's say on retail, it is actually comparable or slightly better. So, when we say that we will get one is in terms of scale up there will be a good traction in Roshni in Quarter 4 and coming year number one. Number two as I mentioned we'll be starting a new vertical called emerging market that is from April. So, these two will be a lift in yield and the third thing is that on Roshni as I mentioned that we will also be focusing on certain segments, certain programs which we are going to open from April. So, will overall yield from Roshni will be 12.5% from the current 11.5% and emerging market will give us a yield upside from the prime of about let's say 35 to 40 bps.

Renish Bua: No, I think directionally I got you, but I am just more specific for the quarter -to-quarter movement wherein our asset yield has dropped from 10.48 % to 10.29 % so what is driving that I mean it is purely because of the competition or is there something else?

Girish Kousgi : No, there I mentioned one is corporate is degrowing. So, as Vinay mentioned that last quarter average corporate book was INR 3,000 crore and now it is INR 2,200 crore which is a significant drop and that would have an impact on yield so that is one coupled with we also I told you that it could be one is market second is in terms of book retention. So, all these three as a combination

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Internal no there was impact on yield, but if you see largely, it is the corporate degrowth and since the book is now degrowing the impact would keep reducing over a period of time.

Renish Bua: And sir last question from my side on the NIM side so adjusted for one off our NIM stands at 3.65% in this quarter wherein non guiding, but maybe we are expecting NIM to settle around 3.5% which is still 15 basis point

lower than the current NIM, so where do you see this NIM

contraction happening it is because of the cost of borrowing will reprice in coming quarter or do you see the competition will keep on impacting the yields ?

Girish Kousgi: Actually, it is balance of both yield and cost. So, around 3.5 % is what I mentioned. So, yield will definitely because of change of mix yield will better and also cost of borrowing the expense it will come down. So, as a combination of these two initiatives I had mentioned the yield.

Renish Bua : So basically, we are expecting NIM to contract , when we say 3.5 % because our current NIM is 3.65%, so if we are expecting our cost of borrowing will come down and maybe let us say in the best-case scenario yield will remain where it is not factoring the higher yield, so in that case our NIM should sustain at current level 3.65 %?

Girish Kousgi: You are right so NIM will be around 3.5 %.

Moderator: Thank you. We have a next question from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: The question is on the borrowing side so if we look on the deposit now what would be the strategy with respect to deposit raising given even in the harmonization it was highlighted with respect to the public deposit on there so that's particularly the question?

Girish Kousgi : So, in fact, as you might be aware there is a draft circular issued by RBI and till 29th of February there is time for all the companies to give their feedback and comments. This is that the circular would be finalized and probably it might get circularized maybe in a month or two. So, as of now if we have to see that 1.5 down from 3 times, I think there is enough headroom for us to grow on deposit. So, however we need to see what the final circular says and then we need to

align to that, but as of now considering the current NOF there is enough headroom to grow. Even our SLR is 15.5% as against 13% required.

Kunal Shah: So, maybe slight we are marginally higher than the requirement, but still in terms of incremental irrespective of whatever comes out in the final guidelines would there be a change in strategy in terms of bringing the mix of deposits down we have started to raise from the bond market as well this time CP's were also raised. So, how are we looking at the overall borrowing profile?

Girish Kousgi: No, I am only saying the cost of deposits for us is now lower. So, the idea would be to grow our book. So, it all depends on the final circular, but I think as of now because the deposits long term sticky instrument where we can leverage, but however it all depends on the final circular. As of

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Internal now there is enough headroom as of now the plan is to grow deposits not very aggressively, but definitely to grow the book.

Kunal Shah: And secondly in terms of the balance transfer so just coming back to the question on yields in terms of the decline outside of the one-offs. So, was there any balance transfer or maybe in terms of slightly downward repricing of the book which whatever happened, or this is purely the mix-change which is linked to this?

Girish Kousgi: It is a combination because balance transfer has been there in the past as well and it is on a continuous basis. The only change is that let's say a year back we were at about 21% run-off now it was down to about 16.5% and out of the 16% there will be a combination of normal EMI payments then for closure, part closure and balance transfer.

Kunal Shah: So, 16.5% is the overall repayment which we could see from the AUM and the disbursement?

Girish Kousgi: That is the overall run off; BT is about let's say it's around 7%.

Moderator: Thank you. We have a next question from the line of Sanket Chheda from DAM Capital. Please go ahead.

Sanket Chheda: Most of the questions were answered just I missed

this INR 16 crores one-off on yield what was that on account of?

Deepika Gupta Padhi: That was on account of securitization MCLR change in securitization that is INR 16 crores.

Sanket Chheda: And secondly on the guidance for this year of about 15% on retail growth so far in YTD we have grown the retail book at about 8.5% in Q4 to be 6% we might need about sequential growth of about INR 6,000 crores of disbursement. So, we think we will do that from say the current INR 4,100 or INR 4,200 run rate?

Girish Kousgi: Two things one is our retail book growth is now 13.2% because corporate we are not doing corporate business now and corporate book is degrowing. So, always the growth was on retail.

So, we had guided 17%. So, we are at 13.2% now so this quarter we will cover up it obviously we have to moderate. So, it will be around 15%.

Sanket Chheda: I was talking of YTD, but yes, it's okay.

Girish Kousgi: I am saying March-to-March.

Moderator: Thank you. We will take our next question from the line of Abhay Modi from Helios Capital. Please go ahead.

Abhay Modi: I have couple of questions first is what is your incremental yield in the retail book?

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Internal Vinay Gupta: 9.6% on the retail book.

Abhay Modi: 9.6% this is the incremental or this is the book yield?

Vinay Gupta: Incremental.

Abhay Modi: And what percentage is salaried loans for you?

Vinay Gupta: On a book it is 60% and on incremental it is around 63% to 64%.

Moderator: Thank you. We have a next question from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: You said that your prepayments are closer to around 16% -odd and that BT out rate is 7 to 8%. So, how are you seeing this number panning out in FY25?

Girish Kousgi: I think BT generally if you look at the trend for the last two years for any company for that matter and given our portfolio composition, I think it should be in the same range about 7% to 7.5%.

Anusha Raheja: And the prepayments are also likely to be at around 16% -odd?

Vinay Gupta: Yes, as I told you, it used to be higher a year back. So, we had lot of strategy around it. We have a strong retention team, and we have a very strong customer-focused retention policy. So, with all of those things we had brought down that from 21% to about 16.5%. So, it stabilized at about 16%-16.5%.

Anusha Raheja: And what's the outlook on the disbursement growth for the next fiscal?

Vinay Gupta: Disbursement growth we are talking about 22% and book growth around 17%.

Anusha Raheja: Sir, in that scenario if disbursement growth is around 20% to 22% and prepayments are around 16% the loan book growth could be it's hardly 5% -6% the way the current scenario is because I think disbursement growth is happening, but if I look at the outstanding loan book growth that is just hardly 7% purely because of your prepayment rates being on a higher end, so going for the next fiscal if the prepayment rates are likely to be at the same level and disbursement growth will be at around 20% -22% then how come the loan growth will be on a higher end?

Vinay Gupta: 22% is disbursements in growth so that is compared to the previous year disbursement, if you calculate on the book, it will work out to be slightly higher 25% -odd.

Deepika Gupta Padhi : And the run -off if you are talking about run-off is taken on the loan asset. So, that's the math which is done. So , we can connect offline after this, and we can tell you the math around this?

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Internal Anusha Raheja: And what is the strategy on the emerging market side like which target set of customers you are targeting and some broad understanding there?

Girish Kousgi : On emerging market, the strategy is that we would be in Tier -2, Tier -3 kind of market. S

o, we

have branches already presented there and we would have some bit of branches coming from the scale up in the branch network what we're going to do from now till March.

So, the customer segment would be little different compared to prime and also compared to affordable, this is a segment which is in between both Roshni and Prime and therefore here the upside in yield could be about 35 bps to 40 bps from the prime.

Anusha Raheja: And sir lastly on the write -back which you said that as a corporate pool of around INR 1,700 odd crore and retail of INR 500 odd crore and there can be some write -back opportunities there.

So, if you can quantify there how much can we expect next quarter and next fiscal?

Girish Kousgi : No, it will be difficult to quantify , but definitely yes from this quarter onwards there will be opportunity on write -back because on retail it is still we can take a number and do it, but on the corporate because these are fewer account, but all I can say that is that we have a plan that starting from this quarter there will be write -back opportunity.

Moderator: Thank you. We have a next question from the line of Kishan Rungta from Emkay Global. Please go ahead.

Kishan Rungta: So, I had just one question around credit cost I have just said like going ahead like we'll be having like mix of prime , emerging market and affordable and you guided for a credit cost trend similar to current trend . So, is my understanding correct over there?

Girish Kousgi : Your understanding is correct.

Kishan Rungta: So, despite like targeting high yield customer our credit cost is going to be the same in the similar lines?

Girish Kousgi : See if you look at last one year as I mentioned we've been working on a transformational journey, and this was in every single function including collections. If you see all the metrics in collection starting from X bucket, SMA -0, SMA -1, SMA -2 NPA, early bucket, NPA deeper buckets and recovery. I think across there has been an improvement in efficiency and also the book what we are originating is of good quality and also it is important to note that Roshni business is new and emerging also emerging is not new, but yes in terms of little focus on the segment and market is going to be a little different, but still it will be new and therefore what I mentioned the credit cost for coming year will be on similar lines compared to what we have seen this year is the guidance.

Moderator: Thank you. We have a next question from the line of Onkar Ghugardare from Shree Investments.

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Internal Onkar Ghugardare: The guidance which you have cut from 17% to 15% is it because only because of flood situation or is there any particular other reason for that also?

Girish Kousgi : No, it is not. Actually, to be honest with you when we had guided this a year back or let's say beginning of this year we thought that because we would really achieve 17% of book growth and 22 % of disbursement growth , I think largely because of profitability and the cost we need to moderate this.

So, it is not because of the Chennai floods . Chennai floods is only maybe for Quarter 3 is to some extent otherwise even otherwise let's say Quarter 3 was as usual still I think 17% having seen Quarter 3 would have been a little difficult. There were a lot of moving parts in the last year and especially this year because we need to remember one thing one year back where we were are today and what all has happened in last one year.

So, lot of moving parts on corporate side, on corporate resolution, on the retail side, on the Roshni side, so lot of things have happened. So, we thought we will grow at about 17%, but

looks like we will not be able to do that. So, therefore moderate 10% to 15%. However coming year 17% we are pretty confident.

Onkar Ghugardare: Can in

terms of NPA situation how do you foresee NPA situation in next year or two?

Girish Kousgi : So, our idea is to bring down NP A on the retail side to a level which would be comparable with some of the best companies in the industry.

Onkar Ghugardare: And that would be achievable within the next one to two years?

Girish Kousgi : Yes, the next few quarters maybe 4 to 5 quarters we should be able to achieve that.

Onkar Ghugardare: And in terms of ROA and ROE?

Girish Kousgi : Given the fact that we have raised capital recently and our leverage is less so then it's a bit of drag on the ROE , but definitely with ambitious growth in mind I think this should improve. On ROA we will be (2%+).

Onkar Ghugardare: What kind of leverage we would be talking about around 4 -5x?

Girish Kousgi : No, we would be comfortable let's say in next few years we should be comfortable around 6 to 6.5x.

Moderator: Thank you. We have our next question from the line of Ravi Naredi from Naredi Investments.

Please go ahead.

Ravi Naredi: Sir you are saying only 15% growth is possible, so it is Financial Year '25 also?

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Internal Girish Kousgi : No, next year we will be 17%.

Ravi Naredi: And sir you have capital adequacy at 29.53% so any plan to raise equity in next few years?

Vinay Gupta: No, we have adequate capital to grow for the next three to four years' timeframe we don't foresee any such requirement.

Ravi Naredi: Mr. Kousgi you have clean balance sheet of PNB Housing in respect of improved in asset quality from 8.13% to 1.73% and AUM raises INR 60,000 crores from INR 50,000 crore and you have done a remarkable job. So, what is your plan for the next three years can you give some pictures of the company?

Girish Kousgi : Sir as I mentioned now it is a journey. So, what is the journey? Journey is that we actually moved away within retail. We moved away from super prime to prime that the idea was to increase the yield A . B) we started Roshni because we wanted a higher yield and a profitable business we wanted to build, and we also had the pressure on corporate book depleting which also A) it impacts growth , B) it impacts the interest income as well revenue.

And therefore, now we think that there's an opportunity available on the emerging market and therefore we're introducing emerging market. So, if you see we will have three verticals within retail that is prime, emerging and Roshni. Now the idea is that this will help us in growth A . B) we will be able to raise book at a higher yield on Roshni and emerging market.

So, of course I had mentioned this earlier we would want to keep 17% as per guidance for the next few years because we see good opportunity. One thing I want to mention here is that last year we had a lot of things to work on. If you see this year we will have fewer things to work on. Come next year we would I think our focus will be completely on managing growth and profitability.

Ravi Naredi: And sir Carlyle Group have percentage of equity in our company, any plan to induct his representative in Board of Directors?

Girish Kousgi : Sir, today in our board there is two board seats from Carlyle, two from PNB. So, it is already in place .

Moderator: Thank you. We have a next question from the line of Mohit Mangal from BOB Capital. Please go ahead.

Mohit Mangal: So, couple of questions from my side. First, I'm looking at your borrowing profile. So, I think I mean it's currently at around 71% is floating, two, three quarters back it was around 67 odd percent. So, just wanted to know your color on this that we will settle at the 70-30 or this floating will go up again?

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Internal Girish Kousgi : I think more or less it will be at the same level because we have about INR 17,000 crore deposits it

base and that is why you see this mix. I think this mix would be maintained more or less it will be same.

Mohit Mangal: And secondly on this branch expansion so just wanted to know any impact on the cost I mean as you have aggressively planned to open new branches, so anything on the cost -to-income or something on that front will that increase?

Vinay Gupta : Yes, there will be some additional investment that we would be making for this expansion which is for both Roshni and prime vertical. However, with the growth in business I think some of these productivity benefits should flow in and will help us in absorbing some of that cost partly.

Mohit Mangal: So, cost-to-income can increase?

Vinay Gupta: There could be some impact, but it will be marginal.

Girish Kousgi : See for us opening let us say Roshni branches would only mean ... it is basically the branch premises and investment in manpower rest all of the cost because we started Roshni while we were doing prime business. So, there is no incremental cost either than manpower and the branch. As far as emerging is concerned I think there will be no increase in cost at all because it is only culling out some of the branches and the team from the existing set of branches the only thing is the focus would be different.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Deepika Gupta Padhi : Thank you everyone for joining us on the call. If you have any questions unanswered, please feel free to get in touch with investor relations. The transcript as well as the audio of this call will be uploaded on our website. Thank you.

Moderator: Thank you. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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CIN: L65922DL1988PLC033856

Internal

Ref: PNBHFL/SE/EQ/FY2 5/32

Date: May 28 , 2024

The BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
National Stock Exchange of India Limited,
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Investor & Analyst Day - May 22 , 2024

Ref: (i) Our letter PNBHFL/SE/EQ/FY25/24 dated May 22, 2024

(ii) Our letter PNBHFL/SE/EQ/FY25/ 25 dated May 23, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript in respect to the 'Investor & Analyst Day ' held on May 22, 2024 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above intimation and document on record .

Thanking You ,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

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“PNB Housing Finance Investor & Analyst Day”

May 22, 2024

MANAGEMENT : M R. GIRISH KOUSGI - MD & CEO
MR. VINAY GUPTA - CFO
MR. DILIP VAITHEESWARAN - CHIEF SALES OFFICER
(PRIME & EMERGING BUSINESS)
MR. ANUJAI SAXENA -BUSINESS HEAD FOR AFFORDABLE
BUSINESS
MR. JATUL ANAND - CHIEF CREDIT & COLLECTIONS HEAD
(PRIME & EMERGING BUSINESS)
MR. ANUBHAV RAJPUT - CHIEF TECHNOLOGY OFFICER ,
MR. BHAVYA TANEJA – NATIONAL HEAD (MARKETING) ,
MS. DEEPIKA GUPTA PADHI - NATIONAL HEAD (IR AND
TREASURY)
MS. VALLI SEKAR - CHIEF SALES & COLLECTIONS
OFFICER (AFFORDABLE BUSINESS)

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InternalDeepika Gupta Padhi: Good afternoon and welcome everyone to PNB Housing Investor and Analyst Day. It is really a pleasure to have you here and thank you very much for taking out time from your busy schedules, coming all over here and listening to our story, what we are going to talk about. Before we actually start the event in a formal way or we start with the management presentation, let me put it like that, we would like to show you something, something which we have created and we are really proud of it.

By the way, I am Deepika Gupta Padhi. I am a National Head IR and Treasury for the Company. And I would now like to call upon Bhavya Taneja, who is our National Head Marketing. And he'll talk about what we want to show you.

Bhavya Taneja: Good afternoon, ladies and gentlemen. It's my pleasure to invite you all and start this event with something very special to us. This is our first ever anthem which we will be presenting to you.

This anthem represent true values as well as our purpose of business. What's special about this is that it has been produced, it has been sung, it has been written and it has been acted by the PNB Housing employees. Without further ado, I would like to show you our first ever anthem.

[Video being played]

Deepika Gupta Padhi: So, as Bhavya said, this is all coming from PNB Housing Team.

Before we start, let me just introduce the team present over here. We have Mr. Girish Kousgi, I don't think he needs an introduction, you all know him very well. We have Vinay Gupta, he is our CFO with over 22 years of experience across various financial domains like FP&A, treasury, financial controllership. We have Dilip Vaitheeswaran, he is our Chief Sales Officer for Prime and Emerging Business, and has over 15 years of experience across sales, product, risk and various other facets of business. Then we have Anujai. Anujai has over 20 years of experience, he is a Business Head for Affordable Business with an experience across various verticals like sales, transformation, policies, processes. Then we have Jatul Anand. Jatul Anand is our Chief Credit & Collections Head for Prime & Emerging, over 22 years of experience primarily into the mortgage domain across sales, risk, collections, and credit. Then we have Anubhav Rajput. He's our Chief Technology Officer with more than 25 years of experience in the IT domain, have handled various complex transformation projects across the functions. We have Valli Sekar. Valli Shekhar is our Chief Sales & Collections Officer for Affordable Business, with over 28 years of experience, primarily into Mortgage, including 13 plus years into the Affordable Business. We have Bhavya Taneja. I introduced you all, that he is our National Head, Marketing, with over 15 years of experience across Brand Management & Digital Marketing. And we, of course, have various other teams present over here with us. We have Sakshi, who is a part of our admin team. We have Rajguru, he is a part of our marketing team. We have Hina, who is a part of our Investor Relations team, and Payal, part of Investor Relations team, whom you met outside at the registration desk.

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InternalSo, as I have been interacting with a lot of you over last many years, the Company has actually gone through many phases. We started with the high growth phase and then we moved on to a consolidation phase and now we are back to balanced and a profitable growth as you can see from our numbers as well. So, in today's agenda what we would like to cover, we will talk about our Company and industry performance. We would like to talk about the strategy going forward. The execution of that strategy, which the teams will talk about, will talk about how our technology is transforming various things for us, what we have done

in our underwriting &

collections, and how is the financial performance of the Company, which is looking as of now, as well as going forward.

I just have one request. Please write down your questions, whichever you have during the tenor of the presentation which will start with the MD & CEO on the strategy and then by the functional heads on the execution of that strategy. Before I hand over, I would like to show you an AV which actually talks about our FY24 performance and exciting performance which we have done. So, I would like to play that AV please.

Let me call upon stage the person behind the recent performance of the Company, our MD & CEO, Mr. Girish Kousgi.

Girish Kousgi: Thank you Deepika. Good afternoon, ladies and gentlemen. I must thank all the investors and all the stakeholders for being with the Company through its ups and downs. Last year was very eventful. I am sure all of you are aware of how the Company has transformed over the last few quarters especially in last year.

Thanks for taking time out to be here today with us to discuss. We will be sharing a strategy in terms of how we are going to take this Company forward for the next 3 years.

So, if you look at PNB housing, there are 3 phases. The first phase was between FY16 and FY19, where we saw very high growth. Growth on all aspects, be it retail, be it corporate. I think it was a really strong growth phase. After that, we had to course correct, because we saw stress on the corporate book. We saw stress on the retail book. There was an event which happened and therefore we had to really manage our portfolio better and therefore we thought let's sit back, think through and consolidate and be ready for future growth. So, this phase between FY2020 to FY2022 we focused on running down a corporate book, increasing retail business, trying to work on asset quality both on corporate and retail and now we have entered a new phase which is very exciting. I always say that housing finance companies are in sweet spot given the demand for this product, which is not for next 3 years, not for next 5 years, I think it is for next few decades to come. The growth story is going to be very good for this industry and we as a Company we want to participate in this. So, we took a lot of initiatives. We got the growth back, especially on retail. If you see, a couple of years back, the growth on retail was flattish or maybe negative. In last one year, last six quarters, we ensured that the focus was more on growth and getting back growth in retail. We showed a growth of 14% in last year over the previous year and FY23 the growth was 10% on retail.

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InternalNow this story is going to continue and for this story to continue it was not enough that we only focus on retail. We had to strategize and get into few other segments considering the fact that we have a large prime book and we had tweaked, we had made lot of changes. We had made changes on origination, on the retail side, on the collections. We did a lot of changes, multiple changes. We tweaked the policy. We took certain hard calls. PNB Housing earlier was known for doing high value cases. We moved away from it. PNB Housing was known for focusing more on Super Prime & Prime, to a large extent on Super Prime and to a certain extent on Prime, we completely moved away from Super Prime to Prime and obviously growth had to come in with profitability considering that our focus was not there in terms of doing high value, our focus is not been in terms of scaling up the Super Prime & Prime segment. So, we started Affordable Business called Roshni and we were one of the fastest to reach book of INR 1,000 crores. And in 15-months' time, that is March 2024, Roshni book was close to INR 1,800 crores. We closed March 24 with a book of INR 1,790 crores. I am very happy to share, as I stand

here in front of

you, we have crossed a book of INR 2000 crores in Roshni. And this journey is going to continue in future as well.

So, we are talking about moving to newer segments. We launched Roshni end of last to last year. Last year we saw how it has taken shape. Still that was not enough because we had so many challenges if we see two years back and when we see now, I think broadly given that the asset quality is going to improve from where it is today, given the fact that all the risk metrics would be in place and further improve, we had to think of something unique, something different and therefore we started a new vertical called emerging market vertical. Now this is going to give us a higher yield, lesser than the Roshni yield, affordable segment yield, but much higher than the Prime and therefore we are guiding a CAGR growth of 17% from now till FY27.

FY23 and FY24, if we broadly look at how the shareholding pattern has changed, we can see PNB our promoter for a regulatory reason the stake has slightly come down from 32.5% to 28.1%. I think that apart, we can see a lot of interest from FIIs, mutual funds and bodies corporate, way the shareholding has gone up. Last year, as we are all aware, we raised capital. Market cap is approximately about INR 19,234. And the book value is INR 577.

PNB Housing Finance at a glance, we are the third largest HFC by loan book. PNB, Punjab National Bank is our promoter. We get very good support from the promoter. As I mentioned,

stake went down because of regulatory reason. We also thought that if we have to grow, if we have to move towards newer segments, we need to identify segments and strengthen our branch infrastructure. So, we open branches and as of March 2024 we have 300 branches. Out of this 300 branches, 160 branches are affordable, 50 branches in emerging markets that's the new vertical which we started this year. We opened all the branches between December to March and the balanced 90 branches would still focus on Prime businesses. We have total employees of over 5,500. This includes both PNB housing and PHFL. PHFL is our subsidiary Company which houses the frontline executives on sales, credit, collection. We have crossed book of INR 65,000 crores. Out of this, retail is about INR 63,350 crores, and the rest INR 2,000 is corporate, and PNB Housing Finance Ltd.

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Internal AUM of 71,000 odd crores. We also ensured that we, within the portfolio, will reduce corporate share and increase retail. So, today, overall portfolio, retail is 97%.

Both loan and deposits put together, we have customers of over 5 lakh. Our GNPA which used to be about 8.13% 2 years back is now down to 1.5%. A corporate which used to be about 33% is now down to little over 3%. We just have one account, a small account, which is about INR 68 crores-70 crores, which again will get resolved in few months from now. On the retail side, our GNPA used to be 5.06% 2 years back, now it is down to 1.45%. Our Net NPA is less than 1%. It's at 0.95%. Capital adequacy is at 29.26%, of course, post rights and Tier-1 is 27.9%. ROA, I think there has been significant improvement over the last few quarters. And for FY24 it is 2.2% and the book value is INR 577 and we also got, as I had mentioned, we got upgrade in rating from AA to AA+ from three rating agencies.

Key performance update:

There is a comparison between FY22 and FY24. If you look at disbursements, there has been a significant increase. Loan book has increased from around INR 58,000 crore to about INR 65,500. AUM has increased from around INR 67,000 crores to about INR 71,000 crores. As I mentioned, earlier the retail as a percentage of overall portfolio was 87%, now it's gone up to 97%. Retail loan growth, which used to be negative a couple of years back and even last to last year till about first half, it was flattish of 1% or 2%. From there we to

ok it up to 14.1%. We had

guided slightly higher number but yes we had lot of challenges. We did our best to try and better our growth rate. We were able to reach at 14.1%. Deposits it was a conscious call. If you look at our liability mix, deposit constitutes almost 31%-32%. So, it was a conscious call. The call was to try and maintain the book, not grow too much, but bring down the cost.

On gross NPA as I mentioned it was 8.13% 2-years back, now we are down to 1.5%. Net NPA was over 5%, now it is less than 1%. ROA from 1.24% to 2.2%. ROE 8.92% and now it is 10.9% again after rights. Capital adequacy 23.4% to 29.26% and gearing ratio which was 5.37x is down to 3.68x. Bit on the industry, I think we have been talking about this industry, in India mortgage penetration is very less. I think it moves by 0.2-0.3 bps every year. Even today it is quite low, which means huge potential. The first quadrant talks about IHL that is individual home loans. If you see the growth, the growth is about 14%. Huge potential. Penetration is less, the industry is growing at 14%, there is huge scope and this industry will generate lot of demand for next few decades to come.

HFCs, if you look at the portfolio mix, home loan as a product is about 75% :15% is LAP and the balance is construction finance and other products. So, industry is quite good, growing at a very good rate. Lot of potential with lot of favorable government policies, not in the past, even in future to come I think this industry will do well for next few decades to come.

This is Affordable focused housing finance companies, the growth has been 19%. If you see from 19 to 23, it's at 19%. Overall mortgage industry growth rate is about 13.5% to 14%. But

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Internal affordable is at 19%. The growth is much higher. And if you look at market share by ticket size between HFCs, NBFCs and banks, both private and public, we can see the first three blocks, that is up to INR 25 lakhs, the share of housing finance companies is quite high, which also says the potential is very high for housing finance companies for ticket size up to INR 25 lakhs, which would in a sense mean that there's a lot of potential for affordable and emerging markets. That's our focus going forward.

So far, our focus was on retail. The book grew by 14% y-o-y. And we have changed the mix of the overall portfolio. Now it is largely skewed towards retail. We are trying to diversify the risk.

And therefore, we thought we should focus more on retail. Now it is 97% of the entire portfolio.

We launched affordable, we were one of the first ones to reach a book of INR 1,000 crores, scaled up pretty fast, opened up more branches so that we are ready for the coming years as well.

Whatever business we have done now, that was from set of 100 branches. Now this year we will have 60 more branches contributing to affordable business.

Total branch footprint is now at 300 and better collection efficiency. We did lot of work on collections because we knew that mortgage is a very safe industry. It is secured. Broadly in mortgage we look at two things. One is the collateral and the second is the cash flow of the customer. The importance given to both of these two parameters are almost equal being a very simple product. There was COVID, one of its kind in the century that actually impacted many housing finance companies. It also impacted us. If you look at the reason as to why our retail book was under stress, leaving aside corporate, it was largely due to COVID and therefore collection efficiency dropped. We took a lot of action on the collection. We made a lot of tweaks. We changed the structure. We got in new teams to focus on new businesses. We improved efficiency drastically, that led to drop in GNPA to a level of 1.45% on retail and overall, 1.5%. On the focus, our focus would continue to be on retail with

thin retail in the pecking order

Affordable, Emerging and Prime. We would restart corporate during the year, but that will be less than 10% at its peak. Today, the book is about INR 2,000 crores out of total book of 65,358 crores. So, today it is 3%. So, at its peak, corporate will always be less than 10%. So, our focus is going to be on retail. We have shifted to high yielding markets like Emerging. We started Affordable. When we started Affordable, the plan was, even though the entire team was from the industry, be it sales, be it credit, or SME, legal, technical, operations, the entire team was from the affordable industry; however, they were new for PNB Housing and therefore we thought year one we will try to scale up, try to get deeper into markets, understand this market even though average experience of the entire team is more than 4 years to 5 years in this market, we decided that we will focus on some of the segments and not all the segments and therefore our yield was 11.5%-11.6%.

Now this is the second year, now this year all the old 100 branches are going to focus on all the segments. In fact that we started end of last year we started doing business from all the segments and that is why we are upping the yield from 11.6% to 12.6%. There might be a question, why not 13%? Why only 12.6%? I think the idea is very clear. Our focus is growth and margin. As a PNB Housing Finance Ltd.

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Internally we need to balance these two and therefore we will be pretty aggressive on growing affordable book, now that we have experience within PNB even though the team is experienced since they are from this market that was the phase one. Phase one we focused largely on income to a certain extent on informal income base. Now, these 100 branches this year is going to focus on all the segments. Our focus would continue by also through our initiative of emerging markets because that also would give us a higher yield. We will come to the segmentation as to Prime, Emerging and Affordable but our focus is to move to high yielding segments within Prime, within Emerging and within Affordable, our plan is to expand branches because now we have opened too many branches in last two years. I think approximately we have opened close to about 190 branches-195 branches in last two years. Out of that close to 100 branches was opened last year between December to March. Now this year we will open 50 more branches. And out of this 50 largely this would be in Affordable and Emerging. 40 branches we will add to affordable which will make it 200 by March 2025 and emerging we are going to add 10 more and not just this I think during the course of the year depending on the opportunity and potential we will also try and convert some of the branches which can give us a higher margin with volumes which can be moved from Prime to Emerging and Emerging to Affordable. We keep doing this quite regularly, but the focus is going to be largely on expanding our branch network while we grow.

On collections we will continue with our effort. We are now at 1.5% Gross NPA. Our endeavor is to bring it down to 1.1%, around 1% to 1.1% by end of this year. And we have built capability in collections so much so that we can turn around in different buckets and ensure that the asset quality will be of pristine quality from the incremental business what we do.

Journey so far, I think, last year we were able to resolve one of the large corporate account. On digital, we have moved far ahead. We've worked on end-to-end customer journey. We will be dealing with this in the subsequent slides as to what we have done on the automation and digitalization. We raised capital. I think these are some of the points which are getting repeated. Return on equity is 10.9% in FY24. Our focus is going to continue. We had to take certain one offs. We have a large pool of written-off book. The

focus is to recover from that pool, and this

will play out. It started playing out from quarter four of last year and this will play out for the next five to six quarters.

Some of the automation initiative and digital initiative will bring in higher efficiency which will

enable us to grow much faster with better TATs to the customer and better customer experience. On capital we are very well placed on capital. Our CAR is around 29%. Our endeavor is to increase return on equity to 15% on a steady state. We raised capital and therefore, there is a little bit drag on that, but we will try to cover up that because now all the efforts are in the direction of improving margins and improving the growth rate. Retail growth strategy and objectives, we have a very experienced team. Deepika just introduced the team. I think only half the team is here. Team, which is relevant, you know, directly in terms PNB Housing Finance Ltd.
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Internal of engagement with the investors. We have a very solid management team, well experienced from the industry, work for different organizations within the financial space, be it HFC, be it NBFC.

Our strategy will be focused on building a leading retail franchise. So, while on one side we identify new segments, come out with new programs, new ways of underwriting to ensure that the risk is minimized, we have also strengthened our distribution network. When I say a distribution network, not just the branches, even on the origination side in terms of channels, whether it is DSA, whether it is DST every market every segment has a different strategy. Emerging is different, Prime is different, Affordable is different.

The strategy what we need to have in terms of the product, process, programs, distribution strategy, I think all of these things differ, may not be largely between Prime and Emerging but definitely when it comes to Emerging and Affordable or Prime and Affordable, these are very different markets, very different sort of customers. And that is why we have dedicated branches for these three verticals. The entire we have set up a vertical for each of these businesses. For example, in Roshni, we have a dedicated sales team, we have a dedicated underwriting team, dedicated branches because the customers are different, customer segments are different, pockets are different, the branch locations are different. The pocket of the branch within a given city, wherever there are two branches catering to two different segments, I think are very different. As I mentioned, our focus would be to try and scale up businesses which can give us better margins, higher yield and therefore our focus is going to be more on emerging and affordable. We will also try and grow the Prime business. We will identify pockets within Prime segments within Prime which can give us better yield and once Emerging and Affordable can catch up at a portfolio level, then slowly we will try to moderate that so that the growth rate is maintained. For next 3 years it is 17%, maybe after that we will tweak it depending on the need. I think that's the balancing game what we have thought of. We have seen that most of the companies in certain segments, there is a bit of skewness towards the geography. But for us, we have a long pedigree. We've been in this space for over 35 years. We have a national presence. We are very deeply and widely present in the South, West and North, to a certain extent in East. So, we have this experience, amongst all the segments. And therefore, we feel that we have a unique USP to try and capitalize on this potential from each of these geographies, each of these segments, because we have a dedicated team, dedicated vertical, to run these 3 businesses. Emerging, we have a separate credit team, separate sales team, everything is separate. Prime is separate; Emerging is separate;

within retail it's like 3 mini companies trying to do these businesses. I think that's our focus.

In terms of branch network as I mentioned we will keep adding branches to strengthen our retail presence.

Talking about segmentation, if you look at the market broadly there are 4 segments starting with Super Prime. Super Prime is a very good segment, broadly higher ticket size, safe business, asset PNB Housing Finance Ltd.
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Internal quality will be pristine, growth is easy to come by. The challenge there is margin. We are HFC and given a cost structure I think this is not the space that we should be in. And therefore, last year, we completely moved away from Super Prime to Prime. While we moved from Super Prime to Prime, we also started Affordable, which was new to us. Between Prime and Affordable, there is one more segment, and that is Emerging markets because there is an opportunity. We can see the yield. There is a difference. Super Prime gives us a yield of 8% to 9%. Prime gives us yield of 9% to 10%. Emerging gives us a yield of 10% to 11%. With a mature book, I think this 9% to 10% can slightly go up as well. And on the affordable, it's going to be between 12% to 15%. I think this is our plan, this is our segmentation. There can be slight difference between Company to Company or how probably a certain set of institutions would bifurcate the market. I think this is our definition. Our focus is going to be on Prime, Emerging and Affordable. Super Prime we have completely vacated. Today we have a large Prime book and also we have customers who

will attrite every month, every quarter, every year. We would also have some of the customers who would come for repricing, which means at a portfolio level the yields would drop. To offset that we are increasing our presence in Emerging and Affordable and which is why we have given a guidance of NIM of 3.5%. This will play out for few quarters. Once the mix changes every passing quarter, this mix will change. The entire color of PNB housing will change in the next 5 to 6 quarters. FY25 we are talking about incremental business from Affordable and Emerging to be around 40% to 42%. And if you look the same mix at a portfolio level in FY27, it will look very different. It will start with disbursements, incrementally it will start, and the book will catch up. Now this is our segmentation. We have a very strong brand recall. As I mentioned, we are present nationwide. It's going to largely help us on the emerging and affordable because we have a nationwide presence. We are present in more than collectively all the 3 businesses put together. We are present in more than 20 odd states, and we have been in this business for quite long. PNB Housing is a very old Company, vintage Company, even though the focus was on Prime, Super Prime, there was some bit in some way, in some form, now where we were catering to Emerging and Affordable by whatever name. So, we are exposed to all these segments across all the geographies. I think that is going to help us because we have nationwide presence, we have a strong brand, we have a strong parentage, we have the experience. So, this should help us to reach a goal much faster.

And as I mentioned, we have invested in branches, invested in people, product, process, technology and on the digital front. So, today if you look at as of FY24 that is the split between Prime, Emerging and Affordable, when we see emerging market book of INR 11,700 crores, it means that the business what we have done over a period of time from these markets. If you look at the book, this book may have a slightly higher yield compared to Prime, but not very different from Prime. But starting this year from these markets, because 50 branches are not old, out of 50, there is a split between some of the existing branches are called out depending on the geography and the potential

and customer segmentation, which can work for us from an emerging markets point of view, and we have opened new branches. The split is we have added 21 branches and 29 we have called out and therefore we have 50 branches. Now these 50 branches will do business at a higher yield and that is going to be at least 75 bps to 80 bps
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Internal blended higher than the Prime. And as I mentioned Affordable now we have crossed INR 2,000 crores, I think the aim is to try to catch up incrementally and try to be one of the largest in terms of affordable. Slowly the book will catch up.

Some flavor on some of these segments. These are some of the metrics which we very closely track. These are very important from a scale point of view, from underwriting perspective, from asset quality perspective, sourcing mix profile, average ticket size, yield, key focus markets, branches, and number of employees. Our focus on Prime is going to be INR 35 lakhs. Emerging will be INR 25 lakhs and Affordable INR 14 lakhs. The sourcing mix would change between in-house, is our own channel DST and the DSA. So, the mix also would change. If you see Affordable, we have more in-house. What we are trying to do is that Affordable, if you look at the risk between Prime, Emerging and Affordable, the risk is less in Prime. The risk is slightly more in Emerging, and the risk is slightly more than Emerging in Affordable. And therefore, when we talk about Affordable, we have to be very clear on some of the processes and underwriting standards. As I mentioned, we have tweaked in Prime, in Emerging, and in Affordable business, we have tweaked the process. We have strengthened the process in Prime and therefore these things are very important. Since the risk is higher, obviously, the risk would get offset because of higher margin. But there is a differential risk between these three segments. Affordable is the highest, followed by Emerging, and then Prime. If you look at the profile mix, if you look at affordable, it is 50:50. 50% is salaried, 50% is self-employed. Because that is Affordable business because there will be catering more to informal, more to business class and less on the salary and within salary it will be slightly skewed towards informal. So, everything changes whether it is profile, whether it is sourcing mix, of course there is a difference in yield. I think this is the landscape for the 3 businesses within retail where we would be focusing for next few years

Emerging markets, now this for us we have coined this as Emerging markets. This market is there just for better understanding. When we talk about emerging markets this can be broadly defined by geography, by customer profile, by certain segments and to a certain extent the type of collateral. And that is why there is an opportunity of getting higher yield. So, the focus in emerging is going to be on Tier-2 and Tier-3. How we have done is, top 10 cities will cater to Prime in Tier-1. And the next 40 is going to cater to Emerging and the next 40 or 50 as we get deeper, this number could increase and that is going to cater to Affordable. We have dedicated branches, separate vertical to focus on Emerging business. The mix is going to be different within

profile, within channel. The program mix is going to be different. Everything is going to be different. And this is one opportunity we thought that we should get into this business. We have a book, but maybe there we would have lost some opportunity. We want to encash on that and take it forward and try to make this bigger. We have 50 branches now, so this year we have planned to take it to 60

Affordable, I think it's a great story for us. The first month, which was Jan'23, we started with a disbursement of INR 5 crores. In July, we reached a run rate of INR 100 crore per month. In November 23, we crossed book of INR 1,000 cr

ores. In December 23, we reached the branch
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Internal count to 100 in Affordable. And by March 24, we had opened 160 branches, and the book was close to INR 1,800 crores. As we speak, the book is INR 2,000 crores.

Quickly giving you a flavor as to what are the broad categories under Affordable and how it will look like in the medium term. Within salaried there are 2 segments; formal and informal, within self-employed there are two segments; formal and informal. If you look at FY24 within salaried, salaried formal, it was 59%. It was very clear. This was by design. We wanted to get into Affordable, start off with safe segments to a large extent and some exposure to informal segment which is why we can see that Salaried informal was only 4%. Self-employed formal was 16% and self-employed informal was 21%. So, the total informal was 25%. Now this 25% if you see how it will look like, salaried for example, formal informal the split is going to be 40% and 60%. So, within salary informal would be 60%. That means there will be a natural progression towards informal because that is where the yields would come in. And similarly, between salaried and self-employed it is going to be 50-50 and the yield what we are targeting by FY27 will be around 13%.

Some of these points are quite common to all the businesses, so I will not repeat. Collection was a great strategy what we had put in place. We had a lot of challenges on corporate, on retail we had a stressed pool, GNPA was very high and therefore we had to ensure 2 things, 1. we collect or recover on the NPA pool, number two, ensure that the slippages are the least. So, it starts from bounce or X bucket. That's the starting. When the customer starts bouncing, gets into X bucket, and then gets into pre-NPA. So, what we did was, we internally we ensured that we have different verticals to cater to different buckets of the entire customer journey once the case moves to 1DPD. In X bucket the focus was very clear, the strategy was there are broadly 3 strategies, I will not spend too much of time because Jatul is going to cover in detail. Self-cure, tele calling and field. We strengthened all of this. So, we said we need to be one of the best in the industry. And what we have covered now in the last 6 to 8 quarters is significant. We are still not the best. I think the endeavor is to ensure that we are one of the best in the industry. The idea is to try and cure cases through self-cure by using analytics. Whatever doesn't come through by self-cure, there is somebody calling the customer saying that hey look, you know, this is the EMI which got bounced. So, please pay up and whatever is the resultant number of cases, only those few cases will have to be met by the field executive. So, the idea was to use analytics, study customer behavior and ensure that while we resolve, the cost is low. While we resolve, the efficiency improves especially on self-cure and tele calling, vis-a-vis compared to field. Now similarly on pre-NPA, we had to ensure the bucket movement is the least and always we used to say that SMA-2 zero flow. It is very difficult to have zero flow, but definitely yes. I think if you look at March, we had reached 99.6% on SMA-2, which means only 0.4% slipped into NPA. And whatever is in NPA pool, through our efforts through collection, the first step in NPA while we initiate legal is cash collection. If cash collection is not coming by, then we encourage settlement to help the customer because nobody wants to default, nobody wants to lose the property. Because of certain situation, it could be situational, some could be intentional, but nobody would want to lose the property and therefore the idea is always to help the customer. It is not collection, we don't call collection, we call debt service. The idea

is to collect cash. If cash is not coming
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Internal by, we encourage customers to come forward and settle. If settlement is not coming by then we would help the customer by disposing the property. We have done record auctions between December to March of last year. We have done 2,000 auctions. The number of properties which got sold in FY24 is 3.5x approximately compared to FY23. So, we have really strengthened our collection capability. Now we have 5 verticals within the collections. Every phase, there is an attempt made to ensure that the flow is low. And from NPA bucket, we try to collect as much as

possible. Therefore, at any given point in time, the collection is going to be more than the slippages and therefore the GNPA would trend down over a period of time. I think that is the entire architecture was changed. It has yielded very good results for us and all this is in-house. The entire collection strategy was built around in-house including sale of property. We have a separate team property services group even that was in-house the entire collection architecture was built based on in-house team. I could say 99.5% is in-house that 0.5% is where you know we might need some help only there we look at a model which is other than in-house otherwise largely it is in-house.

Before moving to corporate as I mentioned, FY24 from the written-off pool as I mentioned we have a large pool both in corporate and retail. In corporate we have about INR 1,700 crores. In retail we have little over INR 500 crores. So, the idea is to ensure that we recover that either through settlements or through sale of property. FY24, we have recovered INR 100 crores and if you look at the recovery in the last quarter as I mentioned recovery for us started playing out from quarter 4 of last year that was the highest and this would play out in next 5 quarters to 6 quarters. So, every quarter we will have good amount of recovery coming by, this is from the written-off pool. While we will keep the credit cost low, we have guided about 30 bps, 30-32 bps and this is outside of the recovery. Now that's our plan. We know that we have a large Prime book and therefore the yield drop on the portfolio would be compensated by the incremental yield we will get by doing two things. One is moving into newer segments at a higher yield and growing there and therefore the margin is going to be around 3.5%, but there are two more factors which will come into play. One is the credit cost because we have taken corrective actions on the credit policy, on the process, on the team, on certain geographies, on certain programs. And therefore, the credit cost going forward is going to be muted. It's going to be very low. And there is an opportunity from recovery pool, from the write-off pool.

On corporate, we put in lot of efforts to run down corporate book to resolve stress assets. We were successful in bringing down the book at one point in time, it used to be over INR 18,000 crores to as low as around INR 2,000 crores.

GNPA which was 1/3rd of the book is now just one account. We are very conscious. We know what went wrong. We know what will work and therefore it will be a calibrated initiative effort in terms of restarting and doing corporate business. We plan to do this year. We will not do much, a couple of thousand crores. At any given point in time within the overall portfolio, corporate is going to be less than 10% which means a focus is going to be on retail and within retail high yielding segments. Now when we restart, we will be very, very selective, very careful. We will be focusing on a few cities, a few category of developers, a few projects. We would ideally want PNB Housing Finance Ltd.

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Internal to be the sole financier, not be part of consortium. I mean that is our wish and that is what we are going to do.

We are going to focus on funding only for construction purpose and nothing else. We would not focus on LRD for example, or loan against property, or balance sheet funding. We would be focused on construction finance, a select set of builders, select geography. The ticket size would be between INR 100 crores to INR 200 crores. This is our plan and this year we have plan to restart.

Given the profile of the Company, size of the book, our presence in various markets would also help us to grow better, grow safely with some exposure to corporate and we are conscious about that and therefore we want to have a calibrated growth within corporate.

While we have been talking about coming out of consolidation phase, trying to work on various challenges, quick recap. We raised capital. We ran down corporate book, resolved corporate stress book, worked on growth on the retail side, started new segments like Roshni and Emerging. We also worked on technology and automation to be future ready. The entire loan life cycle, starting from origination, right up to collections and customer service, we have worked on the entire infrastructure. We have revamped, whether it is LOS or a mobile app, this is the frontend app for origination. We have a new website now. On the loan management, LMS, we have revamped. So, all of these things on the collection side, now we have a collection app which will help our collection executive, which will help the customer so that the payment becomes easier and customer gets to know the status immediately. So, we have worked on all of these things. We have invested in technology, in digitization, in automation because we have an ambition of growing this book to a level of INR 1 lakh crores, largely skewed towards retail, keeping the corporate under 10%.

Anubhav will take you through this in detail during his presentation on IT transformation. After the rights issue, we are comfortably placed on capital. Now the outstanding equity shares are ~26 crores. Multiple rating agencies upgraded our rating from A A to AA+. Our liability mix is well diversified. We have a large deposit base of around INR 18,000 crores. Bank funding contributes to 40%.

Last year we were very active in the market in terms of CP and NCDs. So, CP is over INR 10,000 crores and we were pretty active on NCD. Also, last year because of the improving financial metrics over a period of time. We were able to get funding of INR 3,000 crores from NHB. When I say NHB, it comes at a lower cost. So, We will diversify borrowing mix. We will continue to strengthen this in the quarters and years to come.

Now I would request the management team to discuss each of our strategy in detail. I would request Dilip to come over and give some insights on Prime and Emerging as to what is our plan in terms of taking this business ahead for next few years.

Thank you.

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InternalDilip Vaitheeswaran: Thank you, sir. Good afternoon friends, very warm welcome first of all. Like Deepika said, my name is Dilip Vaitheeswaran. I manage the Prime and the Emerging markets business on the lending side of the organization. I also manage the deposits business here. Over the next few minutes what we are trying to do is, I will try and paint a picture on the Prime and the Emerging markets business on the lending side as to where we are, where we stand today and what are our plans for the next few years. I'm pretty excited to be here. It's an absolute privilege to be sharing this story with all of you.

Okay, a little bit of context first. Over the last six quarters or so, what we have done is we have tried to get growth back on the table. Like Mr. Kousgi has explained, two years back our retail book wasn't exactly growing. So, when we got back to growth, we decided on 2-3 things as priorities for the firm. The first was to get more granular. What we

learned from our portfolio

especially after Covid was that some of the higher value cases were giving us a lot of grief on the collection side. So, as you can see on the charts, cases above INR 5 crores which used to be more than 5% of incremental disbursements 5 years ago now amounted to less than 0.5% for FY24. Second, for margin reasons we said let's do more business in non-metro cities. So, in FY19 if the non-metro business used to be 1/3rd of our business, in FY24 it actually contributed to almost one half of the business at 49% of our business. This was an incremental disbursement. Third, another problem that we actively managed was runoffs. Two years back, our runoffs increased almost 24% on an annualized basis. Now, whether it was proactively reaching to customers, offering the right pricing to the right set of customers, trying to work top-up requirements for these customers, all of them put together, we managed to bring the runoff rates down. So, as a result of these, we are now, you can see the numbers on the slide. Compared to the journey between 19 to 22 over the last two years our disbursements have grown at a CAGR of 20%. The loan book for this side of the business the Prime and Emerging market side of the business has grown about at a little over 10%. Now like our MD explained, you add to this the fact that we raised capital last year and the fact that our NPA is now down to less than 1.5% on the retail side. Now this gives us comfort that now we are very well placed to grow over the coming years. Now for this business the imperatives are twofold. First is we need to get growth, we need to grow more, we need to grow at a better pace. Second is we need to improve margins on this business. I will speak on both of them. First is the aspect on growth. How are we going to get growth to improve for this business? The first element is our geographical footprint. Between FY19 and FY24, our branch count came down from 135 branches to about 107 branches last year. So, last year actually was the first year after 5 years we managed to invest like Mr. Kousgi explained and increase our branch footprint in the country for this business. We waited for the capital to come in, we waited for the growth to come back on the table, we waited for the NPS to come down. In H2 is when we sought board approvals to increase our branch footprint. In Q4 is when we opened 33 branches for this business. These branches have not contributed to any disbursements last year. These branches will now start contributing to disbursements from FY25 onwards. So, with this we are very confident that growth is now going to be back on the table at better rates. This is the first element.

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InternalSecond is our people factor. Now with the existing and the new branches put together we are now a team of 1,000 people in this business in Prime and Emerging markets on the roles of PNB HFL. We have 2,000 people on the roles of our subsidiary PHFL. This is largely our front end customer acquiring team. And we have a network of 4,000+ active distributors. Now for a Company like ours which has such a strong parent, which has been in the business for 30+ years with such a large team size, we really believe that among HFCs we are very well placed to grow here with this team present here.

Thirdly, for the existing team, to make them contribute more, we are also investing in

productivity improvement in the form of technological interventions. So, be it the sourcing team, the acquiring team, be it the underwriting team, be it the operations and servicing team, there is enough technological investments that are going into making the existing resources do more and contribute more for the organization. I will actually be covering this in more details in a couple of slides from now. So, with these

three elements kicking in, we really believe that growth is something that we should be able to better over the coming years. So, for this business, the Prime and Emerging markets business, the disbursements should grow at 20 plus percent CAGR for the next three years. And post runoffs, the book growth for this business should be at 12 plus percent of CAGR for the next three years. Now because of the shift in mix that we mentioned, 60% of incremental disbursement in 3 years from now will be from the Prime markets, 40% of the disbursements will be from emerging markets. On the loan book side, 70% of the book will be from the Prime side, 30% of it will be from the Emerging market side. So, these are the three elements bases which we are guiding that growth is something that we are much more comfortable of. We have made some progress on it over the last six quarters or so. But with these elements kicking in, we are pretty comfortable that we should be able to grow at a better pace for the next three years.

Coming to the next point, margins. For improving acquisition yields, for improving margins on incremental disbursements, there are three elements which are going to be at play here. First is our customer segment. Like our MD explained, we are very clearly making the shift from the top of the pyramid from the HNI's and the ultra HNI's to the middle of the pyramid in this business which is the middle income group and the lower income group. Now let me explain that with an example for this market of this city that we are sitting in. Three years ago we used to have a branch in Prabhadevi. Prabhadevi's branch used to cater to customers in lower Parel, in Worli, all of South Bombay. We used to have a branch in Western line in Vile Parle. It used to cater to customers of Andheri, Dadar, etc. Both of these branches stand wound up as on date. So, on the Western line on Bombay our business is from Borivali and beyond up till Virar. On the central line our business is from Thane and beyond up till maybe Kalyan, Badlapur, Ambarnath, Panvel and Vashi. So, clearly the shift down the pyramid is one lever that we are going to work on. Second is a product mix change. So, on incremental disbursements in FY 24, non-home loan which is LAP and commercial purchase etc. contributed to about 1/4th of our disbursements, 25%. Now post-COVID, we have done a bunch of changes to our policy. We have become stricter on income assessment. We changed the norms on what kind of collaterals are admissible. We came up with our programs on doing away with much more tighter norms on checking the PNB Housing Finance Ltd.

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Internalbank statements, income norms of customers, etc. We've been checking our NHL book for the last 4 years, be it bounces, be it early warning risk, be it the quick mortality, we have actually compared it to how it was for the pre-COVID book. We are very comfortable with our non-home loan book and this comes at a good 100 bps to 120 bps of yield premium as compared to housing loans. So, we want to do more of non-housing loan as compared to today. What is 25% today over the next three years will become 35% of incremental disbursements on the non-housing loan side. So, that was element number two.

Element number three is the geography mix which MD spoke of. The new and existing branches put together; this business now has 140 branches as of March 24. What we said is let's carve out 50 of these branches. We are calling them emerging markets. These are going to be Kerala's, Coimbatore's, Madurai's, Trichy's, let's say Tamil Nadu minus Chennai, Rajasthan minus Jaipur, UP minus Lucknow, Uttarakhand, parts of Haryana. We took 29 branches in the South, 21 branches in North. These are branches where we believe that in these markets we should be able to fetch better yields, we should be able to fetch a better rate of interest from customers.

Why?

The customer segment should be more amenable to our target here. We will find more customers in the middle-income group; we will find more customers in the lower-income group. We will find lesser customers who are employed with the Super Category kind of employers, lesser TCS, Cognizant, Infosys kind of employees. We will find more self-employed customers here. That was point number one. Even properties, so if you compare with Bombay's, Bangalore's, Chennai's, Hyderabad's, we are catering to probably developers like Prestige, Brigade, Shapoorji, Godrej, Tata, etc. Compared to that in the Tier-2 and Tier-3 cities, we find more plot loans, construction loans, loans for renovations, etc being done. So, between the customer profile and the property profile that we are lending for or against, we believe that we will be able to fetch a significantly higher yield, a significantly higher rate of interest in these markets which we are now going to call as Emerging markets.

Now these emerging markets over the next three years we are guiding that will contribute to 40%

of disbursements. Incrementally, they will contribute 40% of disbursements for this business, so on a loan book that will come to about 30%. 30% of the loan book for prime will be comprised by the emerging markets geographies. And when you add Roshni and corporate at an enterprise level, emerging markets will then become 22% to 25% of our loan book. Like we earlier discussed, this is going to be at higher yields.

So, thanks to the shift down the pyramid, more of NHL and the geography mix for this business put together, we believe that we will be able to increase our disbursemental yields by 50 bps to 75 bps over the next three years as compared to where we are today. So, compared to today with these three elements we believe that on a steady state basis the incremental yields will be 50 bps to 75 bps more than where we are and this is just the yields. So, if you take into consideration the improvement in cost of funds, the spreads will actually go up on the incremental business.

So, the first was growth, the second was margins. So, moving on, we also wanted to give you a color of how we are getting ready for this phase of growth. I want to speak to you about our PNB Housing Finance Ltd.

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Internal operating model for this business. Now as we get into this growth phase for the organization for the next three years, we felt it is important that we empower our people well, we have the right kind of structures to enable growth at a geography level, at a market level, but at the same time also have controls to ensure risk, governance and quality of the highest order and that is what I want to present to you here in the form of highlights. All line functions of this business be it sales, credit, operations, collections, legal assessment, technical assessment, fraud units, fraud containment units, all of them are parallelly run verticals which go on parallelly right up till one level below the MD and CEO. We are very clear we wanted to do this to avoid conflict of interest at branch level, at region level etc. So, all line functions across both businesses Prime and Emerging markets have parallel verticals right up till my level or my counterparts level. That is number one. Second and this is a shift that we have made over the last two years. We used to follow a hub and spoke model for underwriting. We had our underwriters present in 20 to 22 hubs who were catering to 100 branches across the country. We said as we step into more geographies, as we get ready for more growth, it would be better if our underwriters are closer to market, they are closer to the customer. So, today as we speak, our underwriting team is present in this business in 100 plus branches across the country. The intention is that we want to keep our risk functions closer to the customer, closer to the market,

so that we are able to enable

good quality growth. Third, the geography mix that I spoke of. We have carved out 50 of our branches by calling them as emerging markets. We have segregated the sales and the underwriting functions for both these markets right up till my level and my counterpart's level to ensure the adequate focus is given on these markets. I will actually explain that to you with an example here. What you are seeing on screen is the state of AP and Telangana. Now three years back, actually one year back, we used to have eight branches in AP and Telangana. We had four branches in Hyderabad, one in Warangal, we had three branches in the rest of Andhra Pradesh. What we said is let's divide them into what is a Prime market which will be sort of the growth engine which is more metro focused, obviously the branches of Hyderabad and Warangal came there. We said let the other non-metro branches be the Emerging markets. We opened four more branches. So, we opened one branch on the Prime market side. We opened three branches on the Emerging market side. In fact, even in the prime side where we opened the branch was a place called Shadnagar. It is 50 kilometers away from Hyderabad. Again, keeping in mind our target segment, we didn't want to be in the middle of the city where acquisition needs are difficult. So, we opened one branch in the Prime side of the market. We opened three branches in the emerging market side. Then in terms of supervision, earlier at the geography level, there was one geography head for business, one geography head for underwriting for AP in Telangana. We carved teams out between my level and Jatul's level. We carved teams out to ensure that the sales teams as well as the underwriting teams for both these become separate. So, there is a separate business team and an underwriting team which looks at the Prime side which is Telangana and which are these six branches and there is a separate business team and a separate underwriting team which looks at the balance six branches which are Emerging markets and these are parallel business teams which come up till my level or my counterpart's level. Again, like I said, we wanted to ensure that we are better prepared, better ready to sort of embrace this growth as we step into this next phase of the organization.

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Internal We spoke of the outcomes that we wish to achieve in this business. We spoke of the operating model that we're going to be following. Now while we do that we are also making significant

improvements to strengthen the core of the Company. Technology and analytics is going to play a significantly large role in this business and while Anubhav will speak to you about what technology is going to do for the enterprise. In this business alone as a consumer of technology, there are significant investments which I wish to update you of. So, if you look at customer origination, we now have a platform to engage with our entire third-party sourcing network. So, all our DSAs, all our connectors engage with us with a platform called Vconnect. So, whenever we want to send communication to them, we use the platform. 100 % of the payment invoices are raised through the payment platform. In fact, that gives us a good name and reputation that we are one of the best lenders in the market who makes payments to vendors on time. Second, 100% of our underwriting vendors use a platform. So, be it the legal assessment, the technical assessment of the property, the field investigation, the FCU reports, all of them are uploaded on a platform called uConnect. This helps ensure that the formats are standardized. It creates the correct audit trails. It helps ensure that the business governance goes on correctly. 100 days back we introduced a platform called the mobile app. Now a 2000-member sales team of mine across the country is no

more empowered with a mobile app to update their leads on time, they will be able to see their case status on time, they will be able to see their incentives etc. So, a very strong mobile app to help make our sales teams more productive. Social marketing and website is now becoming an integral part of our acquisition channel. Leads generated through them come to us through our contact center. It is now becoming an increasingly large focus for the business. For customer applications, we also use a platform called ACE. 50%+ of our applications which are brought in or originated by us today are logged in through this platform. They are paperless, customer can submit documents to us in the soft copy. We have API tie-ups for KYC, for eKYC, we have vendor tie-ups for bank statements scraping, we have tie-ups on APIs for IT Risk assessment. So, digitally to be able to peruse information of the customer, underwrite them, and make our stakeholder, which is the sourcing team happy is something that we have been working on very actively.

Now let's come to the next phase which is underwriting. We are now in the process of transitioning our core loan origination system to Salesforce. In fact, in the Affordable business, we have just done a pilot of it over the last three months. And based on the early results that we are seeing, we are very confident that the underwriting team productivity will go up on account of this transition that we intend to making. That's going to be a very big investment for us. Second, over the last two years we have come out with our straight through processing journeys for salaried customers in housing loans. This helps improve underwriting productivity. We have a fully automated business rule engine that determines whether every application has been tested as per the policy or not, if there are any deviations or not. It throws out the deviations in an automated manner. On top of this, we are also building analytics-driven scorecards for all customer segments. So, those are some of the interventions that the underwriting side of the business is going through. On service, again we implemented Salesforce's CRM in this side of the business last year. It's been about four months since we went live, and we are very happy

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Internal with the early results that we have seen. The contact center executives' productivity has gone up. The quality of the conversations that they have had with customers has gone up because of the information being available together in one place. Our customers' feedback on us has gone up a few notches over the last three months. For retaining our customers, we are developing analytics-driven scorecards to ensure that we are able to reach out to them correctly. The correct customers are given the right offers in terms of pricing or top ups. Last year we also came out with a WhatsApp-based chatbot. This was to help customers for their service requests, and we are also using it for acquisition. So, as I said these tech investments are being made with the intention of making our business more future ready, more sustainable. So, with these kind of investments that we are making and the plans that I explained over the last few minutes, we are very confident that this side of the business, the Prime and the emerging markets will be able to grow and will be able to grow profitability along with the asset quality of the highest order in the years to come. Thank you. Thanks a lot.

Dilip Vaitheeswaran: I'd like to call Anuj Saxena, our Head of the Affordable business to share his thoughts.

Anuj Saxena: Thank you, Dilip. Ladies and gentlemen, my name is Anuj Saxena, and I head the Affordable business in PNB Housing. It's indeed a very great pleasure for me to take you through the exciting journey that we have initiated on the Af

fordable Housing business side and also share some of the early success that we have achieved in the last 12 months to 16 months that this business has been operational. And more importantly, I would also want to share my perspective on the roadmap that we have developed for this business to achieve greater heights in future and

how we are confident that this business is going to become one of the leading and the most successful Affordable Housing franchise in the country.

What I will do is I will start with a bit of context setting. In Financial Year '22, we started a bit of a strategy and transformation program with the objective of improving the overall profitability profile of the organization. And one of the important deliverables that came out of that exercise was to set up and get into the Affordable Housing segment which is poised to grow higher than the overall housing finance industry and which will also help PNB housing in terms of improving the margins and therefore the overall profitability profile of the organization. The whole of FY23, in fact first half of FY23 went into designing the entire go-to-market strategy to cater to this particular target segment. We made a lot of effort to understand the target customer segment, who's the customer segment, what is the profile of that customer, what is the profile of the property that this particular customer segment is planning to buy and for that they require the home loan, which all geographies are important to run this business successfully, what are the risk parameters, how do we underwrite these set of customers, how do we underwrite these set of properties, how do we operationally manage this business, what is the optimum branch operating model, what is the distribution strategy, what is the overall operational backbone that is required to create a successful business model for this particular segment of the housing finance industry? And as MD also covered in one of the initial pages, from January 23 we started offering these loans to the set of customers. A quick recap of what we did at the start of designing PNB Housing Finance Ltd.

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Internal this program. We took data from the bureau and we looked at the target customer segment in terms of the average ticket size being less than 20 lakhs, so somewhere around 5 lakh to 20 lakh of average ticket size and that was the immediate timeframe after the COVID scenario. This was like FY22, I am talking about, '21-22 I am talking about. So, we also looked at the delinquency levels which you seen in those various markets. In a nutshell we scanned through 550+ districts which are there especially in the bureau data it was visible in the entire length and breadth of the country. Out of that we took broadly two parameters, what is the potential of that particular district and we defined that any district where annual disbursement for this ticket size which is up to 20 lakh of home loan is more than 75 crore per annum, that is like a medium or a high potential district for us. And another cut that we put was delinquency should not be more than 3%. 3% is high. But this was the post-COVID scenario. So, we took that 2.5 to 3% delinquency, if the market is higher than that delinquency level and by delinquency I mean 90+ delinquency then we don't really want to focus on those markets. You know as a result a bit of a Pareto came out of this exercise, you know about 80% of business of good business which is like low in delinquency, high on potential is happening in about 150 odd districts in the country. About 75% of business was concentrated in about 25% of the districts. When we looked further, we also looked at, okay, where all some of the other successful Affordable Housing companies are operating, which all districts, the branches are opened and accordingly we were trying

ing to develop

our own distribution strategy for this business. We realized that out of these 156 districts, which were like high potential, low delinquency, good business districts for this segment, close to 140 odd districts were concentrated in about 14 states in the country. And when we looked at our competitive scenario, the competition landscape, we realized that most of these Affordable Housing companies, many of these regional Affordable Housing companies were also operating in these 14 states. There were very few who were operating in all of these 14 states, but largely many of these companies were operating in a bunch of these states. So, that gave us a lot of confidence in terms of this is the way forward to design our distribution strategy for this business. What we also did was we divided all these 14 states into broadly two categories. The dark, the deep red color that you see are like about the top 50% of districts are there in these geographies. And the light red shade is the next 20%-25% of potential lies in these geographies. And accordingly, we have framed our distribution strategy. I will just try to highlight some of the other nuances of this business before I start talking about numbers. So, typically the target segment is you know the EWS, the economically weaker section of the strata, the lowest part of the pyramid that was shown in one of the pages that Dilip was presenting. The lower income group, the MIG segment, so EWS and MIG, they are like the core target segment for our Roshni business. Some part of MIG, especially MIG-1 also forms an overlapping segment for us to cater to because many of the geographies where we are opening our branches, our prime branches are not necessarily open in all those branches. So, we also cater to MIG-1 profile in some of the districts.

Now let me talk about some of the early success that we have achieved in this business. As MD also highlighted, we have recently crossed a loan book of INR 2,000 crore and we are the fastest Affordable Housing franchisee in the country to reach this mark within two years of operation.

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Internally, in fact, we have achieved it in about 16 months of being operational. Many a times I get this question that how PNB Housing is able to scale up this business faster than some of the really successful affordable housing companies because we achieved INR 1,000 crore of loan book in about 11 months flat, INR 2,000 crore we are crossing in about 17 months. What I generally answer is, using the example of the bamboo shoot, when the bamboo plant grows for the first few months, in fact for the first whole of the year, you don't see any visible growth of that plant because the plant is trying to lay down the foundation. It is strengthening its leads and also its roots and then once the roots are strengthened, then the plant really starts growing fast. So, that's the approach we have also followed here, we looked at the various operating models and very carefully we have chosen the branch operating model for this business, and we took a lot of time to develop a very detailed strategic blueprint and after that the large part of FY23, the first two three quarters in that year went into execution. So, we finalized the product value proposition, we finalized our distribution strategy, we finalized our policy framework, we finalized our branch operating model, we developed a completely separate org chart for this business, completely different org structure and you know we then started executing in terms of opening the branches, hiring the right set of talent on the sales side, credit side and it is all completely independent from the Prime business that was already running in the organization. And from January 23, slowly and steadily, we have started growing this business. Quick numbers, as you see on the top chart, quarter-

on-quarter, we are growing by leaps and bounds. We started in a small way, first quarter, around INR 200 crore plus of business was booked. In the final quarter of FY24, we have booked a business of about INR 650 crore. Of that business around 68% of my customers are salaried, 32% are self-employed. As we move forward, we intend to make this mix to 50% self-employed and 50% salaried. About 75% of the customer profile currently is formal income, 25% is informal income. We are moving towards a scenario where very soon (50%+) customers will be informal income, the remaining 45% to 50% would be formal income. Right now, because we started conservatively, as MD also talked about, that when we open the new branches, initially we focus more on the formal income segment which is a safer segment, which is booked at a relatively lower yield and then that explains our 11.6% yield that we are getting on this book right now and slowly and gradually as the vintage of the team, vintage of the branch increases after six months we start focusing more on the informal income segment and accordingly our yields also start improving for those branches. So, right now out of 160 branches we divide this into two buckets. 100 branches which are the older set of branches, these are the branches that got opened by December 23. So, a large number of these branches are more than 6 months old now. Those are the branches that are going to contribute more in this financial year and as compared to the recently opened 60 branches that we opened in March, they will become disbursement active in this quarter by June. So, those 100 branches which are old will start focusing more on informal segment. The new branches will follow the roadmap that was followed by the earlier set of branches, more formal income customers initially and then gradually we shift towards the informal segment. And that's how we are going to manage the yield. Right now, 11.6%, this year onwards, 12.5% to 13% is the targeted yield and we are confident that as we get into from Tier-2, Tier-3 locations to Tier-3, Tier-4, Tier-5 locations and PNB Housing Finance Ltd.

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Internal as we start catering to more informal income profiles, as we go deeper into geographies, we will start getting higher yields.

Just a quick glance into some of the important numbers. Many of these things I've already talked about. One of the important points to note is the last metric on the page, which is 30+ delinquency. So, this 1,800 crore of books that was booked till the end of March 23, my 30+ delinquency is almost zero. There were only two cases out of close to 14,000 cases that we have booked in the business so far, that also shows that the quality of book is really good and there are absolutely no early warning signals that we see. Having said that, we have to continuously work on maintaining the portfolio quality and collections efficiencies typically play an important role. Any branch that we open right in the first month of opening of the branch while we deploy resources on the sales, credit and operations side, we also ensure that there is a collection executive available in the branch to initially educate the customer because you know about 25% of my customers are new to credit. They are taking a loan from a formal institution for the first time and you know the collection team really works with them to ensure that they maintain the requisite balance to pay EMIs on time. Some of the customer segments that we are catering to, as I mentioned, formal salaried, we start with this segment here. This is like customers who are teachers, working in government jobs, working in private jobs, and drawing a salary every

month. Safe business and ample amount of business that we get in these locations. Followed by informal salary, these are the customers who are working in smaller organizations or smaller stores

, in some of these industries where they get paid in cash. So, cash salary, which is the informal segment. Again, we have a program to cater to their needs. And then self-employed. Self-employed again divided into formal income self-employed and informal income. I will be throwing a lot of light in the subsequent pages on these segments.

Quick glance on the portfolio. The salaried portfolio, as I mentioned right now, this portfolio is 62-63% of the book. And if I further break down this 62-63%, 14% is government salary, 45% is private salary, and around 4% is cash salary. Government salaries, typically state government, central government jobs, army, various people working in army, and central agencies like CISF, CRPF, etc. And then a lot of customers who are working in government schools and colleges, hospitals, etc. So, around 14% of total sourcing is government salary, 45% is private salary which are typically the starting level jobs that these customers are doing in some of the IT/ITeS companies, some of the other Category-D companies, banks and NBFCs, etc. Average salary of around INR 35,000 to INR 40,000 and my loan ticket size is around 14 lakh, I get a yield of around 10% to 11% both on the government salaried as well as on the private salaried side. Cash salary is the higher yielding segment and that's where the assessed income or the cash salary component typically is around INR 25,000. INR 9 lakh is the average ticket size that I see in my portfolio, 35% new to credit I get there and therefore my yields are also higher.

On the self-employed side, right now it is around 37-38% of my book and I intend to take it to 50% of my incremental sourcing as we move forward. Again this 37-38% if I have to break down, 21% is self-employed informal. So, these are the customers, they either they don't really have any documented income or the income that they are showing in their ITR is not sufficient

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Internal for the loan amount that they are trying to apply for and therefore my credit team, when they meet the customer, they assess their business model, they develop a deep understanding of the business, the profitability, the monthly and the annual income that this customer is operating at. Accordingly the income is assessed, eligibility is calculated and the loan is sanctioned. On the formal side, it is only around 16% of sourcing right now. There the documented income is used to derive the eligibility and accordingly the loan is sanctioned. Formal income self-employed is giving me around 12% to 13% of yield. Already the 21% sourcing that we have done on the informal self-employed side, this business is giving me a yield of upwards of 14% and around 26% new to credit customers we get in the informal segment. The point that I am trying to highlight here is we are very confident. We have all the tools and skills in place to now start scaling up the informal income segment both on the self-employed side and the salary side and accordingly the yields will also start going up.

Now I will take a pause and I want to spend some time describing my informal income customer, a typical informal income customer, especially on the self-employed side as well as on the salaried side and I would like to share the operational framework, the underwriting framework that we have already developed to appraise the income of such customer segments, such customer profiles and how we are underwriting these cases currently, what is the sort of property appraisal that happens in these cases and accordingly how we are managing this business. Let's take this example. This is an actual customer. We got this lead through a connector. So, by the way, we have empaneled more than 1,000 connectors for this business in the last one year. And about 70% of my business is DST, which is proprietary sales originated business. 30% comes

from DSA. This DST channel typically works with the network of connectors and these connectors they supply the leads, and they help us solicit this business. So, this customer was sourced through a connector, by my Ambarnath branch, we have a Roshni branch in Ambarnath here. The customer wanted, so he runs a paan shop. He has been running a paan shop, a paan shop cum beverage shop for more than five years. And he was looking to get a loan of about INR 9 lakh. He was intending to buy a one room kitchen kind of a property in the vicinity of your Ambarnath, in the Thane district there is a place called Bhiwandi. So, in Bhiwandi he was planning to buy a property worth around INR 12 lakh looking for a loan of around INR 9 lakh and he was a new to credit customer so no documented income, so my BCM, he met the customer at his shop. He spent half a day there, looked at the way the business is being done. What is the business volume? Looked at some of the register entry in terms of how much supplies he is getting in a month in the last month, how much sales is he making every day, what are the various items and what are the margins available for his retail business for those items and accordingly he, the BCM gained a lot of confidence in terms of what is the overall profit income for this applicant for a month. Accordingly, INR 39,000 per month of income was derived and we also looked at various other supporting documents which were available to validate that

income. Accordingly, we sanctioned the loan. We also looked at the property that he was planning to buy. A thorough legal and technical check was done. And finally, we disbursed the loan of about INR 9.3 lakh including the insurance which is also attached, at 14.25%. Overall, LTV was around 78%. So, one important point to note was, this is the kind of business where PNB Housing Finance Ltd.

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Internal our credit team there on the ground, you know they have to go there and they should have all the skill set to go meet the customer, assess the income and take the right call for the business.

Another example I will not spend a lot of time here, this was a tailor, there is a place in Madhya Pradesh called Ratlam, we have a branch there, the customer already had a plot, he wanted to construct a house and we did similar approach. We looked at how he is managing his business, the BCM went to his residence cum shop, looked at what all does he do, shirt, pant, we have various other clothing items that the tailoring was being done, what are the margins, accordingly the income was arrived at and because it was a plot, plot was already there with the customer, we just financed the construction and 40% LTV, 14% ROI was there for us to book this loan.

Another last profile here, this is more of a cash salaried profile. I will just spend a couple of minutes just to give you a flavor of how these customers typically work. So, again, a lady in Tamil Nadu, this application was hosted by Chennai branch. She works in a lab product manufacturing unit, a local lab product manufacturing unit. This business supplies laboratory items to various schools. So, she has been working there from 2019 onwards, so good 4-5 years and her husband was also working in a similar kind of a Company as a delivery boy. So, both were earning around INR 20-25 thousand per month as cash salary. We appraised the income and as per our norms we typically don't go beyond INR 15 lakh of loan for such profile.

Ultimately around 12.3 lakh rupees was sanctioned at around 13.8% of ROI and 60% LTV. So, we have already booked, out of INR 2000 crore of loan book that we have about INR 500 crore belongs to this particular customer segment which is informal income segment, and the idea is to take it forward, start sourcing from this segment more and there

fore accordingly our yields will also start going up.

Some quick revision on some of the important metrics. One of the important points to note is out of all the sourcing that we are doing, 70% is Home loan, 30% is non-home loan (loan against property.) This 70% when we break the right-hand side bar chart gives a further breakup of what is the end use of the loan or end purpose of the loan. So, 70% home loan can further be broken down into 54% is resale. The customer is buying the house either from the builder or in a resale transaction. Around 25% is self-construction. The customer already has a plot of land and he's planning to construct a house and needs finance for that. 17% is plot plus construction. He's buying the plot and is intending to build a house there. Around 4% is home extension or improvement loans. The more we get into Tier-3, Tier-4 locations deeper into the clusters where we are operating, we are likely to get more of the self-construction and plot plus construction cases and these products operate at a yield which is higher by about 50 bps from a normal purchase kind of a home loan. The idea is to organically keep building this portfolio as we get into, as we expand to smaller locations, organically this product segment will grow and contributing towards the overall higher yield for the business.

So, that's it from my side and now I invite my colleague Mr. Jatul Anand to take us through the underwriting and collections.

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Internal Jatul Anand: Thank you, Anujai. Good evening everyone. This is Jatul Anand. I take care of credit and collections for the Company. In the next few slides, I will take you through the progress made in both the functions and our readiness for the next leap.

Well, underwriting the major change when it came in the Company was the implementation of the rule engine, which brought in the standardization and uniformity in the processing. The credit guidelines have been coded in the system and the system ensures across the geographies the processes, adherence and the hygiene checks are maintained and it allows a microscopic view on a real-time basis how the locations are performing. So, enabling the underwriting team, that is up to my level, we can tweak as we speak.

So, that is the kind of the power we have got with the implementation of this and this in turn became in the stepping stone or the foundation to move towards this STP journey for the straight through processing as we call for the salaried class.

So, there was a set of eligible salaried customers, if you meet the criteria, all boxes tick, the machine is enabled to give you a sanction and this is a pakka sanction, this is not an in-principle approval within 24 hours. So, these kind of interventions have really helped over a period of

time.

Last couple of quarters, there have been lot of interventions and changes in the approach as we do the incremental business. In terms of underwriting, 90% and above of our approvals are less than INR 1 crore ticket size. Overall average ticket size of the Company is less than INR 35 lakhs, modified credit guidelines, that is location specific considering the nuances and use of as I said earlier the BRME.

So, we are able to tweak the policies. We have exited or vacated space to an extent in terms of large ticket exposures more particularly in cash out loans, that is the non-housing loan, the LAP loans as we call, so restricted high-ticket LAPs. They avoided certain profiles in certain geographies. So, those kind of interventions were done by the Company which has yielded the right results. 85% of our sourcing is above 700 CIBIL score in prime and emerging business.

So, that is the set of credit tested customers being on-boarded.

So, this gives us a confidence and as a proof, it comes out in the appraisals as well.

Now INR

30,000 crore of portfolio, which is close to 47% of the book, which is originated in last two years merely has any NPA. It is 0.08%, few of the cases flowing beyond control.

So, this is, you know, and from the underwriting side, with this the team feels strong and confident as we approach to cater to the business ahead on the incremental basis as well as on the portfolio management side, maintaining the early mortalities, process hygiene and the use of the scorecards being built in, I think we will be able to provide better turn around times.

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Internal We consistently have been delivering in less than four working days, be it salaried or self-employed combined. This is further being shortened to around three-and-a-half to three working days.

So, moving on to collections, the collections you have been seeing us from quarter-to-quarter, NPA is moving down from 5% to less than 1.5%, bringing it down to 1.45% this year, but then there is lot. This was the outcome. The manifold efforts were done by the Company.

Strategically, the task was not easy in the beginning of the year.

The strategic move was to divide the Company as MD also mentioned in brief into various, divide the collections function into various buckets. That is the initial bucket, the early resolutions, the bucket X, then pre-NPA, NPA, a dedicated vertical for sale of properties, a dedicated sub teams for engaging the customers and pressurizing to get into compromise settlements, which generally nobody does that, but that yielded good results for us and the recovery team, which is pure recovery from the written-off pool.

So, these all efforts have helped us in a) bringing the NPA down to 1.45%, but honestly from my side, more than that gives us confidence on various parameters. One is that we have complete grip on the portfolio. We don't allow the customers to flow. The testimony is 99.6% resolution in SMA-2, right? That speaks aloud. While MD has been continuously encouraging us to reach to zero flow, so I think rounded off it becomes zero. So, we reached there in March, NPA is 1.45%. The endeavor is to reach 1% very soon.

Managing pre-NPA, the buckets if you see the improvements in buckets quarter-on-quarter. So, a) we don't allow to flow. b) if it flows through cash collection or with use of SARFAESI. c) the customer only has two options left, either to enter into compromise settlements or hand over the properties.

Again, the testimony to what I am saying is, auctioning more than 2,000 properties in 90 days was not easy for us and the result is we could sell 296 properties 3x over what we did in the previous year and let me tell you that in these cases, the recovery was more than the principal outstanding.

So, that gives us confidence alongside the collections in the property sale group that we will be able to sell it off if we get the property. The margins are the real. And the written-off pool. We have been asked about our written-off pool and that is all technically return of INR 500 odd crores I have in retail. When we see the recovery, INR 68 crore coming in cash as against INR 19 crore previous year, that is over 3.5x. And if a similar recovery is what we are eyeing this year as well, you know, quarterly around for INR 50 odd crores coming in will be a sizeable number from the write off pool.

So, I think this is all you all know that this is the overall dashboard for the Company including corporate, how the journey has been in terms of NPA movement and the credit cost. So, as I said PNB Housing Finance Ltd.

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Internalearlier, the endeavor remains to reach 1% as soon as possible, maintaining the credit cost of close to 25 to 30 bps.

That is all from my side. Thank you. Let me call upon Anubhav to take us through the IT interventions.

Anubhav Rajput: Hi, good evening

everyone. I am Anubhav Rajput. I am responsible for technology and information security. I would like to spend the next few minutes taking you through our technology architecture, landscape and how we are trying to innovate.

Let me start with the vision. So, we really recognize that the mortgage business, the way it is evolving in the market today, there are going to be significant changes in the distribution models, significant changes in the way products are architected and the customer service and customer experience expands. Hence, we are trying to set up a technology backbone, which is meant for three fundamental things.

The first one is it is meant for scale and performance. As the branch operations expand, as the customer becomes and starts demanding multiple touch points, as more and more integration has to happen, the technology has to scale up. That is what our primary objective is.

Second is we are trying to get into a platform centric play. Especially if we look at the business model that PNB Housing is following, we now are working on three different verticals, prime, emerging markets and affordable. While there is lot of synergy, there are specific nuances in each of these verticals that need to be underplayed and configured on to a technology layer. By having a platform centric approach, we are able to manage significant amount of scalability, at the same time reduce significantly the risks of technology complexity and technology obsolescence. It also helps us to keep the IT costs under control.

And the third and the most important aspect is we want to create a technology landscape that is significantly easier and intuitive for the end users to adopt, whether it is by the sales team, distribution channels, customers, collection teams so on and so forth.

From a technology perspective, there are five key strategic pillars that we are focusing on. It starts with the customer experience. We want to create a landscape that is easy for our customers to reach to us.

In fact, very happy to share that with the new transformation on the CRM and the customer experience side, we now have almost 16% of customer service request which are serviced in a self-service manner. These are requests that are not even assigned to an agent and the customer is able to self-service and complete his or her ask directly on to the customer touch point.

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Internal We have launched a customer mobile app. We have given touch points on WhatsApp and a bot for the customer to reach out to us and get self-service capabilities. So, CX continues to remain a strategic priority.

The next one is we want to ensure that all our distribution channels, both our organic in-house DST channel as well as a third party intermediaries, whether it is DSAs, they are enabled on to a sales platform so that the revenue generation can be made simplified and we are able to consistently scale up across different business segments.

We also recognize that as we get into different business segments, there is going to be a significantly larger volume of work that will come for the credit and operations team to work on. And hence, building capabilities for underwriting at a scale is rather a key priority.

My colleague Jatul also talked about the business rules engine. So, what we have done is we have digitized and codified the credit underwriting guidelines into form of a rule engine, which is exposed as a service across different touch points and platforms, so that the people dependency reduces and the consistency of decision making significantly improves. Of course, we want to leverage analytics as much as possible across the entire lifecycle.

And lastly, we want to ensure that we are creating a technology backbone that is scalable, secure and meant for long term. On the right-hand side, what you see is the techn

ology backbone that I

would like to very quickly touch upon.

So, the three or four key things that are taken with at least from a technology side here is, we are trying to leverage cloud to a significant extent. That gives us these phenomenal advantage of scalability and performance. We are moving towards a services-based architecture so that integration is significantly easier. And we are also spending significant time and effort on keeping our entire landscape and ecosystem safe, because cybersecurity is definitely a key challenge and a significant challenge for all of us who deal with.

Very quickly, while my colleagues have talked about it, broadly if you see, the way our entire digital transformation is working is, we are trying to automate the end-to-end loan processing cycle. In our line of business, there are certain elements of the business process which cannot be automated at the moment, for example, the home visit or the technical verification so on and so forth. But the rest of the process, we are trying to digitize and automate to the extent possible.

So, as part of the transformation, the entire form filling is digitized to a significant extent. We have integrated more than 150 plus services to ease the process of form filling for our agents and the end customer. Also, the validations happen so that the data entry validations and the data quality are significantly higher for us to leverage on analytics in the future state.

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Internal We are also trying to do the KYC and the onboarding in a digital manner and also trying to leverage different services for the customer to get to a sanctioned stage in a matter of minutes and post that the rest of the process can follow. Disbursement of course is customer dependent. For our distribution team, we are trying to create a holistic platform which is what Dilip was also talking about, Anujai was also talking about. So, right from identifying an agency, identifying an agent, onboarding that individual, lead management, the entire hierarchy to follow up, day planner, incentive structure, MIS, leader board, sales pitch books, play guides, product information sheets, customer details, queries from the underwriting or credit team for additional documents or insight from the customer, the entire thing is being made available on to a simple app-based platform so that our feet on street, our agents are productive significantly from day one and they can start directly contributing to the business targets and the business volumes. At the same time, it significantly reduces the turnaround time to resolve customer queries and do the sanction and disbursement at a much faster pace. So, this entire platform is coming alive and the entire set of sales agents are going to leverage this platform.

Another key differentiator here is we have again leveraged a platform centric approach here. So, if we are trying to partner with the DSA who does not have a technology capability, we will be able to extend this platform to that DSA agency also so that the synergy remains significantly higher for PNB Housing Finance.

Lastly, so what is this transformation really delivering for us? So, if you see, we have been able to reduce the manual data entry by almost 36%- 37%. We have been able to completely reduce the ability to collect physical documents.

In fact, we have a very strong OCR engine which is bundled and built into our LOS as well as the field sales app so that the entire process gets digitized.

By the entire set of transformation projects that we are delivering, we are able to target higher levels of efficiency and productivity across functions, whether it is credit, sales, underwriting, operations, all these functions.

And for the first time in the last 1-1.5 years, we have built an in-house engineering team capability for PNB Housing Finance.

Finance, so that we have got better control to make faster releases, make changes to technology quickly and also maintain the intellectual capital within the organization itself. It also helps us give the ability to go and partner with different players and have a better go-to-market or a targeted offering for our end customers also. So, that is all what I had to talk about technology. If there is anything in question, I will be happy to answer in the Q&A session. Thank you.

I would also like to invite my colleague Vinay to take through the finance portion.

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Internal Vinay Gupta: A very good evening to all of you. Thanks a lot for joining us today and be part of our journey so far and driving the future roadmap as well for the Company.

I will cover briefly the second part of the ingredient. So, far you have heard about the yield and how are we going to grow profitably. One part of that obviously is the yield, you know, how are we going to drive higher yield. The second part of this journey would be and the key ingredient would be the borrowing cost, right? So, what are we going to do on the borrowing cost and how are we going to drive the efficiencies and improvement there.

So, MD spoke about the mix and the diversified borrowing profile. So, as you can see for the last three years our borrowing profile remains well diversified. We have maintained the diversification and our endeavor would be to maintain this consistently over the coming years. In the last year, some part of our term loans has given way to NHB Borrowings as well as the part of NCD borrowings. As our access towards debt capital market improves, now we are also looking at borrowing through these instruments more and more as we move forward. So, diversification from these instruments would be maintained.

The second part is in terms of liquidity:

As our access towards the debt capital market and towards the other instruments improved, now we have actually brought down the excess liquidity from the levels of 8% to the levels of 3.5%-4% which is in line with other well-managed housing finance companies and our endeavor would be to maintain this liquidity that you see on the books.

In terms of the cost of borrowing:

As you can see, last financial year we were able to maintain the similar cost of borrowing, right. So, while most of the housing finance companies saw the increase, we were able to maintain the similar trend of cost of borrowings. This has been made possible with two, three things. One, obviously our access towards NHB borrowing improved this year. So, we have borrowed around 3,000 crores this year. We have also improved our borrowings or replaced some of the high-cost borrowings of ECBs etc. in the form of domestic borrowings. So, this has helped us this year in terms of maintaining the cost of borrowings.

Now, as you all know at the end of Q4, we have got a rating up grade. So, going forward, this gives an opportunity now to again renegotiate and go back to the market and ask for the better cost of borrowing on the incremental basis.

So, on the incremental borrowing, we expect somewhere around 15 to 20 bps of improvement in the cost of borrowings, maybe in the form of our access towards debt capital market, our access towards NHB funding and through renegotiation of spreads renegotiation of benchmarks.

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Internal Similarly, on the portfolio basis also, we would be reaching out to our lending partners and trying to renegotiate on the spreads and benchmarks. So, definitely this is one area which we would be working on very aggressively, and the opportunity lies ahead, and we are well placed to capitalize on this opportunity.

Moving on in terms of the asset liability profile:

This remains very well balanced. All our buckets re

main within the Board approved limits, and

we ensure through the Risk Management Committee tracking that there is no breach in any of our Board approved limits from time to time. In terms of SLRs and LCRs also we maintain very healthy ratios and we ensure that we remain far ahead in terms of the requirement so that there is no breach at any point in time.

Moving on to the key ratios:

As you know, over a period of time, our ROA profile has improved. This is driven by improvement in margins, improvement in fee income and improvement in credit cost. Some part of the margins are obviously being taken away because of the mix change as we are moving towards retail versus corporate. So, the mix is also moving towards retail and hence you see a flat margin versus '23 and '24.

Going forward, as you know with a higher mix of emerging and affordable coming in, obviously there is going to be an opportunity to improve these margins. But yes, over the three years, there is definitely an improvement, and we will definitely continue to further improve the journey.

This is more now that you have heard all the management team and what all we are going to do in terms of improving the growth and improving the margins. So, over a period of time, now as you see, as we increase the share of emerging and affordable, incrementally it will start contributing maybe around 50% in terms of the disbursements.

In terms of book, these two verticals will contribute maybe in a 3 years' time to around 40% of our book. This change and shift will help in improving our gross margins maybe in the range of 50 to 70 bps. The operating cost also will remain stable. Actually, you know, we see an opportunity to bring it down maybe by 10-15 basis points, reason being that since we would be investing on the affordable segment.

However, at the same time, with the scale kicking in, the economies of scale will help in absorbing those incremental costs that are going to come in. So, overall we see an opportunity to further bring down the operating cost. The credit cost is going to remain constant.

So, with this mix, we expect an improvement in our ROA profile from the levels of 2.1% to 2.2% right now to go to between 2.5% to 2.6%. And then if you use a steady state leverage of let us say 5x, then that get us to somewhere around 15%+ ROE.

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Internal Further, there is an opportunity of recovery from the written-off pool, which we spoke about.

Obviously, since it is difficult to time it and predict it very accurately, this is obviously an over and above opportunity, which will continue to come in in the next six to eight quarters. So, this is a brief about how our ROA profile is going to improve in the next 3 years. Thank you.

I will also cover a bit on the human capital. So, as you know, behind the success of any organization lies its human capital and the experience of the human capital. Human capital remains one of the key and the most valuable asset for any organization.

So, as you can see, in terms of the mix at a senior and mid-level, we have a very good experience team having at least two decades of experience. In terms of professional mix, it is around 80%

plus have the professional expertise.

In terms of the attrition rates, they have significantly come down and maybe are one of the best now in the industry at around 17%-18%. We have been continuously investing across the employee life cycle, be it through the learning hours, be it through ensuring and nurturing them across their life cycle or the journey in the organization.

And if you see, the approach that we are adopting is more of an employee-first approach. Strong people initiatives have been taken across onboarding as well as employee recognition and engagement. There is a comprehensive wellness packages that

are being offered to the

employees to ensure that they are being taken care of in the organization. And in terms of capacity building, there is continuous investment in terms of upskilling them through providing the right learning opportunities through the online modules as well as through the classroom-led trainings.

So, all this is basically proof of the pudding in terms of we have been certified as great place to work last financial year and our journey will continue and will ensure that we further strengthen and leverage this employee talent pool to reach further heights in the organization.

With this, now I hand over to Girish sir to summarize the key takeaways based on the presentation so far.

Girish Kousgi: Good evening once again. I think the key takeaways are very clear. Growth with profitability in mind, keeping the asset quality pristine and compliance as threshold. I think these are the key takeaways. Within growth, we will try to grow our Roshni book and emerging markets vertical.

So, these two will be our focus on growth. Grow the book by 17% for next three years.

Disbursement growth will be in the range of 23% to 25%.

As I mentioned, we are now moving into high yield segments in all the three segments, whether it is prime or emerging or affordable. So, margins will definitely improve. That is our focus area.

Today we are at 1.5% GNPA. We want to bring that down to 1% to 1.1% by the end of this year and further improve and maintain in the next few years.

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Internal As I mentioned, of course, we will keep investing in IT, digitization and automation. I think these are the key takeaways. Broadly growth, improve margins, keep the book quality good with compliance as a threshold. I think these are the top four takeaways as an organization that we would like to focus on. Thank you.

Deepika Gupta Padhi: Thank you, everyone. Thank you, everyone, for the presentation. We will now open the floor for the Q&A. We will just take a minute. We will have just a few chairs over here so that people can sit and answer your queries. The presentation is already there on the Stock Exchanges website. You might have taken a look and downloaded as well. Please do read Page #2 of the presentation, which is on the disclaimer, or as you call it Safe Harbor.

Pratik Chheda: Pratik Chheda from Guardian Capital Partners. Thank you for a detailed presentation. I have a few questions on the affordable housing segment. In your initial slides, you mentioned that you want to look at increasing the share of affordable to around 14% to 16% on a INR 1 lakh crore loan book. So, that roughly turns out to be around INR 14,000 crores of AUM size. Right now we are at around INR 1,800 crores. So, that is roughly around 7.5x in 3 years. Don't you think this is a bit too aggressive in a 3-year timeframe?

And secondly, currently the yields that I see of affordable housing are at around 11.5% and the band that you mentioned for the slide is around 12% to 14% for the affordable loans. So, the connected question is that do you think that it will be easy to scale up the loan book given that the yields are right now lower? Will it be easy to scale up the loan book with higher yields and aggressive growth plan?

Girish Kousgi: Yes, so on affordable, today we are at about INR 2,000 crores. When we talk about scaling up affordable, we will be investing in branches. Now last year, if you see, with 100 branches, we have done INR 1,650 crores. We have added 60 branches last quarter. This year we are going to add another 40 branches.

So, by end of this year, we will be at 200 branches. So, every year, we will keep adding branches.

So, one way to grow affordable, because it is generally said, you know, when we talk about affordable business, beyond a particular scale, it is difficult to scale up. R

ight?

Now we feel that up to about, let's say INR 14,000 to 15,000 crores. It is not difficult to scale up, provided we expand the branch network, we invest in people, we invest in process, and we take care of all the risk metrics. So, by FY '27, we will be at a book of INR 15,000 crores in affordable. That's number one.

Number two, we have taken a graded approach on the affordable business. The first year of operations, we were at 11.6%. And the reason for that was, largely, we focused on income based.

75% was income, and 25% was informal. Right?
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Internal Now that mix is going to change this year onwards, which means we are talking about yield of 12.6% this year. And this 12.6% we are talking about 100 branches. The old branches will focus on all the segments. The new set of 60 branches will focus on what this 100 branches focused last year. Right now, this will be on a continuous basis.

So, today if we talk about the affordable market, a blended yield of around 13% is very much achievable. And that is why we feel that by FY '27, we will be able to reach a book of INR 15,000 crore and touch yield of 13%.

Pratik Chheda: So, a connected question to that is, right now, in isolation, if you look at the affordable housing segment, the number of employees are around 300 something, 330 and the branches are around 160. So, around 2 employees per branch, which compared to your peers is relatively low. So, just wanted to understand, also if you are planning to do 70% in-house sourcing, do you have aggressive hiring plan also in place over the next three years?

Girish Kousgi: So, if you typically look at affordable branch, we are going to have one person managing sales, we will have a credit manager and we have a blended approach for the disbursement. So, we have in affordable for the first year, we are going to have a localized concentrated disbursement hubs. So, one branch would typically need about three on-role and five off-role. So, totally it will be eight. What was shown there was on-role employee. That is PNB Housing. So, we will have another five to eight executives per branch depending on the category and potential for sourcing and processing.

Anujai Saxena: And just to add, about 333 people there as MD also highlighted, they are PNB Housing employees plus we also have around 1,000 PHFL employees who are already working in these branches and they are our frontline sales credit and mainly sales and collections and operations executives.

Pratik Chheda: Just one last question. On the ALM slide also, the asset and liability in the one-year bucket seem very tight. So, do you see that the share of short-term borrowings or short-tenure borrowings is restricted? Do you see it going up? I mean, it is running a pretty tight ship there. So, what is your view on increasing the share of commercial papers from here?

Vinay Gupta: No, so it is not, we are not going to increase short-term. As you saw on the page, the one-year profile is almost in line. There is a small gap, but there are board approved limits that we have set and these are being monitored by the RMC, our Risk Management Committee as well. And we ensure that we remain within the Board approved limits. So, it will remain in the similar range. It will not see any big change in terms of the shift.

Nikhil Agrawal: Hi, this is Nikhil Agrawal from VT Capital. Thank you for a very detailed and a very informative presentation. So, there is some bit of confusion with the growth rates. So, let's say if you assume INR 1 lakh crore AUM by FY '27 and as Mr. Dilip mentioned that Prime and Emerging, which is INR 61,500 as of FY '24 end, would grow at a 12% CAGR. That would translate into an

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Internal around INR 85,000 crore portfolio, which is 85% and leaves room for 15

% affordable housing.

So, either Prime has to show some kind of slowdown or the total book has to be way above INR 1 lakh crore to reach the segmentation. So, some confusion here.

Girish Kousgi: So, I had mentioned this earlier. So, our focus is going to be in all the three segments. Affordable, Emerging and Prime. The growth rate is going to be higher in Affordable, followed by Emerging and then Prime. So, Prime, you know, to a certain extent would act as a balancing segment to ensure that the growth of 17% is maintained.

Nikhil Agrawal: So, the focus is growth in the other two segments and Prime would be the balancing figure in the target.

Girish Kousgi: That's right.

Nikhil Agrawal: And one more question on affordable housing. Just some clarity on how the repayment schedule works in this segment? Because in the 15-month period we have disbursed, we have sanctioned 18,000 crores, disbursed 13,000 and the loan book stands at 2,000 crores. So, some clarity on how the repayment schedule works.

Girish Kousgi: No, I think those were the number of loan accounts.

Nikhil Agrawal: Those were the number of loan accounts.

Anujai Saxena: Yes. The throughput funnel had a number of customer accounts. So, overall, the 2,000 crore loan book that we have, we have around 15,000 unique customer accounts.

Nikhil Agrawal: And one more question. From a strategic perspective, the salaried and self-employed and the formal and informal bifurcation that was given by the management, the highest focus has to be

the transition from salaried formal to salaried informal segment, the highest shift mix. So, in the salaried informal segment, which is like the example was given of a Medicare worker, why is this the best customer for us right now in this market?

Girish Kousgi: No, as I mentioned, it was a strategy because it is the first year for us, we focused more on formal. When we say formal, obviously we are going to have a higher share from salaried. Now this is year two. The focus is going to shift. So, it's going to be 50% salaried, 50% self-employed and within salaried, within self-employed, the focus is going to be more on informal.

Participant: So, my question was that, as we are increasing the share of lower ticket size loans in our loan book, that is obviously going to help us on margins. But don't you think that it will also increase the OPEX as well as credit cost for us?

Girish Kousgi: First on the OPEX, see we have a very unique model. We have three different lines of business. We have three different verticals. When we talk about three different verticals, the line function, PNB Housing Finance Ltd.
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Internal basically the sales team, credit team, collection, and operations, only these would be specific to a particular vertical. And rest all the entire infrastructure is going to be common for all of these things. For example, IT or HR. So, there are lot of shared resource. And therefore, in this model, if you see OPEX, it's going to be much lower collectively when you compare with a similar model of any other Company.

For example, if you take let's say affordable Company, OPEX will be in the range of, let's say, 250 bps, or maybe at least 200 plus bps. For us also, it is going to be much higher compared to emerging, but it will be far lower compared to any other affordable Company, because we have one shared resource team trying to manage all these three verticals. And therefore, our OPEX is going to be lower. At an enterprise level, our OPEX will be in the range of 95 to 100 bps.

And on credit cost, if you look at the risk between Prime, Emerging, and Affordable, today if you talk about prime, a well-managed prime Company will have a credit cost ranging anywhere between, let's say, 18 to 22 bps. And for emerging, it will be anywhere between 25 to 30 bps. And for affordable companies, for a matured

book, it's going to be between 40 to 50 bps.

So, for us, when we talk about 30 to 32 bps credit cost, it is at an enterprise level, which is a blended credit cost. And that also, why we are saying it will be around 30 to 32 is only because we have tweaked a lot of things, and we have put a lot of process controls.

For example, in affordable, every single customer, irrespective of the amount, is met by the employee, every single customer on the affordable side. If the customer happens to be a self-employed or a business man, credit manager meets the customer and does personal discussion and then assess the income. Every single property other than the valuer is being visited by the employee. So, we have put in lot of controls and we have seen this portfolio and therefore we are confident that we will be able to manage credit cost in the range of 30 to 32 bps.

Participant: Sir, the model will be more centralized, or it will be the branches will have more authority to sanction the loan?

Girish Kousgi: So, it depends. For example, on the prime side, we have decentralized to a large extent. It is like this. Any new branch which we open, for certain months we will keep it centralized. When I say centralized, it is not at the national level, at a zonal level. And then after 6 months we decentralize. This is for prime and emerging.

When it comes to affordable, right from day one we would have credit manager based out of the branch but will not have power. After few months, once the credit manager gets experience, then we give power. So, it depends on model to model, but the idea is to decentralize, but there is constant monitoring happen on a daily basis at central.

Nitin Gandhi: I have few questions. Can you share what is a cumulative write off number of properties and amount which is outstanding as on 31st March?

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Internal Girish Kousgi: So, I mentioned on the corporate it is about INR 1,700 crores and retail is about INR 500 plus crores. Totally about 2,200 crores.

Nitin Gandhi: You shared that cost to income is somewhere around 23%. How is it likely to move? Because you are going to hiring spree and stabilizing the model. So, because it has moved almost 300 bps in some time in the last 4 or 6 quarters. So, can you share where it is going to be sustainable?

Girish Kousgi: See, now the spend on the IT is largely, it is done in the last year. So, we have taken spend on IT, branch expansion, investment in people for the new branches, all of these things are baked in and that is why an OPEX-to-ATA we said it will be in the range of 95 to 100 bps. So, there won't be a significant increase in cost because of all these things because these things are already baked.

Nitin Gandhi: Regarding borrowing cost, you are expecting 15 to 20 bps reduction. That is the correct understanding.

Vinay Gupta: On incremental.

Nitin Gandhi: Yes, incremental, but post rating upgrade, which can come in 4 or 6 quarters, they should be little higher, isn't it?

Girish Kousgi: Yes, so what we are trying to do is on two fronts, one is incrementally we will be able to get better rates from banks, from the market, both on NCDs and CPs. A. B. Vinay also mentioned that we have been engaging with all the bankers on the outstanding loans to change the spread so that the rate would come down. So, the effort is on both. Overall, all put together, I think we are expecting about 10 to 15 bps at the overall level. Incrementally, we are talking about next few quarters, it should be in the range of around 15 to 20 bps.

Nitin Gandhi: Any thoughts on typical Bombay market where self-development societies are there which need between INR 10 to 35 cores for self-development which segment is totally untouched as on date if you see and there is a lot of potential over there because FSI availability is

significantly higher?

So, are you focusing any of this or have you evaluated this segment?

Girish Kousgi: On the retail front, if this happens to be in any of the segments where we operate and if the project is viable on the retail front, if legal and technical is clear, then we would fund.

Dilip Vaitheeswaran: I think you are talking of redevelopment, right?

Nitin Gandhi: Yes.

Dilip Vaitheeswaran: Redevelopment is a tricky area to get into. Normally, from our experience, what we see is it takes time for consensus to get built up. Within societies, the existing residents take time to

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Internal/finalize whether they want to redevelop or not. Then who is the right developer to get into the project? Then what are the kind of deals that they will have with the developer?

The right time for a lender to come in is when all of that consensus stands received, construction is commenced and then we start funding the retail borrowers who are being sold the property, not the existing customers. So, there as long as the customers fall within our appetite of pricing and risk, there we will come in. The timing and redevelopment is right. That is the most important.

Nitin Gandhi: So, I am referring the self-redevelopment. I am not referring the developer-sold-redeveloped societies. The self-redevelopment where existing people move out, arrange their home, but they need to put up a building and where most of the people are senior citizens and they will not have the wherewithal to work. So, that is why your mortgage is whatever the lot is.

Dilip Vaitheeswaran: That is appraised on a case-by-case level. If it falls within our appetite of construction risk, customer risk, we will look at it.

Girish Kousgi: But on the corporate side, we will not get into SRA kind of structure. So, which is what I mentioned. On the corporate side, very clearly we have told what kind of projects we will look at, what kind of developers and what kind of markets. On the retail side, that's what I mentioned. Wherever legally and technically it is clear, so the stage of legal and technical clearance comes into picture once all of these things are sorted out. And if it falls into our segments, then we would do.

Participant: Hi, I have two questions. First one is on affordable housing. What is the cost of disbursement per lakh rupee of loan in the last one year in affordable housing sector for us?

Anujai Saxena: Cost of acquisition, we call it cost of acquisition is around 1% to 1.2%.

Participant: 1 to 1.2%, of the loan value?

Anujai Saxena: Yes.

Participant: Average size of the loan is how much, sir?

Anujai Saxena: Is around INR 14 lakh.

Participant: And just a second question on the affordable housing. Since there are a lot of HFCs, how do you differentiate in front of your customers and considering you are a newer player in the market, it would be great to understand how your sales manager go there, because I am sure those customers must be getting approached from these other sales managers as well. So, we can explain.

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Internal/Anujai Saxena: That's a good question. And you are right. It's a crowded space. You know, the affordable housing space and for that matter the housing finance space is a crowded space. What is really a good USP for PNB Housing, while we are the late entrant into this business, but what has been really working well for the Roshni product are a combination of two or three things.

One, our brand name really resonates well with these customers. It brings a lot of trust and

respect. Second, our distribution is the way we have expanded the branch operating model, the way it is working is more efficient as compared to our competitors. Third, the service levels, from login to sanction, turnaround times that we

are able to commit to

the customer and we are able to deliver to the customer are far superior in comparison to many of the other players in the market.

Girish Kousgi: Apart from whatever Anujai told, I think on the affordable space, if you go to the next 50, next 50, next 25 locations, you rarely find any competition. So, affordable business is all about perfect execution. Invest in branches, invest in team, invest in processes, and if you get deeper into the markets, deeper into the geography, I think it is very, maybe the top 100 is crowded. You go beyond 100 towns. I am saying prime, emerging, within affordable, 100 towns will be crowded because you will have 5-6 players in each of these towns. You go to the next 1,500 which means you need to expand your branch footprint. Once you do that, I think then it is more a question of making credit available to the needy. So, I think that space is still very large and that is where lot of potential is there.

Participant: Just a quick follow up on this. In terms of pricing, how do we stand? Where are we in that ladder for this segment?

Girish Kousgi: Today, if you look at the differentiation, there is no difference in pricing. Maybe 10 or 20 bps lower in each of the segments or the profiles. It is just that we had chosen to be present in certain segments, focusing on certain profiles as stage 1. Now we are in the second stage where we have opened up to all the profiles, all the segments. So, we should not see any difference in pricing beyond 10-20 bps going forward. Still there would be a difference if we compare affordable blended yield for FY '25 for PNB Housing and others. That is purely because of the old set of 100 branches and new 60 branches, the focus is getting different. And that is where this difference will come into picture. Otherwise, there is no difference.

Abhijit Tibrewal: Girish, the first question that I had is, I mean, very clearly we are looking to move, like you said, between salaried and employed 50-50, formal informal 50-50. We are looking to improve the proportion of non-housing, right, which is going to aid better yields, and improve margins. But very clearly we are looking to move towards a riskier customer segment, purely from a risk perspective.

The other thing that you talked about is more decentralization when it comes to underwriting, right. So, while decentralization has its own benefits of maybe better customer experience, faster PNB Housing Finance Ltd.

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Internalsanctions, faster TAT, right? One of the things that a decentralization opens you up to is also case for frauds that can happen, right?

So, I mean, what I understand, one of the ways to mitigate frauds, right, is to build that maker-checker kind of a concept in your underwriting, right? So, I mean, what are we thinking about it? What safeguards are we building in our underwriting as we move towards more decentralization?

Girish Kousgi: The first question was on affordable or overall?

Abhijit Tibrewal: Overall, I think we are looking to.

Girish Kousgi: So, talking about retail business. So, when we talk about retail business, you know, when we say self-employed, self-employed is riskier compared to salaried. So, this is a known fact and this is true for the industry. Non-home is riskier than home, right? We have a risk-based pricing. A, we price it based on the risk, number one.

Number two, we also reduce the risk. For example, we have completely moved away from high value. We have completely moved away high value non-home.

And number three, within non-home, across programs and the products, we have put in lot of filters. What I am trying to say is that even, let's say, we do a small ticket. When I say small ticket, 30-40 lakhs LAP, the risk is not significant.

But suppose, vis-a-vis compared to someone doing a 3 Cr- 4 Cr LAP, coupled, what happens is that there

are multiple levels of risk. The minute we say LAP, it comes with the profile of self-employed. Self-employed is the first level of risk.

And second is the product that is loan against property.

The third layer could be the program. If the program, if it is not formal, let us say informal, on the affordable side, we are saying that in informal, there is lot of opportunity, lot of potential. There is a risk, but the margins are such that it can easily cover the risk.

On the prime side, when I say prime and emerging, there are layers of risk. If you try to deal with couple of risk and pull down the risk, then non-home per se, or let us say even if it is a LAP, LAP, small ticket, income-based is not very risky. LAP-informal, when I say program-based lending, that would be risky. Add one more layer of risk. That is high value. So, self-employed,

LAP, the program and high value. So, there are four levels of risk sitting vis-a-vis compared to a salaried profile.

So, we have worked on all of these things. We have reduced the risk at a program level, A, B, at a ticket size level. And number three, we have tweaked depending on the geography, depending PNB Housing Finance Ltd.

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Internal on the program, depending on the policy. We have tightened some of the processes, some of the parameters. And therefore, a mix of 65-35 for a HFC on the prime or emerging business is well balanced.

Whereas when you come to affordable, so definitely the informal would be higher because they don't have access to credit and we will get into such small towns where the awareness level of the customer should not be that that we can compare with customers in an emerging market or maybe in a prime market and therefore that differentiation is there.

Whereas talking about some of the risk mitigants and controls, we have already put this in place, and our experience in the origination of last two years, we don't see any risk which comes out of early warning signal.

Jatul Anand: I will just add to this. The mid ticket size LAP what he spoke about, this is you know, and that to a business purpose loan, not a consumption loan, like LAP to salaried, we don't do. A mid ticket size to a smalltime businessman, and that to LAP goes with lesser LTVs. So, that last not even two years if we see after COVID times, after April '20 onwards book, we don't see any incremental risk coming in from that stratum.

So, as he rightly said, the above two layers we are avoiding. The high-ticket LAPs we are avoiding. The LAPs along with coupled with the surrogate income assessments and all that space we have located. So, the bottom left is not a very risky proposition and with conservative LTVs, that makes a good business deal at a higher yield.

And one point more as you said on the decentralization in the maker and checker, the Company still follows the 4-Eyes principle, maker and checker for every case. While we have said that we have moved to decentralized, we still follow the hub and spoke model. See, earlier we say that the hubs are 22 hubs which are catering to our all our branches. We came across two things. One for better business catchment, we need underwriter locally. And B, in some of the branches from risk prospective, we need an underwriter there so that he can go in touch base specially with the self-employed customers.

So, giving you an example. For example, in Bombay, our hub still remains in Borivali and where 10 underwriters were together sitting under the nose of a regional head. Today, one of them is sitting in Andheri branch. So, that kind of a decentralization done, his threat is still attached to the same hub with the maker and checker concept.

Girish Kousgi: And given the model which we operate today, it is a vertical model. Sales team is independent. Credit is independent. The operations team is independent. Legal is independent. Technical is

technical is

independent, and fraud continuity is independent. So, if a file has to be sanctioned and disbursed, seven teams will have to look at that file.

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Internal So, I am still not saying that it is not possible to collude, but collusion becomes that much more difficult because of this model vis-a-vis compared to a model, you know, where one person in a branch does origination, underwriting, disbursement, collection, and customer service. You know, where one person does all, vis-a-vis compared to both the models are good. Both the models has pros and cons, and there are ways to mitigate.

So, we are following vertical model where the maker-checker is inbuilt in the system. A, within the team, within one team. Number two, cross-functional team because of the nature of the role required by each of these teams to take the file through the entire journey right from origination till disbursement. So, we have a vertical model. So, that conflict of interest is not there.

Abhijit Tibrewal: Thank you for the detailed answer. Just one more thing. In this presentation, I think we touched upon all the aspects, NIM, OPEX credit costs. I think one thing which we did not maybe touch upon is the fee income side, right? While I acknowledge, we are a monoline lender, right? So, avenues to cross-sell are not as much, right? But how are we thinking about this fee income?

Girish Kousgi: See, fee income, this is a monoline business. We may talk about various segments within retail. It is a monoline business. So, I think fee will be in line with the volumes, and that is the reason separately we did not talk to that.

Nidhesh Jain: This is Nidhesh from Investec. Firstly, on the margins, you are guiding for 3.5% margins versus 3.7% last year. So, why is that? Do we expect margin compression? And what will be the margin expectation for FY '27 when we are saying ROA of 2.5%?

Girish Kousgi: See, when we say 3.5%, this is long-term steady-state. You know, we are talking about steady-state margin. So, there can be slight ups and downs, and therefore we are guiding 3.5%.

Nidhesh Jain: But sir, at 3.5% margin, 2.5% ROA looks very difficult.

Girish Kousgi: That is in the near term. 3.5% is near term. I think once the mix keeps changing, because now we are getting into affordable and emerging, so, obviously the yields are going to be better, margins will improve, and this entire thing will change. In the short term, we are saying that the margin is going to be around 3.5%. Give three or four quarters time, the entire thing will change, because we are moving more towards segments which are giving us higher yields, A.

B, the corporate book, which saw huge runoff in last couple of years, which had an impact on the revenue, now the book has come down to about INR 2,000 crores. I think that would now get arrested.

And number three, today, the prime book is quite large. And let us say next year, and two years from now, the book will deplete, and therefore the impact in terms of contraction of margin is not there. However, if you have to talk about, let us say, margin for FY '26 and FY '25, '26, '27, obviously, there will be an improvement.

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InternalNidhesh Jain: Secondly, the affordable housing segment, does all the files go to hub or file this entire decision happening at the branch level itself?

Girish Kousgi: On the affordable side, every single branch, right from day one, we have credit manager in the branch. We have a policy where for the initial few months, the credit manager would uprise the case, do the due diligence, do everything and then sends it to the next level for approval for few months. And once the credit manager gets authority, decisioning would happen at the branch. The model is different for each of these businesses.

Nidhesh Jain

: So, over a time, we realized that decentralization of such high level has created problems for other companies in the past. And most of the companies are now moving towards centralization of the credit decisioning. Specifically, at a particular scale, that becomes a very important factor from a scalability point of view also. So, how do you mitigate the risk? Because one guy is just doing all the reasoning and how do you mitigate the risk of frauds or let us say less relaxed underwriting by that particular person?

Girish Kousgi: There are two models. One is a branch model, and one is vertical model. Now, there are risks in branch model. There are risks in vertical model. I think the idea of either centralizing or decentralizing is more to do with the cost and not from a risk perspective, because there are risks in both the models. I will come to the risk.

So, for example, today in our affordable, sanctioning happens at the branches, but the disbursement is centralized. So, why is the disbursement centralized? It is not because of the risk, because we have an inbuilt model, which is a vertical model, where there is no conflict of interest and therefore the risk is lower. Nobody can say there is no risk. The risk is far lower. Today, we have chosen a centralized disbursement for affordable, that is more from the operational efficiency and cost perspective.

So, there are both models. Both the models are exposed to certain kind of risks, and for operational efficiency, they may have a blended model. Even today in prime, in emerging, we have blended model. There are some branches, because of risk reason, which I mentioned to you, let us say a new branch, for six months will be centralized. An old branch, which has enough volumes, where there is the cost impact. Once you have managed the risk, it will be decentralized. So, it depends on the model.

But the question of whether centralization is good or decentralized is good, I think it is beyond a point, beyond cost, it is a view. But largely people do centralize more from a cost perspective and not from a risk perspective. Because both the models are exposed to risk and there are mitigants to mitigate risks in both the models.

Anujai Saxena: Also, just to add, it is an important point, especially on the affordable housing side as MD also highlighted, every branch has a branch credit manager. It is extremely important, especially in the informal segment, to underwrite the case locally there. We should have all the skillset there.

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InternalSo, underwriting is happening locally, decentralized manner. Decisioning is not happening there.

Decisioning, if the delegation of authorities are set in a way that there is a regional credit manager, a zonal credit manager, as per the delegation of authority, the decisioning is still happening centrally.

Girish Kousgi: So, when we say decentralization, decentralizing everything. When I say everything, sourcing, underwriting, which includes disbursement, sanctioning and disbursement, collection, and

customer service, under one person or one team, that is the risk. The risk in decentralization is this.

On the other side, if we don't decentralize, there is a larger risk. Because on the affordable side, if we don't meet the customer, if we don't get the touch and feel of the customer, because largely it's going to be informal, unless the credit manager, not the sales manager, credit manager, who is independent of targets. So, when the credit manager goes and meets the customer, he would meet the customer, understand customer's business, draws out P&L, and then would decide on the quantum of loan. If the credit managers are not there at the branches, the risk is higher. So, whatever couple of instances what we have seen, that is not because of decentralization. That is because of 100% decentraliza

tion with one team. Again, I am saying, there is nothing called as right model or wrong model. It depends on whatever model we choose, we need to ensure that we mitigate all the risks. I think that is the difference, not because of centralization or decentralization.

Nidhesh Jain: Also, can you share the bounce rate and one plus DPD in affordable housing vertical?

Girish Kousgi: I think it's a very new business. I can just tell you our bounce rate today is not comparable. It is much, much lower compared to industry and therefore, it's very new business. I think once the business matures, we will be able to share all this data.

Participant: First question is on the corporate book. You said that from less than 2% or 3% of the overall, it will become less than 10%. So, fair to assume that it will grow proportionately more than the overall book. So, what is the rationale for growing faster in the non-retail book? And in terms of profitability, if you can differentiate a little bit in terms of retail and corporate, what is the difference in profitability of these two segments?

Girish Kousgi: See, on the corporate side, I think we had almost stopped business for three years because we saw stress in the book, and we know why there was stress. So, we had to deal with all the challenges. We took a pause. We stopped doing business. We worked on the portfolio. We worked on the NPA. We ran down the book. We reduced the NPA and now we know what went wrong and why it went wrong and therefore in a calibrated manner, we want to start growing. I think now it is, we can't compare because the base is very small. Now 3% going to 5% we should not see, okay, it is going up by 65%-70%. We should not look at that because it is a very PNB Housing Finance Ltd.

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Internalsmall business. If you look at any new business, first year, second year the growth is going to be more than 1.5- 2x, which means 200x. So, it is a very small business. The book has shrunk. The book is very small. I think we should not look at that.

I think what is important is that in terms of de-risking, you know, strategically we want to keep corporate less than 10% at its peak. When I say at its peak, even if you look at the corporate book, let us say in FY '26 or '27, it is going to be under 10% in the overall portfolio. That is number one.

Number two, in terms of profitability, since we are into multiple segments and emerging and affordable are going to be high-yielding segments, the difference between profitability from a corporate book and let us say affordable is not going to be very different. In the sense, we are going to focus on very safe corporate kind of thing. So, the yield difference is not going to be much.

Participant: And sir, second question is around the affordable. You said that when you go beyond the top 100 districts, that is where the opportunity lies. But I think there was a slide in terms of when you segregate on overall pan-India basis, there are 500-odd districts where there is scope for affordable. And within that, there are only 100 districts where there is enough size to do affordable or the asset quality is better.

So, when you try to go beyond those 100, either you face a problem of scalability or the TAM is not very high or probably the asset quality is not up to the mark where we want to properly operate. So, I am just failing to understand where is the potential for affordable? Is it in top 100 districts or is it beyond top 100 districts?

Girish Kousgi: See, the potential for affordable business is there starting from Tier-2. When we talk about Tier-2, obviously we should talk about pocket in the town and not the heart of the town. When you talk about Tier-3, Tier-4, Tier-5, you can be in the heart of the town and still you will have potential. So, when I spoke about going beyond 100, I was talking about the affordable segme

nt which is

beyond Tier-1 and Tier-2.

So, I was talking about Tier-3 and Tier-4, let us say top 100 and next 100. So, the minute you go to the next 100, there is huge potential. A. B, you also have an opportunity of yield. In the top 100, you have an opportunity on business, but because of whatever competition available, there might be slight challenge on the yield.

So, when I say when you get deeper, you will actually grow better and there is huge potential both in terms of growth and also in terms of yield. But that requires an investment. It is a very hard-working model.

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Internal As I mentioned to you, on the affordable side, every single customer has to be met. Every single property has to be visited. It is a very hard-working model and therefore, with existing set of branches, if a Company wants to grow, that is very risky.

So, we need to invest in branches. We need to invest in people. We need to invest in process, all the risk metrics. Only then growth will come back at the requisite rates. And for that to happen, if a Company has to grow, because there is a challenge today, growing the book beyond certain level, which is about let us say INR 15,000 crores, if a Company wants to grow beyond INR 15,000 crores, definitely we need to get deeper into geographies and only then they can grow. Otherwise, what will happen, within the existing geography, if you have to grow, then there will be a reduction or contraction in the yield. That is where I was coming from.

Anujai Saxena: Just to add one more point here, the page that you are referring to, the message that we are trying to highlight there was, prime business will focus in, let us say, top 20-25 cities, emerging markets business will focus in the next 50 cities, and Roshni business, the affordable housing business will focus in the next 100 cities. So, the sum total is still a round let us say 150 to 200, which remains the first page that I showed, 150 or 160 districts are conducive for this business.

Right now, we have around 160 branches. In my opinion, we can easily open 500 plus branches in these 150 districts, because you have to get to those peripheral towns and semi-urban areas of these districts, which we are targeting.

So, the idea is to go deeper, not necessarily to the 100 next districts. Within these 150 defined districts, there is a lot of opportunity to open more branches and penetrate these markets better.

Nitin Gandhi: Sir, can you share some thoughts on your fixed interest rate? How much is variable component and how much is fixed rate, and how is it going to be shaping up in next two or three years, including your emerging market conditions?

Girish Kousgi: On the lending side or on the liability side?

Nitin Gandhi: No, lending side.

Girish Kousgi: Lending side. Lending side, everything is floating.

Nitin Gandhi: No, what I meant is, whatever your asset acquisition, so whatever your lending, you charge to customers.

Girish Kousgi: All floating.

Vinay Gupta: Asset book is all floating.

Nitin Gandhi: And what is the lead-like relationship between passing of 25 bps? If there is a reduction of 25 bps, what is the lead-like relationship of passing? Is it one quarter or two quarters? How is it?

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InternalGirish Kousgi: No, whenever the cost goes up, we pass on that to the customer. Whenever the cost goes down, we pass on the benefit to the customer.

Vinay Gupta: It depends on what the impact would be on our liability profile. Depending on what is the impact on our liability profile, if there is a reduction, it will be passed on. If there is an increase, that will also be passed on.

Nitin Gandhi: So, what is the duration? Is there a one-quarter difference?

Vinay Gupta: Duration depends. It might take around 12 months for the complete

re-pricing to happen.

Nitin Gandhi: Let us say we arise to a hypothetical scenario. Maybe you can tell me what the probability is.

India gets included in the sovereign rating rates upgraded in. There is a bond inclusion. Heavy inflow comes in and interest rate drops by 200 basis points. How will you react to this?

Girish Kousgi: See, whenever there is a movement in interest, either northwards or southwards, if the rate goes up, we pass on to the customer. If the rate goes down, our loans from the banks and various channels of instrument also would go down. So, when the rate goes down, we will also pass on that to the customer.

Nitin Gandhi: Now, that is the normal behavior to happen. That I understand. But question is, if this has happened, where your interest rate is suddenly dropped, so your spread will be under threat?

Girish Kousgi: See, we always, you know, we do stress testing. We always plan for the normal scenario and one extreme scenario in terms of rate going down and one extreme scenario on the rate going up. So, we do this and if it happens, it is very unlikely but if it happens, we would follow the norm and we would either increase or decrease depending on the interest rate movement in the market. So, in this case, if the rate goes down, let us say by 200 bps, which means my liability, so, which means even my cost is going to go down.

Nitin Gandhi: You are referring more on the existing book. I am referring to the business to happen thereafter.

Girish Kousgi: So, my incremental card rates would go down to that extent for new origination.

Nitin Gandhi: So, in worst case scenario, you think that the spread is still maintainable.

Girish Kousgi: Which is why, see, we were talking about margin. So, we were talking about margin and for this, there are two levers. One is cost of funds, and one is the yield. We don't have too much of handle on the cost of funds. It depends on so many external factors and therefore, we have a better handle on the yields and that is why the guidance of whatever NIM we have given.

Nischint Chawathe: So, when you move, when you actually increase your affordable book, do you need to reskill your employees? How are you managing human resources for this business?

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InternalGirish Kousgi: Reskilling the employees? So, what we do is, the entire team, most of them, I would say 95%, 96% of the employees in the affordable team are from affordable industry.

Nischint Chawathe These would probably come in from competition or similar banks ?

Girish Kousgi: From the affordable, yes, that's right. So, there might be 2% or 3% of people who would have moved from either prime or emerging to affordable.

Nischint Chawathe So, how comfortable are you with so many new people joining? It's practically like a new team being set up and you are looking at exponential growth in this industry.

Girish Kousgi: Which is why in year one, we went little slow. We focused on a few safe segments. We were okay with slightly lower yield. We were not catering to all the segments.

Anujai Saxena: Just to add to this and it is true, we have added another organization in the last one year, almost 300 people on the PNB Housing side, close to 1,000 people which are like a front line staff and continuously therefore we have training programs. We have orientation programs. There are these cultural integration programs that also we keep on running in the new teams so that the new people joining from various backgrounds, they are very well integrated with the overall culture and values of PNB Housing.

Deepika Gupta Padhi: Thank you everyone for taking out time, coming here, listening to our story. I hope we were able to talk a bit more in detail about what we said, I mean our performance which we have been talking about as well as our future performance on the strategy what we are

looking at. This

entire event will be uploaded on our website before the market opens tomorrow. So, you can definitely have a relook at that and the transcript will be eventually uploaded on again to the stock exchanges.

Thank you very much for coming over here and for any questions, anything please reach out to the Investor Relations team and now we will break for High-Tea. So, I would request everyone to join us for the same. Thank you.

Call: May 2024

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CIN: L65922DL1988PLC033856

Internal Internal Ref: PNBHFL/ SE/EQ/FY2 5/20

Date: May 01 , 2024

The BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173 The National Stock Exchange of India Limited,
Listing Department
"Exchange Plaza"
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Subject: Transcript of Earnings Conference Call held on April 29, 2024

Ref: Our letter PNBHFL/SE/EQ/FY25/ 18 dated April 29, 2024

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript in respect to the Earnings Call held on April 29, 2024 , on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended March 31, 2024.

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above intimation and documents on record

Thanking You,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Enclosure: As above

Internal

"PNB Housing Finance Limited Q 4 & F Y'2023-24 Earnings
Conference Call "

April 29, 2024

MANAGEMENT :

MR. GIRISH KOUSGI MD & CEO

MR. VINAY GUPTA CFO

MS. DEEPIKA GUPTA PADHI HEAD (INVESTOR RELATIONS & TREASURY)

PNB Housing Finance Limited

April 29, 2024

Internal Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY'2023 -24 Earnings Conference Call of PNB Housing Finance Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms . Deepika Gupta Padhi, Head , Investor Relations and Treasury. Thank you and over to you.

Deepika Gupta Padhi : Thank you, Yeshashree. Good evening and welcome everyone. We are here to discuss PNB Housing Finance Q4 & FY'23-24 Results . You must have seen our "Business " and "Financial Numbers " in the "Presentation " and the "Press Release " shared with the Indian stock exchanges and also available on our website.

With me, we have our entire management team across verticals led by Mr. Girish Kousgi, our M.D. and CEO.

We will begin this call with the "Performance Update by the Managing Director and CEO, " followed by an "Interactive Q&A Session. "

Please note this call may contain forward -looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statement to reflect future events or circumstances. A detailed disclaimer is on Slide #34 of the Investor Presentation .

With that, I'll now hand over the call to Mr. Girish Kousgi . Over to you, sir.

Girish Kousgi: Good evening to all the investors.

I am happy to state that Q4 & FY'24 performance has been very good ; we had an exciting financial year whereby we made significant stride across parameters, that is "Growth , Asset Quality, Liability Mix, Liquidity, Credit Rating and Profitability ."

At the start of the year, we raised capital. We did rights issue, which was subscribed by 1.21 times.

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Internal Growth:

In terms of growth, we had mentioned that we will get into double -digit growth on the retail front. We were able to show growth on a year -on-year of 14% on retail loan book. And this happens to be the highest growth in the last five years.

And also , we moved largely towards retail. Now , retail contributes 97% of our portfolio. Within retail segment, we started "Affordable Business ." in the last financial year and now it 's 15 months . So, in about 10 -months ' time, we built a book of Rs.1,000 crores , and as of March, the book is close to Rs.1,800 crores. So, March '24, the book was Rs.1,790 crores . So, we had a very good story on Affordable business .

We started off with 100 branches. We opened 60 branches in Affordable between December to March. So, now we have 160 branches which will cater to the Affordable segment and predominantly Affordable branches would be in Tier -2 and Tier -3 cities . This Affordable business contributed to about 12% of disbursements in Q4. It started with 3% , this was last year Q4, that 's when we started the business , so in about five quarters from 3% incremental contribution, we have moved to 12% contribution , this is on disbursements.

We also started a new vertical called "Emerging Market " and this was keeping in mind that we had taken this call of transitioning this Company within retail from Prime -based business to Affordable and Emerging market. So , we have started a new vertical starting this financial year , that is April 2024 . We will have 50 branches in the Emerging segment which can give us a higher

yield. S

o, our plan is to try and build the book from both Affordable and Emerging , which would contribute to almost about 40 % to 42% of incremental business. So, whatever business we're going to do this year, incrementally , Affordable and Emerging would contribute to 42% of the overall disbursement , and the rest 58% would come from Prime .

So, as we speak, we have totally 300 branches , out of 300, 160 would be Affordable , 50 branches would be in Emerging segment and the balance 90 will cater to Prime .

In order to bring undivided focus on retail segment, we ensured that we set up different verticals, for example, Affordable , Emerging and Prime . These three are different verticals within retail, which means there is a dedicated team starting from sales , credit, operations and collections. This is to ensure that we smoothly transition from Prime to high yielding business and that's the reason why we started both Affordable and Emerging . If we look at the total number of branches, we have 300, almost two-third of the branches would be focusing on building book at a higher yield.

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Internal In terms of overall loan book growth on a YoY , we grew by 10.3% , retail, we grew by 14.1% , on Affordable last year the book was about Rs.138 crores , and this year as of March, the book is Rs.1,790 crores , we have grown by 11 times over last year.

Corporate :

The book last year was Rs.3,802 crores and this year it is Rs.2,052 crores . The book has degrown by 46% as per plan and run -off last year that is FY'23, it was 18.7 % , we have a good story here; run-off has come down to 16.7%.

Loan Book:

On the loan book, as I mentioned on a YoY, we have grown by 10.3% and QoQ by 4.8% . Retail loan book , we have grown by 14.1% on a YoY and sequentially the book has grown by 5.3% . Affordable book on a QoQ basis, we have grown by 56% , on a YoY, it's over 11 times. We are looking at book growth of 17% in retail segment FY'25 onwards with higher focus on Affordable and Emerging segment .

Disbursements:

Talking about disbursements , retail disbursements grew by 35% in Q4 and 19% in FY '24. We disbursed loans worth Rs.5,541 crores, which is again all -time high in the last over five years. And if you have to look at the whole year, the disbursement was Rs.17,483 crores. Out of this , Rs.1,653 crores was from Affordable segment which is around 10% of total retail disbursements . We started off the quarter with 3% contribution from Affordable in the overall retail and Q4 of last year the contribution was 12% , for the whole year the contribution is around 10%. This percent is likely to go up to 18% in FY'25.

Out of the total retail disbursements, 86% is upto a loan of 1 crore . So, the concentration is largely up to 1 crore and up to 1 crore the retail loan is about 86%, so it's only 14%, which is more than 1 crore on the retail side.

For full year, on the retail disbursements, YoY , the growth was 18.5% and if you have to talk about total disbursements, it is 17.5 % , that is including corporate and Affordable .

Geographical Breakup:

In terms of incremental geographical breakup, North contributes to about 35.3%, West is about 27%, and South is 37.5% .

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Internal Asset Quality:

On the asset quality, we had a great and remarkable improvement in asset quality . Our GNPA reduced by 57% YoY to INR 984 crore , FY'23 the GNPA was 3.83% and FY'24 that is as of March it is 1.5%. Net NPA declined to less than 1%. So, it is at 0.95% as on 31st March '24. We will continue to work towards achieving best -in-class asset quality in the years to come.

Corporate GNPA in March '23 was 22.5% , March '24 is 3.31 % , Retail GNPA as of March '23 was 2.57 % and March '24 is 1.45 % . Overall GNPA at an enterprise level, March '23 was 3.83 % and now it is 1.50% , and net NPA i

n March '23 was 2.76% and March '24 is 0.95%.

Collections:

On collections, we were pretty keen and focused on cash collections on using various legal tools. We aggressively used SARFAESI and auction. We sold 268 properties in FY'24 through auction as compared to 95 properties in FY'23. And in FY'24 on those 268 properties which went

through auction, there was no principal loss at an enterprise level.

As I had mentioned earlier as well, the Company had a written off pool of around Rs.1,700 crores in corporate and Rs.500 crores in retail. In FY'24, we have recovered about Rs.100 crores from the write-off pool. We continue to work on this recovery in the write-off pool.

Corporate loan book:

On the corporate loan book, book reduced by 46% in FY'24 and now the book is Rs.2,052 crores. The reduction is on account of resolutions, balance transfer, accelerated prepayment, sale to ARC and run-off. In Q4, one account POS of Rs.126 crores slipped to Stage -2. We are very confident that this account will be in Stage -2 or might recover to Stage -1 and we are very closely monitoring the corporate book.

Borrowing mix:

In terms of borrowing mix, we had a very good story. In FY'24, we received Rs.3,000 crores from NHB which started in FY'24 and it was not there in prior two to three years' time because of high GNPA and high net NPA. We started off in FY'24 and we have availed Rs.3,000 crores from NHB which will come at a n approximately about 50 bps lower than the others average source of borrowing.

We restarted raising funds from wholesale debt market. We raised about Rs.1,500 crores through NCD and Rs.10,000 crores via CPs in FY'24. The incremental cost of borrowing for the quarter is 7.93%. Deposits grew by 3% during the year with 88% as public deposits. We are well capitalized with CRAR of 29.3% and out of that tier-I is 27.9%.

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Internal The mix for Q4, that is as of March '24, term loans is about 40%, deposit is 32%, NCDs are about 10%, NHB refinance which was 5.7% as of March '23 increased to 9.2%, CPs, which was nil in March '23, rose to 6% in March '24, ECB, which was 10.2% in March '23, came down to 2.6%. So, three critical changes; one is on ECB, ECB came down, CPs went up and NHB went up.

As you are aware, we got rating upgrade from AA to AA+ from three rating agencies, that is India Ratings, ICRA and CARE. We were also certified as a "Great Place to Work in October '23 by GPW Institute."

Profitability:

In terms of profitability, in FY'24 PAT stood at Rs.1,508 crores, registering a growth of 44% YoY; X 1-off. PAT registered a growth of 79% YoY. Our efforts across parameters helped in improving profitability. Our return on asset improved to 2.2% in FY'24 from 1.61% in FY'23. Return on equity was at 10.9%.

Guidance:

In terms of guidance, the margin would be around 3.5%, ROA will be more than 2.1%, credit cost for FY'25 is expected to be around 30 bps.

I will now hand over to "Vinay, CFO, to Brief on the Financial Parameters."

Vinay Gupta: Good evening to all the participants presents on the call today. I am pleased to present an "Overview of our Financial Performance for Q4 FY'24 and Full Year FY'23-24."

PAT:

Happy to share that we have reported a PAT of Rs.439 crores in Q4 FY'24, which is up 57% year-on-year and 30% quarter-on-quarter. For FY'24, PAT grew by 44% to Rs.1,508 crores. X 1-offs in FY'23, PAT grew by 79% year-on-year.

Yield:

In Q4 FY'24, the yield was 10.08 versus 10.19 in Q3 FY'24. The marginal drop was due to repricing and run off of high yielding book during Q4. The yield for full year FY'24 was at 10.35% versus 10.28% in FY'23. However, ex-one-off yield in FY'23 was 9.78%, so there is a sequential improvement year-on-year.

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Internal Cost of borrowing:

Cost of borrowing stood at

7.98% for Q4 versus 8.07% in Q3. Ex-one-off, even Q3 was at 7.98%, so we are flat on cost of borrowing. The full year cost of borrowing is also similar at around 8% versus 7.5% for FY'23.

Net interest income:

Net interest income grew by 6% year-on-year for Q4 FY'24. For full year FY'24, net interest income grew by 7% to Rs.2,516 crores. However, X 1-off net interest income grew by 22% year-on-year.

NIM during Q4 was at 3.65%, which is in line with the last quarter X 1-off NIM . The reported NIM last quarter was 3.49 %, against that in Q4, it is 3.65 %. Next year we expect this to be somewhere around 3.5 %.

OPEX:

In Q4, OPEX grew by 23% year -on-year. However, this is largely on account of investments that we have made in Roshni vertical, IT transformation and the new spend that has come on account of royalty. We have further invested in around 90 additional branches for Roshni and Emerging verticals in Q4 FY'24. This will help us in scaling up Roshni and Emerging verticals faster .

Credit Cost:

Credit cost stood at 4 bps for Q4 and 25 bps for FY'24. Happy to report that we have recovered around Rs.49 crores from the written -off pool during Q4, which helped in controlling credit cost for the quarter. Recovery for the full year was Rs.99 crores. We will continue to optimize credit cost to recoveries from the written -off pool.

ROA:

ROA last year was 1.6 % and it has improved to 2.2% for the full year FY'24. ROE stands at 10.9%. Capital adequacy is at 29.26 % as of 31st March with tier -one at 27 .9%.

You may also refer to Page #23 where we have put in ex-one-off financials for FY '23-24 as well as the reported numbers. There are no one -offs in Q4 FY '24.

Moderator: We will now begin the question -and-answer session. We will take our first question from the line of Renish from ICI Cl. Please go ahead.

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Internal Renish : Just two questions from my side . One, on this new vertical, which is Emerging market, what is the outstanding AUM side as of March '24?

Girish Kousgi: So, this is a new vertical we have just started this year. What we did was we just culled out some of the existing Prime branches depending on the geography and customer segments which can give us an opportunity of building book at a higher yield, and we also opened a few new branches between December to March. From the existing set of branches, the book is around Rs.12,000 crores.

Renish: And secondly, on the Affordable piece, when we look at the customer profile select customer at 62% and when we look at the sourcing mix, it is almost 30% being sourced with the DSA route.

So, is there any CIBIL threshold limit we follow, or maybe if you can just throw some light on the customer profile in the Affordable housing finance space ?

Girish Kousgi: We are now present in three segments out of four segments. The three segments are Prime , Emerging and Affordable . The only segment where we are not there is super Prime and that is more by design . In terms of Affordable , now we would be operating in geography , in segments where most of the Affordable companies would operate . In terms of bureau, I think about one-third of the customers would be either new-to-bank or new-to-credit and we would have close to about 45 % to 50% where the bureau score would be about 700 -plus.

Renish: This is in the Affordable segment, right?

Girish Kousgi: This is in the Affordable . Yes.

Renish: Just a last question on the yield. Adjusted for one -off, there has been a sharp decline in the yield from 10.29 to 10.08 in Q4 . So, what is happening there on the yield side?

Girish Kousgi: So, basically which is why I mentioned no, I think if you see last few quarters we had taken this transformational journey to move away from super Prime to Prime and we started Affordable about 15 months back and this year we have taken the call to

further move some portion of

business from Prime to Emerging . The reason why we are doing is that on the super Prime and on Prime , so definitely given the competition and given that we are not a bank, we are an HFC and definitely given a cost structure there will be pressure on margins and that is the reason we started moving towards high margin segments and that is why this whole transition story. So, there will be some pressure on the Prime book in terms of book depletion, maybe because of foreclosure or maybe BT out and that is why we had moved towards high yielding segments Affordable last year and Emerging this year. So , in terms of guidance, I think the margin would be about 3 .5%.

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Internal Renish: Just circling back to the yield side, I mean , when we look at the sequential drop in the yields, it essentially means that the disbursements is under Prime or super Prime category is actually falling quarter -by-quarter because of the compression. Is that the right conclusion ?

Girish Kousgi: To a certain extent, yes, the answer is right, but to a large extent also , we are moving segments and if you look at any organization, the portfolio yield would be higher than the incremental

yield. So, because of these two reasons, our yield would be lower if you look at the QoQ comparison.

Renish: But considering like say AUM mix changing competition on the super Prime category plus maybe some lower cost of fund going ahead, we are fairly confident about sustaining NIM at 3.5%?

Girish Kousgi: Yes.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Just kind of taking that discussion forward on yields before I ask the other two questions that I have, I mean, very clearly you are saying that Prime book will deplete, which is the lower yielding book which will deplete, at the same time our Emerging vertical and Affordable book will increase which is higher yielding book. So, going forward, do you still see pressure on NIMs as we move into FY'25?

Girish Kousgi: So, if you look at last year, corporate book has come down by almost half; so the book has come down by 46%. So, obviously we are not doing corporate business now. We plan to start this year.

So, even that has contributed to drop in yields and now the book has come down, book is now down to almost about Rs.2,050 crores. So, if you see compared to last year and this year, the contribution of yield contraction is largely because of a corporate book. So, I was talking about retail. So, even corporate book is one reason. So, now the book has come down and with a change in our segment strategy and also the plan to start corporate this year, we'll be back on the requisite yield to maintain a margin of 3.5%.

Abhijit Tibrewal: Essentially speaking, what you're saying is going forward, I mean, corporate book will also start growing, in which retail is growing for us and that can result in an improvement in yields?

Girish Kousgi: Yes, so corporate, we have planned to start this year, maybe we might start in second half, so that would also assist in better yields.

Abhijit Tibrewal: One more question that I had was on the credit costs front. Obviously, I mean, this this quarter, credit costs are very benign, but you have in your opening remarks guided for credit costs of 30 basis points. Just wanted to understand this write-off pool that you're carrying in both corporate and retail, when can it kind of start giving us recoveries like Rs.50 crores I think what Vinay sir PNB Housing Finance Limited

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Internal also said in this quarter, so when can we expect, I mean higher quantum of recoveries and over what time period can these recoveries come?

Girish Kousgi: So, I think there are two parts to this. One is this 30 bps is without considering write-back, #1.

#2, write-backs have started. So, in Q4, as we mentioned that we did good amount of recovery that has already started, it will continue this year as well quarter-on-quarter.

Abhijit Tibrewal: Again, just going back to OPEX, very clearly we have invested in 90 additional branches for Affordable and Emerging, we also shared that we have now dedicated team of sales, credit operations and collections, I am assuming across each of these three verticals. Then I mean from here on, do you expect the operating expenses, more particularly whichever way we want to look at it, OPEX-to-assets to increase over the next two years or so?

Girish Kousgi: So, OPEX, yes, as you rightly mentioned, because we invested in new branches both on Affordable and Emerging, Affordable 60 and Emerging and bit of Prime, we opened about 90 branches from December to March. So, in that context definitely, yes, the OPEX is going to slightly go up; it will be in the range of 95-100 bps, that is OPEX to ATA. And if we look at the business, what we have done in FY'24, that is from 210 branches. So, starting this financial year we will have 90 branches which are ready and operational, and which will start contributing business. So, there will be some lag effect, but I think we should be able to catch up and OPEX would be 95 to 100 bps.

Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : Firstly, on fee income, we have seen pretty strong growth in Q4. So, what is driving that and how sustainable it is? Secondly, the write-back income that we reported of Rs.100 crores. In which line item we have reported that income in P&L?

Girish Kousgi: So, on the fee income, see, this is in line with our volume growth. So, if you see Q4, I think that happens to be the highest in the last many years. If you look at the overall book growth, FY'24 has been the highest in the last five years. So, fee income is largely attributed to increase in disbursements. And write-back what we have got, that is in the netted off in the credit cost.

Nidhesh: Secondly, what is the BT out rate for FY'24 and Q4?

Girish Kousgi: So, it's in the range of 6% to 7%. Our overall closures have been 16.7% in the year. BT out used to be higher; if you compare FY'23, it used to be higher, in FY'24, it has come down, so now it will be in the range of about 7%-odd, on a YoY basis BT out has come down by 10%.

Nidhesh: In absolute terms or in percentage terms?

Girish Kousgi: In absolute terms.

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Internal Nidhesh: Lastly, if you look at the cost of funds, since your incremental cost of funds and book cost of funds are broadly similar, so cost of funds should not inch from here onwards. Despite that you are guiding for around 15 basis points compression in margins from Q4, so which means that we expect further moderation in yields in FY'25 versus Q4?

Girish Kousgi: See, when we give guidance on NIM, we are looking at slightly long-term. So, what I am saying is margin will be in the range of 3.5%. Now given the fact that lot of performance metrics have improved over the last few quarters especially in last year and also the rating upgrade by three agencies from AA to AA+, we are expecting the cost of borrowing to come down and moving to high yield segments and restart of corporate. So, all of these things will ensure any drop in the yield because book attrition especially is on the Prime.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Please go ahead.

Nischint Chawathe: Just wanted to reconfirm. So, the benefit of rating upgrade is not something that you're building in your margin guidance, right?

Girish Kousgi: To a certain extent, we are building in because rating upgrade we got the upgrade recently, so we are building

in the benefits of rating upgrade. So, all I am saying is that because of corporate, because of book depletion especially on the Prime book, that would be compensated by new segments which will give us a higher yield and also the benefit what we can see on cost of borrowing because of rating upgrade.

Nischint Chawathe: But in last one month in your conversations, what is the benefit that you are seeing right now?

Girish Kousgi: No, it is too short a time. This will take about a quarter or so. So, we are negotiating with all the bankers, and we are trying to figure out how we can try to bring down the cost to various instruments. So, I think this effort is on. So, we expect the cost of borrowing to come down because of the rating upgrade and improvement in performance metrics.

Nischint Chawathe: Just on the Emerging markets business, these are basically into interior India. So, these markets will already have some other lenders, or would you be the first lender in these markets?

Girish Kousgi: These markets would have lenders already.

Nischint Chawathe: But then do these lenders like maybe the larger banks out there, do they really differentiate in terms of the rate of interest between the larger and Tier-1 and Tier-2 city or whatever?

Girish Kousgi: Yes, it will be differential. Even today, the kind of business what we do, for us, the lowest book in terms of yield is about 60 to 70 bps higher than the yield of most of the banks. So, even today

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Internal the differential is there in Prime markets only. So, in Emerging, this is going to be slightly higher. Within our segment composition, this would be about 50 to 75 bps higher than the Prime yield.

Nischint Chawathe: Just on the ECL coverage, we have been consistently increasing it. So, are we comfortable at these levels and specifically in Stage -2 where we had a slippage in the corporate segment?

Girish Kousgi: No, we are pretty comfortable.

Nischint Chawathe: Last question which is a little topical at this point of time. In terms of anything that you could share in terms of the audits that happened with the regulators and is that has happened for the year and if there is anything notable that you can share on that?

Girish Kousgi: There was an audit by the regulator, and we have discussed the initial observations. So, there's nothing serious in nature and we are still awaiting final confirmation from the regulator.

Nischint Chawathe: And this will be NH B or RBI?

Girish Kousgi: This is NHB.

Nischint Chawathe: RBI doesn't audit you at all from a regulatory point?

Girish Kousgi: So, given the structure for policy framework, it is RBI, for supervision it is NHB.

Moderator: We will take our next question from the line of Dixit Doshi from Whitestone Financial Advisors.

Please go ahead.

Dixit Doshi: My question is if we compare ourselves with let's say Can Fin Homes, our book is kind of double of what they are doing. But if I see our employee cost, it's around 3x. So, what is the reason for that -- is it because our earlier focus was predominantly a Prime business or is there a lower utilization of our branches, because their NIM is also kind of similar 3.5% to 3.7% and with a similar credit cost, so if you can broadly help me understand what is the difference between us?

Girish Kousgi: I wouldn't be able to compare between one other Company, but just to give you a context, the name which you mentioned for us that is going to be Emerging vertical business.

Dixit Doshi: So, basically just wanted to understand how we'll be able to improve the ROE?

Girish Kousgi: See, ROE today is slightly muted because of the drag of rights issue. With the improvement in performance metrics, you must have seen the journey in the last five to six quarters, so as of now there will be a drag because of capital raise. I

think in about three years or so, I think we should be able to look at reasonable ROE s.
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Internal Dixit Doshi: Can you just mention how much your typical employees per branch in let 's say Prime , Affordable and Emerging ?

Girish Kousgi: So, in Affordable , a branch would have a branch manager, we would have a credit manager and we would have ops resource and we would have some executives to source . The same model would also be on Emerging . On the Prime side, depending on the location and the potential , the branch staff could vary between four, some of the bigger branches will have more , but those are few in numbers.

Dixit Doshi: How many you said? Four?

Girish Kousgi: Some of the smaller branches will have four to five, some of the bigger branches may have even ten. That depends on the location and the potential and the business what we do.

Dixit Doshi: If you can just repeat the recovery number you mentioned in the Q4 ?

Vinay Gupta : From the written -off of pool, it is Rs. 49 crores for the Q4.

Moderator: We will take the next question from the line of Viral Shah from I IFL Securities. Please go ahead .

Viral Shah: So, actually a few questions. One, first of all, did I get it right, your growth guidance for FY'25 is 17%?

Girish Kousgi: Correct.

Viral Shah: If I may , like, what is stopping us, given that we are pretty, I would say , levered at a lower end of the spectrum , is the market opportunity not out there to grow faster, especially given that you are getting into some of the sub -segments and geographies where you would now have a pricing power ?

Girish Kousgi: There are two, three contexts. One is we want to grow profitable book . That is one , and that is the reason why we have moved towards Affordable and Emerging . So, if you see incrementally , this FY'25 40% to 42% of the origination would happen from Affordable and Emerging markets. So, the idea of 17% is that keeping this in mind, number one . And number two , you know , with respect to asset quality, we want to be one of the best in the industry in the next few quarters. So, the idea of 17 % was to ensure that we grow in all the three segments and try and leverage opportunity on high yield segments.

Viral Shah: And if you are able to scale up the corporate piece, as you mentioned in the second half, does this growth that is kind of take that also in the account or it there could be some additional lever ?

Girish Kousgi: No, this growth is on retail, what I mentioned. So, corporate would be separate.

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Internal Viral Shah : And basically, on the recovery pool, correct me if I am wrong , like the broad numbers were around 1 ,700 crores is what you had written off on the corporate side and some another 500 crores is there on the retail side . If you can give us like visibility of , I understand like of course we won 't have visibility in terms of timeline precisely to guide, but just your assessment of what 's the potential pool of recovery ? It can happen either over say one year period or a two-year period, but just the sense of it.

Girish Kousgi: So, as I mentioned, recovery has already started. It started from quarter four and this will continue from this quarter onwards . I think at least this will play out in the next four to six quarters time on both the corporate and retail.

Viral Shah: And what would be the like kind of the recoveries ? Like, should we assume say \$0.50 to \$1 or how would it look like?

Girish Kousgi: I think every quarter we will have support of recovery from the write -off pool both on retail and corporate . In terms of corporate, it 's difficult to quantify every quarter . In terms of retail , we will have , you know , you can see numbers almost similar to what we have done in quarter four .

Viral Shah: But actually, what I was looking

at is on the corporate piece, I am sure you would have done an account -by-account analysis . Again, not asking for like what 's the timeline and extent of it , but just a broad picture of like what recovery could look like, say, over three years , just on a cent to dollar basis ?

Girish Kousgi: So, this is what I was trying to say. FY '25, credit cost is going to be around 30 bps and this does not take into account the write -back and in terms of write -back, we can look at the number, what you have done in quarter four, this might play out for the next four to six quarters time. On corporate it is difficult to tell quarter -on-quarter. But I think in a year , you know, we will see a good amount being recovered.

Viral Shah: Maybe I will connect separately after this.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, firstly on the overall disbursements yield, if we have to look at it across the three segments,

would it be fair to assume that maybe the Prime would be somewhere closer to 9 %- 10%-odd, maybe Emerging market somewhere around 10 % to 11% and Affordable in 11.5% to 12 %-odd range ?

Girish Kousgi: Yes, you are right.

Kunal Shah: So, when we look at the overall disbursement yields, then obviously maybe then there would be a component of the non -housing. But currently when we look at the disbursement yields , PNB Housing Finance Limited
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Internal particularly in the individual housing, then that should very closely resemble to where our Prime would be , that would be closer to 10 %-odd.

Girish Kousgi: Yes. And also, one more thing on Affordable. On Affordable, last year , the yield was about 11.6% . In FY'25, there will be 100 bps lift in terms of yield and Affordable . So, we are looking at 12.5 % to 12.6 %.

Kunal Shah: 12.5% to 12.6 %. Yes, because last time maybe that slide shows it 's somewhere around closer to 11.5%, 11.6% all through.

Girish Kousgi: Yes.

Kunal Shah: And when we look at it in terms of the branches, so outside of Affordable , we still have like say added almost like 30 odd branches during the quarter, maybe carving out what we have highlighted over a period 90 odd branches would be Prime and 50 odd branches would be the Emerging market . So, this incremental branches , are they more towards the Prime segment or the Emerging market because currently there is no break up which is there ?

Girish Kousgi: So, I think , broadly , we opened 90 branches between December to March out of this 60 is in Affordable .

Kunal Shah: Yes. Affordable. Yes. And balance, yes.

Girish Kousgi: In Affordable and out of the balance, about 22 in Emerging and the balance in Prime .

Kunal Shah: And lastly, in terms of the incremental borrowing cost, so I presume given that last time we have withdrawn like drawn down around about 800, so balance in the NHB would have come in this quarter?

Girish Kousgi: Here we have drawn full amount.

Kunal Shah: It's almost like , yes, so Rs. 2200 would have been drawn down this particular quarter, but still when we look at the incremental borrowing cost that 's moving up compared to that of Q3 and NHB would have been at a much lower cost now. So, is it more kind of a CPA repricing impact or how should we look at it? There is still a 10 -bps kind of increase in the incremental cost of borrowing despite a larger part of the increase in borrowing through NHB .

Vinay Gupta: Yes, it is Kunal , because of the tighter liquidity conditions in Q4 . Generally , you know , the market remains tight in liquidity during Q4. This will start improving from Q1 onwards.

Kunal Shah: But still we are seeing that margins would still come off despite maybe this can maybe I think because incremental also it should come off a bit in terms of the overall borrowing cost. And we

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Internal are maybe increasing the proportion of Emerging as well as Affordable then to maybe we are guiding for 15 bps kind of a decline in NIMs ?

Vinay Gupta: Yes. See, NHB will not be there in Q1, right? So, that is we have to work on the existing instruments . Plus, as sir mentioned, you know there would be some BT and repricing pressure on the existing Prime book. So, initially we might face some pressure and hence it might stabilize at 3.5 % . And then with the higher improvement and higher mix of Roshni and Emerging and corporate coming in later half of the year it will start .

Girish Kousgi: And also, to a significant extent , we draw down from NHB in quarter four. So, if you see the impact, it will be hardly anything in that particular quarter.

Moderator: Thank you. We will take the next question from the line of Nilesh Shah from Julius Baer. Please go ahead.

Nilesh Shah: So, just starting once again from a glide path point of view, say about 3 -4 years from now , where do you expect your segment mix to land up between corporate , Affordable, Prime?

Girish Kousgi: Yes, I got your question . In about four to five years from now. On the corporate side, we want to keep it in the single digit. So, it's going to be less than 10%. So, in about four years ' time between Affordable and Emerging , we would like to reach a book level of about 40 % to 42%.

And the rest would be from Prime .

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: My question is regarding what is the AUM growth, I mean the loan book growth that we are targeting for FY'25?

Girish Kousgi: 17% retail.

Vignesh Iyer: 17% on the retail side . And sir, also on the corporate side of it , so if I understand it right, we are planning to restart this operate lending activity from H2. So , are we going to bring the book down to 0 before that? Or would it be stable around this levels only ?

Girish Kousgi: So, I think we would start this year sometime in the beginning of H2. So, by that time this book wouldn't have become zero. So, I think it may be a couple of hundreds lower from the current level . That's all.

Moderator: Thank you. We will take the next question from the line of Ravi Naredi from Naredi Investments. Please go ahead.

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Internal Ravi Naredi: Girishji, you have cleared and cleaned the balance sheet since you have done very hard work.

Now, we want you to have good capital adequacy below 1% NPA. Now what is the strategy to

grow in financial year '25-'26 in percentage term, if you can tell something about the figure ?

Girish Kousgi: In terms of growth guidance, we are looking at 17%. The reason why it is 17, why it's not more is simply because we are now moving towards the high yield segment. So, we were largely in Prime and super Prime earlier. So, last year we started Affordable . And overall contribution was about 10 odd percent incrementally. And this year we have started Emerging . So, which is why we want to ensure that we grow profitable book. And not just the book. That is why we are focusing on 17% . In future if we see an opportunity and this number could change.

Moderator: Thank you. We have a follow up question from the line of Nilesh Shah from Julius Bear. Please go ahead.

Nilesh Shah: Just wanted to ask, sir , what you are trying to build here, where you are inside one company, you know, set of branches and people catering to Prime and a set of branches and people work ethics, right. Sir , what our experience in India has shown us that actually, both the go to market in terms of the kind of branch you need to have , where you need to have, how you access customers and the business processes are very different, right? And I understand that you have had a business process that is oriented thus far for P

rime . Now that you want Affordable to become 40 %- 50%

of your book over the next five years , how will some of these things have to change? Or would you create a new set of processes and rules for the other segment ? And is it possible to have two sets of employees like that inside the company ? And in your experience in doing this over the last one year, how has your experience been basically?

Girish Kousgi: So, actually it is not Affordable. Affordable and Emerging both put together in next four to five years at a portfolio level , we would ideally want to be around 40%. So, that's the first point.

Second, in terms of Affordable and Prime , these two are two totally different businesses. Now whether it is customer segmentation, whether it is the geography, whether it is a given pocket in the town or the city, whether it is a type of collateral , so I think it's very different and even the process and the risk controls what we need to have , are very different from these two .

Now between Prime and Emerging , there is not much of a difference. There is a difference, but the difference is very little. And therefore, both Prime and Emerging could be even though these are two different verticals , we have set up different teams. And therefore, the nitty -gritties are very different compared to Prime and Affordable .

Therefore , number one, on the Affordable side, we have very carefully chosen the geography and the pocket within the given town or city to ensure that our branch would cater to customer segments and the kind of properties we cater to. That's number one.

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Internal Number two, the entire team on the Affordable side, they have experience in doing Affordable business. And two, because we have a slightly different process for Affordable and Prime, we have a different dedicated team on the Affordable side . We have a dedicated sales team , dedicated credit team, dedicated ops team. So, it's very different . And therefore , it is very important that we need to have a different team to manage different businesses because the need and the opportunity what is available in this country are very different depending on the customer segmentation. Therefore , we have different verticals to manage different set of businesses . And our experience on the Affordable side has been very good and very encouraging. However, initially in the first year , we were not operating in all the segments because even though the team is from Affordable segments, even though we had done a thorough research before selection of branch in the city or town, we thought let's understand the market better and let the team also get used to PNB housing culture and the processes. Therefore, we went a little slow in terms of opening up all the segments . However, after the Quarter 3 onwards, we started looking at all the segments and that is why now we are ready with an increased set of branches from 100 to 160

to operate in all the segments within Affordable .

So, these two are very, very different business. You rightly pointed out . Everything is different . Customer segment is different . Branches are different . Geography is different . The products are different . Type of collateral is different . The orientation is different. The kind of risk controls what we need to have is very different and therefore we have dedicated specialized team to manage different businesses .

Nilesh Shah: Sir, just one follow up, Sir, you know, from an ROA point of view , you are, you know what we hear from you is confidence on the N IM path improving because of this Emerging plus Affordable mix going up, right. But don't you think that the OPEX of this would be significant and even from a OPEX point of view for at the branch level and Affordable branch also has a journey, right , in terms of breaking even because the loan ticket siz

e s are smaller, right? Don 't

you thi nk that the OPEX cost would significantly increase? And t herefore, at least in my mind, I'm not , you know, perhaps you could comment on what impact of this transition would have over the next two years as you increase the share on the ROA , right, primarily because of OPEX and the credit cost line, which will sort of worsen because of th is mix?

Girish Kousgi: On the OPEX side for Prime and Emerging, not much of difference . On Prime and Affordable, there is going to be some difference. But for PNB Housing , most of the verticals other than sales, credit , operations and collections are shared . Number one.

Number two, we have seen the experience on the Affordable side by opening 100 branches and all the 100 branches are now with a decent vintage and we have seen OPEX on that. So, we already have experience of 100 branches. So, OPEX on the Affordable is going to be slightly

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Internal higher. But if you look at the breakeven of the branch on the Affordable side, it should happen in about on an average of about eight months.

So, now we have crossed the bridge to the extent of about 65 % to 70% and we have experience on what kind of business we can generate , at what yield and w hat is going to be the OPEX . And that is the reason we were very confident . That is the reason we opened 60 more branches on the Affordable side.

So, to answer your question, OPEX for Affordable is going to be high er compared to Prime , but the difference in our case is not going to be substantial. It 's not going to be significant because we have most of the shared resource which would cater to all the three. For example, we have the entire IT infrastructure, the call center . All of these things are shared . So, we have to only dedicate certain teams to do this business , that is sales, credit , operations and collections. And therefore , for a standalone Affordable company , if you look at the OPEX, for a standalone Prime company, if you look at the OPEX , there is a huge difference . For us it is just one segment within the overall enterprise and therefore OPEX is not going to be significantly higher in Affordable compared to Prime or Emerging .

Nilesh Shah: I mean , overall, what is your company level R OA guidan ce over the next one or two years ? Where do you expect it to go versus the FY'24 number ?

Girish Kousgi: So, we don 't give guidance, but it should be about (2.1%+).

Moderator: Thank you. We will take a last question from the line of Anusha Raheja from Dalal and Broacha. Please go ahead.

Anusha Raheja: Sir, on the corporate loan book side, you said that you will be starting the loan growth in that segment this year . Yes, I am saying that you will be growing your corporate loan book from this current fiscal. So, what is the share that we are looking at it ?

Girish Kousgi: It will be in single digit at its peak. So, we are looking at the overall share from corporate is going to be less than 10% in the year to come out of the overall portfolio. So, this year we mi ght start. We might do some business. But even in future, corporate business is going to be always in single digit , less than 10%.

Anusha Raheja: And you said that retail loan book gro wth, you are looking at closer to around 17% o dd. So, assume that, you k now, given the lower base of the corporate loan book, in quantum wise even if the growth is lower, I think it can give a go od delta to the overall total loan book g rowth, right? Because of the corporate kicks in.

Girish Kousgi: Now this 17% what we mention ed was for retail. So, whatever co rporate, that will be additional. PNB Housing Finance Limited

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Internal Anusha Raheja: And can you just share the number of , you know , what is the total write -off pool currently that you are sitting at it on retail and cor

porate side?

Girish Kousgi: So, on the corporate, we have close to about 1700 . On the retail we have about 500 crores.

Anusha Raheja: And how much recoveries that we can expect, I mean , in retail? I mean the current run rate of 50 odd crore that you said that might continue, right , per quarter ?

Girish Kousgi: Yes, I think it will be on similar trend.

Anusha Raheja: And then there is some rough guidance on the corporate side. Although difficult to predict quarterly wise , overall, in the full year FY'25, how do we see the recovery from the corpor ate?

Girish Kousgi: So, I was saying it is difficult to put a number, but definitely we would be able to collect good amount from the recovery.

Anusha Raheja: And sir, this credit cost of 30 basis points excludes the recovery, right? So, if you build in th e recoveries , then this number can be lower again, right?

Girish Kousgi: Yes, it can be lower. Yes, this 30 bps is excluding write -back. So, this number could be lower if we include recoveries.

Anusha Raheja: And this last thing on this BT -OUT , that number was in percentage from 16% at the start of the fiscal FY'24. So, how much is it right now ?

Girish Kousgi: No, no, that 16% is the overall book depletion . Out of that we have natural run off, we have foreclosures , which again has two parts . One is BT -out a nd the secon d is customer -initiated loan closure. So, BT-out will be in the rate , it will be around 7%.

Anusha Raheja: No, so I meant the total run off of the book is 16.5 % to 17%, right?

Girish Kousgi: Yes. 16.7. I think that will be around 16 %, 16.5% .

Anusha Raheja: In FY'25 as well?

Girish Kousgi: Yes.

Anusha Raheja: So, when we can see a complete rundown of this book ? Because I think that is high yielding and see, given the fact that even Affordable is at a higher yield, and the share of that will increase .

Girish Kousgi: Which book rundown you are talking about, ma 'am?

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Internal Anusha Raheja: The previous Prime book, which is running off from your balance sheet, which is at a higher yielding , which is the high yielding book.

Girish Kousgi: No, this is natural book depletion . So, we don 't intend to run off that book fast. We would want to maintain that book and try to retain the customers because at a portfolio level on retail, we are still at about 10 plus percent. So, we don 't want to run down this book. This is natural attrition and some attrition because of BT -out and the closures from the customer. So, this is in line with the industry, and we are at about 16 %, 16.5% and this will continue.

Anusha Raheja : Just one last thing on corporate loan book . What could be the average yield that you might expect there?

Girish Kousgi: We will be able to share with you once we are ready with the business plan and once we are about to start.

Moderator: As there are no further questions , I would now like to hand the conference over to management for closing comments. Over to you.

Deepika Gupta Padhi : Thank you everyone for joining the call. If you have any questions unanswered, please feel free to get in touch with I nvestor Relations . The transcript and the audio of this call will be uploaded today, and the transcript will be available in a few days. Thank you.

Moderator: Thank you. On behalf of P NB Housing Finance Limited, that concludes this conference. Thank you fo r joining us and you may now disconnect your lines.

Call: Jul 2024

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CIN: L65922DL1988PLC033856

Public
Ref: PNBHFL/SE/EQ/FY2 5/67
Date: July 29 , 2024

The BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
The National Stock Exchange of India Limited
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),
Sub: Transcript of Earnings Conference Call held on July 25 , 2024
Ref: Our letter PNBHFL/SE/EQ/FY2 5/61 dated July 25 , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript in respect to the earnings call held on July 25 , 2024 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2024 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above intimation and documents on record .

Thanking You ,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Enclosed : As above .

July 25, 2024

MANAGEMENT : MR. GIRISH KOUSGI - MD & CEO
MS. DEEPIKA GUPTA PADHI - HEAD (IR AND
TREASURY)
MR. VINAY GUPTA – CFO
MR. DILIP VAITHEESWARAN - CHIEF SALES OFFICER
(PRIME & EMERGING BUSINESS)
MR. ANUJAI SAXENA -BUSINESS HEAD FOR
AFFORDABLE BUSINESS
MR. JATUL ANAND - CHIEF CREDIT & COLLECTIONS
HEAD (PRIME & EMERGING BUSINESS)
MR. ANUBHAV RAJPUT - CHIEF TECHNOLOGY
OFFICER

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Internal Moderator : Ladies and gentlemen , good day, and welcome to the Q1 FY2024 -25 Earnings Conference Call of PNB Housing Finance Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Deepika Gupta Padhi , Head of Investor Relations and Treasury . Thank you, and over to you, ma'am.

Deepika Gupta Padhi: Thank you , Steve. Good evening and welcome everyone. We are here to discuss the PNB Housing Finance Q1 FY '25 Performance , which you must have seen in the presentation and press release shared with the Indian Stock Exchanges and is also available on our website. With me, we have the entire Management Team across vertical, led by Mr. Girish Kousgi – our MD and CEO. We begin this call with the performance update by the team , followed by an interactive Q&A session.

Please note this call may contain forward -looking statements , which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual development and result to def er materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. A detailed disclaimer is on Slide 38 of the Investor Presentation .

With that, I will now hand over to Mr. Girish Kousgi . Over to you , sir.

Girish Kousgi: Good evening to all the investors. We had a very good Quarter 1 FY '25.

Just to talk about some of the key performance metrics :

On disbursements, retail disbursements grew by 19% Y-o-Y in Quarter 1 . We disbursed retail loans of Rs. 4,363 crores . 33% of retail disbursements are made in Emerging and Affordable segment. Our guidance in Emerging and Affordable this year on disbursements are 40 % to 42%. So, we have covered 33% in Quarter 1 . So, this will increase that we will be able to reach our guidance of about 40 % to 42% of incremental disbursements which would come in from Emerging and Affordable .

Our total disbursement s grew by 19.3%, retail disbursement s by 19% , and within retail in line with our strategy , we wanted to grow our Affordable and Emerging much faster than Prime . This is more by design. On a Y-o-Y, Affordable business grew by 157% on disbursement, Emerging grew by 18% and Prime by 8%.

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Internal Talking about the book :

We achieved double -digit growth of 14.4% Y-o-Y in retail loan asset. Now the book is 65,157 crores. This is the retail book as of 30 th June. So, if you look at last year, last June, our book growth was 11.5% . We are at 14.4%. Our guidance on book growth is 17% . So, we will be able to reach 17% by th is year end.

The total loan assets stood at 66,986 crores . We have made significant progress in retail book with 97.3% of our book being retail now as compared to 87% in March 2022. Within the retail segment, in order to balance between growth and profitability, we are moving down the Affordability pyramid with increased focus on Emerging markets and Affordable segment. We started new vertical, mainly Affordable and Emerging markets . Affordable was started last last year, and Emerging markets we started this year. We have set Affordable segment in Jan 2023 , and in 18 months ' time, we are able to achieve book of 2 ,000 crores and the book stands at 2,361 crores as of June 202 4. This vertical has contributed 13% of retail disbursements in Quarter 1 .

We started Emerging market segment with dedicated branches. We have 50 branches in Emerging . So, this was started this year in this quarter. This segment focuses on high yielding customer base with average ticket size of 25 lakhs. Yield on incremental disbursements in Quarter 1 FY '25 generated by this emerging market segment was 25 bps higher than the Prime segment.

We are pan -India present with strong network of 303 branches across 20 states as o n 30th June 2024. With this large presence , we are ready to capitalize the opportunity available both in Affordable and Emerging segments , predominantly focusing on tier 2 and tier 3 cities. We plan to add 40 to 50 branches annually , looking to grow at 17% of retail loan assets in FY '25 and onwards with higher growth in Affordable and Emerging segments.

On asset quality :

We witnessed remarkable improvement in the asset quality. Our gross NPA reduced by 241 bps Y-o-Y to 1.35% as on 30th June '24. We continue to work towards achieving 1% NPA by this year end. Our overall collections remain strong and in Quarter 1 , we have had considerable recoveries from written - off accounts contributing to reversal in grade cost to minus 7 bps. During the quarter in corporate book, we resolved one NPA account and one written -off account. The written -off account was sold to ARC. During the quarter, we recovered around 80 crores from total written -off pool, both corporate and retail. We expect to continue recovery from written -off pools every quarter. The company has a written -off pool of around 1 ,250 crores in corporate and 500 crores in retail.

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Internal On the borrowing mix :

The cost of borrowing has reduced 6 bps, sequentially, to 7.92% in Quarter 1 . Our ability to borrow from debt market at competitive rates, coupled with improved pricing from bank aided in cost reduction, the incremental cost of borrowing for the quarter is at 7.75%, compared to 7.93% in quarter 4 FY '24 .

Deposits grew by 7% Y-o-Y with 88% as public deposits.

CRISIL upgraded the rating to AA+ from AA , outlook stable . With this, company is rated AA+ from all the four rating agencies.

In Quarter 1 , PAT stood at 433 crores, registering a growth of 25% Y-o-Y, maintained net interest margin of 3.65% during the quarter. We had guided a threshold of 3.5% NIM. So, we will be able to maintain that.

Our effort across parameters, either in improving profitability or return on assets improved to 2.38% in Quarter 1 from 2.47% in Quarter 1 of FY '24 . Return on equity was at 11.4%.

Couple of days back, government presented with Union Budget , the expansion of PMAY scheme to 3 crore houses in urban and rural areas in a significant step towards Housing for All mission. With our expanding network of 303 branches including 160 for Affordable and 50 for Emerging markets segment , we are well -positioned to cater to this segment. Under the CLSS scheme, up - to-date, the company has sanctioned to over 65,000 customers with a sanctioned amount of 13,000 crores.

So, even though in the budget, a high-level disclosure was made, we are expecting scheme details in next 3 to 4 weeks' time and based on the interactions what we have had with the Ministry of Finance and NHB, we expect the scheme is going to be really beneficial to companies focusing on Emerging ma rkets and Affordable.

So, it will be a huge plus for companies focusing on these two segment s, and we are geared up.

So, all our branches, all 303 branches will be geared up to do PMAY scheme, which is to be announced by Ministry of Housing Affairs in the next few weeks' time . So, it's a huge opportunity.

So, typically what happens is that we do not know the color of the scheme, but I think broadly it's going to benefit the end customer either by way of a lump sum amount in terms of subsidy

amount or it

could be some kind of interest, which we do not know. It is our assumption . It is going to be big and beneficial.

And like last couple of term the scheme was announced, there is going to be a lending cap with a certain margin . We expect the margin to increase this time which would create companies

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Internal where the margin was lower than this. For example, today we are talking about NIM of 3.65%.

The expected PMAY scheme, the margin could be better than this in the sense it is going to help PNB Housing. All the 303 branches are going to focus on PMAY scheme, and it is going to help the margin going forward.

Deepika Gupta Padhi: Would like to now request Vinay to talk about our Financial Performance .

Vinay Gupta: Hi, good evening , everyone. Thank you for joining us today.

I am pleased to present the Financial Highlights for Q1 FY '24-'25:

As MD sir mentioned, our PAT has grown 25% year -on-year and remained flattish quarter -on-quarter to 433 crores in Q1 FY '25.

Net interest income has grown 3% quarter -on-quarter to 651 crores in Q1. Our yield for the quarter was 10.03% versus 10.08% in the previous quarter. The marginal drop s were due to few re-pricing and run -off of high -yielding book .

At the same time, cost of borrowing has improved from 7.98% in previous quarter to 7.92%.

Further post rating upgrade , our incremental cost of borrowing at the end of Q1 has come down to 7.75% versus 7.93% in Q4 FY '24.

NIM during Q1 was stable at 3.65%. We might face NIM pressure in the short term, but however, with the higher mix of business emerging and affordable, we should see NIM improvement after few quarters. Gross margin including fees and other income has grown by 11% year -on-year to 4.03% versus 3.91% in Q1 FY '24.

Operating expenses in Q1 have grown 27% year -on-year to 190 crores. This is largely due to branch expansion done in Roshni and emerging verticals during Q4 where we have added 100 branches. This will help in profitable growth going forward. Our OPEX also includes our impact of annual performance apprais als done for FY '24.

Credit cost remains benign . It was minus 7 bps due to release in Q1 . We have fully resolved one corporate NPA account through settlement during the quarter. Further, we have recovered INR 80 crores from written -off p ool during Q1. This has helped in controlling credit cost for the quarter , and we expect the recoveries to continue in the subsequent quarters as well.

ROA, which was 2.07 for Q1, is now at 2.38% for Q1 FY '25. ROE is 11.4%. Our capital adequacy at the end of Q1 is 29.5%, with tier 1 at 28.4%. Thank you.

Deepika Gupta Padhi: With this, now I would like to invite and request Dilip to talk about the performance of our Retail Prime and Emerging business.

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Internal Dilip Vaitheeswaran: Thank you, Deepika . Good evening, everybody. The business that I am going to be speaking about is our retail prime business, which now stands bifurcated into Prime and Emerging markets.

On this side of the business, our loan book registered a growth of 11% , and our disbursements registered a growth of 10% Y-o-Y. In line with our organizational imperative, the margin - accretive business, which is Emerging market, grew at a faster pace. The loan book in the Emerging markets grew at 18%. The disbursements in the Emerging markets also grew at 18%. On the Prime markets, the loan book grew by 10%, the disbursements grew by 8%.

We now have 50 branches which stand categorize d as the emerging markets. They contributed to 22% of the disbursements in the first quarter of FY '25 . This will actually go up to 30+ percent by the end of the year.

In the Emerging market, just to give you a deeper color of this business, this portfolio now stands at almost 12,0

00 crores, about 11,970 crores as of June end. It forms 18 plus percent of our retail loan assets. By the end of the year, we are hopeful that this will be anywhere between 22 % to 25%.

In this side of the business, our ticket size is actually lesser than what we see on the Prime markets. It's in the range of 24 to 25 lakhs. The origination LTVs are at 66 % in case of home loans. The sourcing here is largely done through in -house channels. Almost two -thirds of the sourcing in these markets is done by our in -house channels. The balance is done through third - party or DS A.

On incremental yields in the quarter, overall, our yields increased by about 8 basis points on a quarter -on-quarter basis. Again, the lift in yields were higher in the emerging markets where it was to the range of 12 bps. In case of Prime markets, it was in the range of 7 bps.

We opened about 33 new branches in Q4 of last financial year. We are happy to share that almost all of them are now starting contributing to disbursements. In fact, in the first quarter, they contributed to 6 % of the overall disbursements. And since they have just started, we expect this percentage to be much higher in the quarters to come.

So, to summarize, the two imperatives for this business, which is growth and margin -accretive growth, we are happy with the progress being made on both of them. On account of the investments in our footprint expansion and technology, growth will go up in the quarters to come. On account of the margin -accretive business is growing at a faster pace , the margins also will go up in this business. Thank you.

Deepika Gupta Padhi: We will request Anujai to talk about our Roshni Affordable business .

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Internal Anujai Saxena: Good evening , everyone. Continuing our promising growth story on the affordable housing business side, I am happy to announce that we have become profitable on a standalone basis in our affordable housing business.

And continuing to the growth story, we crossed Rs. 2 ,000 crores of loan book in May '24. The loan book stands at upwards of Rs. 2 ,300 crores at the end of Q1, which is 5x growth from same time last year and 32% up from quarter 4 of last financial year. Disbursements grew by 157% on year -on-year basis and we disbursed close to Rs. 600 crores of loan in the last quarter. Overall, on the yield side again, there is a positive trend that we are witnessing. Continuing our focus on the informal income side, we have developed our expertise on the underwriting side of managing the informal income customer profile and it is resulting into higher yields for our business.

Our self -employed sourcing has also been consistently increasing. Till last quarter, it was about 37% of our sourcing, now it is upwards of 41% of our sourcing.

One of the important initiatives that we undertook in the last quarter was implementation of a new loan origination platform, which is a Salesforce -based platform which has been introduced in our affordable housing business. Like both of the o ther things, we have done a good job in execution of this project and 135 out of 160 branches are now live on the affordable housing side on the new loan origination platform and in the coming months, coming the couple of months , we will be stabilizing the new system and we are likely to start getting the productivity benefit through the win -to-win digitization of the customer application lifecycle process.

Going forward, one important point that I would want to share is out of the 160 branches that we have in our Roshni business, 60 branches were opened in the last quarter of last financial year. I am happy to share that we have operationalized these branches in the last quarter. And now, these branches that we have opened in tier 3 and tier 4 locations have started contributing m

ore towards our business volume and this will also start translating into higher yields that we expect from this business in the coming months. Thank you.

Deepika Gupta Padhi: Would request Jatul to talk about credit and collections , please?

Jatul Anand: Good evening, everyone. On the credit front, during the Quarter 1 of '25, the total retained logins were 36,151 and sanctions were 24,589 applications, thereby registering a growth of 33% on logins and 26% on the sanction count vis-à-vis Quarter 1 of the previous year.

Decentralized underwriting approach has been adopted by the company with underwriters being positioned at branches for better business support and control perspective . More than 80% of the loan applications during the quarter had a CIBIL score of 700 and above.

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Internal On collections f ront, FY '2 5 kicked off with continuous gro wth focus and momentum of three key aspects : legal actions or measures to resolve delinquency and reduction in NPA , greater success in property positions and subsequent auctions, a nd recoveries from technical ly written - off pool . This thereby allowed us to have an upbeat performance in Quarter 1 defeating the cyclical, industry trend s and some amount of operational delays caused due t o general elections, vocation of courts in June.

To provide detail on this, our ongoing r igor on legal co llections saw successfully positioned over 165 properties in the first quarter. In terms of disposal of repossessed properties, we successfully sold off 98 properties in the quarter through auction channel , recovering complete principal outstanding in these accounts without incurring any loss. The t otal count is more than one third of the total successful auctions done in the previous financial year.

Another positive development was the quarterly recovery from the technically written-off pool. Close to 28 crores in retail was collected from the technically written-off pool, which is more than 40% of our total recoveries in the last financial year. So, the company is poised to recover from the technically written-off pool quarter-on-quarter.

The organization will continue its multi-pronged strategy to bring in further reduction in NPAs in coming quarters, adopting all rounded approach and reduction in delinquency. Thank you.

Deepika Gupta Padhi: Request Anubhav to talk about our tech transformation, please.

Anubhav Rajput: Thank you, Deepika. Good evening, everyone. PNB Housing Finance initiated a massive technology transformation program over a year back. At this time today, I am happy to share that most of the initiatives as part of the transformation have been initiated and completed. I would like to cover some of these in brief.

Firstly, we have launched a new cloud-based CRM platform, Salesforce Platform, which has been leveraged for acquisition as well as improving the customer service capabilities. A lot of automation has been made into this platform, and almost 18% of service requests are being addressed through a self-service mechanism.

Using this platform, our inbound productivity has also seen an upgrade of almost 5% to 10% on a regular basis, despite growing volumes. This platform is tightly coupled to the predictive manner, which helps to improve the customer outcome capabilities and reduce leakages to a large extent.

Secondly, we have revamped our website and converted an internal engagement channel for customers with massive personalization capabilities, and it also provides better access and experience on mobile, which accounts for almost 75% of our user traffic. The new website

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Internal provides seamless access to our products and services, which has yielded to an increase of lead generation by almost 50% in an organic manner.

r.

Thirdly, we have launched a digital collection platform, which provides on-the-go availability of customer data, loan details, payment capabilities, and interaction details to our entire sales collection team, and that is yielding to improvement of collection efficiency on a large scale.

We have also implemented a new cloud-based LOS system on Salesforce as a platform, with the launch of this platform, which is currently underway and shall be completed by end of Q4, beginning of Q3, in the current financial year. But whatever branches have been launched on the new platform, we have seen improvement in loan and TAT processing times, as well as enabling better performance and tracking capability for our customers. Through the digitization of LOS processes, we have seen a reduction in the physical documents that are handled and significant reduction of the manual data entry that is required to be done.

Lastly, we have also introduced chatbots, which are intelligent enough to act as a kind of a customer service. We are calling it ARIA. These are introduced on a new website, as well as on WhatsApp. And we have seen a significant usage of these channels by the customers for customer service capabilities in a service in a self-service manner.

Deepika Gupta Padhi: Thank you. So, with these updates, Steve, I would request to open up for the Q&A please.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Renish from ICICI Bank. Please go ahead.

Renish: Sir, just two questions from my side. One on the spread or maybe NIM as well, right. So, incremental cost of borrowing is lower than the blended cost of borrowing. You know, we are growing let's say incrementally faster in the high lending segments. So, despite that, you know, why we see NIM or let's say NIM will be under pressure in near term?

Girish Kousgi: So, the reason is, we have couple of reasons. One is the corporate book is degrowing. So, we will very shortly start corporate business. So, hopefully next three to four months' time, we will start corporate business. So, I think now the team is ready. We are ready with the blueprint. Very shortly we will start.

So, why? You know, there is contraction in the yield because of the corporate book rundown. I think that will get solved in next three to four months' time because we start doing fresh corporate business, number one.

Number two, we have a large prime book. So, certain amount of BT, even though we have set up a retention team, the BT as a percentage has come down drastically over last 1, 1.5 years time. So, there is some BT out there that would impact us on the book and eventually on the income.

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Internal Third, there is also repricing. So, on one side, there is yield contraction because of corporate

book going down, BT out and foreclosure and repricing. On the other hand, we are moving towards high yielding segments. In quarter one, typically, we saw most of the disbursements were a spill off from quarter four sanctions, which were at a lower rate and which is why in quarter one, we don't see spike in yield.

But if you see the current trend, I think there is an improving trend both in affordable and emerging on the yield side, incremental yield is going up. So, you will see quarter two, the yields are going to be slightly higher. As a policy, you know, we had guided margin of 3.5% and we stick to that. I think we will have maybe 3.5 to 3.65 for next two to three quarters' time and then the NIM will start inching up.

Renish: No, sir, but again, if we look at the corporate book, as on June 24th, that book, you know, hardly anything. So, I don't think so there should be any drag because of the corporate book on the yield side. Maybe you are right that incrementally because of the BT out pressure on the prime

segment, the repricing to retain the customers would be lower. Is that the fair understanding?

Vinay Gupta : It is combination of all the three which I mentioned. One is corporate book de-growth, second is BT out, third is repricing and foreclosure. All as a combination, I think there is a contraction of yield to a certain extent. And on the other side, we are moving segments and trying to increase the yield, but that is on an incremental basis. So, in about two quarters' time, I think we will reach to a point where there won't be any contraction of yield and it will start moving up. And that's when we will see the margin inching up.

Renish: And my next question is to Girish actually. So, sir, you know, given we are present in almost all the customer segments, whether it is Prime, Affordable, and if the PMAY scheme has to move things faster at the ground, as and when the fine print comes, do you foresee upside risks to our growth guidance of 17% in retail book?

Girish Kousgi: Actually, PMAY is going to help us on bettering our growth rate.

Renish: So, would you like to revise our guidance of 17% now or maybe you would want to do it in Q2?

Girish Kousgi: We would not want to revise for the simple reason if we had to grow at the same yield, we could have definitely done far better than 17%. Since we have a dual task, one is to grow, because last year with so many challenges, we grew at 14.1% on retail. And this year, we have said we are going to grow at 17% on book.

So, this PMAY, we are ready to see how the scheme will get rolled out. And we believe that it will open up huge potential, not only on the Affordable side, even on Emerging and Prime because if you have to go by the last couple of times the scheme parameters, I think a lot of customers would qualify, even on the Prime and Emerging side.

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Internal So, we feel opportunity of all the branches catering to this particular segment, whereas affordable focus purely on affordable and which would also consider part of PMAY, but otherwise on the Emerging and the Prime side, largely income-based, we will have an opportunity. So, as we would not want to revise the guidance at this point in time, but we are very sure and confident of reaching 17% book growth what we have guided for.

Renish : Got it. And so just lastly, you did mention about this the margin improvement on the NHB borrowing side. So, could you please elaborate a bit on that?

Girish Kousgi : So, if you look at the scheme which was there till about March 2022. The funding which comes from NHB, especially for Affordable segment, which is under the CLSS subsidy, so there that funding would come at a lower cost. So, one, it will help us in the borrowing cost and number two, there is a lending gap. So, the discussion was to increase that lending gap. So, that would definitely help us to improve our margins.

Renish : It was 5.5%, right sir, last time?

Girish Kousgi : No, I think that rate kept on changing over a period of time, but however the margin was fixed at about 3.5%. I think this time there are some talks, I think this is purely our assumption and expectation. We feel that this 3.5% could go up, maybe to 4% or 4.5%, which is going to help us on all the three segments, meet Roshni, Emerging and Prime, because our margin on the Emerging and Prime is less than 4% or 4.5%. So, any incremental business we do from this PMAY scheme will lead to incremental margin.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : First of all, I mean congratulations on a good quarter. So, first thing I wanted to understand is, I mean, this Fair Practices Code for Lenders charging of interest in the circular that came out from RBI

on 29th April. How have we handled this circular? Basically, this circular talked about recognizing interest income only after a DD or Cheque was handed over to the customer. So, I mean, the disbursements and the loan advances that we are showing today and the recognition of

interest income. Is there any component of interest income reversal in our interest income that you have reported?

Girish Kousgi : So, we are fully complied. No, I think there were a couple of other reasons. One was, I think there were elections during quarter one and also heat wave. I think despite the regulation what you mentioned, despite election, quarter and heat wave we were able to show growth of 19% on disbursements and book growth of 14.4%. I think, else we would have probably been 2% -3% higher.

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Internal Abhijit Tibrewal : I think my question was around, I mean, recognition of interest income after that 29th April circular, which talked about recognizing interest income only after a Cheque or a DD was handed over to a customer.

Girish Kousgi : We had a very strong process even in the past. So, the alignment required was very less for us. The gap was very less for us to cover. So, in terms of interest it was hardly about Rs. 4 crores –Rs. 4.5 crores.

Abhijit Tibrewal : Got it. The second thing was on OPEX when Vinay sir was giving his opening remarks, he spoke about OPEX also including the impact of annual performance appraisals which were done for FY 2024. So, I mean, was this just in the nature of increments that happened or also the variable payouts? Just trying to understand how the quarterly run rate is going to be now for the next couple of quarters.

Vinay Gupta : Yes, Abhijit, this was largely the annual increments. Variable payouts in any case is provisioned. So, there is no such impact on that.

Abhijit Tibrewal : Got it. So, basically now, I mean, is this the new kind of a steady state that we can keep building on for OPEX ?

Vinay Gupta : That's right. This is our new steady state number.

Abhijit Tibrewal : And Vinay sir just one related question. I mean, while you covered liabilities in a greater detail, just trying to understand after this credit rating upgrade, I mean, how are conversations progressing? I mean, incremental cost of borrowing is already down to 7.75, How are you looking at cost of borrowing trending going ahead?

Vinay Gupta : In digits in this quarter itself we have seen the improvement. It has gone down by around 6 basis points and the incremental cost of borrowing has come down to 7.75 % while the environment is still volatile, it will still move slightly. But some more benefit is expected to come in the few quarters. And once the PMAY is announced, as sir mentioned, there could be further benefits which can come on account of PMAY.

Abhijit Tibrewal : Got it. But this PMAY is going to help us more on the growth side as well as on the spread or margin side because we are expecting the spread cap, which was earlier 3.5% to be increased when the details of the scheme come out.

Girish Kousgi : It is going to help us on three counts, one is on the cost of borrowing, second on the growth, third on the margin.

Abhijit Tibrewal : Girish, last question for you. I mean, obviously, this quarter there was benefit from recoveries on the corporate side. During the opening remarks, I also heard that out of the total recoveries of Rs.

80 crores from the written-off pool almost around Rs. 23 crores were recovered from retail, if I heard you right. Just trying to understand, going forward while you spoke about a pool of both

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Internal corporate and retail written-off pool how are you looking at basically credit cost trending? They are expected to remain benign for the next couple of quarters at least?

Girish Kousgi : I think, yes, credit

cost will be muted. Just to give you some numbers, for quarter one, retail recovery was Rs. 28 crores and corporate was Rs. 53 crores, total Rs. 81 crores. And quarter one being cyclical, I think the write back amount was quite low. I think this number will only improve in the quarters to come both on retail and corporate.

Abhijit Tibrewal : And sir, later during the call, if you could just explain this corporate account that you have resolved using customer settlement, what was the nature of that? And what was the outstanding and how much have we recovered?

Girish Kousgi : So, we had sold to ARC, so it was cash and SR. We recovered the cash portion in quarter one and the rest would be, the SRs will be redeemed in this year, so this is on this particular account. And on the retail, I think it is quite regular in nature, so we will keep recovering. And we had one NPA in corporate, I think that is now resolved, now on corporate NPA is zero.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra : Girish, two questions. The first one is around the PMAY Scheme. My fair understanding is that

the scheme has to be implemented at scale as far as self -construction then it can be implemented. However, if the builders have to recover their inventory it will take a longer period of time because that supply itself has come off. I just wanted your thoughts on that , how long will a developer take to recover their inventory for Affordable housing? And when do we get that benefit in terms of certification of disbursements at scale? Well, I understand for self -construction houses this could have immediate benefit. The second is around the ARC sale, how much of provision are we carrying on the SRs right now on the ARC sales ? Thanks.

Vinay Gupta : So, on the ARC sale, the one that we have done during the quarter, it 's 100% provided. And for the other one, we are carrying around 70% .

Girish Kousgi : On the PMAY , I think we are yet to get the details , it is still not announced . But we feel that it 's going to be big one. And if you look at the composition of products under PMAY, in terms of whether it is self -construction, whether it is self -construction with the plot purchase and construction, depending on the nature of product, I think the opportunity is going to be huge. I think once we get the scheme details, we will be able to rework on that and if need be then we will be ready to take that opportunity forward.

Shubhranshu Mishra : So, will we change our disbursement growth guidance once we get the final print?

Girish Kousgi : No, we will not be able to comment on it . As of now we have stuck to 17% good growth guidance. And if there is any need during the year, we may look at revising it. But at this point in time, 17% is where we stand.

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Internal Shubhranshu Mishra : 17% is the book growth guidance, what is the disbursement?

Girish Kousgi : Book growth, yes. Retail book growth is 17%.

Shubhranshu Mishra : And what is the disbursement growth guidance for retail?

Girish Kousgi : That will be about 25% plus.

Moderator: Thank you. The next question is from the line of Viral Shah from IIFL. Please go ahead.

Viral Shah : Thank you and congrats on good set of numbers. Actually, I have few questions. Girish , if you can help me understand. So, first of all, in your Affordable book, what is the share of disbursements that are done for either a purchase or a construction to the borrower versus what is the business transfer?

Girish Kousgi : Sorry, could you please repeat the question?

Viral Shah : In the Affordable segment, the disbursements that you do, what would be the share of the BT -ins that you would have got?

Girish Kousgi : Yes, I think, on the BT -in would be close to 20% and

BT-out is negligible.

Viral Shah : Next is on the Affordable side, I remember in the analyst meet also you had mentioned that incrementally we are looking at a different customer mix and product mix which is going to ensure that the yields are going to go up by 100 basis points immediately from next year. So, from when should we see that? Because I see that the disbursement yields are flat QoQ.

Girish Kousgi : I mentioned that it has already started. The only thing is in Q1 most of the disbursements were from the sanctions which happened in Q4. So, you will see a very marginal spike in quarter one .

It has already started. So, you will see yields improving on incremental disbursements quarter -on-quarter.

Viral Shah : Okay. So, we should see that at least on reported first decimal numbers from next quarter only?

Girish Kousgi : This is on incremental. Let's say from now onwards till this year end , so this year whatever to originate that would carry a yield of 12.6% on Affordable.

Viral Shah : Got it. And if I have to basically look a bit deeper in your cost of funds reduction of 6 basis points in this quarter , what further room do we have in terms of reduction given that, again what was the share of the mixed change in this quarter? Because there was some increase in the CPs as well. So, is this entire reduction just because of the credit rating update or there is some more benefit yet to come through because of that?

Girish Kousgi : See, it is a combination of various things. So, one is you mentioned CP, definitely yes , CP is one instrument and second is the cost of deposit , for us it is coming down. While we are growing our

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Internal deposit book our cost of deposit is coming down. Number three , we are renegotiating with all the bankers on the existing lines and all the new lines we are able to get slightly at a better rate. I think it is combination of all these things is resulting in slight reduction in the cost of borrowing , both incrementally and on book.

Viral Shah : Okay. And lastly in terms of the recovery pipeline last time around you had mentioned that on an average around Rs. 50 crores every quarter for six quarters to eight quarters so that gave us a pool of say around Rs. 300 crores to Rs. 400 odd crores. Now that we have had Rs. 80 crores of recovery

in this quarter, do you see the overall pool increasing? Or the remainder of the recovery pool, how will it look like for next few quarters?

Girish Kousgi : On the retail book, we had told approximately about Rs. 170 crores to Rs. 180 crores we will be able to recover this year. So, if you look at quarter one, the amount was Rs. 28 crores. I think in next three quarters we will be able to cover up another maybe Rs. 150 crores to Rs. 160 crores. On the corporate, whatever books we have that is Rs. 1,250 crores that will span out in next three years.

Viral Shah : Sorry next?

Girish Kousgi : Three years.

Viral Shah : Okay, next three years. And lastly, if we just go back to the NIM's piece in the near-term Vinay mentioned there may be some moderation. What is the like extent of it that we are talking about?

Is it just 5 basis points - 6 basis points or is it going to be more like 10-odd basis points?

Girish Kousgi : I think it will be in line, so we have guided 3.5%. So, 3.5% is the threshold and with this mix change and with reduction in cost of funds. And obviously, we will be able to maintain this for next two quarters to three quarters, there could be a few ups and downs, few bps. After that it will start inching up.

Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise : Thanks for the opportunity and congrats on a good quarter. Just wanted to understand on the Affordable bit, so we have hit 160 branches right now, what is the plan there? Or

do you think that

we have expanded like meaningfully in last one year, so you would want to take it slow at this point in time?

Girish Kousgi : So, we have 160 branches on the Affordable side, this year we will open 40 more branches. By this year end we will have 200 branches on the Affordable side. And this will be the plan for the next few years. So, we will keep opening about 40 to 50 branches every year at least for the next three years.

Sameer Bhise : Sure. And any specific states or it remains equally split between North, West, South?

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Internal Girish Kousgi : I think we are a national player so we would be focusing on predominantly three zones, South, West and North. We are scarcely present in East, more on the Prime side. So, our expansion would be in South, North and West. Largely our branch expansion is going to be on Affordable and emerging side.

Sameer Bhise : And just quickly on the Stage -3 ECL change sequential, what could be the reason?

Vinay Gupta : So, on Stage -3 ECL, one is since we have resolved corporate, so that has completely gone nil. And on the retail side there is a marginal drop, it was around 35%, it is now 32.5%. This is on account of certain one-offs that we have taken on the retail side and these were vintage accounts, which got resolved or we have taken a one-off where we had higher provision, that got released and the new which got added, the requirement is on the lower side. So, hence, it is more of a mix change which is happening there.

Moderator: Thank you. The next question is from the line Omkar, an Individual Investor. Please go ahead.

Omkar : My question is with respect to the branch itself. Now you said that we will be adding 40 more branches in the current year and approximately 40 to 50 over the next three years to four years.

So, can you please help me understand what will be the metrics with respect to the branch? How much time will the branch take to become a profitable branch? And what are the number of employees per branch and etc. with respect to understand how the branch will grow as it seasons?

Girish Kousgi : So, the plan is to open 50 branches. So, this year we will open 50 and every year we will open 50 for next three years, that is the plan. So, this year 50, next year 50 and next to next year 50, that is the plan of branch expansion. In terms of breakeven on the Affordable and Emerging, both sides, it will take average about 9 to 10 months' time to breakeven.

Omkar : Okay, 9 to 10 months. And with respect to the technology transformation that you've mentioned in the opening comments and also in the PPT, there is a mention of the reduction in TAT. So, what was the TAT earlier and what is it now? Can that be quantified?

Anubhav Rajput : On loan processing TAT, if you are talking specifically to LOF, our loan processing TAT is reduced by about 16% to 17%. And on the CRM side, the customer service request is seeing reduction in TAT because they will reduce self-service capabilities, almost 18% of requests by the customers are getting self-service without being assigned to any agent. That is improving the TAT on an overall basis.

Omkar : Can we quantify the TAT in number of days, so like how much time does it take from log-in to sanction or disbursement with respect to days of file that has been reduced?

Jatul Anand : See, wing-to-wing right from reference log-in to sanction and including salaried and self-employed, this is around three working days. So, we have seen this coming down to close to four working days to gradually we are reducing it to three. And wherein salaried is decisioned in the

second day itself.
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Internal Omkar : And with respect to the cost to income and the Opex-to-AUM, as you are saying that we are going to be so agg

ressive on the branch expansion, Affordable Housing space as of what I have seen the Opex ratios are very high. So, how do we manage to overcome that and that would not make a drag on the profitability? Could you please share some light on that?

Vinay Gupta : See, actually on the Opex side, most of the investments related to 160 -odd branches now and 300 overall that we have for the business, investments are already done, so it's both up fronted. So, whatever you see now would be a run rate. Rest would be in the BAU core that we would be adding. And it will be only the direct cost that we would be investing, which is mostly in terms of sales and underwriting people. Rest everything would be the shared infra. And plus, the economies of scale will kick in from other businesses, which will help in absorbing. So, we are pretty much confident that 1% kind of Opex we should be able to maintain.

Omkar : Finally, with respect to the credit underwriting, since our overall portfolio mix is more tilted towards the salaried people and Affordable in the Tier-III, Tier-IV and beyond, will be more self-employed. So, how are we changing our underwriting practices and what will be the way that we make sure that the asset quality remains stable? Can you please share that?

Girish Kousgi : So, I think the underwriting model for Prime and Emerging is similar. It is very little different between Prime and Emerging; I think broadly it is similar. When it comes to Affordable, it is totally different. So, we have a different vertical for these three businesses. We have a different vertical for Prime, different vertical for Emerging, different vertical for Affordable. Now, on the Affordable side, largely we are going to focus on both the income and assessment-based product, it will be 50-50 almost, 50% is going to be assessment, both on salaried and self-employed. And therefore, there the underwriting model what is required is very different. So, we have a different structure, different team, different head to drive this piece vis-a-vis compared to Prime and Emerging.

On the Prime and Emerging, it is more rule based and largely the focus is on income side. On the Affordable it is 50-50 and therefore, it is more of assessment model. So, on the salaried side when we say informal it is cash salary. On the self-employed side when we say informal it is basically LIP and certain programs where the income is not there. So, there, we have developed models, we have developed various templates. For example, we have close to 35 templates depending on the sector, depending on the nature of business, all these are templated, all these are automated. And this would support us in terms of standardization of the assessment.

Having said that on the Affordable side, it is more of touch and see, so every branch we have a credit manager. Say credit manager meets the customer, does the personal discussion, assesses the income and then we use those templates to standardize our decisioning process. So, it is very different, on the Prime and Emerging it is different, it is more driven by rule based algo. On the Affordable side it is a mix of both personal touch, personal discussion and use of templates.

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Internal Omkar : Just one last bit, I wanted to understand what would be the ROA guidance for the next 2 years to 3 years?

Vinay Gupta : ROA guidance we are not giving on an annual basis, what we have laid out in our investor day is that we are working towards a range of 2.4% to 2.6% in next three years. So, we are committed to deliver that.

Omkar : 2.2% to 2.3%, did I get it right?

Vinay Gupta : 2.4% to 2.6%.

Omkar : 2.4% to 2.6%.

Moderator: Thank you. The next question is from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah : One last question is, so in this quarter you have had Rs. 80 crores

of recovery and then there was

around Rs. 45 crores of reversal of provisions on the corporate loans. And with an overall net write back of Rs. 12 crores, it means that the adjusted or ex of the recoveries, the credit cost would have been Rs. 113 crores, would that be a right understanding?

Vinay Gupta: Viral, but that also includes some one-off that we have taken on the retail side. So, it is not our core credit cost that also had certain one-off that we have taken.

Viral Shah : Okay. And when you mention one-off as in a charge to the P&L, right?

Vinay Gupta : Yes, right, charge to the P&L.

Viral Shah : Got it. Yes, that makes sense, because otherwise the implied credit costs were a bit higher.

Vinay Gupta : Yes, right.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for their closing comments.

Deepika Gupta Padhi : Thank you everyone for joining us on the call. If you have any questions unanswered, please feel free to get in touch with Investor Relations. The transcript of this call will be uploaded on our website as well as the audio of the call. Thank you.

Moderator: On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

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CIN: L65922DL1988PLC033 856

Public
Ref: PNBHFL/SE/EQ/ FY25/98
Date : October 28, 2024

The BSE Limited
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Mumbai – 400001
Scrip Code : 540173
The National Stock Exchange of India Limited
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),
Sub: Transcript of Earnings Conference Call held on October 24 , 2024 – Q2FY25
Ref: Our letter PNBHFL/SE/EQ/FY2 5/93 dated October 24, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript pertaining to the earnings call held on October 24 , 2024 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the 2nd quarter and half year ended September 30, 2024 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above document on record .

Thanking You ,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

October 24 , 2024

MANAGEMENT : MR. GIRISH KOUSGI - MD & CEO
MR. VINAY GUPTA – CFO
MR. DILIP VAITHEESWARAN - CHIEF SALES OFFICER
(PRIME & EMERGING BUSINESS)
MR. ANUJAI SAXENA -BUSINESS HEAD FOR
AFFORDABLE BUSINESS
MR. JATUL ANAND - CHIEF CREDIT & COLLECTIONS
HEAD (PRIME & EMERGING BUSINESS)
MR. ANUBHAV RAJPUT - CHIEF TECHNOLOGY
OFFICER
MS. DEEPIKA GUPTA PADHI – NATIONAL HEAD (IR
AND TREASURY)

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Internal Moderator : Ladies and gentlemen , good day, and welcome to the PNB Housing Finance Limited Q2 & H1 FY'24-25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika from PNB Housing Finance Limited . Thank you, and over to you, ma'am.

Deepika Gupta Padhi: Thank you. Good evening and welcome everyone. We are here to discuss the PNB Housing Finance Q 2 & H1 FY'24-25 Results. You must have seen our Business and Financial numbers in the Presentation and Press Release shared with the Indian Stock Exchanges and is also available on our website.

We would like to apologize because we could upload the Presentation and the Press Release just few minutes back due to some technical error , we will try to cover maximum in the update to be given by the Management Team.

We have our entire Management sitting over here led by Mr. Girish Kousgi – our Managing Director and CEO.

We will begin this call with the "Performance Update" by the team.

Please note this call may contain forward -looking statements , which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual development and result to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. A detailed disclaimer is on Slide #51 of the Investor Presentation .

With that, I will now hand over to Mr. Girish Kousgi . Over to you , sir.

Girish Kousgi: Good evening to all my investors. Welcome to the Earnings Call .

Before I get into Quarter 2 & H1 FY'25 performance , I would like to highlight that the Affordable segment "Roshni" loan book has crossed Rs. 3000 crores mark this month, making us the fastest growing HFC in an Affordable segment . It is a significant milestone towards the stated target of Rs. 15,000 crores Affordable loan book by FY'27.

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Internal On the loan book , last year the Retail Loan book grew by 14.1%. Quarter 1 FY'25, the book grew by 14.4% and this quarter the Retail Loan book grew by 16.2% to Rs. 67,970 crore as on 30th September 2024. This is against the stated guidance of 17% for the Financial Year .

The Corporate book is at Rs. 1,531 crore as on 30th September 2024.

The total loan looks to that Rs. 69,501 crore and asset under management is at Rs. 74,724 crore.

The total live account serviced by the Company crossed 3,00,000.

The Affordable and Emerging Market Segment share in the Retail Loan book is witnessing an increasing trend and is at 23% as on 30th September.

The Affordable segment has shown a remarkable growth of 300% on a YoY in loan book at Rs. 2959 crore. We have crossed Rs. 3000 crore loan book as of now.

The Emerging Market Segment has shown the loan book growth of 22% YoY at Rs. 12,545 crores.

As per the strategy, the growth in the Prime book is a balancing number and the Prime book grew by 11% as on 30th September 2024.

In terms of reach, we currently have a strong network of 303 branches across 20 states and we plan to open 50 branches in this financial year with the majority to be opened for Affordable business. With this large presence, we are ready to capitalize the opportunity available in the Affordable and Emerging Market Segment in Tier-2 and Tier-3 cities.

We had a phenomenal quarter with d

isbursement of Rs. 5,341 crore in Quarter 2 FY'25, representing a growth of 28.2% on a YoY basis and 21.5% on quarter -on-quarter basis.

As laid out in our strategy, we continue to focus on the Affordable and Emerging Market Segment. Both these segments contribute 31% of the total Retail disbursement of Quarter 2 FY'25.

The disbursement in the Affordable segment grew at a rapid pace of 68.5% YoY to Rs. 630 crore in Quarter 2 FY'25.

The disbursement for the Emerging Market Segment registered healthy growth of 31% YoY at Rs. 1,035 crores.

The Prime segment business grew by 23% YoY at Rs. 3,676 crore in Quarter 2 FY'25.

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Internal The Company is expected to start Corporate business in next few months. The Corporate segment will further help us in yield and Retail business.

The incremental yield in the Affordable segment increased to almost 12% in Quarter 2 FY'25 as compared to 11.4% in Quarter 2 of the previous year. We are consciously increasing the yield in Affordable segment.

The incremental yield in the Emerging Market Segment is 9.8% in Quarter 2, which is 45 bps more than Prime segment.

On PM AY Interest Subsidy Scheme, with the Government focus on the Affordable segment, that is EWS (Economically Weaker Sections) and mid-income group and the PM AY interest Subsidy Scheme, close to 1 crore customers are expected to benefit over the next five years. This leads to a huge opportunity for players like us with Pan India presence and special focus on Affordable and Emerging Market Segment. The Company is geared up to source business from all its 303 branches under the Interest Subsidy Scheme.

On asset quality, GNPA improved by 11 bps to 1.24% this quarter. Last quarter, the GNPA was 1.35%.

During the quarter, we recovered Rs. 48 crores from Retail written-off pool in comparison to Rs. 28 crores in Q1'FY25. We expect to continue recoveries from written-off pool from both Retail and Corporate books. The Company has a written-off pool of around Rs. 1,250 crores in Corporate and Rs. 500 crores in Retail.

Our cost of borrowing has reduced by 8 bps sequentially to 7.82% in Quarter 2 'FY25.

In Quarter 2 'FY25 PAT stood at Rs. 470 crores registering a growth of 23% on a YoY basis.

Net interest margin increased marginally at 3.68% during the quarter as compared to the previous quarter.

We reiterate our guidance is 3.5% on NIM. We will be able to manage NIM at the current level for the next couple of quarters.

Our efforts across parameters aided in improving profitability, our return on assets improved to 2.54% in Quarter 2 and H1 'FY25 at 2.45%. Return on equity was at 12.42% annualized for Quarter 2 'FY25.

Now I hand over to Vinay to cover on financial.

Vinay Gupta: Hello, good evening to all and welcome to Q2 & H1 FY'24-25 Earnings Call. I am happy to report strong Financial Performance across all parameters during this quarter.

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Internal Driven by strong business performance with disbursement growth of 28%, loan book growth of 14.2% and Retail Loan book growth of 16.2%, our overall PAT has grown 23% year-on-year and 9% quarter-on-quarter to Rs. 470 crores in Q2 FY'25.

Overall, interest income has grown 4.5% year-on-year in Q2. However, this is colored by declining Corporate book over the years. Kindly refer to Page 35 of the deck wherein we have shared separate P&L by segment for Retail and Corporate.

The Retail segment gross income has actually grown by 17% year-on-year and operating profit that is pre-provision operating profits grew by 16.4% year-on-year in Q2.

Cost of borrowings reduced by 8 bps sequentially to 7.84% in Q2. The decline in cost of borrowings is driven by the benefits of rating upgrades leading to competitive borrowing from debt capital market.

The Company also received ECB sanction of USD 125 million which is at a very competitive rate. This has ensured that the spreads have improved from 2.11% to 2.21% during Q2 'FY25. NIMs have also improved to 3.68% during Q2 'FY25 versus 3.65% in the previous quarter, largely driven by the lower cost of borrowings. However, we reiterate we maintain our guidance of 3.5% NIM for the current year.

With higher contribution of business now coming from Affordable and Emerging verticals, the NIM should start improving from the next year onwards.

Gross margin is maintained at 4.1% in Q2 'FY25 versus around 4.03% in the previous quarter.

In Q2 'FY25, operating expenses have grown by 19% year-on-year to Rs. 199 crores. This is largely due to branch expansion done in "Roshni" and Emerging vertical during Q4 of the last financial year wherein we have added 100 branches. Excluding fresh investments done in these 100 branches, operating expenses would have grown by around 9%. This fresh investment will definitely help in profitable growth going forward.

On credit cost, as mentioned earlier, it remains benign even during Q2 due to recovery of INR 48 crores from the written-off pool in this quarter.

Overall credit cost is at 24 bps for Q2 'FY25. Our ROA improved by 30 bps year-on-year to 2.54%, which was 2.38% in the previous quarter. ROE has also reached 12% for Q2 'FY25.

The Company has maintained an average daily LCR of 193% against the regulatory requirement of 85%. We have also maintained SLR of 15% on public deposits as of 30th September against the regulatory requirement of 13%.

The capital adequacy stands strong at 29.13% with Tier-1 at 28.1%.

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Internal With this strong all-round performance during Q2, we are on track now to deliver on our business growth guidance for the current financial year.

Deepika Gupta Padhi: Thank you Vinay. And I will now request the Dilip – our Chief Sales Officer for Prime and Emerging business and deposits to give segmental performance update.

Dilip Vaitheeswaran: Thank you, Deepika and good evening, friends. Welcome to the call. I appreciate your taking the time out late in the evening.

I am delighted to share with you that we had a really good quarter in the Prime and Emerging Markets businesses for the Company. You have heard some of the numbers from Vinay and Mr. Kousgi. You will see them in the Investor Presentation as well.

Over the next few minutes, let me try and give you some color of these businesses as to what they are and how they have fared in this quarter for us.

I will start with Emerging Markets first:

We took this decision to reorganize our branches and teams into Prime and Emerging Markets because we believe that these set of geographies, or branches have room to:

#1. Grow at faster pace.

#2. Also give us higher yields on incremental disbursements.

So, we carved out 50 branches. We started off this business as a separate one, about two quarters back.

Firstly, let me speak of which are these markets:

About 60% of these branches are in the South as on date. So, we are talking of most of Tamil Nadu except Chennai, branches in AP but not Telangana or Hyderabad, and a lot of Kerala. Even in the North, we consciously chose the Tier-2 markets so that some parts of UP, but not Lucknow, large share of Rajasthan but not Jaipur. So, in these markets, our ticket size is around Rs. 25 lakhs whereas our ticket size on the Prime side of the business is about Rs. 35 lakhs.

So, at the end of two quarters, we are very pleased to see how the business has started off here. Disbursement in these markets like you heard has grown at 31% YoY. The book has grown at 22%, it's crossed Rs. 12,500 crores. We had set out a guidance saying over the period of two to three years, we will have a difference in yield of 75 to 100 basis points

between the Prime and the

Emerging Markets side. In two quarters, we have already achieved 45 bps. So, the difference in incremental yields between Prime and Emerging Markets is now 45 bps. In fact, in these

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Internal Emerging Markets, we took the yields up by 40 bps in six months as compared to what it was at the end of Q4.

In terms of product mix, NHL gives us about 35% of incremental disbursements in these markets. Again, this is a yield accretive business. It fetches us a good (+100) bps of premium over home loans. In these markets, 63% to 64% of our business is sourced by our internal team, which is our in-house origination team. About 37% is originated by our third-party distribution DSA. When we are doing all this and we are wanting to grow this business more, the asset quality in these set of branches, the NP A levels is on par with those in the Prime branches, if not better. So, we are very pleased to have made this decision. It seems to be paying off well. It has taken off very well. We only see this business becoming bigger for the Company, along with "Roshni", in the quarters to come.

Mr. Kousgi mentioned that Emerging Markets and "Roshni" are now at about 31% of the Company's Retail loan disbursements as of Q2. Now this number or this metric by design will only go up in the quarters to come.

Now coming to the Prime Markets:

So, most large cities of the countries, the metropolitan cities like MMR or NCR, Bangalore, Chennai, Hyderabad, Pune, even the bigger cities like Lucknow, Chandigarh, etc., they fall into what we classify as Prime markets. Since these markets have a higher share of contribution to the economy itself, they are larger markets for housing loan demand as well. So, obviously we witnessed more competition in terms of pricing in these markets. That's why the yield on incremental disbursements in these markets will be a little lower. But owing to the sheer size of these markets, they will continue to contribute more to the growth for most lenders as is the case with us. So, on the Prime market side, we had a very good quarter on disbursement, on runoffs as well as margin improvement. We managed to grow our disbursements by (+22%) in these markets. The book grew by about 11% to Rs. (+52,000) crores. And on this side of the business, while we are working on growth, we are also working hard on restricting our runoffs. So, our runoff share came down to below 17% on an annualized basis. Now this is a good (+2%) reduction YoY. This improved (+40) bps QoQ sequentially as well.

And while we are wanting to grow in these markets for bottom line reasons, we are also making the shift down the income pyramid from HNIs or Super Prime to the Prime or the Mass Affluent segments. So, the incremental disbursements are more granular in nature. Just to give you a metric, 97% of the disbursements in these markets stood at loans below Rs. 3 crores, which is much lower than what the Company used to do historically. In these markets also, we managed to take the yields up. Incremental disbursements yield moved up by 15 basis points in six months.

I would also like to share an update on investments and new branches:

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Internal We opened about 35 new branches in Quarter 4 of FY'24. I am happy to share that all these branches are now fully operational. They are active on incremental disbursements for us. They contributed 10% of the disbursements across Prime and Emerging Markets for Q2 for us. This number was 6% in the previous quarter. So, this should only go up in the coming quarters.

So, to summarize:

Growth in business is auguring well on the back of investments in geographies and technology. We want it to grow more in the margin accretive businesses, be it Emerging Markets, be

it NHL,

we are seeing that happen. The shift in the customer segment and Prime markets is happening as planned. The shift in the geography mix is also trending in the direction we want.

Just to give you an update across Prime and Emerging Markets, (+50%) of the incremental disbursements are now coming from non-metros, this is the first time across these businesses.

And the asset quality for these businesses continues to hold up and improve quarter-on-quarter.

So, we believe that good performance in Q2 is the testimony to the fact that we are on the right path and we will only move forward on these businesses on all our imperatives – "Growth, Margins and Asset Quality".

Thank you. And back to Deepika.

Deepika Gupta Padhi: Thank you. I will now request Anujai – our business head for Affordable business to update on the Affordable business performance.

Anujai Saxena: Thank you, Deepika. Good evening everyone. It is my pleasure to take you through the excellent outcomes that we have achieved in the last quarter in our "Roshni" business.

We have ended the last quarter at a loan book of Rs. 2,959 crore and I am happy to share that we have become the fastest growing company in the Affordable housing space to cross the loan

book of Rs. 3,000 crore this month . We have achieved this milestone in the 22nd month of our operation.

Our journey in the Affordable Housing Finance Space started in January '23 with "Roshni" business disbursing Rs. 5 crores of loans in that month. Executing well on our strategic plan, we reached the monthly disbursement rate of around Rs. 100 crore per month in about 6 months ' time by July '23. We were the fastest in the Affordable Housing Finance space to reach a loan book of Rs. 1000 crore in just eleven months ' time by November '23. We opened our 100th branch in December '23. Incidentally, this branch was also our first women only branch that were set up in Chennai . With increased branch footprint , our loan book growth was even faster from thereon and we ended the FY'24 at the loan book of Rs. 1,790 crore in March '24.

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Internal As I mentioned, we crossed Rs. 1,000 crore of loan book in November '23, the next Rs. 1,000 crore came even faster, and we crossed loan book of Rs. 2,000 crore in the next six months by May '24.

We also opened 60 more branches in Q4 of last financial year . I am happy to share that all these new branches have been fully operationalized in the last few months. With these 160 branches across the country, we are catering to 130 + high potential targeted districts across 13 states in the country.

We are operating in the three zones and contribution is evenly distributed amongst all these three zones. North zone accounts for 34% of our business. Contribution from the West zone is about 36% and South accounts for 30% of our business. We have a national presence, and this helps us in scaling up faster across all regions in the country.

In the last few quarters, we have worked hard to expand and strengthen our distribution. We have empanelled close to 2,000 connectors through our "Roshni" Sarathi program. We have also empanelled close to 500 channel partners for DSA partnerships.

We have also strengthened our vendor support network for legal, technical, FI and FQ related checks with more than 1,000 empanelled vendors across the country. We have also used technology solutions extensively to strengthen our operational framework.

The last quarter has been our best -ever quarter in terms of logins and sanctions, and we have been able to build a robust pipeline which will support the business growth going forward.

Roshni loan book has witnessed a 3x year -on-year growth as we have ended the last quarter at a loan book size of Rs. 2,959 crore as compared to Rs. 745 crore s that we had at the end of Quarter 2 of last financial year. Quarter -on

-quarter growth in the loan book stands at 25% plus.

Roshni disbursements have also seen a robust growth, year -on-year growth of 68. 5% as we disbursed 630 crores of loans in the last quarter as compared to 374 crores of loans same time last year.

While we have grown our disbursements significantly, it is important to note that we have also improved our incremental yields simultaneously. Yields for incremental business have gone up to close to 12% this quarter as compared to 11.4% same time last year and 11.58% in the previous quarter. We have been able to improve our yields through an increased focus on higher yielding segments and products.

Self-employed sourcing has gone up to 43% in the last quarter as compared to 35% last year.

Sourcing from informal income segment has gone up to 29% in the last quarter as compared to 23% previous quarter.

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Internal Our non -home loan sourcing has also gone up to 35% in the last quarter as compared to 25% same time last year. With most of the new branches getting opened in tier 3 and tier 4 locations, this will become an additional factor, and we are confident our yields will continue to improve.

On the portfolio quality side, we don't see any early warning signs. As I mentioned earlier, we have been able to execute really well on the strategic plan that we have for "Roshni" business, and we are confident that we will be closing this financial year with a loan book of close to Rs. 5,000 crores. Thank you.

Deepika Gupta Padhi: Thank you, Anuja i. I will now request Jatul – our Chief Credit and Collections Officer for Retail, to talk about Credit and Collections performance.

Jatul Anand: Good evening, everyone.

Moving on to cover the portfolio quality and credit :

Well , I can say that our PNB Housing is risk first and business next. Credit underwriting plays a crucial role in driving business and building a strong portfolio ensuring sustainable portfolio quality. This function here operates independently assessing both the financial capability and

collateral through dedicated legal and technical units.

The Company today manages a robust and seasoned portfolio of around INR 68,000 crores consistently achieving steady year-on-year growth. With a deep understanding of the various phases of the mortgage industry and the relevant experience of our team, we make informed onboarding decisions.

This expertise allows us to build a diversified portfolio, maintaining a balanced distribution across various industry segments, low and mid-ticket size cases being focused, and a healthy mix of salaried and self-employed customer segments.

As the business grows organically, our well-established centralized monitoring mechanism conducts periodic dip testing of the portfolio on us and off us providing an eagle eye view of our business health. So, as we speak, our portfolio shows no sign of stress.

Covering the credit process flow evolving around login, credit appraiser, collateral assessment and finally the disbursement, each of these stages ensures that the lending process is thorough, minimizing the risk and maximizing the profitability of repayment.

Right from the loan application submission, which is done through our digital platform till disbursement, at each stage of the appraisal, one or another digital tool deployed by the Company is used. Be it the e-verification of documents to automated CAMs and bank statement verifications etc. This ensures faster and timely delivery to the customer.

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Internal Now moving to the portfolio highlights for Quarter 2 of the current year :

The Company witnessed business growth as already mentioned. As envisaged with respect to focus areas of control, 94% of the fresh sanction volumes have ticket size of up to 1 crore. 87% of our incremental busi-

ness had a bureau score of more than 700.

Having all the checks and balances in place with respect to prudent appraisals and managing early mortality, the delinquency in the business book till the last few quarters is well within the tolerable limits.

To give you an idea as on 30th September, (+30) from last 12 months origination is 0.1 % and with the major NPA that is (+90) is 0.02 %. If I go back and see the last 24 months also, (+30) is 0.43% and NPA is 0.09%. So, that gives us the confidence to enable business growth with sustainable portfolio quality.

Now moving further to collections and recoveries. The Company has been witnessing a successful trend over the past few quarters with a complete grip on delinquent accounts, various approaches of curing meters put to use ensuring sequential reduction in NPA quarter-on-quarter. The strategy which we designed in the recent past and implemented at ground is yielding desired results as per our plan. Resolutions across buckets have been improving driven by strategic interventions both from a process excellence and technology leverage point of view.

The focus continues to remain on early delinquency management through leveraging deeper analytics and focus to increase self-curing of early delinquency, deployment of predictive AI models to improve accuracy on pre-delinquency management and ongoing monitoring and prompt resolution of any early mortality cases arising from the recent acquisitions.

And the next focus area which is to arrest the vintage delinquency is control over the NPAs and recovery from the written-off pool. This is being enabled with the use of effective legal tools or measures to restrain delinquency, leverage of end-to-end technology through a collection application which is being used to track the collection field team performance, digital capturing of payments and enables us to review through dashboards and various analytics.

Optimizing the process for one-time settlements and reserve price fixations etc. strengthened our auctioning process. I will just cover the numbers in a minute to go and month-on-month consistency of sale of re-possessed assets by taking one-of-its-kind industry-wide initiatives, which has really helped us to get to the desired results.

Over to quarterly update, the Company closed the second quarter building on the momentum we established in Q1. Performance was robust in Q2, whereby we beat our Q1 numbers on almost all the measurable success metrics.

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Internal Our ongoing rigor on SARFAESI saw us take over 300 possessions in Quarter 2, which is far more than what we did in Q1, close to 170 odd possessions. Further to dispose of these assets, we successfully sold out 134 properties in Q2, as against 98 in Q1, through the auctioning channel. So, this has been a success in disposing of the assets as well as the reduction in NPAs by taking one-of-its-kind initiatives as I talked about, be it marketing, be it creating awareness to dispose of these assets.

In terms of recovery from the technically written -off pool, we collected almost around 50 crores in Quarter 2, as against 28 crores in Quarter 1. So, the strong control over recovery and resolution mechanism has set the growth trajectory in terms of robust portfolio with even lower delinquency.

Given the proficiency in handling all aspects of collections, recoveries to sale of assets and overall resolution mechanism over the last few quarters, the Company has set a path for reducing NPAs further and build a robust portfolio with steady growth. Thank you.

Deepika Gupta Padhi: Thank you, Jatul. I will now request Anubhav, our Chief Technology Officer, to talk about the tech initiatives and its progress.

Anubhav Rajput: Thank you, Deepika, and a very good evening to all. PNB Housing Finance technology function continues to evolve

on the part of transformation agenda that was initiated in Quarter 4 of FY '24.

I am pleased to share that as part of our transformation journey, we have upgraded and replaced our key core platforms like CRM, Dialer, LOS, website and deposit.

We have also introduced additional tech-led channels for sales, collections, operations and customer service functions. All the new platforms are high-performing in terms of functionality, features, capacity and performance. The new and upgraded platforms are set to deliver long-term robust tech capabilities for our business segments and customers.

Our long-term technology vision is to be recognized as a large tech-led digital player in the HF ecosystem, partnering with various fintech, banks and aggregators through scalable digital platforms and tech services which are integrated end-to-end.

All our technology investments are aligned to the business strategy and direction and focus on five strategic pillars. The first is delivering a frictionless customer experience. This aims to simplify and enhance experience for our customers across all channels and touchpoints.

We have launched a new website that provides far more information and the same is disseminated to our customers and prospects. We have introduced self-service channels like chatbots and WhatsApp bots where almost 17% to 18% of customer requests are being self-served 24 by 7.

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Internal Our second strategic pillar is end-to-end sales enablement. Initiatives like introducing a sales mobile app for our frontline, automated lead scoring and allocation have been implemented. We have also introduced a fully functional app for our collection agents to be better equipped with all data and details in a secure manner to improve collection efficiency.

The third pillar is creating underwriting at scale. This focuses on our credit function where we have built several calculators. Automation for underwriting includes digitization of complete underwriting rules using a robust rule engine and the same have been implemented and used widely.

Our fourth pillar and focus area is to evolve into a data-driven enterprise. We continue to invest in building data analytics capabilities across organizations. We are in the process of setting up a vast data lake to build our integrated analytics to view pan enterprise and business segments which will be used for developing the numerous analytical models for prediction of risk, delinquency, conversion propensity and for MIS reporting across hierarchy for better management and control of the business.

And our last pillar of focus is Tech Innovation & Performance. While delivering superior business capability, we are also focusing on building internal tech skills and capabilities specifically in areas around cloud, mobility, engineering, performance engineering, tech monitoring, and information security, which are very relevant in the technology landscape of today.

In recent quarters, we have automated a considerable part of our customer service touchpoints and we have used digital canvas for customers to connect with us. As on date, these service channels are working well for us and have led to improvement in CCAC as well as unlocked better productivity for our operations teams.

Sales enablement initiatives include introducing modern and integrated LOS platform that has better control workflows and improved form-filling capabilities for automation and integrations. During the onboarding journey, we are now more than 80% digitized for the Affordable segment and we are launching the pilot phase for Prime and Emerging business segments.

Entire field collection team is enabled with a robust mobile app that provides all details of delinquent cases, field tracking, complete payment automation workflow and associated capabilities for collection agents

to leverage.

Lastly, we have set up 24 by 7 information security monitoring capabilities and continue to build

resilience on our technology platforms in line with the new and emerging cyber threat landscape. Information access for users is also controlled using relevant tools, which work purely on a zero-trust architecture model. Thank you.
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Internal Deepika Gupta Padhi: Thank you Anubhav. Sagar, we can open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: First of all, congratulations on a good quarter and again, congratulations to Girish sir for recently completing two years at PNB Housing. First of all, thank you for, very enhanced disclosures that you are giving in the presentation. I think we also started to note incremental yields.

So, I think that's where my first question also was, that in terms of incremental yields that we have given out in Prime, Emerging and Affordable, what proportion of this increase in incremental yields that we have seen over the last two quarters has come from our product mix change and what percentage has come from an increase in yields that you have been able to take in home loans?

Girish Kousgi: Thanks for the compliments. So, the plan this year was to increase the yields on all the three segments starting from Affordable, Emerging and Prime. So, we started focusing on increasing the yields, let's say, from June of this year because Quarter 1, given the constraints and cyclical in nature and therefore we started this couple of months late and we have seen good traction. So, if you look at any of these segments, whether it is Affordable, Emerging or Prime, yield is driven largely by customer segment, geography, product and the program mix. So, these four things have driven to an increased yields in all the three businesses, Prime, Emerging and Affordable.

Abhijit Tibrewal: And sir, I mean, just a related question on yields again. Emerging, Affordable, we can understand. But the fact that you are also able to take yield improvements in Prime is just commendable, given the kind of competitive landscape that we have in the country. So, what is allowing us to improve yields even in Prime?

Girish Kousgi: So, as I mentioned, even on the prime side, we are where we are and we will be always exploring opportunities, sub-segments within Prime so that we can try and increase yield. It is also a combination of the program and the product mix and customer segmentation within the Prime.

Dilip Vaitheeswaran: To add to what Mr. Kousgi said, Abhijit, the two bigger levers in Prime side of the business which have helped improve yields, one is shift down the pyramid. So, we have vacated the sort of ultra-HNI kind of customer segment. We see the possibility to charge better premiums when you go down the income segment. That is number one.

Second is a little bit of product mix as well. We are doing a little more NHL than what we used to do earlier. We are also trying to see if we can move up that ladder. A combination of these and some of the factors which Mr. Kousgi explained is helping us increase the yields.

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Internal Abhijit Tibrewal: Thanks, Dilip. My second question was on margins. When Vinay sir was giving out his opening remarks, I think I heard that margins have been good for the first half of the year. We are still guiding for a margin of 3.5%. So, I mean, should we then conclude that maybe for next two quarters, we could see some NIM volatility and then as per your guidance, NIM should start improving from the next year onwards?

Girish Kousgi: See, NIMs will start improving maybe after two,

three quarters' time as I have been mentioning since a very, very long time. We are putting in all efforts to protect the NIM. We have given guidance of 3.5%. That is the threshold. So, NIMs will be upwards of 3.5%, while the endeavor will be to try and maintain at around 3.65%.

Abhijit Tibrewal: So, the last question again is, I think you have guided that for the next four to six quarters, we will continue to see recoveries from the written-off pool. I think, this was the second quarter where we took our provision write-offs, our provision write-backs into P&L.

So, I want to understand two things in terms of recoveries. One is, when we go for reposessions and auctions in retail, what is the recovery that we see? In other words, what is the haircut that we are seeing in retail when we go for recoveries?

And secondly, given that you spoke about almost Rs. 1,250 crores of written-off pool in Corporate and Corporate recoveries we know can be lumpy, anything happening on the Corporate recoveries and are you expecting any Corporate recoveries in the second half of this fiscal year?

Girish Kousgi: Yes. So, as of now, we have Rs. 1,250 crores written-off pool on the Corporate side and 500 crores on the retail side. And if you look at Quarter 1, Quarter 2, I think together we have done

about 28 plus 48 crores in Quarter 1 and Quarter 2 , a little over 75 odd crores. So, this story will continue for next four to five quarters.

On the Corporate side, as I had mentioned in the last earnings call, we were able to recover a bit in Quarter 1 . So, in H1 FY25 , we can expect good recovery on the Corporate side, also on the retail side.

Abhijit Tibrewal: So, this is useful.

Girish Kousgi: I think I did mention H1 FY25 . I think in H2 FY25 we are expecting recovery from Corporate also and retail recovery would continue for next five to eight months.

Moderator: The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Sir, first question again on the credit cost side. So, of course we do understand that the revamped collection underwriting structure is helping us in better recovery, etc. But on a normalized basis, given now Corporate is only 2%, so what kind of a steady -state credit cost one should assume

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Internal in retail business, especially when we are, let's say, over the next couple of years, Affordable and Emerging will be larger piece than Prime? In a way, these two segments would be slightly more vulnerable than Prime. So, what's the steady -state credit cost one should assume for PNB Housing going ahead?

Jatul Anand: So, on a steady state, for example, we have given guidance in terms of retail book growth, reaching 1 lakh crore by FY '27 with a mix of 15% in Affordable , 25% in emerging and the balance in prime. So, on a steady state, given the mix between these three segments and corporate , we should look at credit cost of about 40 to 42 bps, in the medium term this is expected to be around 30 bps as earlier guided .

Girish Kousgi: So, I think, see, on Prime, we are expecting on a steady -state credit cost of about 18 bps, on Emerging around 23 -24 bps. On Affordable, since we are focusing on the low -risk and within - this segment, we are expecting about 50 bps.

Renish:

Sir, second question, again, on the yield side in the Prime segment, as Abhijit was mentioning, this is one of the most competitive products per se, and in that segment, from last 2 -3 quarters, we are seeing the steady -state improvement on the disbursement t, as well as the book yield as well. So, I mean, I do heard that we are vacating Ultra HNI and sort of for going down the pyramid, but structurally, what are we doing to sustain this kind of a yield on a more sustainable basis?

Dilip Vaitheeswaran: Yes, Dilip here. Like I said, we are trying to be on the fringes o

f the outskirts of the city. We are

trying to cater to middle -income customers. We are trying to do a little more of NHL as compared to earlier. Between these 2 -3 levers, we are able to fetch higher yields than before, and this is a journey. We have just started off. We have walked about 15 bps in the last 6 months. We believe there is still room for improvement there.

I remember mentioning this in our earlier conversation as well, even if you take cities like Bombay, Delhi, NCR, the yields that the ultra -HNIs give us in the middle of the city are very different from what you get when you go to the outskirts of the cities. Even to catering to salaried middle income customers or self -employed customers gets us better yields. So, between these two, three things and a little bit of product mix NHL, we believe that we will be able to take the yields up. And early results seem to be showing that we are in the right direction. We will be moving ahead on this path.

Renish: So, does that mean there is a significant change in the ticket size?

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Internal Dilip Vaitheeswaran: Not really. It has come down a little. On the Prime side of the business, we are in the range of 35 lakhs. We are trying to be more granular. Four, five years back, historically we used to do many more cases which were sort of 5 crore plus and that has come down.

Renish: Yes, that's what. So, earlier maybe we were in crores, now we are in lakhs.

Dilip Vaitheeswaran: Yes, a little.

Renish: And my last question on the cost of borrowing side. So, despite the rating upgrade, incremental cost of fund has increased maybe marginally by a certain basis point. But ideally, incremental cost of fund should have come down, right? I mean, post rating upgrade. So, what am I missing here?

Vinay Gupta: It is basically, Renish, due to some mix as the bank mix between short -term and long -term do keep changing quarter -on-quarter. That has led to some impact between Q1 and Q2. We have also got some ECBs and NCDs traction starting from Q2, which is also playing out for improving the diversity and mix perspective.

Renish: So, basically, just the mix change which is impacting this, there is nothing much to read.

Girish Kousgi : And also, if you see, we got the rating upgrade in Q4 of last year and Q1 of this year. So, that will play out. And also, if you look at the difference between us in terms of cost of borrowing and some of the other leading companies, I think the gap is not much. So, we will be able to cover that up and also in next three to four quarters' time, it's question of time, we are also looking at possible upgrade and we should further improve on the cost.

Vinay Gupta : However, having said that, I mean, overall borrowing cost from the portfolio has improved by 8 bps. So, there we have worked across all the instruments.

Moderator: Thank you. Next question comes from Nilesh Jethani from Bank of India Mutual Funds. Please go ahead.

Nilesh Jethani: My first question was on the Affordable side. Just wanted to understand considering this 160 locations where our branches are present, any sense or any understanding, the Corporate s which are operating around us, what could be typical AUM per branch for them, and of course, what kind of AUM per branch are we aspiring to when we target to reach this Rs. 15,000 crores AUM by FY27? That is question number one. Question number 2 is on what are you planning to do on the Affordable side trying to garner market share in Tier-2, Tier-3 cities or we are targeting mix of virgin and market share gain, just wanted to understand the philosophy?

Girish Kousgi : See, in terms of growth, we had guided 17%, so this could improve in next couple of years since we are trying to scale up on all the 3 segments within retail. Now, looking that CAGR in terms of all the 3 businesses and what we have s

poken, we are expecting to reach a book of about Rs.

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Internal 1,00,000 crores by FY27. So, this by FY27, today we are at 303 branches, so in the next 3 years starting from this year, we will be able to reach to a level of 500 branches, so this split is going to be all the branches what we are going to open in future, I think 75% -80% will be on the Affordable side and the rest will be on the emerging side. I think 500 branches, 1,00,000 retail book by FY27 that is the plan and we plan to grow at about let us say this year we have guided 17%, next couple of years could be slightly high. I think that is the plan. In terms of the Affordable specifically, I would request Anujai to.

Anujai Saxena: On the Affordable side, we will just try to set some context. When we were working on the distribution blueprint for this business, we realized that here there are about 155 districts across the country out of 550 -600 districts that we had at that point in time. So, around 155 districts were found to be high potential districts for our kind of targeted business and out of these 155 districts, so far through these 160 branches, we are catering to about 130 plus districts already. These districts are concentrated in about 14 -15 states in the country. Out of these 14 -15 states, we are already in some form we are present in about 13 states. Within these 13 states and plus, there are a couple of more states which we want to target, there is ample opportunity to open about 150 -200 more branches.

Nilesh Jethani: And on the AUM per branch, just wanted to understand currently in the locations where we are operating, our competition would be operating at what kind of AUM? Just wanted to understand today our AUM per branch optically looks much lower considering the faster growth in branch addition what we have seen? And we wanted to understand, say from tomorrow itself hypothetically we stopped adding branches. So, what could be AUM per branch potential for us in the current location itself?

Anujai Saxena: So, I think talking about Affordable , if you see some of the matured branches for us, we have reached little over Rs. 2 crores per month. So, we feel that on the Affordable side, on an average, branch could reach a potential of about doing Rs. 3.5 crores disbursement every month. So, that is, let us say, after 12 -15 months from the start. So, depending on the vintage of the branch and the location potential, I think the branch could reach, let us say, about Rs. 3.5 crores on an average.

Nilesh Jethani: I am sorry to again settle back on the question. So, when so you mentioned that in the current location there is scope to add even 150 more branches. So, this refers to these are underserved area or we can capture the higher market share in a decent sized market. What is the thought process?

Anujai Saxena: See it will be a combination of Tier-2, Tier-3 and Tier-4, right, it will be a combination of yield and volume. So, it will be a mix of these two. For example, Tier-2 and Tier-3 would get us more volume and part of Tier-3 and Tier-4 give us a better yield. So, it is a combination of these two which is why I mentioned I think one branch in the month can reach to the max potential of on an average Rs. 3.5 crores. For example, some of the Affordable branches, let us say in cities like

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Internal Bangalore, Chennai, Hyderabad could do even Rs. 7 -Rs. 8 crores per month and some of the branches in Tier-4, they could do, let us say Rs. 1 -Rs. 1.5 crores, but the yield is going to be much higher. So, it is a combination of both yield and volume.

Nilesh Jethani: And one question on the Corporate side, wanted to understand the plan to rebuild up or refocus on Corporate from next quarter onwards or maybe the next two? Just wanted to understand how different this is going to be versus the earlier avatar PNB used to Fund. So, how different are we this time?

Girish Kousgi: So, two things will be starting Corporate in the next couple of months and this time it will be very different. We will stick to the basics, and we will focus on ticket size around Rs. 200 odd crores. We would not get into chunky deals, and this would be only into construction finance and in terms of scale and size, the Corporate business at any given point in time would be less than 10% of the overall portfolio .

Moderator: Thank you. The next question is from Harshit Toshniwal from Premji. Please go ahead.

Harshit Toshniwal: Sir, on this Affordable piece itself you mentioned that the incremental yield which we are having is roughly around 12% -12.5% right now. But now if you look at this segment and the other peers now, do you think that this is a good enough yield to charge for that customer segment that can cover our OPEX and possible sustainable cyclical credit cost? That is the one and the second part, sir, so how much of our new disbursements in this segment are through DSAs, specifically the Affordable one, if you can help on that aspect? And when I say DSA, when you say that in-house, I mean employee sourcing mostly through DSAs, I would also want to look at that makes direct versus DSA part? And third, sir if you can just give a breakup of the employees between the prime emerging and Affordable as on today?

Girish Kousgi: So, in terms of see within Affordable , there are 3 segments, low risk, medium risk and high risk. So, if you look at that yield in the first year, let us say, till last year, the yield was about 11.4% - 11.5% and this year we have guided the yield of about 12.6% and from next year the yield is going to be more than 13%. Now this would be largely driven by change in segment and change in profile both very salaried and self-employed right, and we will be focusing on low risk and medium risk. So, we would not really focus on high yield segment. And therefore, according to us, I think the yield from the Affordable segment would be a little lower 13% is what we would focus on. There could be an opportunity at a lower yield. There could be an opportunity at a higher yield, but I think our focus would be on lower risk and medium risk and in terms of it next year it is going to be a little lower 13%.

Harshit Toshniwal: At this point of time, when we look at our disbursement, basically customers would have otherwise gone to AHFCs Aptus, Awaas although the larger set of AHFC, is our customer segment, they are very overlapping? And the second part was related to this itself of the PNB Housing Finance Limited
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Internal incremental disbursement. How much is BT in our case where we are basically, it is not a new loan, but it is more coming from somewhere else?

Girish Kousgi: So, in terms of the customer profile, I think to a large extent, if we talk about low risk and medium risk, I think the customer segment is the same , number one. Number two, in terms of BT in for Affordable , it is about 25% -26%. And one more question you had asked, in terms of what is the mix between direct and DSA. DSA is 31% in the Affordable and the rest is direct.

Harshit Toshniwal: And sir, one last thing. I think on the employee part, you can give the breakup of employees between, specifically the sales or basically the branch employees.

Girish Kousgi: I think for us whether it is credit or sales basically we have a branch structure. So, in the branch we have different categories, low potential, medium potential and high potential, so low potential would have one Sales Manager, one Credit Manager and one Ops resource. So, if it is mid-size then we would have one Sales Manager and totally one ASM and one underwriter. If it is a big branch then we could have two underwriters and we could have two

ASMs and one Sales

Manager. This is a structure. In terms of total headcount.

Vinay Gupta : Out of total headcount on sales side on overall basis around 25% would be "Roshni" Affordable. Rest is between Prime and emerging.

Harshit Toshniwal: 25% would be Affordable . So, I remember sir, you last time mentioned that there were 333 employees in the Affordable segment?

Anujai Saxena : Now, we have a little over 400 employees in Roshni.

Moderator: Thank you. Next question is from Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: Girish, first question was on the point of with regards to the NIMs, I know that this was asked, but wanted to check, given where we are, does it make sense for us to say, raise the guidance or as you mentioned that this is the threshold, is it after taking into account so any impact of potential rate cut?

Vinay Gupta: Yes, that is right, Viral, the environment is slightly volatile. So, we are baking in the impact of the rate cut that can come in. Our endeavor is to maintain 3.6% plus, but yes, the guidance, we would like to maintain 3.5% for the year.

Viral Shah: And Vinay, as we go ahead as the mix kind of changes bit more in terms of borrowings, do you see the cost of funds further inching up?

Vinay Gupta: No, not really. The cost of fund for us should remain in the similar range. Actually, it should see a downward trajectory.

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Internal Viral Shah: And the last question I had was with regards to the asset quality front. So, you have given this data with regards to the 12 month and the 24 month and how the delinquencies have trended on 30 and 90 plus, can you help us with whatever this number say couple of quarters back? And also secondly, if you can help me with regard to the Affordable segment of this piece?

Jatul Anand: See, Viral under early mortality always have been the focus of the company to monitor the early delinquencies of 12 months, which we have strengthened now to cover even up to 24 months.

So, if I look back couple of quarters, I think these numbers are shade better than the earlier times and having said that and even on the Roshni, "Roshni" is a pretty new book around Rs. 3,000 odd crores. So, there is hardly I think 10 -12 number of cases into NPAs which our resolution is in process with sufficient cover available, so that is not a significant number as of now.

Viral Shah: Jatul, when you said that this overall numbers are shade better than what they were, are you referring to say versus two or three years back or are you referring to say 2 or 3 quarters back?

Jatul Anand: Around 6 to 8 quarters back and this I am talking only on aspect of early mortality and overall, also as you can see the graph quarter -on-quarter on NPAs particularly coming down each quarter. So, that is on NPAs, but having said that, the pre -delinquency management has been strengthened because the business is on a growing spree now. So, we need to have stronger controls to restrict flows. If our flows are restricted and well, we have a well-defined strong mechanism in terms of taking properties to SARFAESI and then auctioning it on a regular basis. Almost, we are selling 2 properties a day now. So, that machinery will take care.

Moderator: Thank you. The next question is from Omkar Shinde, who is an Individual Investor. Please go ahead.

Omkar Shinde: I have a few clarifications before I ask my question. So, we said that we target 1,00,000 crore AUM by FY27 and 15% of the it will be Affordable . Was that correct?

Vinay Gupta: Yes, that is right.

Omkar Shinde: And two more clarifications, in one of the previous questions we had shared that credit cost in the Affordable segment could be somewhere in the region of 50 bps, 50 or was that 15 I did not get that properly?

Vinay Gupta: 50.

Omkar Shinde: And now coming to the question, so again with r

espect to the branch structure, you have said

the small branch will have one salesperson, one credit person for the small branch. So, is this also applicable for Affordable branches? Because now as you said 12 to 15 months is the gestation period for branch to reach Rs. 3.5 crores disbursement per month, so some of our earlier branches would have reached that. So, where in those small, medium, large would these earlier branches be now? And could you just reconfirm the medium and large structure?

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Internal Girish Kousgi : What I had mentioned was for Affordable and what would happen is that let us say you open a branch, and depending on the potential you will increase the manpower and then the branch could peak to a peak level of Rs. 3.5 crores. So, this also has a combination of A, geography; B, in terms of potential. So, on an average, we have, let us say, 300 -400 branches with a vintage of let us say 15 -18 months' time on an average, I think the peak could be about Rs. 3.5 crores. So, the branch structure what I mentioned was for Affordable on the emerging and on the prime. So, one branch could have multiple ASMs and multiple ROs over the field, Executive, Sales Executive and one Branch Manager, when I say Branch manager I mean Sales Manager, and then we would have credit and ops.

Omkar Shinde: So, I was asking with respect to that only for the Affordable itself. So, when the branch reaching its peak level of Rs. 3.5 -Rs. 4 crores, what is the structure and at that point of time it is like a large branch or a medium branch that I wanted to understand?

Girish Kousgi : So, let us say, we will categorize ABC category, right. A category branches would be doing, let us say about Rs. 6 -Rs. 7 crores; B category branches could do about, let us say between Rs. 4 -Rs. 4.5 crores and C category branches at its peak now would be at Rs. 1.5-Rs. 1.8 crores only. So, it depends on the category of branches which is related to the potential and the geography

and therefore I always talk about average.

Omkar Shinde: And now with respect to sanction to disbursement, now what I have seen is on quarter -on-quarter basis, from what is mentioned in Slide # 21, our sanction to disbursement had drop to 56% approximately from 75% in Q2 last year. Why is there such a big drop in the sanction to disbursement and are we going to see some spillover effect in the coming quarters for this? I just wanted to understand this.

Anujai Saxena: This you are referring to the Affordable business?

Omkar Shinde: Correct, yes, slide #21. So, Rs. 630 crores of disbursement against Rs. 1,100 crores of sanction is 56%. So, there is a big drop from last year where it was approximately 75%. So, why is there a decline?

Anujai Saxena: Yes. There is a decline only because of some process -related changes that we have done in July. The quarterly numbers are lower as compared to the previous quarters; however, if I look at standalone numbers for the August and September month, our conversions are back in order and from next quarter onwards, we will be able to see the similar conversions upwards of 70% as we move forward.

Omkar Shinde: And finally, with respect to the incremental yield, we are at approximately 12% as per the slide mentioned where does the incremental yield settle over the next 3 -4 quarters because when the rate cut starts to come from RBI, we had very little headroom. So, what do you think that the incremental yield in the overall yield will pick out in the Affordable segment?

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Internal Anujai Saxena: So, when it comes to incremental yield, we are confident. We will move towards close to 13% of yield.

Girish Kousgi : See, I think the context is today, if you look at our cost of borrowing is around 7.8 -7.85. With this cost of borrowing level, we are

talking about Affordable yield of 13% from next year.

Suppose let us say the rate goes down, let us say by 100 bps, then the 13% would slightly moderate to that extent, it might slightly come down. So, what we are saying is we will protect the margin. So, for Affordable business on a steady state, the yield is going to be 13 plus percent, 13%-13.2% given the current cost of borrowing. So, if there is any change in the cost of borrowing accordingly, even the yield would vary.

Omkar Shinde: And just finally one last one, the overall OPEX to AUM is also increasing that is I think as a function of expanding the branch is very fast. So, where is that finally settled over say by FY27 when we reach the Rs. 1 lakh crore AUM? Can you guide where in the ballpark range would that OPEX to AUM be?

Vinay Gupta: See, we are expecting it to settle at the current level, so 1% -1.1% where it is right now as large part of the upfront investment is done. Now, it will be a minor investment of 40 -50 branches every year, which we will manage through the economies of scale in other business.

Moderator: Thank you. The next question is from Nikhil Kumar Agarwal from VT Capital. Please go ahead.

Nikhil Kumar Agarwal: I just had one question. You said that NIM will start improving after a few quarters and since like incremental cost of funds is going to be at the current level of 7.8% and yields are improving across products, then NIM should ideally start improving right now, as in from next quarter itself. So, it should go very well as per whatever you have said about yield in cost of funds. So, can you please give more light on this?

Girish Kousgi : So, there are a couple of things. So, one is we will be starting Corporate shortly. Once we start Corporate business, then the yields will add to yields, number one, it will improve margins.

Number two, we also have the book depletion on prime, emerging and to a very small extent on the Affordable . So, that is one which will again impact revenue on date for the margin. Number three, we also have a repricing policy where we try to retain the customers allow and switch from a higher interest rate to a slightly lower interest rate. Now these things would pull the yield down while on one side, the yield would come down because of foreclosure , because of repricing. On the other side, we are changing segments. We are moving more towards Affordable . We are increasing the mix change which would come at a higher yield. So, this would though ensure that the yield would go up. So, I think this balancing would play out in the next 2 -3 quarters and post which the interest start going up.

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Internal Nikhil Kumar Agarwal: So, because of the dragging effect of the things that you mentioned, the current yield will be maintained for a few quarters and then net -net, yield should start improving after 2 -3 quarters is what you are saying?

Girish Kousgi : Yes.

Nikhil Kumar Agarwal: And one clarification that you have already mentioned this, but I couldn't get it earlier. You said

that once we start Corporate book in a few months, the difference between this new Corporate book and the one we used to have is in terms of ticket size. So, if you could please mention the differential ticket size that you did mention earlier as well? And the other thing that you said was, one was ticket size and the other thing?

Girish Kousgi : So, one is we will start this business in very few select cities. We would focus on good quality developers, category A and category B. Third, we would do largely construction finance business. We will keep the ticket size lower. So, basically we would focus on very good quality of developers and good projects. There, the yields could be lower compared to what normally this business would fetch. We are looking at a yield of around 12% -12.25%. So, yield should be

lower, much safer business. So, these are the changes.

Nikhil Kumar Agarwal: So, would the yield be 12% -12.25%?

Girish Kousgi : Yes.

Nikhil Kumar Agarwal: And ticket size would be?

Girish Kousgi : About Rs. 200 crores.

Nikhil Kumar Agarwal: And ticket size in the Corporate book that we used to have earlier that was?

Girish Kousgi : That was about Rs. 350 -Rs. 400 crores.

Moderator: Thank you. The next follow up question is from Harshit Toshniwal from Premji. Please go ahead.

Harshit Toshniwal: Sir, I am just trying to do a calculation that we have Rs. 630 crores of quarterly disbursement in Affordable , roughly Rs. 200 crore per month and you said 70% is in -house that converts to Rs.

150 crores of disbursement per month in the Affordable . Am I right till here?

Girish Kousgi: Yes, you are right.

Harshit Toshniwal: Just one question is that if you say that 400 employees is what we have this segment sales team that urge to something like a 3.7 million per employee per month disbursement, which is say 2 x, 3x or other, so if you can help me, that is our direct sourcing or basically non -in-house sourcing

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Internal much higher than 30% or where am I going wrong because 3 -4 million disbursement per employee per month would mean sourcing of at least 7 -8 million?

Anujai Saxena: Harshit, I will just clarify that. So, 400 employees that we talked about, these are like all the full-time employees in "Roshni" business. They are spread across sales, credit, operations, legal, technical, all the various functions right . Plus, on top of that when it comes to our DST team, the feet on the street that we have, the sales staff, the frontline sales staff that is managed through our subsidiary which is PHFL and that number for sales right now is around 900. So, just to clarify it further, if I take a monthly volume of about, so September, we did Rs. 275 crores. Out of that, about 69%, close to 70% of business was sold in -house through these 900 people. My average productivity per sales staff per sales employee typically is around 20 lakhs – 25 lakhs per month. And I hope that 's clarifies.

Harshit Toshniwal: Yes, that helps. Well, because this 900 is basically our, as 100% subsidiary which doesn't booking for us?

Anujai Saxena: That is correct.

Harshit Toshniwal: And the cost of these three will be more, I just wanted to understand more about the subsidiary. Does this holds purely for PNB housing finance in Affordable or do they others?

Anujai Saxena: No, not specifically for Affordable . They support all three businesses -prime, emerging markets as well as Affordable . But these 900 people are dedicated Affordable business sales staff.

Deepika Gupta Padhi: And they do business only for PNB Housing.

Moderator : Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to the management for closing comments.

Deepika Gupta Padhi: Thank you everyone for joining us on the call. If you have any questions and answers, please feel free to get in touch with Investor Relations. The transcript and the audio of this call will be uploaded on our website that is www.pnbhousing.com. Thank you .

Moderator: Thank you very much. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

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Public

Ref: PNBHFL/SE/EQ/FY2 5/119

Date: January 24, 2025

The BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
The National Stock Exchange of India Limited
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on January 21, 2025 – Q3FY25

Ref: i. Our letter PNBHFL/SE/EQ/FY25/112 dated January 13, 2025

ii. Our letter PNBHFL/SE/EQ/FY25/117 dated January 21, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript pertaining to the earnings call held on January 21, 2025 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the 3rd quarter and nine months ended December 31, 2024 .

A copy of the same is also placed on the website of the Company www.pnbhousing.com

Kindly take the above document on record .

Thanking You,

Yours faithfully,

For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

"PNB Housing Finance Limited Q3 & 9M FY'25
Earnings Conference Call "
January 21, 2025

MANAGEMENT : MR. GIRISH KOUSGI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MR. VINAY GUPTA – CHIEF FINANCIAL OFFICER
MR. DILIP VAITHEESWARAN – CHIEF SALES OFFICER ,
PRIME & EMERGING BUSINESS
MR. ANUJAI SAXENA – BUSINESS HEAD (AFFORDABLE
BUSINESS)
MR. JATUL ANAND – CHIEF CREDIT & COLLECTIONS
HEAD (PRIME & EMERGING BUSINESS)
MR. ANUBHAV RAJPUT - CHIEF TECHNOLOGY
OFFICER

PNB Housing Finance Limited
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Public MS. DEEPIKA GUPTA PADHI – NATIONAL HEAD,
INVESTOR RELATIONS AND TREASURY .
MR. BHAVYA TANEJA – NATIONAL HEAD
(MARKETING)

Moderator: Ladies and gentlemen, good day, and welcome to the PNB Housing Finance Limited Q 3 & 9M
FY 24-25 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika from PNB Housing Finance Limited. Thank
you, and over to you.

Deepika Gupta Padhi: Thank you , Yashshri . Good evening and welcome , everyone. We are here to discuss the PNB
Housing Finance Q 3 and 9M FY25 Results . You must have seen our Business and Financial
numbers in the presentation and the Press Release which was shared on the Indian Stock
Exchanges and is also available on our website.

With me we have our management team led by Mr. Girish Kousgi – our Managing Director and
CEO. We will begin this call with the performance update by the team, followed by an interactive
Q&A session.

Please note , this call may contain forward -looking statements which exemplify our judgment
and future expectations concerning the development of our business. These forward -looking
statements involve risks and uncertainties that may cause actual developments and results to
differ materially from our expectations. PNB Housing Finance undertakes no obligation to
publicly revise any forward -looking statements to reflect future events or circumstances. A
detailed disclaimer is on Slide 51 of the Investor Presentation.

With that, I will now hand over to Mr. Girish Kousgi. Over to you, sir.

Girish Kousgi: Good evening to all the investors. Thank you for joining us late evening .

When we started this financial year, we shared a long -term vision of achieving 17% retail loan
book growth, increase in sourcing from Affordable and Emerging market segments to drive
profitable growth , and to be one of the best in the industry with respect to asset quality. Today ,
I will talk about all these parameters and what we have achieved so far.

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Public During the quarter, the Company surpassed its retail book growth guidance of 17% Y-o-Y and registered a growth of 17.5%. This is the highest retail book growth in last 22 quarters. The retail book increased by over Rs. 10,000 crores in the last one year and crossed Rs. 70,000 crores to Rs. 70,676 crores as on 31st December 2024. This is the highest retail book ever for the Company. This is despite Product business headwinds in markets like Karnataka and MP, impact of HYDRA A in Hyderabad, elections in Maharashtra, and certain weather-related events in Andhra Pradesh.

As we made our inroads in the Affordable segment, we have doubled the book in the last nine months from Rs. 1,790 crores in March '24 to Rs. 3,838 crores in December '24. With the focused approach, we aim to take this book to Rs. 5,000 crores by the end of this financial year. Another segment is Emerging markets is also ramping up well and has shown a book growth of 23% Y-o-Y at Rs. 13,169 crores.

Seeing this growth, we are confident to achieve our stated target of Rs. 1 lakh crores retail book by end of FY27 with Affordable segment contributing 15%, that is Rs. 15,000 crores; Emerging markets 25%, that is Rs. 25,000 crores, and the remaining from Prime business.

Retail disbursement grew by 31% Y-o-Y to Rs. 5,380 crores during Quarter 3 FY25. Affordable and Emerging market segment contributed 38% to total retail disbursement in Quarter 3,

as

compared to 29% in Quarter 3 of last year.

The Company registered decline in gross NPA quarter-on-quarter, which stood at 1.19% as on 31st December 2024, as compared to 1.24% on 30th September, 2024, and 1.73% as 31st December, 2023.

As per ICRA estimates, the G NPA of HFCs is expected to remain stable at 2.1 to 2.3% as of March '25. With the overall resolution approach of the Company, that is, recoveries, write-off, etc our gross NPA is expected to stay much below the industry average.

The Company works with multiple vendors and received NH B sanction of Rs. 5,000 crores and ECB sanctions of \$350 million during the first nine months of the year. These sanctions are partially drawn.

Despite tight liquidity conditions in the market, we maintained on-book liquidity of Rs. 6,400 crores and had additional sanction but undrawn lines of Rs. 8,000 crores as on 31st December 2020.

In Quarter 3 FY25, PAT stood at Rs. 483 crores, registering a growth of 43% Y-o-Y.

NIM improved to 3.7% during Quarter 3 FY25, in comparison to 3.68% in the previous quarter.

ROA stood at 2.51% analyzed in Quarter 3 FY25, and 2.48% annualized for first nine months.

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Public On loan book, as on 31st December 2024, the retail book is at Rs. 70,676 crores, with Affordable and Emerging market segment shares at 24% compared to 20% in the previous year. On the back of industry growth and the Company performance, we maintain a guidance of 17% retail loan book growth for FY '25, we might surpass 17%. The corporate loan book now stands at Rs. 1,241 crores, the total loan book to debt Rs. 71,917 crores, and the asset under management is at Rs. 76,840 crores.

During the quarter, disbursements grew by 30% on a Y-o-Y basis to Rs. 5,380 crores.

On incremental yields, we will continue to work on improving yields in all three verticals. The incremental yield in the Affordable segment increased to 12.14% in Quarter 3 FY'25, as compared to 11.6% in Quarter 3 of last year. This is in line with our guidance of getting close to 12.5%, all incremental yield for this year in this segment. The incremental yield in Emerging markets segment is at 9.8% in Quarter 3 FY25, which is 41 bps more than the Prime segment. We currently have a strong network of 305 branches across 20 states, and we plan to open 50 branches in Q4 FY25, taking Affordable branches to 200 from current 161. With this large presence, we are ready to capitalize the opportunity available in Affordable and Emerging markets segments in Tier 2 and Tier 3 cities.

On asset quality, our overall collection remained strong during the quarter, and we recovered Rs. 53 crores from retail written-off accounts, contributing to reversal in credit cost of minus 19 bps. The Company has a written-off pool of around Rs. 1,250 crores in corporate and around Rs. 450 crores in retail.

The recent extension of PM AY 2.0 reflects the government's broader vision of housing for all.

We have signed an MOU with National Housing Bank under Pradhan Mantri Aavas Yojna Urban 2.0 to support the eligible beneficiaries under interest subsidy scheme. It is an opportunity for players like us with pan India presence and special focus on Affordable and Emerging market segment. The scheme is applicable from 1st September 2024. And in the last four months, the

Company has sourced close to 5,000 applications , amounting about Rs. 675 crores of disbursement, which are eligible under PM AY scheme.

On the borrowing mix, our cost of borrowing during the quarter is at 7.83% as compared to 7.82% in the previous quarter and reduced by 24 bps Y-o-Y from Q3 of last year. The incremental cost of borrowing is at 7.82% during the quarter. Return on equity is at 11.81% annualized for 9M FY25, and capital adequacy is at 28.8% as on 31st December 2024. Overall, the Company has

achieved key milestones targeted for the year and continues to perform on the same .

Deepika Gupta Padhi: I will now request Vinay , our CFO , to talk about the Financial Performance .

Vinay Gupta: Thank you, Deepika. Good evening to all the participants.

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Public I am happy to report another strong financial performance during Q3 , led by robust growth in business . As mentioned by MD sir, our retail loan book has grown by 17.5% year-on-year and disbursements grew by 31% year-on-year during the quarter . Now 38% of disbursements are contributed by Roshni and Emerging verticals.

Driven by strong growth in retail book, our net interest income for the quarter has grown by 17% year-on-year to Rs. 696 crores . The cost of borrowing has further come down by 1 basis point and has now stabilized at around 7.83%. Most of the benefit due to rating upgrade have now been realized in the borrowing cost.

During the quarter, Company received NHB sanction of Rs. 5,000 crores, which we have drawn partially, and plan to draw down the balance in Q4. The Company has also received ECB sanctions of around \$350 million in 9M FY25, which is also partially drawn. Spreads have improved sequentially from 2.2 % to 2.29% during Q3 FY25 . NIM has also improved to 3.7 % during Q3 FY25 in comparison to 3.68% in the previous quarter.

Gross margin is stable at around 4.07% in Q3 FY25 versus 4.09 % in Q2 FY25. In Q3 FY25, operating expenses grew by 22% to Rs. 203 crores versus Rs. 199 crores in Q2 FY25 . This includes the cost of 100 branches opened at the end of last financial year. Our cost to ATA remains stable between 1 % to 1.1% , as per our guidance.

Led by strong revenue growth in this quarter, our pre-provision operating profit has grown in double digit , that is 16% year-on-year now, even on an overall basis. Operating profit for retail segment has also grown at around 17% year-on-year. We have also given a split of retail and corporate P&L in the presentation on Page 35.

Credit cost remains benign even during Q3 due to recovery of Rs. 53 crores from written-off pool. The credit cost after considering the recovery is negative 19 bps for Q3 FY25 .

PAT grew 43% year-on-year to Rs. 483 crores in Q3 FY25 . ROA stood at 2.5% annualized in Q3 and ROE is at 11.8 % annualized for 9M FY25.

The Company has maintained an average daily LCR of 193% for Q3 FY25 against the regulatory requirement of 100%. We have maintained SLR of 15% on public deposits as of December '24 against the regulatory requirement of 13 % . The SLR requirement has changed to 14% from 1st January 2025. Capital adequacy stays strong at 28.8 % with Tier 1 at 28%.

With this all-round robust performance during Q3, we are on track to deliver on our business and profitability guidance for the current financial year. Thank you.

Deepika Gupta Padhi: I will now request Dilip – our Chief Sales Officer , for Prime and Emerging business and deposits to give a performance update.

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Public Dilip Vaitheeswaran: Thank you , Deepika. And good evening , friends. I appreciate you taking the time out late in the evening.

I am delighted to share with you that we had another good quarter in the Prime and the Emerging markets businesses for the Company across disbursements, runoffs, asset quality and margins.

Like Vinay and Mr. Kousgi explained, our disbursements grew by 30 % Y-o-Y. The good thing is , in line with our strategy, the margin accretive businesses grew at a larger pace. So, in the businesses that I am speaking about , the Emerging markets and the NHL , NHL businesses grew at a better pace. Now this is despite some challenges faced in markets like Karnataka and Hyderabad on account of HYDRA , in AP on account of rains, Maharashtra , etc.

I will go into deta

il on Prime and Emerging markets businesses on how they have fared this quarter.

I will start with Emerging markets first :

Just to reiterate, we started off this business with 50 branches in April 2024. We believe that these markets can grow at a faster pace and also give us better yields on incremental disbursements. These are the branches in non-metro locations outside of the top 15 - 20 cities. The portfolio here in terms of asset quality is also on par with the Prime markets. We are very pleased to report how business is faring in this business after nine months of performance . Disbursals in these markets grew at 7% quarter-on-quarter sequentially , 39% Y-o-Y. This growth rate in the previous quarter was 31%, so not only has the quarter gone well, the growth rate has actually improved.

The book in this side of the markets has grown by 23% , is now at almost Rs. 13,000 crores. This business generates a yield premium or an incremental yield of 40 to 45 basis points over the Prime business. This is expected to go up in the quarters to come.

Additionally, higher yielding businesses like NHL, they are consistently going up. They form about 35% of incremental disbursements in these markets, up from 25% last year. Again, NHL is a business which fetches us 80 to 100 bps of premium over home loans. In these markets, 60% of business is sourced by our internal team and about close to 40% is sourced by our third party distribution , which is D SAs.

At the end of nine months of this financial year, we are very pleased to have started off this business with a separate focus. Like Mr. Kousgi explained, the Roshni and Emerging markets business put together may form 23 %- 24% of the portfolio but are now 38% of the incremental disbursements. So, you can see that the shift is towards higher margin business. This will only increase in the time to come .

Now coming to Prime markets :

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Public Most larger cities of the country, the metropolitan cities like MMR, NCR, Bangalore, Chennai, Hyderabad, Pune, Lucknow , etc., they fall into the Prime market for us. Now, since these are larger markets with larger real estate sales and volumes, we witnessed more pricing pressure here also. The yield on incremental disbursements is a little lower here than the Emerging markets . However , they contribute more to growth for us in absolute volumes , like they do for most peers as well.

On the Prime markets also we had a good quarter on disbursals, run offs and margin improvement. Our disbursals grew by 15% in these markets, the book grew by about 11% to Rs. 53,700 + crores. We managed to maintain our runoffs here, the runoffs across Prime and Emerging markets are below 17% on an annualized basis. This is a good 100 plus basis points improvement as compared to the last year.

We are also working here on increasing our yield on incremental disbursements . So, in nine months of this financial year, the yield has gone up in these markets with almost 20 basis points. Sequentially , within the quarter, the yield went up here by 5 basis points.

We made an investment in new branches across both these businesses, we opened about 35 new branches in Q4 of FY24. I am happy to share that these branches are auguring well. They contributed about 12% of disbursements in the third quarter of FY25, that number was 10% in the previous quarter and 6% in the first quarter. So, clearly , they are shaping up and contributing more to our growth. Since this investment is paid off well for us, we have decided to open 10 more branches in the Emerging markets business. So, we will be at 60 branches by the end of this financial year in the Emerging market side , and about 100 locations in the Prime market side.

So, to summarize, growth in business is auguring well, thanks to our investment in geographies, markets and technology.

The growth in the margin accretive businesses, Emerging markets, non-housing loans is happening as per our expectations. The shift in the customer segment and the geography mix is also happening as planned . For the first time, 53% of incremental disbursements across Prime and Emerging markets put together came from non-metro locations. Again, this number was about 50% last year. So, the shift is happening quarter-on-quarter. And the asset quality for these businesses continues to improve quarter on quarter.

So, we believe that this quarter also our performance is a testimony to the fact that we are on the right path, and we will only move forward in these businesses on all three vectors, growth , margins and asset quality.

Thank you. And back to you , Deepika .

Deepika Gupta Padhi: Thank you, Dilip. We will request , Anuja i, our Business Head for Affordable Business to update on the performance of Affordable .

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Public Anujai Saxena: Thank you, Deepika. Good evening , everyone. It is my pleasure to take you through the excellent outcomes that we have achieved in the last quarter in our Roshni business.

We have ended the last quarter at a loan book of Rs. 3,838 crores , with a year-on-year growth of 234% from Rs. 1,149 crores in Q3 of last year and 30% growth over the previous quarter. I am happy to share that we have doubled our loan book in the last nine months from Rs. 1,790 crores in March '24 to Rs. 3,838 crores in December '24.

Roshni disbursements have been witnessing a robust growth. Our disbursements in Q3 '25 stood at Rs. 920 crores, an year-on-year growth of 127% as we had disbursed Rs. 406 crores in Q3 of last financial year. Disbursement persons have grown 46% from the previous quarter wherein we had disbursed Rs. 630 crores.

Our journey in the Affordable housing finance space started in January '23, with Roshni business disbursing Rs. 5 crores of loans in that month . Executing well on our strategic plan , we reached a monthly disbursement run rate of around Rs. 100 crores per month in about six months time by July '23. We reached a loan book of around Rs. 1,000 crores in just 11 months time by November '23.

We opened our 100th branch in December '23. Incidentally, this branch was also our first women -only branch that was set up in Chennai. With increased branch footprint, our loan book growth was even faster from there on , and we ended the FY24 at the loan book of Rs. 1,790 crores in March '24. We eventually cross the loan book of Rs. 2,000 crores by May '24.

In the last one year, we have opened 61 more branches. I am happy to share that all these new branches have been fully operationalized . And with these 161 branches across the country, we are catering to 130 plus high potential targeted districts across 13 states in the country. In the last quarter, we had announced our plan to open 40 new branches by March '25. I am happy to share that we are on track to open all these branches as per the stated plan. In this round of branch expansion, we will be entering two new states, Punjab and Haryana. We look forward to developing these two high potential regions for our Roshni business .

We are operating in three zones , and contribution is almost evenly distributed amongst all these 3 zones. North zone accounts for 34% of our business . Contribution from the west zone is about 36%. And the South accounts for the remaining 30% of our business. We have a huge national presence, and this helps us in scaling up faster across all regions in the country.

In the last few quarters, we have worked hard to expand and strengthen our distribution. We have empanelled close to 2,000 connectors through our Roshni Sa arthi program. We have also empanelled close to 500 channel partners for the DSA partnership. We have strengthened our vendor support network

for legal , technical FI and F CU-related checks with more than 1,000 empanelled vendors across the country. We have also used technology solutions extensively to strengthen our operational framework.

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Public The last quarter has been our best ever quarter in terms of logins, sanctions and disbursement . We have been able to build a robust pipeline which will support the business growth going forward as we move through the last quarter of this financial year.

Our self-employed sourcing has increased to 44% in the last quarter as compared to 42% in the previous quarter , and 39% same time last year. Self-employed sourcing now accounts for more than 40% of our portfolio. Share of informal income segment has also gone up to 34% in the last quarter as compared to 25% same time last year. Informal segment now accounts for close to 30% of the portfolio.

While we have grown our disbursements significantly in the last few quarters, it is important to note that we have also improved our incremental yields simultaneously . Yields for incremental business has gone up to 12.14% this quarter as compared to 11.6% same time last year , and 11.95% in the previous quarter . We have been able to improve our yield through continued focus on higher yielding segments and products. With most of the new branches getting opened in Tier 3 and Tier 4 locations, we are confident our yields will continue to improve going forward.

On the portfolio quality side, we do not see any early warning signs. Our bounce rates are at close to 9%, which is in line with the expectation in this segment and NP A stands at 0.2% in the last quarter.

As I mentioned earlier, we have been able to execute really well on these strategic plans that we have for this business , and we are confident we will be closing this financial year with a loan book of close to Rs. 5,000 crores. Thank you.

Deepika Gupta Padhi: Thank you , Anujai . I will now request Bhavya Taneja our – National Head (Marketing) to talk about key marketing initiatives.

Bhavya Taneja : Thank you, Deepika. Good evening all.

Considering the dynamic landscape of housing finance industry , PNB Housing 's marketing strategy has played a pivotal role in maximizing growth opportunities for all our businesses . Grounded with a deep understanding of our customers ' needs , choices and preferences , we have leveraged the key pillars of marketing through our brand building, corporate reputation management , and digital communication strategies to strengthen our brand positioning.

I am very happy to report that this quarter one of the key highlights of our marketing journey was the launch of our very first brand mascot named Roshni , named after our Affordable housing product , Roshni, which represents hope and positivity for our aspiring homeowners. We have rolled out a comprehensive 360-degree marketing campaign spanning television , print , outdoor media , cinema, digital and social media. Our cross -media collaboration was targeted to capture consumer attention across all touch points, both online and offline. Thank you.

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Public Deepika Gupta Padhi: Thank you for that. I will now request Jatul – our Chief Credit & Collections Officer to talk about credit and collections performance.

Jatul Anand : Thank you, Deepika . And good evening , everyone.

Credit underwriting plays a crucial role in driving business and building a strong portfolio, ensuring sustainable portfolio quality. So, the Company today manages a robust and seasoned portfolio of over Rs. 70,000 crores , consistently achieving steady growth. The portfolio is well diversified, having balanced distribution across industry segments , low and mid ticket sized cases , and a healthy mix of salaried and self -employed customer

segments.

The Company witnessed business growth , as already have been talked about , in Q3 of the current financial year. As envisaged , with respect to the focus area of control, 95% of our fresh sanctioned volumes have ticket sizes of up to Rs. 1 crore . 84% of our incremental business had a bureau score of more than 700.

Having all the checks and balances in place with respect to prudent appraisal norms and managing early mortalities , the delinquency in the business booked in the last few quarters is well within the tolerable limits. To give you an idea, as of December '24, 30+ from last 12 months origination is 0.11% and NPA is mere 0.03%. If I go back and see the last 24 months ' behavior, 30 + is 0.53%, and NPA from the last 24 months ' originations is 0.13% only. So, far, we have not witnessed any red flags with respect to our asset quality . And from an asset quality standpoint , to ensure effective monitoring of the portfolio and reviewing leading indicators, we conduct regular data-based industry and peer reviews , market intelligence from bureaus and industry partners. This serves us with an effective check for the Company to measure our portfolio against industry benchmarks.

Moving to collections and recoveries, the Company continued the trend of ensuring sequential reduction in NP As on a quarter -on-quarter basis. Interventions such as minimization of total bouncing through a revised pre delinquency model, rigorous reviews and tele-calling and field resolution teams helped us deliver better performance. At the end of the collection spectrum is the recovery from written -off pool, which involves resolution of high delinquent accounts, high vintage accounts imposing some legal challenges, etc. The Company continues its drive to recover better , and we recorded a 53 crore recovery from technically written -off pool in Quarter 3, which is far higher than the recovery in previous two quarters. On the property repossessed asset disposal front, we again continue to beat our own performances. 152 successful auctions were done in Q3 FY25 as against 134 of Q2. We continued the momentum we gathered over the last few quarters in SARFAESI actions and legal, adding 251 more property possessions in Q3, wherein the customers were NPA . Considering all this, the Company feels confident in saying that we have equipped our collections, legal and recovery teams with the necessary tools and strategies around to successfully navigate and get to better performances in the quarters to come.

Thank you.

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Public Deepika Gupta Padhi : Thank you, Jatul . I will now request Anubhav, our Chief Technology Officer, to talk about our tech initiatives and progress.

Anubhav Rajput: Thank you, Deepika, and a very good evening to all.

PNB Housing Finance continues to thrive on the bedrock of foundational, robust, scalable, high -

performing technology enablers and capabilities. All our technology investments are aligned to the business strategy and direction. We have introduced several tech-led channels for sales, collections, operations, and customer service functions. All the new platforms focus on rich functionality, features, capacity, and performance. The new and upgraded platforms are set to deliver long-term robust tech capabilities for our business segments and customers. Today, I am pleased to share that our technology transformation agenda that was initiated in Q4 FY24 is in the final stages of completion now. In the preceding quarter, we have successfully upgraded our core platform, the Loan Management System. With this upgrade, we are now upgraded to the latest version of the product with several functional features and capabilities, as well as upgrading to the latest tech elements within the architecture. This upgrade was successfully launched across all branches, centralized operations,

CPC in a seamless manner.

We have also launched a new cloud-based LOS for our primary Emerging business segments, which is currently operating in a pilot mode across select set of branches. Having defined clear-cut measures for monitoring the pilot, we are progressing well and focusing on user adoption and change management for the new cloud. PNB HFL has been conscious of the massive change in the process and user experience that the new LOS brings and hence the rollout shall be spread across next few months to ensure seamless adoption across branches and minimize any potential disruption for business. Same approach was followed for the rollout of LOS for Affordable business segment in Q1 and Q2 of FY25.

We continue to focus on evolving into a data driven enterprise and now we have announced our capabilities in the analytics domain by having successfully created a cloud-based integrated data platform that has a curated data model integrated to all our core systems. This data platform has data services enabled and has been used for generating insights and visualization to better monitor and calibrate business decisions. This data-lake setup has helped PNB Housing Finance to successfully meet timelines for all recent regulatory data reporting requirements which were there in the last quarter. We also want to expand the footprint of Robotic Process Automation through bots and have recently introduced two new automations developed in-house for enhancing productivity of operations and finance team respectively.

Lastly, we remain focused on the threats of cybersecurity and have set up 24/7 information security monitoring capabilities and continue to build resilience on our technology platforms in line with the new and Emerging cyber threat landscape. Information access for users is also controlled using relevant tools which work purely on a zero-trust architecture model. We have recently further augmented our information security capabilities by introducing additional AI-PNB Housing Finance Limited

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Public based monitoring capabilities for our email landscape as well as for our internal network traffic monitoring. Thank you.

Deepika Gupta Padhi : Thank you, Anubhav. Yashasri, we can open the floor for Q&A please.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take a first question from the line of Ashwini Agarwal from Demeter Advisors LLP. Please go ahead.

Ashwini Agarwal: The question I have is that as you look out for the next 2 to 3 years, how do you expect the various levers to move? I mean, I see the revenue mix improving or margin mix improving. At the same time, cost to income should stabilize once your branch rollout is over, but credit costs should normalize. In conjunction to that, where do you see leverage going? What would be an acceptable level of leverage? And therefore, in the medium-term, say 2 to 3 years from now, what kind of ROE expectation would you have, assuming the credit cycle remains without accidents?

Girish Kousgi : Our plan by FY27 is to take retail book to Rs. 1 lakh crore with the mix of Roshni, which is Affordable 15%, Emerging 25% and 60% Prime. So, you must have noticed since last few quarters we are trying to do more of Affordable and Emerging and trying to reduce our growth rate in Prime to ensure that we are profitable. So, in next three years' time, we should be able to cross Rs. 1 lakh crore on the retail side. With shift in segment, incremental yield, we are looking at a NIM of over 4%. In terms of credit cost, it will be 0.25%. We will be pretty comfortable with a leverage of 5.5 to 6 in the next 3 to 4 years' time. I think this is our plan. In terms of ROE, it should be mid-teens

Ashwini Agarwal: Second question I had was that what are you seeing on the ground, I mean, I heard the comments from the

credit team and there seem to be no worries at this point, but what we're also seeing is a slowdown of industry in general. And in that context, how confident do you feel that the self-employed and the informal sector borrower will not be cause for pain point? I mean, are you seeing anything on the horizon that worries you?

Girish Kousgi : I think a couple of things here. If you look at the mortgage industry, I think demand is very good. Demand is robust. So, there were a lot of challenges, I think in Q3 with respect to four states. So, I think we had mentioned that in Karnataka, M.P., Hyderabad, and Andhra. So, there were certain challenges, some to do with the entire city map, I think redefined the city map. In terms of Karnataka and MP there were certain challenges in terms of registration. Maharashtra there was an election and therefore there was lot of challenge in terms of getting the properties registered. I think it's only because of these intermittent interventions which were beyond control, the growth probably for the industry looked on a lower side. Otherwise, demand is quite robust. So, in spite of all these challenges, we were able to put up a good show in quarter three. If these challenges weren't there, we would have done probably much more than what we have done. So, I think very clearly we are seeing that this demand is there. Demand will continue for PNB Housing Finance Limited
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Public next few years to come. There is absolutely no challenge on the demand. Just to answer your second question, I know there are certain challenges in the overall financial space with respect to unsecured, stress increasing, especially on the MFI, small ticket personal loans. So, we are constantly checking our portfolio for stress level. And also, we have a robust process of onboarding self-employed customers. So, we have effective tool of pre-delinquency management. And we also try and check for stress levels when customers are regular or current with us. So far, we have not seen any stress which will worry us on the mortgage book, be it Prime or Emerging or Roshni.

Ashwini Agarwal: And if I may squeeze the last one in, on the runoff, I mean, how much of these are BTs and are you happy to let the BTs go or are you putting a strategy in place to retain these loans? Any thoughts on that?

Girish Kousgi : So, BT would be in the range of 5.5% to 6% average. So, we have a very strong retention team. So, we also have a repricing policy. So, whenever a customer approaches us for repricing, if it fits into our scheme of things, we retain the customer. And if it doesn't fit, we let customers move out. So, we have a dual strategy here, depending on at what price we need to retain the customer. But having said that, over the last few quarters, we have reduced the overall closures, which is now down to 16.5% to 17%, which is in line with our projection.

Ashwini Agarwal: And so, out of 17%, 6% are BTs and the remaining are repayment. Would that be the correct understanding?

Girish Kousgi : So, 5.5% to 6% is BT and the remaining would be foreclosure, part closure and natural runoff due to repayments.

Moderator: Thank you. We will take our next question from the line of Sanket Chheda from DAM Capital. Please go ahead.

Sanket Chheda: My question was, there was a little bit increase in Stage -2 of about Rs. 450 crores. So, what was that account and how should we look at it?

Girish Kousgi : So, I think this was largely driven by one account on the corporate side. So, this account has been in the SMA bucket since last two years. And if you see in this particular account, in the last two years we have collected close to Rs. 200 crores on the principal. So, principal has come down by 200 crores. So, we don't see any challenge at all.

Sanket Chheda: You expect it to get resolved in the quarter?

Girish Kousgi : Yes, we

expect this to move bucket back this quarter.

Sanket Chheda: And sir, the second question was on disbursement. So, this side, say, the increase in a couple of states, you have managed to clock Q2 level of disbursement, which overall Q1 was itself a very PNB Housing Finance Limited
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Public strong jump and this quarter also, Y-o-Y jump looks good. So, do we expect some of the lost business in this quarter to add to the Q4 which is usually seasonally strong. How do you see it?

And if you were to say quantize the hit that was there in this quarter in terms of the disbursement like if those issues were not to be there, how much we would have done more?

Girish Kousgi : So, as I mentioned, there were challenges in few states, that is Karnataka, then Andhra Pradesh, Telangana, to a small extent in Chennai because of rains, and Maharashtra and MP. So, as we see now, I think most of the states, I think the process has eased. So, we expect that quarter four will be good for the industry as well, not just PNB Housing. And I genuinely believe that whatever business the industry has lost or maybe what we would have left behind because of this procedural delays and changes, I think, should come through in quarter four and quarter one of next year.

Moderator: Thank you. Next question is from the line of Renish from ICICI. Please go ahead.

Renish: The first question is on the Prime housing disbursement on sequential business. If you look at , it actually fell by a couple of percentage point. So, it is right to assume that it's because of this states wherein we saw some disturbance on temporary basis in Q3 or it was by choice ?

Girish Kousgi : So, our plan is to grow the book by 17%, that's the guidance. So, this has broadly two metrics, one is disbursement and second is loan closures, total closures. So, disbursement would vary depending on the closure to maintain book growth. Now, to a certain extent, yes, I think all these challenges in these states have impacted on the Prime and Emerging side, and also on Roshni to a little extent , but I think broadly our strategy is to grow our Affordable and Emerging book faster. And the growth in Prime is going to be, to that extent, lesser. So, this is in line with our strategy. Having said that, to a small extent, yes, there was the impact on Prime and Emerging because of these interventions in these 4 or 5 states .

Renish: My second question is on the OPEX side. I mean, if you look at the other OPEX line item, which has been going at some 15%, 20% on sequential business, which is now at Rs. 90 crores. And when we look at the sequential growth, it's actually much higher than the retail loan book growth. So, while these incremental investments are growing , and where do you see the cost to income ratio settling in near term ?

Vinay Gupta : Renish, on the other OPEX actually it is more of a seasonal in nature . So, during the festive season some marketing spend has happened and there is some expense on the general & administrative cost also which is more one of our seasonal in nature . It will normalize back to the same levels of Q1 , Q2 next quarter .

Renish: And would you want to guide us for a steady -state cost to income ratio?

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Public Vinay Gupta : See, on a steady -state, we have guided cost-to-income of 1% to 1.1%. So, we have been maintaining that, and that will maintain.

Renish: And just last question from my side on the sourcing. Now in the entire retail segment disbursement , what percentage of that would be BT -in?

Girish Kousgi : See, we have three segments within retail. So, on Prime and Emerging , the BT-ins would be in the range of 17% to 18%. On Roshni, it will be higher. It will be about 25% to 27%. So, if you can take average, maybe about 21% -22%.

Renish: And internally do

we have any limits to the extent we restrict BT-in and look for a new to credit kind of a customer or how is it? So, at the point BT -in would impact our yields .

Girish Kousgi : So, I mean, we don't really have a number on BT -in. So, depending on the opportunity and the customer profile, and the financials we take a call. So, we don't have a definitive number. It is more driven by market dynamics. But largely we focus on new to Company , new to credit , and also BT-ins. So, this percentage could vary segment -to-segment, but I think largely BT-in is now more in Roshni because it's a new business and therefore the focus maybe slightly more.

Renish: And just a follow up on the Affordable side. So, this 25 %- 27% of BT -in which is happening is, try to assume that most of this will be coming from the HFCs. I mean the Affordable?

Girish Kousgi : This would be largely from the Affordable set of companies.

Moderator: Thank you. We will take our next question from the line of Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: Just one clarification first I wanted was that to the earlier question on the Stage -2 increase, this is just the same account that say even 2 or 3 quarters back had intermittently slipped and then again upgraded in September '24?

Girish Kousgi : This is the account which has been in SMA bucket for I think almost two years. So, there is significant development the project has seen . And also, as I mentioned in the last two years, principal has come down by almost close to Rs. 200 crores. So, we don't see any challenge.

Viral Shah: And you see this being upgraded in 4Q again?

Girish Kousgi : This quarter.

Viral Shah: And the second question I had was with regards to the exposure or state-wise on the retail side. So, we have seen that in this quarter, we had some challenges on the ground in the states of say Karnataka, Telangana. But on a sequential basis, I'm seeing that, of course, its mix has been

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Public increasing. So, how did we manage to do this? Because we saw that, at least for our peers, these are one of the major reasons why you saw growth slow down .

Girish Kousgi : So, I think by design, our focus is more on South for all the three segments - Prime , Emerging

and Roshni. So, maybe this quarter because see this quarter also there was challenge in West, there was challenge in North and there was challenge in South as well. So, we see challenge across in all the three zones that is South, West and North and therefore the mixed almost I think it remains same, but the focus will be slightly more on South followed by North and then West. And also as I mentioned, if these challenges weren't there, our numbers would have been far higher than what they have shown.

Viral Shah : Okay, got it. And in that same light, would you want to say, give us I know it's just now one more quarter left, we can do the arithmetic, but same also, raising your eventual loan book targets, given that we are beating this year, and we seem to be on a strong footing. So, are you seeing, say, instead of Rs. 1 lakh crore retail loan book target by FY27, any upgrades to that target?

Girish Kousgi : No, as of now we stick to Rs. 1 lakh crore by FY 27. If we can do more or if there is any change in the mix, I think we will be happier. So, as of now, we maintain Rs. 1 lakh crore by FY27.

Viral Shah : Right. And the last question was with regards to the corporate book. Last quarter, we announced the hiring of Mr. Rana coming from ICICI Bank to restart the corporate vertical. So, any updates on that because we did not see any disbursements in this quarter?

Girish Kousgi : Yes, hopefully this quarter, we might see a couple of sanctions and if possible one disbursement as well, but from this quarter it will start.

Viral Shah : Yes, great and just one last suggestion. Of course, once we start that, it will be really helpful to

get much better color on what are we intending to do separately and also maybe you have Mr. Rana, maybe sometime next quarter when we come back?

Girish Kousgi : Absolutely. I think I've already mentioned before, definitely we will give more color on the business, what kind of business we are going to do. I think just to talk about corporate, we will be pick and choosy. The ticket size will be much less, very strong underwriting norms. And we will look at only very safe and strong structure. So, I think once we start, we will give more color on corporate.

Moderator: Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: So, I mean, just trying to understand, even this Stage -1 provision cover decline of 20 basis points is because of the same corporate accounts slipping into Stage -2?

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Public Girish Kousgi : Yes, so if you see, we are also resolving a lot of accounts and some of the accounts probably will mature in Quarter 4. So, some of the accounts are nearing maturity and therefore, we've seen good repayment happening in the last few quarters and that is why ECL has been calculated accordingly.

Abhijit Tibrewal: The provision cover on Stage -1 was 75 basis points until last quarter. What I am saying is now, will the new normal be at 50-55 basis points or will we go back to 75-80 basis points?

Girish Kousgi : A lot of things are happening. I think we are improving on quality of origination. This we started a little over two years back. And all the accounts which was there as portfolio, we've been trying to manage, maintain them. So, we have an ECL model. So, we run it through the model. And as of now, as I mentioned, on the retail side, we are talking about credit costs will be denied for next few quarters. And long term, it will be about 25 bps. On corporate, we see a lot of recoveries happening. And a lot of accounts are now nearing maturity. And therefore, depending on the model, if there is a need, only then we will be providing slightly higher. Otherwise, I don't think so we need to work. Do you want to add anything?

Vinay Gupta : Yes. So, Abhijit, this is largely an account of slippage of one account from Stage -1 to Stage -2 corporate accounts. Once it moves back to Stage -1 next quarter, probably the percentages will get restated.

Abhijit Tibrewal: And sir the second question that I had was, during this quarter, what was the total quantum of write-offs that we had?

Vinay Gupta : This quarter hardly anything, very, very small. Nothing material.

Abhijit Tibrewal: And so, have you had the chance to evaluate that because of Karnataka, Telangana, and few other states that you spoke of, how much business did we lose during the quarter? And the related question, what is the status in Karnataka now? Has it improved or are the problems in Karnataka still there?

Girish Kousgi : I think if these challenges were not there, across all the three businesses we should have done at least about Rs. 500- Rs. 600 crores more.

Abhijit Tibrewal: And the status of Karnataka, I mean, has anything improved or still, I mean, those problems continue to be there?

Girish Kousgi : So, in all the states, there is improvement. So, the challenge was there, let's say two months back in Karnataka, I think now there is a lot of improvement and the same thing is true with MP as

well. So, I don't think so Quarter 4 should see much of challenge for these regions .

Abhijit Tibrewal: And so then the last question that I had is, now that it is widely expected that we will see some repo rate cuts in India in this calendar year, I just wanted to understand how our liabilities, more

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Public particularly for bank term loans, how

they're placed with regards to being lin ked to repo rate , T-

Bills or MCLR. And what impact will we see on our NIM , if hypothetically speaking, let's say

there's a repo rate cut of 50 basis points in the next

Vinay Gupta : So, Abhijit on the liability side, 70% + of our liabilities are floating, first of all. So, that is one.

Secondly, within term loans, around one -third of our term loans are linked to repo or T -bill. So, that will get repriced immediately. And rest are also, again, very short -term benchmark, like one month or three months MCLR so that will also get repriced sooner than later. However, there is always a lag between repo and MCLR so to that extent there could be a timing gap. Depending on the timing , we expect every 25 b ps change in the repo will lead to 10 b ps reduction in our cost of borrowings and we plan to pass it on. So, there should not be any big impact on the NIM from the overall impact perspective .

Abhijit Tibrewal: So, if you could just repeat the last line, for every 25 basis points cut in repo rates, what is the impact o n our cost of borrowings?

Vinay Gupta : Around 10 bps. Immediately it will be 10 bps impact.

Abhijit Tibrewal: And that we expect to pass it on. And what you are expecting, then margins can be maintained at current levels, will there not be an impact on the margins ?

Vinay Gupta : Yes, there should not be. I mean, that should be, that is our endeavor. We will try to maintain the margin.

Moderator: Thank you. Next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: I think a few questions have already been answered. Just a follow up to Ab hijit's question there, what is the written off pool outstanding for you and if you can bifurcate in between retail and corporates? And what kind of recovery are you expecting with t he say over the next 4 to 6 quarters? That would be all from my side.

Girish Kousgi : So, corporate is about Rs. 1250 crores. So, we expect a recovery of about 67% and that we will be able to collect in the next 3 years ' time . Retail, the pool is Rs. 450 crores. So, we expect about Rs. 45 to Rs. 50 crores every quarter for the next 3 quarters .

Moderator: Next question is from the line of Aditi Nawal from RSPN Ventures. Please go ahead.

Aditi Nawal: I just had a few data -keeping questions. So, one is se quentially your employee expenses have dropped. So, what could possibly be the reason for that? And second will be in fee income, so fee income has been sort of subdued in this quarter , so a ny light on that as well?

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Public Vinay Gupta : So, fee income is not subdued, it has g rown 20% year-on-year. This includes the insurance commission which has grown around 30% year -on-year, so the rest of the line remaining constant. So, that has grown well . On the employee cost perspective , there was one -off related to some actua rial valuation of around Rs. 4-Rs. 5 crore s and rest is, we have brought down overall cost by optimizing the headcount and revisiting certain incentive structures that we have. So, it is based on the overall efforts being put in on the staff cost.

Aditi Naval: Can you just repeat the insurance part of the same concern?

Vinay Gupta : So, I am saying on the fee income, overall fee income growth is 21% . Within the fee , the insurance commission has grown 30% in line with the disbursement growth .

Moderator: Thank you. Next question is from the line of Kamal Mulchandani from Investec Capital Services. Please go ahead.

Kamal Mulchandani: Most of the questions were answered, I just would like to understand the path to achieve Rs. 5,000 crore s of Affordable Housing book by the end of FY25 , I understand that by December it is Rs. 3,800 crores and we have done disbursals of around Rs. 900-odd crores this quarter, so like if you could just gui

de the part to achieving the Affordable Housing area book ?

Girish Kousgi: So, on Affordable, if you see as of March, we were at Rs. 17 90 crore , so now we are at Rs. 3,838 crore. So, we have doubled the book in 9 months. So, we disbursed about Rs. 920 odd crores in Q3. So, to get to Rs. 5,000 crores , you s hould disburse Rs. 1,200 crores . It is an average of Rs. 400 per month. So, we see that is quite possible . So, hopefully we should get to Rs. 5,000 crores.

Kamal Mulchandani: There will be some repayments as well, right?

Girish Kousgi: No, we have taken that into account. .

Moderator: Thank you. Next in line is Mr. Anurag Mantry from Oxbow Capital. Please go ahead.

Anurag Mantry: Just one question. On the overall credit cost, so basically, if I add back maybe the recoveries that you had this quarter both from the retail and wholesale side, I think your PBT mentioned like

Rs. 53 crores on the retail and Rs. 58 crores on wholesale, I think eventually get about Rs. 75 crores and if I annualize that it seems like 40 -45 bps kind of quarterly run rate, the normal credit cost as such and that is similar to the last couple of quarters. Just wouldn't understand that X of the write off recoveries by running at like 40 -50 bps credit cost, because I think bulk of this book is now just retail book assets, which probably shouldn't gain as credit cost?

Vinay Gupta : It is not 40 bps, it is somewhere around Rs. 30 crores roughly on account of the ECL strengthening under Stage -1, Stage-2, which translates to around 20 basis points annualized.

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Public Anurag Mantry: So, you are saying that only Rs. 30 crores is the normal provision and balance is for retail, is that how we should prepare?

Vinay Gupta : Yes, that is right.

Moderator: Thank you. We will take our next question from the line of Kunal Shah from Cit i. Please go ahead.

Kunal Shah: Firstly, if I had to look at it in terms of the OPEX, so if you can just broadly break up this 1.1% OPEX to Assets over three segments, so in maybe Affordable, what is the kind of OPEX that we are seeing and how much would be in the Prime, so broadly, just wanted to gauge in terms of where we are in terms of the profitability in the Affordable Housing, in the Emerging and in the Prime segment and the targets which you have highlighted in terms of the Emerging and Affordable, would that be the additional investment plan to roll out that would be required or it is more in terms of the productivity gains that would happen?

Girish Kousgi: So, if you look at the strategy in terms of starting Affordable, it started over 2 years back.

Emerging, we started this year, so I think most of the investment in terms of setting up business is done on Roshni side. On Emerging also, we started off with 50 branches. That was an initial investment, so now going forward, every year we will be opening about 50 -odd branches. So, that is more of a BAU. So, there is no major investment in terms of branch network as well. So, if you look at OPEX at this point in time, I think we should look at a consolidated basis. I think very soon, we will be able to break it up a segment by then, we will be able to share, but at an overall level, we will be able to maintain OPEX to ATA at 1%-1.1%.

Kunal Shah: So, in Affordable, we would be already at the break even, Affordable and Emerging?

Vinay Gupta : We are already profitable on Affordable, and we are moving towards the steady state ROA which will take maybe one more year for us to get to it steady state ROA.

Kunal Shah: And secondly in terms of, maybe if there are BT -ins, maybe in RBI FSR, there was an indication that when you look at it for the personal loans overdue, they have maybe some kind of retail facility home loans as well. So, any sense in terms of the customers who

are onboarding,

is there any overdue in any of the PL or maybe the small ticket loans and could there be any risk in terms of the reclassification or maybe it is like a clear -cut rejection, if we see any overdue in any of the customer in any of the product segment?

Jatul Anand : See, the overall bureau score, I think takes into account such behavior on account of, any kind of financing of it. So, that is appraised on a case -to-case basis as it comes through. So, we said in the beginning that 84% of our onboardings are above 700 bureau scores. That takes into account such behavior.

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Public Girish Kousgi: So, in fact, irrespective of the segment, whether it is Prime, Emerging or Roshni, we are very particular about credit history. So, when we on-board the customer, we look at the customer's existing exposure and how is the repayment. So, only with a good repayment track record, we would onboard the customer. Otherwise, it is clear no-go.

Kunal Shah: My question was largely with respect to 12% or 10% odd which are in NTC and up to 700, particularly on the Affordable and maybe I think you have shared similarly on the other. So, it is not with respect to maybe 75 %-80% which is better or maybe more than 700, but for the other part of the portfolio?

Girish Kousgi: No, I think we can't purely go by the score because you will have lot of customers who take a small loan of 25,000-30,000 loans being new to credit and within a year's time they will have a

score of more than 725-730. We can't really go by the score, so we need to see whether the customer is new to credit or customer has certain exposures. If so, how is the repayment, for example, 750 is not the same for all the customers, somebody having 750 with Rs. 30,000 loan may not be that good vis-a-vis compared to somebody having 750 score with three or four loans all being servicing properly on time. So, score is one of the parameter which we look into, but we will also get deeper to understand how the strings are and only then we take a call with respect to that.

Kunal Shah: The question was maybe, since we are building up the book and there could be the risk of spillover from unsecured to secured, so given that we are growing it lately, could that risk be higher for us? That was the primary question?

Girish Kousgi: No, because this is mortgage, this is secured. And know, for example, all the home loans, we know the end use and in terms of loan against property, we are very particular about end use and only when we are convinced about the end use, only then we take an exposure. So, the chances of replacing mortgage loan with any unsecured loan, I think the chances are very low.

Moderator: Thank you. Next question is from the line of Himanshu Taluja from Aditya Birla Sun Life AMC. Please go ahead.

Himanshu Taluja: Just one question at my end, if you can just give me the, maybe I am sorry if I am repeating the question, if you can just give the color of the corporate account which got slipped in Stage-2?

Secondly, what is the principal outstanding on this, any provisions which you are holding in this because is a past corporate account and lastly, what is the comfort that you have that this account will again get upgraded in the coming quarter?

Girish Kousgi: So, as I mentioned, I think I have mentioned this. So, again, I will mention. So, this is an account which we are watching very closely, seeing very closely since last many years, especially in the last 2 years, it has been an SMA bucket, and the principal has come down by close to Rs. 200
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Public crore in the last 2 years. So, we are very much comfortable about this account. So, there is nothing to worry about.

Himanshu Taluja: Any provisions which you are

holding on this, any PCR which is there on this particular account?

Girish Kousgi: We are holding as per the stage holding provision for this account as well.

Moderator: Thank you. We will take our next question from the line of Ankit Minocha from Aditya Birla Sun Life AMC. Please go ahead.

Ankit Minocha: My first question is with regard to a hypothetical rate cut situation, which in earlier participant was alluding to. So, you mentioned that there was 10 bps reduction in the cost of funds with every 25 bps rate cuts, so just wanted to understand is there also a lag involved in this? How quickly are you able to price your assets or how slowly are you able to price your assets versus your liabilities?

Vinay Gupta: You see, 10 bps is immediate, so that we are planning to, we should be able to pass it on quickly and the remaining impact again, it is a matter of timing. So, we should see the rest of the difference also flow through in the next 3-4 months.

Ankit Minocha: So, then would not even be the possibility of any expansion in NIMs for a short period of time, right?

Vinay Gupta: Depending on the competition how they react there could be some minor impact, but largely our endeavor is to ensure that margins are maintained.

Girish Kousgi: See, actually there are 3-4 things. So, one is we are trying to change the mix between Prime, Emerging and Affordable. And with every passing quarter, we are doing more business on the Affordable and Emerging compared to Prime. Number two, in all the three segments, we are trying to up the yield, Prime, Emerging and Affordable. We will be starting corporate from this quarter, which will help us on the yield and profitability. And also, obviously we have a large pool of corporate and retail write-off. So, we are expecting good recovery. So, these things we have on the positive side and if there is a rate cut, of course there will be some lag, which we will also pass on. So, I think this differential, we feel that we will be able to manage because now we have certain levers which can try to factor rate cut.

Ankit Minocha: And I understand you have given some element of guidance for FY27, but we were in Jan FY25. So, just understanding, how do we see FY26 evolving, if you can just give some color on the potential book value or even how growth kind of seems to be panning out, what you think could be FY26 look like?

Girish Kousgi: So, as I mentioned, demand is quite good, mortgage industry is doing well, I think this year, every quarter there was some challenge or the other Quarter 1 was cyclical and Quarter 2, there

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Public was some challenge which some companies in the industry saw or especially on the collection side. And quarter 3, there was some challenge because of procedural changes in certain states. So, I think throughout the year, first 9 months, there has been some challenge or the other also coupled with the heat wave and general election and election in Maharashtra. So, otherwise talking about demand, demand is very good. This industry will do well and also with PM AY, Interest Subsidy Scheme, I think demand should only go up for us, especially on the Roshni and Emerging side. So, we see no demand to be quite robust for the next few years. And I will not be able to comment on what is the plan for next year. We would share with the investor at the appropriate time, but our Rs. 1 lakh crore by FY 27 should be intact and the growth should be slightly better than what we showed this year.

Ankit Minocha: And my next question is about, to get more and more into the Affordable space, what have you observed as the incremental trends in asset quality, when did you start to get into this space and if there are any asset quality issues that might crop up, ideally by when would they start to crop

up like in terms of what are the loan tenures if you could help us with that?

Girish Kousgi: So, in terms of credit cost whereas the Prime we say will be in the range of, it will be about 18 bps, Emerging should be about 22-23 bps, I am talking about once the portfolio has matured and for Affordable it should be about 50 bps. So, if you see blended, we should have 25 bps. I think that is what we see, and we have budgeted that. Otherwise, we don't see any incremental risk in any of these segments, including the Affordable.

Moderator: Thank you. Next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja: Sir, firstly on this credit cost, do you expect that to pan out in Q4? The current run rate of Q3 is likely to continue?

Girish Kousgi: It will continue.

Anusha Raheja: And assuming that if this corporate account gets recovered, it should be better?

Girish Kousgi: No. As I mentioned to you, we are pretty much comfortable on the stage and this quarter it will be a rollback. So, we are pretty comfortable. Credit cost will be on similar line, Quarter 2 to quarter 3.

Anusha Raheja: And secondly, on this in non-housing loans which sits on Prime, Emerging and Affordable segments, what basically this non-housing loan comprises?

Girish Kousgi: Non-housing would have three products. One is loan against property, second is lease rental discounting and the third one is funding for corporate offers, purchase commercial space, but largely for us non-home is loan against property.

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Public Anusha Raheja: So, do you have any unsecured personal loans?

Girish Kousgi: No, we don't have. We do only secure.

Anusha Raheja: And do you expect any margin pressure to come in on the Prime segment loan assuming that you would be competing with the banks, and we would be seeing a decline, repo rate cut next fiscal, so I think this space is quite competitive. Do you expect some sort of margin pressure, because I think you will have to bring down your lending rate as well there?

Girish Kousgi: There is margin pressure on Prime, which is why we moved from Super Prime to Prime. Even in Prime, there is margin pressure and that is the reason we are growing at a slower pace compared to Emerging and Affordable. So, this margin pressure would be there because this is the space where a lot of banks also would be focusing on. So, this pressure is there and it will continue, but we have planned to overcome that. Our plan is to try and grow the Prime book slower compared to Emerging and Affordable.

Anusha Raheja: And sir, lastly, sorry if I am repetitive, the credit cost guidance for FY26, what that number could be before recoveries and what you have baked in credit cost including recoveries?

Girish Kousgi: So, I think this trend should continue for next few quarters on credit cost because we have good tool of written off book where we expect good recoveries to happen in the next few quarters. So, I think for FY26 also, the credit cost should be very good.

Anusha Raheja: So, the full year guidance of FY 26, will you share post Q4?

Girish Kousgi: Definitely we will share.

Anusha Raheja: And sir, lastly, since the growth rate has been quite strong in Emerging and Affordable how do you assess that book in terms of asset quality?

Girish Kousgi: Asset quality on Prime and Emerging should be almost similar. We don't see any change at all. And as far as Affordable is concerned, it will be in line with industry. Today, we are better than the industry. Of course, it is not comparable because our book has not matured, but I think it will

be in line with industry once the book matures.

Moderator: Thank you. We will take our next question from the line of Vijay from Insightful Investment Managers.

Please go ahead.

Vijay: Most questions are answered. Just one thought, sir, for next year, FY26, given that the book mix keeps changing, will the NIMs also be slightly better?

Vinay Gupta: Definitely yes, NIMs will be better.

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Public Vijay: Sir, how much in your estimate should expansion be approximately?

Vinay Gupta: Short term, it is very difficult to predict. We will be sharing plans for FY26, maybe after Quarter 4, but I think long term what we mentioned, I think FY27 when we are talking about retail book of Rs. 1 lakh crores, our NIM should be about 4-4.1.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to management for closing comments. Over to you.

Deepika Gupta Padhi: Thank you everyone for joining us on the call. If you have any questions unanswered, please feel free to get in touch with Investor Relations. The transcript of this call will be uploaded on our website. Thank you.

Moderator: Thank you very much. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: May 2025

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Public
Ref: PNBHFL/ SE/EQ/ FY2025-26/13
May 02, 2025

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Symbol : PNBHOUSING

Dear Sir (s),
Sub: Transcript of Earnings Conference Call held on April 28, 2025 – Q4FY25
Ref: i. Our letter PNBHFL/ SE/EQ/ FY2025-26/06 dated April 28, 2025
ii. Our letter PNBHFL/ SE/EQ/ FY2025-26/09 dated April 28, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript pertaining to the earnings call held on April 28, 2025 on Audited Financial Results (Standalone and Consolidated) of the Company for the 4th quarter and financial year ended March 31, 2025 .

This intimation is pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same shall also be available on the website of the Company at www.pnbhousing.com

Kindly take the above document on record .

Thanking You,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

"PNB Housing Finance Limited Q4 & FY '24-'25
Earnings Conference Call "

April 28, 2025

MANAGEMENT : MR. GIRISH KOUSGI - MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. VINAY GUPTA - CHIEF FINANCIAL OFFICER
MR. DILIP VAITHEESWARAN - CHIEF SALES OFFICER ,
PRIME & EMERGING BUSINESS
MS. VALLI SEKAR - CHIEF SALES & COLLECTION
OFFICER , AFFORDABLE BUSINESS
MR. JATUL ANAND - CHIEF CREDIT & COLLECTIONS
OFFICER , RETAIL BUSINESS
MR. ANUBHAV RAJPUT - CHIEF INFORMATION
OFFICER
MS. DEEPIKA GUPTA PADHI - NATIONAL HEAD
,INVESTOR RELATIONS & TREASURY

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Internal Moderator : Ladies and gentlemen, good day and welcome to PNB Housing Finance Limited Q4 & FY'24-'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi – National Head, Investor Relation and Treasury . Thank you and over to you , ma'am.

Deepika Gupta Padhi: Thank you , Neerav . Good evening and welcome , everyone. We are here to discuss PNB Housing Finance Q4 & FY' 25 Results. You must have seen our business and financial numbers in the presentation and the press release shared with the Indian Stock Exchanges and are also available on our website.

With me, we have our Management Team led by Mr. Girish Kousgi – our Managing Director & CEO. We will begin this call with the performance update by the management team, followed by an interactive Q&A session. Please note this call may contain forward -looking statements which exemplify our judgment and future expectations concerning the development of our business . These forward -looking statements involve risk and uncertainty that will cause actual development and results to differ materially from our expectations . The PNB Housing Finance undertakes no obligation to publicly revise any forward -looking state ment to respect future events or circumstances. A detailed disclaimer is on Slide #49 of the investor presentation.

With that, I will now hand over the call to Mr. Girish Kousgi . Over to you.

Girish Kousgi: Hi. Good evening to all the investors and thanks for taking time out. It is my pleasure to address you today as we review the dynamic development in India's housing finance sector and share an update on the performance during the quarter and the year.

Housing finance industry has shown remarkable resilience and growth. While regional disparities remain, there lies a tremendous opportunity in expanding deeper into underserved regions. Further, government support has been a strong enabler, with initiative s like PMAY 2.0 injecting momentum into the Affordable housing space.

Housing finance companies have responded proactively, offering customized products and flexible solutions to meet the aspirations of a broader spectrum of customers. As per ICRA, the housing finance industry is expected to continue its growth momentum with 13% to 15% annual growth, expected for FY' 25-'26. The profitability of the HFCs is projected to remain healthy supported by low credit cost.

Coming to PNB H ousing :
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Internal We had a stellar run in the current financial year and achieved significant milestones during the year. Let me talk about them and update you on the performance of our guidance sheet last year.

Despite the challenging operating environment, we achieved retail loan book growth of 18.2% YoY, surpassing a guidance of 17% to INR 74,802 crores as of 31st March 2025. The total loan asset of the Company crossed Rs. 75,000 crores, after 23 quarters to reach INR 76,765 crores as of 31st March 2025. The Affordable and Emerging market segments continue to increase their share in the retail loan asset and is at 26 % as on 31st March 2025 from 21% on 31st March 2024 . Our Affordable segment loan assets have performed phenomenally and crossed a significant milestone of Rs. 5,000 crores on March 25. Despite being a late entrant in the Affordable segment, this achievement is a testimony to our conviction in the available opportunity, ensuring right execution and presence across pan India .

Retail

disbursement increased by 26% YoY with Affordable and Emerging segments contributing 40% during the quarter.

Recovery from written off pool grew 2X, from Rs. 100 crores to Rs. 336 crores in the current year. The gross NPA reached close to 1%. It is at 1.08% by end of the financial year.

Ensured stable NIM of 3.7% during the year, achieved ROA of 2.55% for F Y 2024 -25 versus 2.2% in F Y 2023 -24.

With the strong performance of the Company , I am pleased to announce that the Board of Directors recommended a dividend of INR 5 per equity share for F Y 2025. This is subject to the shareholders' approval.

Let me now talk about the few details on the performance achieved during the year :

Disbursement : Our disbursement grew by 25 % during the year to INR 21,972 crores. The disbursement during Q4 grew by 23 % YoY and 27 % quarter -on-quarter to INR 6,854 crores. Affordable and Emerging market segments contributed 40% in Q4 and 36% in F Y'25 of the total retail disbursements.

As planned, we opened 51 branches in Q4, FY'25, for Affordable and Emerging market segments. The total Pan India branch network of the Company stands at 356, including 200 for Affordable and 60 for Emerging market segments. Taking the vision of the regulator forward to develop Northeast states, we have expanded our reach to an Affordable branch in Guwahati.

With our large presence pan India, we are ready to capitalize the opportunity available in Affordable and Emerging market segments in tier 2, 3 and 4 cities.

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Internal On asset quality, the gross NPA improved to 1.08% as on 31st March 2025 as compared to 1.5% as on 31st March 2024 and 1.19% as on 31st December 2024.

During Q3 FY'25, one corporate account which slipped into Stage -2 has now been rolled back to Stage -1. With focused collection records, we sold 537 retail properties as compared to 268 in FY'24. We recovered Rs. 336 crores from written off pool which includes Rs. 178 crores from retail and Rs. 158 crores from corporate pool during F Y'25. The Company has a remaining written off pool of around Rs. 1,000 crores in corporate and around Rs. 400 crores in retail.

To further our commitment to the vision of housing for all, we are proud to share our partnerships with MoHUA and NHB to spearhead the interest subsidy scheme of PM AY initiative. The scheme was applicable from 1st September 2024 and since then the Company has sourced over 5,500 applications, amounting to over Rs. 750 crores which are eligible under PM AY scheme. Our diversified liability profile improved credit rating and continuous engagement with the lenders enabled us to reduce the cost of borrowing by 15 bps during the year to 7.86 versus 8.01 in FY'24.

In FY'25, PAT increased by 28.4% YoY to Rs. 1,936 crores leading to an ROA of 2.55 % and ROE of 12.19%. The capital adequacy ratio is 29.38 % and tier 1 is 28.39 as of 31st March 2025. Given the industry outlook and the business performance, so far , sharing our FY'26 guidance with you all. Retail loan growth 18%, Affordable loan book on 31st March 2026 will be Rs. 9,500 crores. Corporate disbursement will be in the range of Rs. 1,500 crores to Rs. 2,000 crores. NIM will be stable. Credit cost will be benign due to recoveries of written off pool. ROA would be in the range of 2.5% to 2.6%. As we progress, we will continue to focus on profitable growth while sustaining the asset quality.

With this, I would like to hand over the call back to Deepika .

Deepika Gupta Padhi: Thank you, sir. I will now request , Vinay – our CFO to talk about our financial performance.

Vinay Gupta: Good evening, everyone, and a very warm welcome to our Earnings Call. I am pleased to announce strong Q4 & FY'25 financial numbers driven by robust Company 's performance. I will now cover some of the financial parameters in more detail.

With growth i

n retail loan book by 18%, our retail interest income has grown 17% year -on-year.

Our total interest income grew 13% year -on-year to INR 1,906 crores in Q4 FY'25.

Coming to borrowings :

The Company continues to have diversified and cost-effective long-term financing sources, which resulted in a decline in cost of borrowings by 15 bps year-on-year to 7.86 in FY '25. Cost

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Internal of borrowing for Q4 was at 7.84 %, 1 bps higher than Q3 FY '25. This is on account of the higher cost of deposits, and it's been almost at a similar lines that we have been in previous quarters.

During the year, the Company has received Rs. 5,000 crores from NHB and has sourced US \$350 million from ECB . With improved liquidity in the market and rate cut, we expect the borrowing cost to reduce from this quarter onwards.

Net interest margin improved by 5 bps in Q4 FY'25 to 3.75% in comparison to 3.7 0% in the previous quarter. The increase in margin s includes temporary gain due to higher disbursements and loan assets in March 25 without a corresponding increase in borrowings. This will normalize next quarter.

Gross margin improved to 4.27% in Q4 versus 4.1 in Q3, driven by 27% higher disbursements during Q4. And it also includes one off on account of interest received on income tax refund.

Our operating expenses grew by 18% year on year to Rs. 208 crores versus Rs. 176 crores in Q4 FY'24 and Rs. 203 crores in Q3 F Y'25. This increase is largely on account of new branch additions that we have done in Affordable and Emerging market verticals at the beginning of this financial year. We have added another 50 branches in Q4 which will start reflecting in Opex in Q1 FY26 . However, we would be able to offset this with economies of scale in existing businesses. Our Opex to ATA guidance remains in the range of 1 % to 1.1 %.

Led by strong revenue growth, our pre -provision operating profit has grown 14% year-on-year to Rs. 646 crores at an overall level. Operating profit for retail has grown by 16% year -on-year. Credit cost stood at 32 bps negative for Q4 and 21 bps negative for FY '25. Happy to share that we have recovered INR 336 crores from written off pool during FY '25. Happy to share we have also reported a PAT of Rs. 550 crores in Q4 which is up 25% year -on-year and 14% quarter -on-quarter. For FY '25, PA T grew by 28% to Rs. 1,936. RO A improved to 2.55% for FY '25 versus 2.2% in FY24. ROE stands at 12.2 in FY2 5.

Coming to capital :

Our total CRA R is at 29.38 with Tier 1 at 28.39. Debt to equity is stable at 3.7 times. Our March '25 net worth stands at Rs. 16,863 crores and our book value per share is now at Rs. 649.

With this, I now hand over back to Deepika for taking this forward .

Deepika Gupta Padhi: Thank you, Vinay. I will now request Dilip, our Chief S ales Officer for Prime & Emerging Business to give segmental performance update .

Dilip Vaitheeswaran: Thank you, Deepika and good evening , friends. Welcome to the call. I appreciate you taking the time out. I am delighted to share with you that we had another very good quarter on the Prime

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Internal & Emerging Markets businesses. To give you a color on disbursements, we disbursed about Rs. 5,500 plus crores across both these businesses, a growth of 1 4% year -on-year and a sequential growth of 25 % plus quarter -on-quarter. The NHL business, where we are trying to increase our growth rate, we managed to disburse Rs. 1,800 plu s crores here in the quarter. Yo Y of 40 % plus over last year Q4.

Let me now give you a color of both businesses. I will start with Emerging Markets first.

Disbursements in Emerging markets grew at 33% Yo Y for the entire FY '25. In f act, for Q4, they grew at 40% Yo Y. The share of Emerging markets business like Mr. Kous gi explained along with Roshn

i is going up at an enterprise level. This business now is being generated at a yield increment of 41 basis points over the Prime business. Even within Emerging markets, NHL is growing up strongly. NHL as a share of overall disbursements in Emerging markets stands at 42% for Q4 of FY '25.

Now in the Emerging markets business we opened a few more new branches along with the new branches and a set of existing branches which are now being re -designated as Emerging markets branches. The total distribution size in Emerging markets goes up to 79 branches as compared to 50 branches at the beginning of FY '25. This just goes to show that we are more and more focused on growing this segment which is more margin -accretive for the enterprise.

Now coming to the Prime markets , here also we had a very good quarter on all fronts. We managed to increase our disbursements by 13% year -on-year for all of FY '25. The Prime book grew by 1 2% to about Rs. 55,600 plus crores. Another key agenda here is to restrict runoffs. Runoff s for the entire FY'25 stood at 17%. This is down by 8 0 bps Yo Y. Here also the NHL mix

has grown against 26% in Q4 of FY '24, the NHL mix in FY '25 for Q4 was 30% plus. We had opened 35 new branches across Prime and Emerging markets in this year. Happy to update that they contributed 13% of overall disbursements in Q4 of FY '25.

Now in line with our focus on profitable growth and margin -accretive businesses, we have also set up a dedicated NHL team. This team will source exclusive NHL business, starting with 10 clusters in top cities. As we speak, in fact, we have also come up with a new customer offering, a complete full -tenure fixed -rate offering for non -housing loans. This is a one -off kind product which currently is not available across the industry. We believe this will be a game changer for increasing our NHL mix further.

So to summarize, be it sustained growth in business momentum through geography or managing channel partnerships, retention, asset quality, we have had a good quarter on all these fronts and we are now ready to increase our business further in the coming years. We believe that FY '25 overall has been a testimony to the fact that our core business franchise is in very , very good shape and we will only move forward on growth , on margin and asset quality. Thank you. I hand the call back to Deepika .

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Internal Deepika Gupta Padhi: Thank you, Dilip. I will now request Valli Sekar , our Chief Sales & Collection Officer for Affordable Business to update on the business performance.

Valli Sekar: Thank you , Deepika . Good evening , everyone. It is my distinct pleasure to share with you the exceptional progress we have made in our Roshni business over the last quarter of the year. We concluded the year with a remarkable loan book of Rs. 5,070 crores representing a phenomenal year-on-year growth of 183% up from Rs. 1,790 crores as on 31st March 2024. This also reflects a robust 32% growth over the preceding year.

Our disbursements tell an equally compelling story. In Q4 of FY'25 alone, we disbursed Rs. 1,291 crores, delivering a 100% growth over Rs. 645 crores in Q4 of the previous year. On sequential basis, we saw a 40% increase, up from Rs. 920 crores in the previous quarter, demonstrating a strong momentum and a market acceptance. Over the past year, we have added 40 new branches taking our total footprint to 200 branches across 130 plus potential districts in 15 states. I am happy to report you that these branches are fully operational and already started contributing significantly to our business.

We have forayed into 2 promising new markets namely Punjab and Northeast with plans to deepen our presence in the coming fiscal. We are thrilled to have opened our first branch of PNB Housing Finance in Northeast at Guwahati . Our pan India operations are

well balanced across 3

zones, North zone contributing 36%, West zone contributing 33% and South zone contributing 30%. This geographical balance ensures resilience and consistency in our growth. The state of Tamil Nadu posts the highest AUM followed by Uttar Pradesh and Madhya Pradesh.

To further strengthen our reach, we have empaneled over 2,100 connectors under our S aarthi program and partnerships with more than 500 channel partners who are all powered by 1,200 plus vendors who handle the legal, technical FI, FCU -related activities.

On the technology front, we have implemented advanced digital solutions to enhance our operational agility and scalability. The last quarter was our best ever in terms of login, sanctions, disbursements, and the foundation for continued growth.

On the portfolio front, we have made significant headway . Self-employed sourcing rose to 44% up from 42% last quarter and 37 % a year ago. Informal income segment sourcing grew to 30% up from 26% last year, forming a sizable part of our book now. 73% of the portfolio is within the ticket size of 25 lakhs and 30% of our portfolio remains non -housing loan. On incremental yields, at 11.7% this quarter, sequentially down the previous quarter ; however , higher comparatively to the last year. Generally competition is higher in the last quarter, which results in lower incremental yields . With focus on higher yielding profiles and Tier 3 and Tier 4 markets, we will increase the incremental yields in the coming quarters. Importantly, portfolio quality remains very strong. Bounce rates are well controlled at 11% and NPAs are impressively as low as 0.21%.

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Internal We are incredibly proud of what we have accomplished. With this momentum and strong foundation we have laid, we are confident of closing the upcoming financial year with a loan book approaching Rs. 9,500 crores. Thank you all for your continued support and trust. I am handing over back to Deepika.

Deepika Gupta Padhi: Thank you, Valli . I will now request , Jatul , our Chief Credit & Collections Officer, Retail Business , to talk about the performance.

Jatul Anand: Thank you, Deepika. Good evening , everyone. So credit underwriting has been a driving force towards building a healthy portfolio followed by a sustainable growth. The Company has a well diversified book exposures across all industries with majority cases having low and mid ticket size and a healthy mix of salaried and self -employed profiles. During Q4 '25, the Company witnessed an upward tick in onboarding sanctions and disbursements across all verticals - Prime , Emerging and Roshni. With all the checks and balances in place , the Company has been able to calibrate the portfolio quality. The delinquency book during the last few quarters is well within the tolerable limits and is one of the critical monitoring parameters for the Company at all intervals. Last 12 months onboarding witnessed 30 plus of 0.13% and negligible NPA at 0.03%. Going to last 24 months disbursements, the 30 plus range at 0.48% with 90 plus of 0.14%. Now, taking over more on retail collections, the Company continued its pattern of sequential reduction in gross NPA quarter -on-quarter reaching nearer to 1% by end of FY '25. Similar positive results were also replicated across other buckets through a focused approach on granular field collection performance plans, focus on rollbacks and normalization of cases in early buckets, efficient leverage of legal machinery to reduce NP A by higher number of possessions through SARFAESI and other legal actions available on parallel basis. Now taking over to the dual success stories of write -off recovery and distressed property disposal , it gained further impetus in Q4 FY '25 recording newer heights. Recovery from written off pool in retail was Rs. 49 crores for the quarter, ta

king the annual recovery to Rs. 178 crores

as compared to Rs. 68 crores last year same time. Disposal of repossessed properties also witnessed staggering performance with 174 properties sold through auction in Q4, taking annual disposal to 537 as against 268 properties of last year same time, so doubling the numbers. So taking the queue forward , as we step into the new financial year, the plan for retail collections is to capitalize and build on successes of the last financial year, and further uplift performance through rigorous reviews of the portfolio, tighter control of flows and faster resolutions.

Thank you and now I would like to hand over back to Deepika.

Deepika Gupta Padhi: Thank you, Jatul. I will now request Anubha v, our Chief Information Officer to talk about our initiatives and progress .

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Internal Anubhav Rajput: Thank you, Deepika. A very good evening to all. P NB Housing Finance continues to move forward and strengthen its technology landscape and foundation to drive business and modern tech capabilities . Our long -term technology vision is to be recognized as a large tech -led digital player in the housing finance ecosystem, partnering with various FinTechs, banks and aggregators, through scalable digital platforms, and technology services which are integrated end t o-end.

Our technology transformation agenda that was initiated in Q4 2024, is in the final stages of completion now . In Q4 FY'25, we have launched the new deposit co re platform for sourcing, servicing, renewing, and managing of our term deposits for customers. This system replaces our legacy core deposit system and delivers improved performance, API integration capabilities, and additional workflow control. The new platform is under stabilization and user adoption phase . In Q4 FY' 25, we have also successfully set up a full -scale disaster recovery setup on cloud, and the same was tested successfully. This setup will ensure IT resilience and spillover capabilities and enhance our business continuity posture . The new cloud -based setup was successfully tested in this quarter for all systems and applications in scope .

The overall scalability and performance of the new platform that have been implemented as part of transformation in the last 12 months to 18 months was successfully demonstrated with the higher transaction volume that was handled in Quarter 4 , which was done in a seamless manner. The Pilot launch of the new LOS for Prime and Emerging business will now be enhanced and rolled out across branches during Q1 and Q2 of FY '26.

Lastly, we remain focused on the threats of cybersecurity and have set up a 24 /7 information security monitoring capabilities center and continue to build resilience in our technology platforms in line with new and Emerging cybersecurity threat landscape. Information access for all users are also controlled using relevant tools, which work purely on a zero -trust architecture model. We have recently further augmented our information security capabilities by introducing additional AI -based monitoring capabilities for our email landscape as well as for our internal network traffic monitoring.

Thank you very much. Handing it over back to Deepika.

Deepika Gupta Padhi: Thank you, Anubhav. Neerav , we can now open the floor for Q&A.

Moderator: Thank you very much, ma'am. Ladies and gentlemen, we will now begin with the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touchtone telephone . If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question . Ladies and gentlemen, we

will wait for a moment while the question queue assembles. First question is from the line of Renish from ICICI. Please go ahead.
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Internal Renish: Hi sir, congrats on a great set of numbers . Just two things, one on this Affordable yield size. We have seen a pretty sharp fall on sequential basis to 40 basis point . Is this due to some seasonality or sort of how one should read this drop in yield on a sequential basis?

Girish Kousgi : In the coming year we will increase yields. So in Quarter 4 , we had focused more on volume and also with this PMAY ISS coming into picture so because of these two reasons , yields are slightly lower. And I would say in a sense this is seasonal and from quarter 1 it will pick up sir. Our idea is to take a yield to about 12.65% in FY'26.

Renish: Okay, I mean, so is it fair to assume that let's say anything about Rs. 1,000 odd crores yields will be very competitive to achieve that volumes or I mean just wanted to get a sense how one should read this data point in terms of Rs. 1, 200 crore s of disbursement and a 40 -basis point of yield curve .

Girish Kousgi: If you look at any Quarter 4 of the year it will be slightly seasonal because of too much of focus on everyone trying to build up volume. So, in that sense it is seasonal otherwise we are very clearly focused on increasing yield. So, our plan is to take yield to about 12.65 % in Affordable.

Renish: And last question from my side on the disbursement momentum. So just wanted to have the share. I mean what would be the share from BT -in of Q4 disbursement and how much it would be from let's say core volume increase.

Girish Kousgi: So, for us I think on, we are into three different businesses so let me try to address this business wise. If we look at Prime , I think the BT -in and GT out is almost similar , on Emerging space , the BT yield is slightly more about 50% more than the BT -out and in Affordable , I think largely it is BT -in, BT-out is negligible .

Renish: Okay. Any numbers you want to put it.

Girish Kousgi: So overall out of 17%, now what we talk about no closure. B T-out would be about 5.5% to 6%.

Renish: 5.5% to 6% BT -in on a net basis ?

Girish Kousgi: BT-out.

Renish: Okay. And BT -in?

Girish Kousgi: BT-in would be about 8% .

Renish: At overall basis, right?

Girish Kousgi: Yes. Overall.

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Internal Renish: Okay. That's it for my side.

Moderator: Thank you. Next question is from the line of Viral. Please go ahead. The line for the participant dropped. We move on to the next question. Next question is from line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Good evening, everyone. Thank you for taking my question. Sir, first things first. Just trying to understand, while you said that BT -in was 8% at the overall level, if you could also share the number in the Affordable book, what proportion of the disbursements in Q4 and full year FY25 came from BT -in the Affordable book?

Girish Kousgi: So, on book I said it is 8% is BT-in and BT-out to 6%. So, we get net close to about 2%. So , talking about business specifically Affordable BT-in is about 12%.

Abhijit Tibrewal: BT is 12%. This was for 4Q disbursements.

Girish Kousgi: Yes.

Abhijit Tibrewal: Okay. And for year FY25?

Girish Kousgi: No, I was talking about ...See, if we talk about overall Affordable , the B T-in is about 21 %-22% and in Affordable , what BT-out is hardly about 1 %-2%. If you take Prime , it's about 20% and Emerging also will be on similar line. The only thing is in Prime , the BT-in is equal to BT-out. So, we don't get anything on BT. On Emerging , we gain about 3%. On Affordable , largely it is BT-in, BT-out is very low. So overall on the book, what we lose is about close to 6% on B T-out and BT-in is ~8% on the book

Abhijit Tibrewal: Got it. This is clear. So, the second thing I wanted to understand is , how should we look at margins in FY26? The reason I ask is, when w

e look at large HFCs like you in a declining rate environment, they speak about a transitory NIM compression. In our case because we are also matching it up with the product mix change in favor of Emerging and Affordable . How are we kind of looking at NIMs evolving over the next couple of quarters as well as this full year FY26 ?

Girish Kousgi: NIMs should be stable. When I say stable, if I have to give you a range, it will be between 3.6 to 3.65. The reason for that is very clear, even in spite of cuts in policy rates because of mix change and also because of corporate business and cost would slightly go down because we are expecting maybe fog end of this year, maybe a rating upgrade. Because of these reasons our cost would go down, because of mix change yields would go up, because of corporate restart, it will be on the yield and margin and therefore margin will be stable.

Abhijit Tibrewal: Got it. And so lastly, if I recall correctly during your opening remarks you guided for a retail loan growth of 18% year-over-year and ROA of 2.5% to 2.6% in FY26. Is that right?

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Internal Girish Kousgi: Right.

Abhijit Tibrewal: Got it. And so, I mean just trying to understand this better. Maybe three-four quarters back you had suggested that this provision write backs will continue this year, for almost whole of this year we saw those provision write backs continuing. Earlier in the call during your opening remarks you spoke about a Rs. 1,000 crore s corporate write-off pool, Rs. 400 crores of retail write-off pool. Now are we looking for another maybe three-four quarters of these provision writebacks continue?

Girish Kousgi: Yes. Whole of FY26 will be write back and credit cost will be negative.

Abhijit Tibrewal: Got it. This is useful. Thank you so much and sir, congratulations again on a very strong quarter. Wish you the very best.

Moderator: Thank you. Next question is from Nishant Shah from MLP. Please go ahead.

Nishant Shah: Hi sir, congrats for the good set of numbers. So just elaborating on the previous question on the headwinds from the repo rate cuts. So, fair play we have some levers from product mix change but do you see some headwinds to just growth itself because while yes, there'll be margin compression or yield compression on incremental book, does that kind of also result in lower growth? Because you're seeing some of your large HFCs also start to cut rates in line with the repo rate cuts of the large banks. So should we think about you know growth probably in the Prime segments or in the corporate segments tapering down a bit and probably Affordable, trying to pick up the slack. How should we think about that?

Girish Kousgi: I think two things. If you look at our strategy, our strategy has been to grow the Prime book slower, Emerging faster and much faster Affordable book. So, with the rate going down demand will further go up. So, which means volumes will increase. Now for us, cut in policy rate would not impact us for two reasons. One, our focus is on margins. So, when the rate goes down, we would fine tune the yield in such a way that the margin is protected. Adding to this, the product mix change and also corporate. So, this would aid us to maintain margin. This should further propel demand and therefore the growth. But our focus is very clear. Our focus is on all the three. But Prime will grow at a slower pace, Affordable and Emerging at a faster pace.

Nishant Shah: Okay, fair enough. So, what should we think of the blended company growth to kind of come in at for this year?

Girish Kousgi: So, we have guided retail growth of about 18%, retail book growth 18% and corporate we plan to do about Rs. 1,500 to 2,000 crore s.

Nishant Shah: Got it. And that 18% incorporates the slowdown in the Prime book as well as the acceleration, the Affordabl

e book.

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Internal Girish Kousgi: In fact, FY25, there were a lot of challenges which I've spoken in my previous earning calls. In spite of all the challenges we had guided for 17% retail growth. We end up with 18.2% retail growth. FY26 is going to be far better than FY25 for the industry.

Nishant Shah: So just to double click on that point, FY26 we still had broadly rate discipline being maintained by a lot of the large banks. But now it's like when there's like say a 100 bps rate cut cycle, it's compulsory. Everything will have to compulsorily kind of flow through. Does that kind of create. So, I'm just trying to understand how is the environment in FY26 easier than in FY25 when FY26 is the one which is going to see the brunt of the rate cuts.

Girish Kousgi: See in FY26 definitely there'll be cut in policy rates, and it could be 50, it could be 75, it could be 100 bps, it could be anywhere between 50 to 100 bps. Now this would definitely have an impact because of the lag effect. Now we have baked this into our business plan and basis that we are saying that we'll be able to protect the margin. So on one side this would impact the margin because of the lag because everyone, including PNB Housing, we have our own PLR that is broadly linked the general interest rate scenario in the market. So, whenever policy rate goes down, sooner or later, when our cost goes down, we pass on that benefit to our customers. However, there'll be a bit of lag, to offset that we have plan in place in terms of mix change and

corporate .

Nishant Shah: Okay, fair enough. I will Take more questions offline. This is very useful. Thank you.

Girish Kousgi: Thank you.

Moderator: Thank you. Next question is from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Hi. Thank you, sir. So , total three questions. One is you mentioned on the possibility of a rating upgrade towards the end of the year. Can you tell us like what gives you that confidence? Have you interacted with the credit rating agencies? I'm asking this in the context that of course there is also the October 4th circular of RBI. If it comes through then maybe potentially PNB may have to reduce the stake to 20% odd levels. Of course there is probably could be a glide p ath. Again, not sure whether even that circular is coming or not. But given that uncertainty, what gives us that confidence and more so the rating agencies. That's one.

Girish Kousgi: See we got the last upgrade in Quarter 4 of last year and Quarter 1 of FY25. So , generally there is a cooling period and if you see the comp any's performance in last five quarters , this quarter included, I think all the performance metrics have improved. And we are sure that this performance will continue for the next two quarters. So, basis this, we feel that there will be a rating up grade . Commenting on Para-IV, I think it's too early because even the circular is not rolled out yet. So, I t t hink that is too premature to discuss on that . I think looking at a short to medium term view, I think very clearly, we have a handle on our yield and margins and we expect that end of this financial year we should get an upgrade on the rating.

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Internal Viral Shah: Okay sir, so second question is with regards to I would say the management kind of continuity beyond when the PE presence kind of goes away. More so from the perspective, again from a longer -term perspective, how does governance and all those things kind of play out in that scenario?

Girish Kousgi: See P NB Housing is a professionally managed organization so management is quite strong. We have a very strong b ench and today if you look at PNB is a promoter, they hold about 28%. The next highest is by a private equity p layer which is about little over 10%. So, I

don't think so

anything would change at all.

Viral Shah: No sir, but like once if the PE goes away then basically what's the view of the parent because how do they then want to run on it? Just if you can comment.

Girish Kousgi: No, we have no view on that. I think as of now we are focused on operational things of the company and in last few quarters, the stake has been changing, and we have seen that, we witnessed that but nothing really has changed the performance of the company. So, it will continue.

Viral Shah: Got it, sir. Sir, and last is on the PLR rates. So you haven't taken any PLR rate cut as yet for the total 50 bps cut that has already come?

Girish Kousgi: Not as yet , yes.

Viral Shah: Do you have any plans and if at all , over what period you may want to consider that. I know it's an ALCO decision but just some thoughts if at all .

Girish Kousgi: We keep rev iewing , I think whenever it is the right time then we will take a call.

Viral Shah: Okay, sir, fair enough. Thank you so much and all the best.

Girish Kousgi: Thank you.

Moderator: Thank you. Next question is from the line of Ab has Verma from East Green Advisors. Please go ahead.

Abhas Verma: Good evening, sir. Thank you for the opportunity. I had two quick questions. My first question is going forward, what steady state mix between salaried and self -employed customers do you see on the loan portfolio? Any broad guidance would be helpful. So th at's my first question.

Girish Kousgi: At a disbursement level again, we have three different businesses. So, if you have to talk about Prime it will be 65 :35 in Emerging would be 60 and 40 and Affordable 50:60. This is at the origination stage, disbursement stage. At a portfolio level it will take a lot of time because today the mix is about 70 and 30. It will take time for the mix to stay at a portfolio level .

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Internal Abhas Verma: Okay. Thank you so much. And my second question is for the corporate loan book that we build from here on , what will be the average ticket size and the yields on that if you could help on that?

Girish Kousgi: Average ticket size should be in the range of Rs. 175 to 200 crores. So, we started off the last financial year with a small sanction . We will continue and this year we plan to di sburse about Rs. 1,500 crores to 2,000 crores.

Abhas Verma: Okay. And about the yields, is it like what sort of yields are you expecting on the ...?

Girish Kousgi: Yield should be about 12%.

Abhas Verma: Okay. Thank you so much. That's it from my side.

Moderator: Thank you. Next question is from the line of Siraj Khan from Ascent Capital Partners Please go ahead.

Siraj Khan: A couple of clarification before I ask my question for Affordable book, in the opening remarks you have said Rs. 9,500 crores is the target for FY26, is that correct?

Girish Kousgi: That's right.

Siraj Khan: Okay. And so that would imply we would want to, so in for FY25 we did approximately Rs. 3,400 crores of disbursements. And that would mean we do have to do somewhere in the region of more than Rs. 5,000 crores considering the BT and etc., so would that be a fair assumption?

Girish Kousgi: No, in Affordable BT-out is hardly anything as I mentioned. So as of March, '25 the book is about Rs. 5,070 crores. So, we plan to take it to Rs. 9,500. So, disbursement should be about close to Rs. 5,000 crores, you're right.

Siraj Khan: Okay. And the data keeping question and then I will come to the main question. So, in the past quarters were showing also in the slide, the sanctions that we did in the quarter. So, what are the Q4 sanction? Just to identify the sanction to disbursement ratio for the quarter.

Girish Kousgi: Generally, the ratio between disbursement to sanction is about 66 %-67%. So, we have disbursed little over Rs. 1,200 crores in Quarter 4.

Siraj Khan: So, the sanction rate is somewhere in the range of 66 % for Q4.

Girish Kousgi: Yes, about there, Rs. 1,600 to 1,700 crores.

Siraj Khan: Okay, great. And so now my question comes with respect to the branch expansion. So, in the last quarter we added a significant number of branches to reach 200 branches for the year. What PNB Housing Finance Limited

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Internal is the number that we plot for FY25 and how will be distributed? Will it be again like this year rear ended maybe towards H2 or will it be spread out? That is first.

Girish Kousgi: So, we are at now 356 branches as of March '25. The plan is to take to 500 by March '27. So Affordable, which is now 200 we will take it to about 300 branches and the rest would be largely in Emerging. So, all the branch expansion would happen in Affordable and Emerging. So close to 150 branches will open in next 2 years, that is FY26 and '27. That would largely be in Affordable and Emerging.

Siraj Khan: So, would that be for Affordable specifically, would that be 50 -50 in each year or will it be more in the next year?

Girish Kousgi: It will be almost 80% in Affordable and the balance 20% in Emerging.

Siraj Khan: Understood. And sir, with respect to the pricing, now I think many of the previous participants asked on this and my question is slightly different from the yields. So with the yields, average yield for the whole book in specifically the Affordable was approximately 12%, eleven point something percent on an average basis. So as and when the yields do come down, with the rate cuts, how do you think that it will sustain? Will it go above 12% and or will it be somewhere in the region of 11 %-11.5%?

Girish Kousgi: It will go over 12% because if you remember our earlier yield, the target was 13 %. So with the policy cut, we are now revised up to about 12.65 %. So our yields will go up to 12.65 %. So we have taken that into account.

Siraj Khan: Then basis that the overall book yield would then, I think go somewhere north of 10 %-10.5%, the incremental yield I am talking about?

Girish Kousgi: Yes, because Emerging the yield, what you are targeting is 10.25. Let me talk about FY26 because we really do not know to what extent there will be swing in policy rates, right, and therefore, let us talk about FY '26. FY '26 is the target for Affordable list to take the yield to 12.65 %, Emerging is 10.25 % and Prime will be about 9.5 %-9.6%. So if you take disbursement blended yield, it should be in excess of about 10 %-10.2%.

Siraj Khan: Understood. Thank you. I will join back in the queue for more questions.

Moderator: Thank you. Next question is from the line of Abhishek Jain from AI fAccurate Advisors. Please go ahead.

Abhishek Jain: Thanks for the opportunity and congrats for a strong set of numbers. Sir, my first question on the change in the business mix, in this year, we have done around 26% from Emerging and Affordable housing. So how do you see the change in the business mix in FY '26 and '27 and how much improvement is possible in the ROA and ROE front?

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Internal Vinay Gupta: So on a long -term basis, we have guided that this mix should touch by 40% by FY '27. Right now, we are at 26 %, next year should be around 32 %-34% and then it will reach to 40%.

Abhishek Jain: And at that point, what would be the ROE? In this quarter, we have seen a very good

improvement on the ROE, what is your medium-term target for ROE ?

Vinay Gupta : See, right now , ROE or ROA has upside on account of recoveries from return of pool, which is to the extent of around 40 basis points , so excluding that we are at maybe 2.2-2.5. So by FY ' 27 on a steady state , we want to reach to around 2.5 -2.6 without the support of the recovery.

Abhishek Jain : And my last question on the outl

ook for the Affordable housing industry . What are the key leve rs of the growth in FY '26 and how do you see competition over there?

Girish Kousgi : For Affordable , especially now there is a lot of focus from government as well. PMAY 2.0 Interest Subsidy Scheme, there is a lot of demand for that Interest Subsidy Scheme and even other wise from EWS and LIG and part of MIG, there a lot of demand. So Affordable industry should do well , the growth should be much higher compared to Emerging and Prime . And since our focus is more on Affordable t hat is the reason we are planning to take a book from the flow of Rs. 5,000 crores to about Rs. 9,500, which is almost about 80 %-90% growth in book.

Abhishek Jain : In the next 2 years ?

Girish Kousgi : No, by March 2 6th Affordable booked to Rs. 9,500 crores. By March 27 , our Affordable books will be Rs. 15,000 crores. So March 27 , I reiterate , our retail loan book is going to be Rs. 1,00,000 crore. Out of Rs. 1,00,000 crore , Affordable will be Rs. 15,000 crores, Emerging will be Rs. 25,000 crores and the balance Rs. 60,000 crore will be a Prime book .

Abhishek Jain : Thanks, sir. That is all from my side.

Girish Kousgi : Thank you.

Moderator : Thank you. A request to all the participants . Kindly restrict to 2 questions per participant and join the queue again for a follow up question. Next question is from I ine of Aditi Nawal from RSPN Ventures. Please go ahead.

Aditi Nawal : Thanks for taking my question. I just have one question in the Affordable segment. So the bounce rates sequentially over the last few quarters have been inching up. So what is the bounce rate that we are comfortable with in this particular segment ?

Girish Kousgi : So I think if you look at the industry , bounce rate in the range of 15 %-16%. We are at about 11%, 10.5%-11%. So I think this portfolio , we are very comfortable as long as it is under 15%. But today it is 11 %. We will take a lot of time because we also have built a book largely from low risk and medium risk. So as we increase our business segments, we will be in line with the PNB Housing Finance Limited

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Internal market. Today, w e are much below market in terms of bounce rate. I think we will take another 18 months. I think we will get close to that, but we will be very comfortable as long as it is below 15.

Aditi Nawal : Understood. Thank you so much.

Moderator : Thank you. Next question is from the line of Harsh Shah from Reera Holdings. Please go ahead.

Harsh Shah : Yes. Hi. Good evening, sir. Sir, my question is on the credit cost. So this year , we had around Rs. 160 crores of negative credit cost because of the recoveries and next year also , you are guiding th at recovery could be higher than the credit cost. So my question is, this year we had almost 35 bps flow through to the ROA because of savings in the credit cost. But if I look at FY '27, we might end up at our usual 20 -25 bps kind of credit cost, so that means it would be a negative delta of almost 50 -60 bps in couple of years. Sir, m y question is h ow will we recover that 50 -60 bps of negative impact that our ROA will have from the credit cost ? So currently , we are at 2.75 ROA which could go down to maybe 2. 25-2.35 of this negative credit cost turning to credit cost expense ?

Girish Kousgi : So if you look at our recovery pool, I think whole of FY'26, the credit cost is going to be negative because of the recovery , right . In FY'27, we will not get that much support because we won't have really pool available. In the meanwhile , we would have built our corporate book . We would have increased our share of Affordable and Emerging a nd also parallel ly, we are trying to increase yield in all the three segments , I think barring quarter 4, right. So today the NIM is about 3.6 -3.7. By FY'27, NIM will go to 4.0-4.1. So with that standalone, the credit c

ost is going

to be about 25 b ps and ROA will be 2.5 -2.6.

Harsh Shah : That is what I wanted to hear. So you are working towards getting that NIM to above 4 %-4.1% kind of a number ?

Girish Kousgi : Yes.

Harsh Shah : Alright, sir. Thank you so much. Thank you.

Moderator : Thank you. Next question is from the line of Siraj Khan from Ascent Capital Partners. Please go ahead.

Siraj Khan : Thank you very much for the follow up. With respect to the pricing strategy and again this is kind of related to both the Emerging and Affordable segments. Again, the Affordable segments have dropped in the yields for Q4 b ecause of seasonality and competition across the board in the

other HFCs , and even your Affordable HFC , we have seen the incremental yields dropping. So although you are saying that the yields will be above 12%, but my question was, would it be in our benefits to not go too much ahead and stay like a cost leader? Are we doing this by design
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Internal or is it happening by default that kind of we are getting the benefits of being like a low cost leader in the space with respect to the yields ?

Girish Kousgi : So I think we are very clear in our strategy. See , if we look at Affordable business, there are three segments, low risk, medium risk and high risk. So the strategy for us is going to be focused on 20% from high risk, 60% from medium risk, 20% from low risk. So this would give us a yield of about 12.65 % . So we would neither be at the bottom in terms of pricing nor at the top . We will be somewhere in between, and our yield is going to be 12.65. So that is the strategy .

Siraj Khan : Understood. So I was just wanting to understand whether this was by design or something and any specific buckets of ticket size , say for example, I can see from the presentation that less than 35 lac ticket size is the predominant one. But even in the specific sub segments or with respect to the 10 -15 or 15 -25, any specific band of ticket size that you see is showing good growth in the specific sub segments of this ticket size ? And secondly, any specific geography that you are seeing any early times of you can say with respect to asset quality troubles or any specific region, even with the ticket size and the geography ?

Girish Kousgi : So in terms of average ticket size, today we are at about 15 -16 lakhs. So I think once we increase volumes, it will be around 14,00,000. Now , in terms of geography, I think the South is doing well, North is doing well , and the West is doing well. So I think our strategy would continue. We don't have any pocket or geography which is a clear logo for us. So we are pretty much comfortable because we have our experience , we have industry experience. So as of now , all the geographies are doing pretty well in terms of portfolio quality and we would remain focused on all these geographies and in future , if there is a need , then there might be a small peak here and there, but I think by and large our strategy is going to be there .

Siraj Khan : Understood. Because we are looking at some of the results of some of the H FCs, they were speaking about a few issues in the Southern region and a bit of issues in the Madhya Pradesh and so I was like because we have a good presence in these areas , so are we seeing any risks or are we seeing anything on ground in these specific regions in our book or maybe even initial

Girish Kousgi : Not at all. South is doing well. West is doing well. North is doing well, so we have not seen any stress .

Siraj Khan : Thank you very much.

Moderator : Thank you. Next question is from the line of Harshit Toshniwal from Premji Invest. Please go ahead.

Harshit Toshniwal : Hi, sir, congratulations on good set. The question is the cost of funds this quarter so, I think when we look at the sequential decline, is it that a lot

of the cost benefits is passed on or what has led to this decline if you can help us know ? And given our mix, if you can help us that within the
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Internal bank loans, how much would be MCLR linked and how much would be repo EBLR linked ?

And if you can also help that, how should we expect the cost of funds to pan out next year?

Vinay Gupta : So there is no sequential decline , but year-on-year, we have seen a decline of 15 bps and this is largely has happened post the rating upgrade for us in Q4 of last year and Q1 of this financial year. So more or less , we have now received the benefit of the rating upgrade, which is in the range of 15 basis points as of now . Out of the total loan book, the term loans that we have around 40% of it is linked to repo and rest is linked to MCLR which are also short -term in nature , mostly 1 month and 3 months. Translation , again, it depends because we are also watching while repo is obviously being repriced immediately in some cases . In some cases it takes 2-3 months . But on the MCLR side, there is still no action as such from bank. So depends on when we see that transmission to start happening. What we are expecting, somewhere around 10 -15 basis point s reduction over a period of the next 2-3 quarters in our cost of borrowing .

Harshit Toshniwal : Sir, just on one thing, I think when we look at this 40%, maybe I think 50 basis points reduction if I take then I think 20 -25 basis points of reduction in my overall cost of funds can be from this and on the public deposits also there should be. So I am just wondering that when you are saying 15 basis points reduction on a full year basis, are we being conservative here?

Vinay Gupta : Say 40% or 40%, so our overall term loans are 40% of our total borrowings . Within that term loans , 40% is linked to repo. So on an overall basis, it is 16% roughly , not 40%. So on that also transmission comes with a lag, maybe it takes 2-3 months for certain banks to reprice. So it will come , but yes, the impact is 15 -16 basis points which is direct. Remaining is linked to MCLR,

which will be over a period of time.

Harshit Toshniwal : Understood, got it sir. Sir, in that context, when we look at our margins this year to next year, given the fact that in the Prime also we have not yet taken P LR cut anything right now, but there will be an increased competition and obviously, as you said, corporate loan all , etc., and mix ed will help, but still maintaining the margins , do you think that it would be the best case scenario because for a 15 basis points decline only and still for our Prime and Emerging , the rate cut and the competition cycle will play out in the next 2-3 quarters . Just wanted to get your sens e on that piece itself that the offset elements will be so effective that the corporate mix and the mix change is going to offset the entire impact ?

Girish Kousgi : We have multiple levers to increase our fees vis -a-vis compared to the impact because of poli cy cut and thereby impact on customers and therefore transmission to the customers, right. So they , as I mentioned to you, whatever is the benefit we get because of policy rate cut that we will pass on, to that extent we will pass on to our customers. At the same time, we are working on multiple things. From this year , we have started the LAP vertical, so that will be at a higher yield , number one. Nu mber two, all the three segments, Prime , Emerging and Affordable , we are increasing yield . Number three, we will start corporate. So these three things will ensure that the yield s will

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Internal go up. And there will be some impact because of the policy rate cut. I think that can easily be offset with th ese initiative s.

Harshit Toshniwal : And sir, on our cred it cost, if I exclude the w

rite -off then it is 46 basis points this quarter , if I am

not wrong, 45 basis points, if you can help us that X of the recoveries, how should we look at the credit cost given the book will season over time, especially the Affordable one?

Girish Kousgi : Our credit cost will be about 25 bps.

Harshit Toshniwal : Okay.

Girish Kousgi : X one-offs.

Harshit Toshniwal : Got it. Sure. Thank you, sir.

Moderator : Thank you. Next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi : Thank you very much to giving me the opportunity to ask the question . Girishji, you and your team are doing a very good job in housing a finance company and we salute you are d oing such fantastic work for PNB Housing.

Girish Kousgi : Thank you, sir.

Ravi Naredi : At this stage , can you tell on 25 number page of investor presentation , you sold 537 properties , so out of selling of this property , how much we lose or how much we gain? Can you tell the figure?

Girish Kousgi : When we actually sell property on the retail side , we hardly lose anything. We don't lose at all. At times, it will be no loss , no profit on principle. So if we talk about corporate, there could be a haircut of about 20 % , 30%, 35%. But when it comes to retail, literally there is no haircut. So whatever properties we have sold through SARFAESI action, legal initiation , so the loss is hardly anything. At the enterprise level , there is no loss . At an account level, you might have lost into few account s, but you also get more in the other accounts and therefore it just gets netted off. So there is no loss in the retail side.

Ravi Naredi : And you had given very fantastic projection , Rs. 1,00,000 crore AUM by next 2 years. It is really fantastic and we hope you will att ain this AUM figure. Thank you very much to giv ing me the opportunity to ask the question.

Girish Kousgi : Thank you, sir.

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Internal Moderator : Thank you very much. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Ms. Deepika Gupta Padhi for closing comments.

Deepika Gupta Padhi : Thank you everyone for joining us on the call. If you have any questions and answer, please feel free to get in touch with the Investor Relations team. The transcript of this call will be uploaded on our website. Thank you.

Moderator : Thank you very much. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2025

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Public
Ref: PNBHFL/SE/EQ/FY2025-26/60
July 28, 2025

The BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
The National Stock Exchange of India Limited
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir(s),
Sub: Transcript of Earnings Conference Call held on July 22, 2025 – Q1FY26

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, please find attached the transcript pertaining to the earnings call held on July 22, 2025 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2025.

This intimation is pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same shall also be available on the website of the Company at www.pnbhousing.com

Kindly take the above document on record.

Thanking You,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above.

July 22, 2025

MANAGEMENT : MR. GIRISH KOUSGI - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , PNB HOUSING FINANCE LIMITED
MR. VINAY GUPTA - CHIEF FINANCIAL OFFICER , PNB
HOUSING FINANCE LIMITED
MR. DILIP VAITHEESWARAN - CHIEF SALES OFFICER
(PRIME & EMERGING BUSINESS), PNB HOUSING FINANCE
LIMITED
MS. VALLI SEKAR - CHIEF SALES & COLLECTION OFFICER ,
PNB HOUSING FINANCE LIMITED
MS. DEEPIKA GUPTA PADHI - NATIONAL HEAD (TREASURY
AND IR), PNB HOUSING FINANCE LIMITED

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Internal Moderator : Ladies and gentlemen, good day and welcome to PNB Housing Finance Limited Q 1 FY'25-'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi. Thank you and over to you , Ms. Padhi.

Deepika Gupta Padhi: Thank you, Renju. Good morning and welcome, everyone. We are here to discuss PNB Housing Finance

Q1 F Y '26 Results . You must have seen our business and financial numbers in the Presentation and the Press Release , shared with the Indian Stock Exchanges yesterday evening, and it's also available on our website.

With me, we have our Management Team led by Mr. Girish Kousgi – our Managing Director and CEO. We will begin this call with the performance update by the Management, followed by an interactive Q&A session.

Please note , this call may contain forward -looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statement to reflect future events or circumstances. A detailed disclaimer is on Slide 45 of the investor presentation.

With that, I will now hand over the call to Mr. Girish Kousgi . Over to you, sir.

Girish Kousgi: Thank you, Padhi . Good morning, everyone. Thank you so much for taking your precious time out in the morning. I am pleased to present our Q1 F Y '26 Results Performance .

On the industry, this quarter, RBI announced another 50-bps repo cut to 5.5% with immediate effect, and reduction in cash reserve ratio of 100 bps, staggered in 4 tranches of 25 bps each , effective from September 2025.

This move is timely for the Indian Real Estate industry and can have deep -reaching implications across all stakeholders, ranging from the aspiring homeowners to developers and investors. This hat trick reduction not only reaffirms RBI's commitment to supporting economic recovery, but also displays stability and growth, particularly for interest -sensitive industry like Real Estate .

Talking about the Company 's performance :

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Internal The Retail loan book grew by 18.1% Y-o-Y to INR 76,923 crores as on 30 June 2025. The total loan book of the Company stood at INR 77,732 crores as of 30 June , 2025. The Affordable and Emerging

market segment formed 37% of the Retail loan book.

Our overall collection remained strong in Q1 FY'26. We had considerable recoveries contributing to reversal in credit costs of minus 27 bps. The gross NPA as on 30 June is 1.06%. We continue to work towards achieving 1% NPA. NIM remained stable at 3.74% during the quarter, achieved ROA of 2.57% for Quarter 1 on an annualized basis.

Let me now talk about in more detail on the performance achieved during the quarter :

On disbursements during the quarter, with focus on high -yielding business, disbursements in Affordable segments grew by 30% Y-o-Y and Emerging Market segments by 32% Y-o-Y.

The disbursements in Prime segments have considerably slowed down to avoid pressure on margins. As a result, the overall Retail segment disbursement grew by 14% Y-o-Y during the quarter to INR 4,980 crores. We will continue to focus on a strategy to grow Affordable and Emerging market segments.

Total Pan India branch network of the Company is 356 branches. Out of 356, 200

is in Affordable .

During the quarter, the Company had reclassified 20 branches from western region , having a potential of giving high -yielding business. So, these were the 20 branches which were in Prime segment as per our classification. But these 20 branches had the potential of generating business at a higher yield , and therefore, these 20 branches have been moved to Emerging . To that extent, all the numbers are post -recast.

So, with this, the Emerging market branch count has increased to 80 branches. All the numbers of past periods have been re -casted for like -to-like comparison. With our large Pan India presence, we are ready to capitalize the opportunity available in Tier-2 and Tier-3 cities. We plan to add 40 to 50 branches annually. That is the plan for this year as well.

The gross NPA improved to 1.06% as on 30 June , 2025 as compared to 1.08% on 31 March , 2025 , and 1.35% as on 30 June , 2024. During the quarter, we recovered 57 crores from Retail and Corporate put together. The Company has a remaining written -off pool of around INR 700 crores in Corporate , and INR 400 crores in Retail.

On borrowing mix, the reduction in the repo rate resulted in 8 bps decline in our cost of borrowing to 7.76% in Quarter 1 from 7.84% in Quarter 4 of FY'25. On an incremental basis, the cost of borrowing declined by 39 bps during the quarter. Resultantly, we have also reduced our PNBH FR by 10 bps which is applicable from 1 July , 2025. NIM remained stable at 3.74% for the quarter versus 3.75% in Q4 FY'25. For FY'26, we expect NIM to be around 3.7%.

On profitability, our efforts across parameters aided in improving the profitability. Our return on assets on annualized basis is 2.57% in Quarter 1 , as compared to 2.55% in FY'25. ROE was at 12.39%.

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Internal With this, I would like to hand over the call back to Deepika.

Deepika Gupta Padhi: Thank you, sir. I will now request Vinay , our CFO to talk about the financial numbers.

Vinay Gupta : Thank you, Deepika. Very good morning to everyone.

As you would have heard from MD sir , and you would have seen from the results, our loan book has grown 16% year -on-year and Retail loan book has grown 18% year-on-year in line with our guidance.

Driven by the strong performance of asset book growth, our P&L also reflects the similar trend.

Let me cover some of the P&L highlights in more detail :

So, you would have seen yield for the quarter is 9.99% versus 10.03% in Q2.

With respect to borrowings, with decline in repo rate, borrowing cost declined by 8 bps to 7.76 bps. The incremental cost of borrowing declined by 39 bps to 7.44% in Q1 as compared to previous quarter.

Our net interest income during the quarter was INR 760 crores, increase of 17% year-on- year and 4% quarter -on-quarter. NIM remained stable at 3.74% in Q1 , in comparison to 3.75% last quarter. With the decline in cost of borrowing post rate cuts, we have also reduced our P NBHFR by 10 bps effective from 1 July 2025.

Gross margin now stands at 4.06% versus 4.27% in Q4 and versus 4.03% in Q1 FY'25.

Our operating expenses grew by 12% year-on- year to INR 216 crores versus INR 193 crores in Q1 FY'25. The increase in operating expenses is much lower than the increase in Retail loan book of 18%, driving positive operating leverage for the Company . Our Opex to ATA for Q1 is 1.02%. We continue to maintain our Opex to ATA guidance of around 1 % to 1.1% going ahead.

Our pre -provision operating profit has grown 17% year-on- year to INR 632 crores on an overall basis.

Credit cost continues to be negative at 27 bps for Q1 FY'26. During the quarter, we have recovered INR 57 crores from the written -off pool .

Happy to report a PAT of INR 534 crores in Q1, which is up 23% year-on- year. ROA improved to 2.57% in Q1 from 2.55% during last financial year. ROE stands at 12.4% for

Q1 FY'26.

With respect to CRAR, it remains healthy at 29.7% , out of which Tier-1 is 28.96%. Our book value now stands at INR 673.

With this, I now hand over back to Deepika for taking this forward.

Deepika Padhi : Thank you, Vinay. I will now request Dilip, our Chief Sales Officer for Prime and Emerging business to give segment 's performance update.
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Internal Dilip Vaitheeswaran : Thank you, Deepika, and good morning friends. Welcome to the call. Appreciate you taking the time out.

For the quarter gone by, we managed to do well on growth as well as asset quality. Given the scenario of the rate sensitivity in the market after the repo rate drop, we decided that with growth and margins being a priority, we will choose to grow the Prime book at a slower pace and focus more on the Emerging Markets.

As you can see, the Prime and Emerging markets book together reached INR 71,000 crores, a growth of almost 13% Y-o-Y. On disbursements, the disbursements in Prime Markets grew by 1% to INR 2,479 crores, whereas the Emerging Markets business grew by 32% Y-o-Y to INR 1,736 crores. Another margin accretive business is NHL, where we did INR 1,350 crores of disbursements for the quarter, a growth of 41% Y-o-Y.

A few highlights :

The share of Emerging Markets business is growing up consistently in disbursements, contributing to 35% in Q1 of FY'26, this was 30% last year Q1. The business in Emerging Markets is generated at a yield increment or a premium of 35 basis points over the Prime business.

NHL also stood at 35% of incremental disbursements in Q1 FY'26, this was 29% last year in the same quarter. Even in the Prime Markets, the NHL mix has gone up to 30% in the 1st Quarter. So, like I said, the focus continues to be growth along with margins, and will continue to be in the quarters to come as well.

Keeping this in mind, we had also set up an exclusive NHL team in 10 markets across the country. This is shaping up well, has already started contributing to disbursements and will hopefully contribute to INR 100 to INR 150 crores of incremental disbursements in the quarter to come. To strengthen our NHL offering, we also launched a fixed rate offering, which has also been received well across markets and will help us contribute further.

So, to summarize, as we navigate this journey in the coming quarters, we will focus on margin -accretive business and rely on our strength across distribution, our strong brand presence, our technology, and make sure that the Company manages to prioritize all its imperatives - growth, asset quality, and margins.

Thank you so much, and back to you, Deepika.

Deepika Padhi : Thank you. Dilip. I will now request Valli, our Chief and Sales Collection Officer for Affordable business to update on the segment 's performance.

Valli Sekar: Thank you Deepika. Good morning, everyone. It is my distinct pleasure to share with you the progress we have made in our Roshni business over the last quarter.

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Internal We have concluded 1st Quarter of the financial year with a remarkable loan book of INR 5,744 crores, reflecting a phenomenal 143% year -on-year growth, up from INR 2,361 crores of Q1 of this previous year, and we have also doubled the loan book in one year from INR 2,361 crores to INR 5,744 crores in June 2025.

Our disbursement performance tells an equally compelling story. In Q1 FY'26, we disbursed INR 765 crores, delivering 30% growth over INR 586 crores in Q1 previous year, demonstrating strong momentum and growing market acceptance.

And our incremental yields have also improved, touching 12.1% this quarter compared to 11.6% last year, driven by our focus on high -yielding segments and Tier-3 and Tier-4 markets.

Over the past year, we have added 40 branches, taking a total footprint

to 200 branches across 130

potential districts in 15 states. I am happy to report these branches have started operational and started to contribute significantly to our business.

We have also forayed into 3 promising new markets, namely Punjab, Chandigarh and North -East, with plans to deepen our presence in the coming fiscal.

Our Pan-India operations are well -balanced across 3 zones, North Zone contributing 35%, followed by West at 35% again, and South at 30%. The geographical balance ensures resilience and consistency in our growth. Tamil Nadu leads in our A UM, followed by Uttar Pradesh, Maharashtra and Madhya Pradesh.

Our customer profile continues to evolve. Self-employed rose to 41%, up from 38% a year ago. Informal segment sourcing grew 30.4%, up from 26% last year, now forming a sizable part of our book. 74% of the portfolio is within the ticket size of INR 25 lakhs, and 34% of our portfolio remains non -housing loans. Importantly, our portfolio quality remains strong. Bounce rates are well -controlled at 11%. NPAs are

impressively as low as just 0.3%. We are incredibly proud of what we have accomplished. With the momentum and strong foundation we have laid, we are confident of closing the financial year with a loan book approaching INR 9,500 crores.

Thank you so very much for the continued support and trust. Over to you, Deepika .

Deepika Padhi : Thank you , Valli. Renju , we can now open for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. (Operator Instructions). Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes on the line of Renish with ICICI. Please go ahead.

Renish Bhuva : Yes. Hi, sir. Congratulations on a good set of numbers. Sir, just 2 things. One, on this steady state ROA from FY'27 onwards. So, currently, we are enjoying the provision write -back and that is supporting our PNB Housing Finance Limited
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Internal ROA. But once the credit costs normalize to let's say 20 -30 basis points, obviously ROA will get impacted by almost 50 basis points , in a sense , credit cost of 20 -30 plus the write -back which we are yielding around 20 basis points. So, what are the levers do you see which can offset the impact of credit cost normalization going ahead?

Girish Kousgi: Okay. So, I think as rightly pointed out by you, we would have support from recoveries maybe for next 5 or 6 quarters. And after that, actual credit cost is going to be about 25 bps. While we have few levers on improving margin , which is today at about 3.74 % , 3.75%. So, we plan to take NIM to about 4 % to 4.1%. So, that will offset. And, we are increasingly trying to increase the share of origination from Affordable and Emerging , and now we are trending within the segment to the high-yielding segment. So, we will see yield improvement in Affordable business, in Emerging business. So, Prime quarter one was little tough because of two reasons ; one, cyclical ; and second , because of repo cut almost about 100% in about four to five months ' time. So, this may not be the case going forward so we will also try and see if we can likely increase yield in our Prime book. And as mentioned earlier, this year we have launched a new vertical called Loan Against Property. So, these four vertical s' yield implement will help us to improve our margin. And with repo going down , with a lag effect, we will also see some benefits on the cost of borrowing. So, that would help us to maintain a ROA of 2.5% beyond '27 as well.

Renish Bhuva : Got it. So, sir, just a follow up on that. So, even as of today, on a stock basis, our non -HL portfolio is touching 30% , to be precise, it is 29 % as of June. So, to what level you would like to expand this mix in terms of NHL and HL? Because then obviously under HFC guidelines, there is some limited leeway to th

e extent we can scale non -HL.

Girish Kousgi: So, I think the increase is going to be by 2.5 % to 3%, not beyond that. But I think the idea is not that. The idea is that we are focusing on markets where within NHL we can try and get good profile customers at a slightly better yield . So, it is a mix of both ; one is slightly increasing in the mix ; number two, also trying to increase the yield .

Renish Bhuva : Got it. And, sir, just the last thing on this asset quality bit on the Affordable housing. So, obviously, the gross NPA has been rising from the last three to four quarters and still it is almost the lowest when compared to peers, even particular DPD. But the sequential increase in gross NPA quarter -by-quarter, how does one bring this data point? Obviously, one thing is that the seasoning effect might be kicking in, but is there anything else which is sort of driving this higher gross NPA quarter -by-quarter or it is just seasoning?

Girish Kousgi: No. See, actually, if you look at quarter value, it is cyclical. And this is true for all the segments, not just Affordable , even Prime and Emerging , and this is across the industry. So, for us, Affordable is behaving very well. If you look at the bounce, which is the starting point, it is still below the industry average , it's about 11. 1%, right? So, if you compare it with some of the players , obviously, the bounces are in a higher, I think, northward s of 18 % , 19%. So, I think portfolio is behaving very much under control.

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Internal See, now, we started this business in January 2023 , so now it is almost more than two and a half years , so the book is maturing. So, obviously, we will see some delinquencies in 30 -plus, 60 -plus, 90 -plus. But I think overall, we would always be much lower than the industry average. And overall, as an enterprise, as an organization, we want to keep an NPA at 1 % . And even in Affordable we would not , now I think in the quarters to come we would ensure that NPA is little less than 1 % , I think that's the plan. So, we do not see any change at all because even in quarter one, even in quarter one, our bounce rate is, you know --

Renish Bhuva : Yes, it's steady at 11 %.

Girish Kousgi: Absolutely , yes.

Renish Bhuva : Okay. Thats it from my side, sir. Thank you and best of luck.

Girish Kousgi: Thank you.

Moderator: Thank you. Next question comes from the line of Suraj Das with Sundaram Mutual Funds. Please go

ahead.

Suraj Das: Hi, sir. Thanks for the opportunity. Sir, one question I think you have alluded on the margin front. But the question is, I mean, despite favorable movements towards higher yielding portfolio, it is not getting reflected in the yield part. The yield has not seen, let us say, much of benefit over the past four to six quarters despite favorable non-mixed movements towards Emerging and Affordable, which are relatively higher yielding versus Prime. And Prime, as you said right now, I think 60% to 63%, 64%. So, the question is, sir, what would be the inflection point when it is reflected in the yield part? And the related question to that is, sir, in terms of securitization income, where do you book it in P&L, is it in the interest income or is it in the non-interest income? Yes, I think that is my question one.

Girish Kousgi: So, see, the way we look at it is that we are very clear on our margin, right? With the repo going down, so obviously, our yield also would get moderated to a certain extent. So, we are very clear on the margins, what we need from each of these segments. So, because with the repo going down, even the cost will go down, maybe with a little bit of a lag, right? And therefore, we do not have too much of control on the cost of borrowing or on the yield, but we have full control on the margin, right? So, it was almost about 100 bps in the last six months' time.

To that extent, if you look at the yield, it is still very stable compared to Q4 and Q1, yield is still very stable. So, I think the way to look at it is we should look at how is the margin in lending. So, last quarter it was 3.75%, this quarter it is 3.74%, and we are guiding that this year we will be around 3.7%. So, earlier I had guided between 3.6% to 3.65%, so now we are upping the NIM guidance to around 3.7%. So, we are very, very clear on the margins. Yes, there could be slight variation in the yield, slight variation in the cost, I think that is the way how we look at it.

Vinay Gupta: Yes, and on the securitization income, it is part of interest income.

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Internal Suraj Das: Sure, sir. And sir, you have not taken any PLR reduction, right, I mean, like whatever Bajaj or Canfin does. So, I mean, what is your plan on passing on the interest rate on the which balance sheet side? Do you intend to take any PLR rates in the coming quarters or let us say in the second half?

Girish Kousgi: So, two things happen when there is a repo cut. So, one is the origination yield will go down, this is for all, including PNB housing. Second is, the benefit what the company approves because of the repo rate cut. So, we have got the benefit of 8 bps, and we will be passing on 10 bps from 1st of July.

Suraj Das: Okay, sure. And sir, last question, I think extending their initiation, that in terms of this asset quality piece in the Affordable housing, while the numbers are still muted, but let us say whatever customer segment that you are serving, according to you, what would be the, let us say, steady state number where this 30 DPD or 90 DPD or even bounce rate is stabilized, what is that level?

Girish Kousgi: So, as I mentioned earlier as well, within Affordable there are three sub-segments, high risk, medium risk, low risk. And our mix is going to be 20%, 60% and 20%. So, 20% of origination will be from high-risk segment, 60% from medium risk segment and 20% from low-risk segment. So, given this mix, we feel the peak of NPA for us is going to be somewhere around 1% to 1.1%.

Suraj Das: Sure, sir. Got it. All the best. Thank you, sir. That is all from my side.

Girish Kousgi: Thank you.

Moderator: Thank you. Next question comes from the line of Abhishek Kumar Jain with Alfaccurate. Please go ahead.

Abhishek Jain: Thanks for the opportunity and congrats for a strong set of numbers, sir.

Girish Kousgi: Thank you.

Abhishek Jain: My first question on the Prime segment. In this quarter, we have seen very muted growth of just 1%. So, what is your target for the disbursement growth in the Prime segment for FY '26, sir?

Girish Kousgi: So, the Q1, as I mentioned to you, was a little unusual this time because Q1 being cyclical also got added with the rate cut, right. As I mentioned to you, we are very, very clear on margins. And we are doing two things. One, we are increasing, if you look at our disbursement share in Q1, Emerging and Affordable is 50%. So, 50% origination is from Affordable and Emerging. So, we are trending more towards origination from Affordable and Emerging. So, the growth in Prime is going to be a balanced number. So, we have guided book growth of 15% for this year and that will definitely be met.

So, if you look at the book growth in Prime, it's going to be in single digit this year and this is as per plan. And this is our strategy not to grow the Prime book faster. It will always be a balancing number. So, the growth in book in Prime is going to be around 8%, 9%. And the disbursement should be around 12%, 13% for the whole year.

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Internal Abhishek Jain: And my second question on the ROE side. The ROE is moving between 12% to 12.5%. And just wanted to understand what is your

ur roadmap for achieving mid-teen ROE in the medium term?

Girish Kousgi: See, I think we all should understand that we raised capital recently and because of that there is a drag. Otherwise, all of the parameters are in line as per the projections and as guided. So, we are also trying to look for opportunities where we can try and increase the pace of growth on book in all the segments.

So, I think in about let's say three years or so, we should get to around 14% odd.

Abhishek Jain: Okay. Thank you. That's all from my side.

Girish Kousgi: Thank you.

Moderator: Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal Financial Services Ltd.

Abhijit Tibrewal: Hi, good morning. Sir, just two things. While , congratulations on first quarter results and also heartening to see that you have increased your NIM guidance for the full year to 3.7% now. But just trying to understand, given that we have seen a 50-basis points rate cut last month, repo rate cut last month, what could NIM trajectory look like for the next two to three quarters? Now why I ask this is, I mean, what is 3.74% that we reported in the first quarter , if we are guiding for a full year of 3.7 %, that essentially means that we are not looking at any margin compression in the coming quarters. So, is that the right way of looking at it? I am just trying to understand what could NIM trajectory look like in the second and 3rd Quarter ? That's my first question.

Girish Kousgi: So, definitely, if you look at the next two to three quarters, there could be further cuts. I would not guess as to how much it's going to be , there could be a cut, right? But at the same time, we also have a very clear plan to increase our margins in all the segments. And therefore, we are very confident our limit is going to be around 3.7 %, give or take, plus or minus to this here and there.

Abhijit Tibrewal: Got it, sir. And, sir, then the second thing I wanted to understand is, I mean, you have yourself kind of passed on 10 basis points effective July. Most of the other I would say HFCs, right, have passed on in that same ballpark , someone is at 10 like you, some others are at 20 , someone is at 25 basis points, PLR cuts that we have seen. So, there are two parts to that question that I wanted to understand. First thing is, I mean, what's our kind of strategy around these ALCO meetings and PLR cuts? What I am trying to understand, is it the quarterly recalibration in PLR that we do or can it be done even during the middle of the quarter? And secondly, despite these large HFCs not passing any PLR cuts, despite that, we are not seeing any significant increase in BT outs.

So, where is the disconnect? I mean, compared to past cycles, there used to be a big pressure on balance transfers in a declining rate cycle, which essentially meant that large HFCs had to pass on, I would say, rate cuts even before their liabilities got repriced. So , if you could just help us understand this better.

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Internal Girish Kousgi: See, we manage the cost very efficiently, cost of borrowing very efficiently. And whatever benefit we get, we pass on to the customer. Now , it will come with three to four months lag, and we will also follow the same time schedule. So, that is the reason you will see different companies passing on different, maybe some 5 to 8, some nothing at all, some 10, some 15, right? I think we need to look at what works for PNB Housing and PNB Housing customers, number one.

Number two, we have a very strong retention team. We always believe that retaining a customer is more profitable than acquiring a new customer. And therefore, we have a very good handle on our total closures. If you look at total closures for Q1, it is 16%. So , if you remember, it used to be about 21 %, 22%, I think a little over maybe seven, eight

quarters back. And we have brought it down to 17 %, and

now further down to 16 %. So, if you look at our BT out, it is at 6%. And if you look at the BT -in, we have on Prime in Q1 BT-in was slightly lesser than BT -out. Otherwise, BT -in and BT -out both are the same in time, this quarter being a little bit of exception.

So, for this quarter, on Prime business, BT -in is slightly lower than BT -out. On Emerging business, BT -in and BT -out is almost similar. And on Affordable , we have significantly higher BT -in compared to BT-out. So , we have a very good handle on customer retention. And eventually, BT -out is going to be a much controlled number for us . And that is why we are able to grow.

Abhijit Tibrewal: Got it. And just one last data keeping question , you shared it in the earnings call. So , in our Affordable business, this quarter whatever disbursements that we did, what was the proportion of BT -ins in the Affordable business?

Girish Kousgi: So, BT, this is on the portfolio. So, BT-in was about 12% and BT -out is hardly anything because it is a new book.

Moderator: Thank you. Next question comes on the line of Viral Shah with IIFL Capital. Please go ahead.

Viral Shah: Hi, good morning . And I would say congratulations on good set of numbers. Sir, two questions. One is , you have reclassified 20 of your Prime branches to Emerging segments. I know historically that is how we started building out this segment. But what this also means is that our share of say Affordable plus Emerging , which was 25% until last quarter, goes up by close to 11% , right? So, does our say target mix for FY '27 or by end of FY '27 of 40% also correspondingly rise to 50%? Because with this 10% kind of shift, inherently the profitability of the business currently doesn't change, right? At an overall level, I mean to say.

Girish Kousgi: So, there are two answers to this question. So, this movement of branches from Prime to Emerging or

Emerging to Affordable is more market-driven and segment-driven. So, we are doing this for the last three years, right?

Girish Kousgi: There are two answers to this question. So, this movement of branches from Prime to Emerging or Emerging to Affordable is more market-driven and segment-driven. So, we are doing this for the last 3 years.
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Internal years, right. So, when we started Emerging business, so we carved out certain set of branches in the Prime, which we see that these branches better move to Emerging segments. And therefore, it was almost about 23 and 27. So, this is a continuous exercise. Because our strategy, our focus is to completely move towards Affordable and Emerging in let us say, next 4-5 years' time, this will be an ongoing process. This will be a continuous process. To answer your second question, yes, that 40% will now obviously go up, definitely, yes. Because when we had planned 40%, we had not taken into account the movement of these 20 branches. So, definitely that 40% will go up.

Viral Shah: So, that 40% goes to 50% now. Is that right?

Girish Kousgi: Yes. So, we need to work out the math. Maybe give or take 1% or 2%, but definitely 40% will go up.

Viral Shah: Got it, sir. Sir, my second question was on?

Girish Kousgi: And also going forward, depending on the opportunity, we would convert Prime into Emerging. The way we would convert is that wherever we feel the branches are more closer to Emerging markets, we move that from Prime to Emerging and we will recast. So, that we have an apple to apple comparison A, B or we might take a decision to close the Prime branch in a location and open one Emerging branch in the same city if the segments are different. So, this keeps on happening.

Viral Shah: Got it. That is very clear. Sir, my second question is on the asset quality piece. Now I understand, of course

, our book is now gradually getting seasoned on the Affordable side, which is why on a sequential basis, we see these numbers. Can you give some sense on what is the rollback rate? Because as you mentioned, the bounce rate, I think, is controlled and is materially lower than the peers, of course, on a seasoned book for them. But when I look at, say, 1-1/2 year, say, on a lag basis at 30-plus numbers, I think we are still probably somewhere in line with what peers are there on their seasoned book. But on a sequential basis, that number has increased. So, while the bounce rates are controlled, what is the kind of, say, rollback rates that we see after, say, maybe missing on a, say, 1 + DPD or 30 + DPD, if you can give those numbers?

Girish Kousgi: Actually, I had partly addressed this question earlier. So, I had also told, maybe in the next 4-5 quarters, we would see an NPA in Affordable books, let us say, close to, maybe 0.75%-0.8% and eventually peak at about 1.1%. So, given the mix of the segments into which we are within the Affordable segment, we are looking at a peak of about 1.1% and if you look at our bounce, it is still at 11.1%, very much under control, because at least for bounce, the book is vintage, right? Even to take on a lag basis, I think, if you look at the cases which are into various pockets, it is very increasing, yes, 30+ has gone up, 60+ also will go up, 90+ also will go up. But that will be much lower than the industry average. In terms of roll forward and roll back, we will share the numbers separately, because we don't have the numbers separately with us.

Viral Shah: Sure, sir. Thank you. And just one clarification, sir, when you said that you will be better than your peers, you meant to say on a seasoned book, right? So, maybe a year or 2 years down the line?

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Internal Girish Kousgi: Yes. I am only saying like-to-like comparison. On a like-to-like comparison, we will be better than the competition. We will be better than the industry.

Viral Shah: Got it, sir. Thank you so much and all the best.

Girish Kousgi: Thank you.

Moderator: Thank you. Next question comes in the line of Vatsal Nagelia, an Individual Investor. Please go ahead.

Vatsal Nagelia: Good morning. I have a question on the Affordable housing segment. One of your peers mentioned that they are seeing developers pulling back supply in the segment as a result of difference in the new PMAY scheme. So, are you seeing going forward that the system level growth in Affordable housing will slow down? And how has been the on-ground implementation of the PMAY 2.0?

Girish Kousgi: I didn't hear the first part of the question. I heard the second part. So, could you repeat the first part?

Vatsal Nagelia: Yes. So, it is one of your peers mentioned that developers are pulling back supply in the Affordable housing segment as a result of the difference in the new PMAY scheme, so are you also seeing that?

Girish Kousgi: No. See, I will tell you. So, it is not the right comparison, inter-subsidy scheme with the earlier CLSS scheme. Now for many reasons, due to paucity of time, I will just mention 3 reasons. Now in terms of quantum, so this time the inter-subsidy amount might be little less. But I think for the lending institution and for the customer, it is a big win for three reasons. One, the subsidy what the customer gets is in 5 annual installments. So, within those 5 years, customers won't be allowed to switch. If a customer switches the institution, then the subsidy is stopped. So, this is a big plus for the lending institution

because customers would remain on the book for at least 5 years , number one. Number two, customers cannot be delinquent. If the customer becomes delinquent, then the subsidy is stopped. This means customers are motivated to keep their repaym

ent track record s atisfactor ily. So, these are the benefits and number 3, this time, as a lending institution, we also get Affordable funding from the regulator industry. So, that we can lend to our customers , these are all the benefits. So, it can 't be exactly compared with the earlier scheme. This scheme has taken off well and we have seen good traction. And this will gain more traction in the coming quarter. So, we see this scheme as very attractive, and this is going to propel growth in the Affordable segment.

Vatsal Nagelia : Thank you.

Moderator : Thank you. Next question comes from the line of Wuz mal Handu with Goldman Sachs. Please go ahead.

Wuzmal Handu : Yes. S ir, my question is on Emerging Markets. The book has grown quite nicely and therefore; I wanted to ask a question on asset quality here. How are the early indicators stacking up for this part of the book?

If you have some numbers that you could also share or any color as well on bounce rates or 30 DPD etc., that would be very helpful ?

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Internal Girish Kousgi: See, i n terms of segment, Prime and Emerging , there is very less difference. And surprisingly, for our Emerging Market, the delinquencies are a notch better than Prime . So, that may be because of the legacy book. But even on the new origination, we are seeing no difference between Prime and Emerging . So, in terms of credit cost, I had mentioned earlier on the Prime , we expect a credit cost of about 18 -19 bps, on Emerging about 20 -22 bps. So, that is the difference between Prime and Emerging, n ot too much of difference.

Wuzmal Handu : That helps. Thank you so much.

Girish Kousgi: Thank you.

Moderator : Thank you. Next question comes from the line of Yash with MIPL. Please go ahead.

Yash : And most of my questions are answered. But minor clarification, I just wanted to understand what are the KPIs that are being tracked internally that allow you to switch Prime branch into an Emerging markets branch? Like what are the things that they have to achieve internally for this reclassification to happen?

Girish Kousgi: It is market driven. So, if you feel that in a particular market offers opportunity to originate at a higher yield, see, we need to understand. So, every market would have multiple segments. Certain segments would be dominating. So, we identify locations where the potential for Emerging is slightly higher than Prime . But we have a Prime branch. In those cases, we migrate the branches from Prime to Emerging . So, this transition would take about 3 months' time and after 3 months' time , we let go o ur Prime business and we completely focus on Emerging business. So, that is the approach what we take. It is more market driven and more yields driven.

Yash : Got it. Congratulations on the good set of numbers. Thanks.

Girish Kousgi: Thank you.

Moderator : Thank you. The next question comes on the line of Omkar Shinde with Ascendancy Capital. Please go ahead.

Omkar Shinde : Thank you. So, a few statistical questions, then I will come to my questions. So, what is the overall LTV of the book and what is the LTV in the Affordable segment?

Girish Kousgi: Overall LTV should be around 66 %-67% and in Affordable , it comes down to about 53 %-54%.

Omkar Shinde : What is the Affordable one?

Girish Kousgi: 53%-54%.

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Internal Omkar Shinde : 53%-54%. I have a statistical question on what is that individual housing loan book on an ove rall basis,

the individual housing loan book ?

Girish Kousgi: 71% loan book.

Vinay Gupta : 71% is our individual housing loan book.

Omkar Shinde : On book or the AUM?

Vinay Gupta : Only loan book.

Omkar Shinde : Only loan book, g ot it. And finally, what is the number for the sanctions for this quarter , number of sa

nctions on amount and count?

Girish Kousgi: We generally don 't share that because what happens is that for a sanction really beyond a point, it doesn't really matter because there will be a lot of cases which we might lose to competition. So, if you look at on average , let us say , in the last 3 or 4 quarters, we would be sanctioned to disbursement ratio should

be somewhere around 64 %-65%.

Omkar Shinde : So, actually because we did give --

Girish Kousgi: Why we don't share this number is that we can't assume that 35% is there for me in the next quarter because we might end up losing maybe 3 %, 4%, 5% and then we might also gain similarly.

Omkar Shinde : Understood. So, sir, now going to the yields on the questions part , so the yields we have seen to buy homes back in the Affordable segment is to 12.1 given that we have already started taking a few cuts in the rates, where do you see the yield in the Affordable segment stabilizing it because as you are saying that margins are going to be a focus area and if I am right, you said that we will be trying to reach over the medium term 4% of NIM s. So, what is the outlook there?

Girish Kousgi: So, let us say, this year the yield should be about 12.6 %-12.65 % and next year getting close to 13 %.

Omkar Shinde : Understood. And with respect to the asset quality, is there any specific region like for example in Karnataka or anything where the audience is there or any specific region outside where we are seeing any asset quality issues because one of our peers was saying that in Telangana , they are facing a lot of issues, Karnataka issues are being solved. So, some color on the Southern region or any place else where we are seeing any early warning signs with respect to asset quality because although asset quality has remained good, bounce rates are in control , are you it is like calm before the storm situation?

Girish Kousgi: No, we have very less overlap between our Affordable customers and MFA customers and therefore we don't see any stress anyway.

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Internal Omkar Shinde : So, MFI, this is like your Affordable Housing or HFC peers like one of the PSUs , so is there any asset

quality issues that you are seeing, early warning signs, anything or that sort of thing ?

Girish Kousgi: Not at all. Why I mentioned MFI is that if you see in the last 4-6 quarters there was stress in MFI and also in the small ticket unsecured segment. So, if I have to talk about only Affordable , we don't see any stress.

Omkar Shinde : And finally on the credit rating, so we are at AA+, we have seen a few of our peers getting credit rating improvement. What is our status on that? Can we expect a credit rating hike to ?

Girish Kousgi: We are also hoping an upgrade in the next few quarters.

Omkar Shinde : So, any connections or talks with the credit rating agency?

Girish Kousgi: Discussions are on, so we are hoping in the next few quarters we should also get upgraded.

Omkar Shinde : So, maybe by the end of FY '26, we could see a credit rating hike? Would that be possible?

Girish Kousgi: I can say next maybe 4 -5 quarter 's time.

Omkar Shinde : Thank you. I will join back in the queue.

Moderator : Thank you. Next question comes from the line of Pawan Kumar with Shade Capital. Please go ahead.

Pawan Kumar : Yes, so my first question is regarding the yield differential between Prime and Emerging is roughly 20 - 30 basis points. Would that increase going forward?

Girish Kousgi: It will increase.

Pawan Kumar : And secondly, like as you have said now, your more focus is towards Emerging market. Are we getting to softening of supply side in terms of like kind of like those we are looking for in the Prime or is it just like we are recalibrating towards Emerging and Affordable ?

Girish Kousgi: No, there is lot of demand in all the segments

, whether it is Super Prime , Prime, Emerging or Affordable .

We want to do just on Prime because Prime comes at a very thin margin and therefore , we want to do best of Prime and more of Emerging and Affordable . That is the only thing . It is only for profitability.

Pawan Kumar : Thank you for the clarification and congratulations again for good set of numbers. These are my questions. Thank you.

Girish Kousgi: Thank you.

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Internal Moderator : Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Deepika Gupta Padhi : Thank you everyone for joining us on the call. If you have any questions and answers, please feel free to get in touch with Investor Relations. The transcript of this call will be uploaded on our website. Thank you.

Moderator : Thank you. On behalf PNB Housing Finance Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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CIN: L65922DL1988PLC033856

Public

Ref: PNBHFL/SE/EQ/ FY2025-26/66

Date: August 09, 2025

The BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173 The National Stock Exchange of India Limited
Listing Department
"Exchange Plaza"
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol: PNBHOUSING

Dear Sir /Madam,

Sub: Transcript of Investor's Call held on August 4, 2025 - post resignation of MD &CEO

Ref: Our letter s (i) PNBHFL/SE/EQ/FY2025 -26/62 dated August 01 , 2025 and

(ii) PNBHFL/SE/EQ/FY2025 -26/64 dated August 04 , 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, please find attached the transcript pertaining to the investors call held on August 04 , 2025 .

This intimation is pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same shall also be available on the website of the Company at www.pnbhousing.com

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above

“PNB Housing Finance Limited Investor Conference
Call”

August 04 , 2025

MANAGEMENT : MR. NILESH VIKAMSEY – CHAIRPERSON AUDIT
COMMITTEE OF THE BOARD AND A BOARD MEMBER ,
PNB HOUSING FINANCE LIMITED
MR. GIRISH KOUSGI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , PNB HOUSING FINANCE
LIMITED
MR. VINAY GUPTA – CHIEF FINANCIAL OFFICER , PNB
HOUSING FINANCE LIMITED
MR. JATUL ANAND – APPOINTED AS THE EXECUTIVE
DIRECTOR FOR PRIME AND EMERGING BUSINESS , PNB
HOUSING FINANCE LIMITED
MS. DEEPIKA GUPTA PADHI – NATIONAL HEAD
(INVESTOR RELATIONS AND TREASURY), PNB
HOUSING FINANCE LIMITED

PNB Housing Finance Limited
August 04, 2025

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Internal Moderator : Ladies and gentlemen, good day and welcome to PNB Housing Finance Limited Investor Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepika Gupta Padhi. Thank you and over to you , ma'am .

Deepika Gupta Padhi: Thank you, Reyo . Good morning , everyone and thank you for joining us on this call . With me, we have Nilesh Vikamsey – Chairperson Audit Committee of the Board and a Board Member; Mr. Girish Kousgi – Managing Director and CEO ; Mr. Vinay Gupta – CFO and Mr. Jatul Anand , who has been appointed as the Executive Director for Prime and Emerging Business.

We will begin this call with the opening remarks by Mr. Nilesh Vikamsey followed by an interactive Q&A session. For the disclaimer, please read through the #Slide 45 of our investor presentation.

With that, I will now hand over the call to Mr. Nilesh Vikamsey . Thank you and over to you , sir.

Nilesh Vikamsey : Thank you, Deepika . Good morning everyone. Thank you for joining us today morning.

As you are aware, Girish Kousgi – the Managing Director and CEO of the Company , has decided to step down from his role to pursue new career opportunities. The Board acknowledges and appreciates the contribution of Mr. Girish Kousgi , during his tenure and would have been happy , if he had continued. However, he is leaving as he believes he has better career opportunities. Mr. Kousgi would be completing three -year term and will continue working with the organization till October 28 th, 2025, to facilitate efficient and effective transition. Leadership transitions are not uncommon in a fast -growing competitive sector like housing finance. What distinguishes PNB Housing Finance is the manner in which it handles such transitions with preparedness, bench strength, transparency, and minimal disruption.

This exit is not driven by internal challenges , but reflects individual career progression s and market wide mobility. I want to reassure all our stakeholders that the Board remains fully aligned and committed to the Company 's long -term strategy and operational excellence. Our business fundamentals are strong and our team is deeply capable and resilient.

The Company has gone through transformation in the first 1.5 years of Girish 's tenure with capital gains of Rs. 2.5 crores, gross NPAs going down to 1.5% as of March 2024, retail focused PNB Housing Finance Limited

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Internal growth leading to trade rating upgrades to AA+. The return on asset also improved to over 2% by the financial year 2024.

After the transformation till March 2024, the Company has delivered consistent performance for the last five quarters, with stable performance parameters. PNB Housing Finance is now the third largest housing finance Company and well-managed with no major challenges. The transformation initiated under the outgoing CEO was not only built around a single individual, it is embedded across leadership layers.

The Company has a strong senior Management team along with the bench strength in the next level which is instrumental in delivering the strong performance. Today, PNB Housing is a retail-focused housing finance Company with 99% of the loan assets in the retail segment. The Company's GNPA as of June 2025 is 1.06%; and the net NPA is 0.69%.

Over the last few years, the Company has built a very good collection architecture with dedicated teams focusing on different buckets of the collection cycle. Collection efficiency over the last few quarters has been above 99%. Early warning signals are encouraging and not showing signs of stress in the new portfolio. For example, the 12-month on book MOB 30-plus is 0.16% and the 24-month MOB 90-plus is 0.17%.

We remain committed to our stated guidance on credit costs and NPA. The Company maintains strong financials with capital adequacy of 28.7%, adequate liquidity with LCR ratio of 29%; and SLR ratio of 15.5%. Company ensures good regulatory compliance and transparent disclosures to all relevant authorities and rating agencies.

PNB Housing Finance remains committed to its key growth pillars which is the retail lending expansion, Affordable housing segment penetration, technology-driven operational excellence and maintaining superior asset quality. PNB Housing is a mature organization, which has gone through business transformation and is now ready for the next phase of growth.

The Company has a talent pool which is supported through the transformation phase. In the recent past, some of the senior employees chose to explore opportunities outside. However, these positions have been successfully filled from within the organization and are performing well post transition, reflecting the strength of our internal leadership pipeline and the robust succession planning framework.

The Company is run by professional Management overseen by the Board of Directors. The nomination and remuneration committee has already initiated a search process to identify the seasoned professionals from the market with proven industry expertise who can build on the strong foundation already in place. We remain straightforward in our mission to deliver sustainable growth, strong asset quality and long-term value for our shareholders.

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Internal Our focus is unwavering and we continue to execute on a well-defined strategy backed by disciplined risk management, a resilient retail portfolio and a highly capable leadership team.

Thank you.

Deepika Gupta Padhi: Rey, we can now open for the question-and-answers.

Moderator: Sure. Thank you very much. We will now begin the question-and-answer session. The first question comes on the line of Sudharsan from Prosperity Wealth Management. Please go ahead.

Sudharsan: Hello, sir. My question is on the asset quality front. So, if you can give us a number on the DPD 0 to 30 and 30 to 90 between all segments for the three quarters, that is Q1 FY '26, Q4 and Q1 FY '25.

Nilesh Vikamsey: Can I request Vinay, our CFO to give the numbers, if he is got it handy? Because today, call is because of the leadership change. But anyway, I will request Vinay to give the numbers.

Vinay Gupta: Yes, see, on an overall level, our 1+ is around 4.5%, 30+ is 3%, 60+ is 1.6, and 90+ which we have already disclosed is 1.06% which NPA.

Sudharsan: Yes. So, is there any possibility of giving us segmental DPD?

Vinay Gupta: Segmental, we have given, for example, for Affordable, we have given in the Investor Presentation.

Sudharsan: Yes, Prime and Emerging number.

Vinay Gupta: Prime and Merging is stable at around similar rates. There is no increase in any of the segments.

Sudharsan: Okay. And on the credit quality front, I mean, credit cost, are we confident of closing this year with a negative credit cost? And if so, what is the quantum of the credit cost?

Vinay Gupta: Yes, we are confident to close at negative credit cost. The trend has been in line in Q1 and we are confident to maintain the similar trend in the coming quarter.

Sudharsan: Right. And on the margin front, the NIM, so you mentioned that the rate cut would come into effect, the pass-through would be gradual in Q2 and Q3. So, how much of the NIM sacrifice are you going to see in Q2 and Q3 given the full year guidance is 3.7% and the current is at 3.74%?

Vinay Gupta: So, it will remain range

bound as we mentioned full year guidance will be between 3.65 % to 3.7%, we will maintain that. There could be intermittent, movement in the NIMs . But overall , for the year, we will maintain that.
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Internal Sudharsan: Right. And on the leadership front, apart from whatever you have notified, is there any discussions with current management regarding their willingness for any other outside opportunities? Is there any discussion?

Nilesh Vikamsey : There is no indication of anybody else moving on. There is absolutely no, all the team is stable. There is no other indication.

Sudharsan: Right. And on the MD 's exit, normally we have seen in the industries is as soon as the CEO exit is notified, there will be a notification of a new CEO appointment. So, is there any reason, so did the current CEO did not have any prior discussion with the board regarding his willingness to explore other opportunities, the manner in which there was no replacement notified along with the current intimation? Could you please comment on that?

Nilesh Vikamsey: Yes, so basically the current CEO is moving on for better opportunities. There is no challenge going to continue till October '25. The NRC has already initiated a search process to identify a suitable successor. We will search for that candidate, internal, external, whatever may be the thing.

In the interim, we have appointed Jatul Anand as the Executive Director. And assuming there is a gap between October 28, 2025, when Girish finishes 90-day notice period , which is given , and the new incumbent joining in, Jatul will hold charge till that time, in the interim time.

Sudharsan: Right. Thank you. I will get back in the queue.

Deepika Gupta Padhi: Reyo , may I request if you can take two questions per person as of now?

Moderator: Sure. We will take the next question from Viral Shah from IIFL Capital. Please go ahead.

Viral Shah : Yes, hi. Thanks for the opportunity. Nilesh, if you can help us understand A, timelines of what you are looking at for say the new MD , CEO. And also , secondly, is the Board kind of onboard with the continued strategy that we had until now of say growing the share of Affordable in your Prime , what is the thought process?

And secondly, the question is with regard to, you mentioned about the senior management exits recently. I am presuming they were also for better career opportunities. Is it not possible for us to say seek retention of any of them , so that now that there is a vacancy at the post of MD , CEO, I am sure they would also be quite keen for that, right? Why not pursue that?

Nilesh Vikamsey : Yes, maybe first question first , can you repeat? I think you loaded up a lot of questions together.

Viral Shah: Yes, sure. So, the first, the timelines for...

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Internal Nilesh Vikamsey : The timeline, I cannot sort of assure you because we are in the process of the selection. And once we identify the person, assuming he is in a different organization, his notice, etc. But our endeavour is to do it at the earliest, that is the first indication given. Our endeavour of the NRC and the Board is to have a successor as quickly as possible. But having said that, a lot of things are not within the hands of the Board of the NRC. So, that is the first thing.

That is why I said in the interim, assuming there is a gap between Girish 's term ending on October 20th and the new incumbent joining, we have decided that Jatul Anand , who has been promoted as an Executive Director, will hold forth in the interim till the time the new successor is joining the Company .

Viral Shah: Got it. My second question was --

Nilesh Vikamsey : -- On the strategy, as far as the business is concerned, our focus continues. There is no change in the strategy alignment. Our focus will be

on the Affordable and of the Emerging . There will be no change in that. The board is fully aligned with the strategy.

Viral Shah: And with regards to basically seeking, let us say, retention of some of the recent senior Management exits then why not --?

Nilesh Vikamsey : Viral, you understand , we do not want to lose any of our Senior Management Team members. Efforts are always there. But you know the industry , it is a very hot sector and we cannot avoid the market mobility.

Viral Shah: That is true.

Nilesh Vikamsey : It is an in-demand sector if I can say so.

Viral Shah: That is true. So, I am just thinking that earlier, of course, there was a vacancy at PNB Housing for the post of MD , CEO. And given we being the third largest player, I am sure either Dilip or

Anujai , whosoever would have been the case, they would be quite keen to take up this post, right?

Nilesh Vikamsey : Well, basically, it is the Board and the NRC call whom they identify as the right successor. It is not only the candidates , which you have named or others. So , we will definitely look at and we will do whatever is in the best interest of the Company . We will have the best selection among the choice. Not only Anujai and Dilip or Jatul, but we will see what is best for the Company .

Viral Shah: Got it, Nilesh. Thank you.

Moderator: Thank you. Next question is from Pradyumna Laddha from RSP N Ventures. Please go ahead.

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Internal Pradyumna Laddha : Yes. Good morning. I wanted to address Mr. Vikamsey on behalf of the board, since he is present

on behalf of the board. Sir, I am a minority shareholder of this Company and have been one for many years now. And it is just been very disappointing how the entire situation has been handled. The board accepted Mr. Kousgi 's resignation on July 31st post market hours.

There was no explanation given or communication provided to the investor community that day except for the stock exchange notification. On the 1st of August, as you will be aware, the stock price of our Company saw sharp panic selling. And this was not just market reaction to the news, it was a reaction to silence from the Board.

It appears that the board had no plan in place to manage the news or guide the market. And today 's call just feels like an afterthought to contain the damage and not something done in the interest of the transparency. So, if we can just fix this process and moving forward, it will be beneficial for the entire investor community.

Nilesh Vikamsey : Thanks for your suggestion. But just for your information, we came out with the press release before the market hours on 1st. And I hope , you would have had and that was put on the stock exchange also.

The moment we came to know about Girish 's, you can understand, 24 hours is a short period to get a view also in a sort of a rush. But we did whatever we could, but we take your advice and we will improve the process going forward. Thanks a lot fo r your suggestion

Pradyumna Laddha: Mr. Vikamsey , sorry , sir, for just one more , I completely appreciate the situation you were put in, sir. The statement came in at 8.30 in the morning and contained some two paragraphs which did not provide too much clarity. So, just one, I am just sharing an opinion like you said, we can take into co nsideration later. Another large NBFC, sir, last year, RBI banned one of their businesses. The first thing they did was next morning, hold a call at 8 o'clock with investors. So, I am just sayi ng this could have been managed in a slightly more processized manner. That is all.

Nilesh Vikamsey : Fair enough. Suggestion accepted.

Pradyumna Laddha: Thank you, sir.

Nilesh Vikamsey : Yes.

Moderator: Thank you. Next question is from Harshit Toshniwal from Premji. Please go ahead.

Harshit Toshniwal : Yes. Sir, just to make this one point with you, that we

have appointed Jatul as the Interim one

for the housing business. Now, for the appointment of the new CEO, are you also considering internal and external candidates? And in that means the current appointed ones as the charge.

Are they also in the consideration for the MD, CEO role?

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Internal Nilesh Vikamsey : So, we will have a look at it. The board and NRC will decide about it.

Harshit Toshniwal: And just some indication as to whether we will also be looking at internal and external candidates both at this point of time?

Nilesh Vikamsey : Yes, yes.

Harshit Toshniwal: Okay. And there is nothing which stops Jatul from being in at this time?

Nilesh Vikamsey : Absolutely. There will be a process and we will go through the process, ye s.

Harshit Toshniwal: Got it. So, that is it. Thank you.

Moderator: Thank you. Next question is from Ashwini Agarwal from Demeter Advisors . Please go ahead.

Ashwini Agarwal : Good morning to all. The question, the question is that there has been a significant change in the cap table in recent quarters with the exit of private equity players . And with three senior exits, one wonders if there is something compromising the independence of PNB Housing Finance versus the larger shareholder PNB. Is there some statement the chairman of the board can provide to assure us that the independence of PNB Ho using Finance is indeed maintained and it is not that the NRC or the board are now sig nificantly influenced by the decision of the chairman?

Nilesh Vikamsey : First of all, let me clarify, I am not the Chairman of the Board. I am Chairman of the Audit

Committee. So, just to keep the records straight. Coming to your question, no, the Company is under a very stable leadership team guided by independent and experienced board of directors that ensures strategic oversight and governance. The strong executive team continues to drive business supported by robust governance structures. `

This is only coincidental. The PE exit and the new cap table, it is only sort of coincidental and there is nothing in the Company which has changed. It is business as usual, whether it is the board or the NRC or and there is no change, any additional, I would say, input. The promoter is supportive of us PNB, the promoter is supportive to us and they have got two nominees on the board.

Currently, they have one. They will be adding one more as per the Articles of Association . And PNB Housing is an independent entity which operates like any other private enterprise guided by an independent board of directors that ensures strategic oversight and governance. It follows market -driven hiring and compensation practices, attracting and retaining top talent through competitive remuneration, merit -based growth opportunities and performance -oriented culture.

The promoter 's continued support remains the key anchor of confidence stability of PNB Housing Finance as it moves into the next phase of growth. As informed by the Managing PNB Housing Finance Limited

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Internal Director of PNB in the media interviews on Friday, 1st August 2025, they are not contemplating increase or decrease of stakes or any other major change.

The board is confident on the Management team which has been instrumental in delivering its strong performance. The NRC has initiated a search for the suitable candidates from market with relevant industry experience .

Ashwini Agarwal: Thank you so much, sir.

Moderator: Thank you. Next question is from Jaspreet from Acuantis . Jaspreet, you may go ahead with the question.

Jaspreet : Hi. Good morning, everyone. My question is regarding the probably the attempts made to retain Mr. Girish Kousgi . The background is we heard the senior members coming on television and saying one of the reasons was that he wanted to shift back to Bangalore.

Now, there could have been a way to maybe manage this like a hybrid working condition for the next maybe couple of quarters. So, just wanted to understand this and maybe what were the some of the things that trying to retain him.

Nilesh Vikamsey : The information given to us by Girish is he is going for better opportunities with the personal family reason is an added maybe bonus for him . But the opportunity is possibly very huge , he would have considered and found that it is much , much better . That is the individual choice that Girish has made. We did try to retain him. He has done a fantastic job in PNB housing and continues to do so.

He is committed to have a very good transition in the next three months , but we did try to retain him. That is the only thing , I can share with you .

Jaspreet: Sure. As the moderator mentioned out of the call that he is also there , would he be commenting at the end in the concluding ? The point he came , the point he is leaving and what are some of the things from his point of view would he be commenting about that as well at the end? Because we have not heard him heard him so far , so I am sure he is there for a purpose for everyone .

Nilesh Vikamsey : I request Girish to speak. I think that will bring --

Girish Kousgi: -- Good morning. Girish here good morning to all the investors for taking time out to join early in the morning. As you are aware I think Company has gone through a transformational phase and about five quarters back by March 2024 , I think most of the challenges what PNB Housing as a Company saw I think most of it were resolved.

When we raised capital , we did right issue of Rs. 2,500 crores. We got rating upgrades. We ran down the corporate book. Corporate GNPA came down to 0 by June 2024 ; and today , if you PNB Housing Finance Limited

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Internal look at overall GNP it is 1.06 % . So, we started we know that as a housing finance Company it is difficult to be present in certain segments and compete. I am talking about super Prime and Prime . So, immediately three years back , we stopped super Prime and went slow on Prime business. We started Affordable business in Jan 2023.

As all of you are aware now the book is about Rs. 5, 750 crores , trending very well . And as per our guidance by this period we should get close to about Rs. 9,500 crores; and by March '27 Rs. 15,000 crores . Given the overall retail book of about Rs. 1 lakh crore by March 20 27. So , if you look at any of the challenges , which this Company had faced , I think most of the challenges were resolved about five quarters back .

And after the transformation for next five quarters , that is whole of FY '25 and quarter one of this year , I think the performance of the Company has been really very good in all the metrics and all the parameters. You look at profitability, you look at ROE, you look at margins, you look at book growth, disbursement growth, look at asset quality. I think all the parameters , I think have come down.

We have built a very good architecture because we did a lot of changes in collections, in sales. I mentioned about starting Affordable , I mentioned about FY '25 starting Emerging vertical , which comes at a higher yield , which will aid the Company on expanding the margins . And this year, FY '26, we started a new vertical called Loan Against P roperty. So, all of these things are done to ensure that profitability is maintained and also further improve upon it. So, the strategy and vision of the Company remains because it is embedded into the last level in the organization and now it is more on an auto mode. We have seen this consistently for last 5 quarters because that is post transformation and Company is doing pretty well. And as I had mentioned earlier as well, today if you look at P NB H ousing , we have to work on a couple of things which is true for any ot

her housing finance company , which is true for any other well -managed housing finance Company , one is growth. We have guided 18% growth on book because corporate book is now very less , less than Rs. 1,000 crores and our focus is not really that high on corporate and therefore I am talking about retail. So, we are talking about 18% -19% growth. This year the guidance is 18%. Last year , we had guided 17% , we delivered 18.2 % . So, growth is something which we are going to maintain and our strategy in terms of moving segments and improving margins, improving yield in each of these segments, I think that strategy is intact. So, today , Company is in a very strong footing. We have a very good, solid Management team and this strategy is embedded right up to the last level because we have done a lot of changes 3 years back. It is not recent. So, it is now inbuilt in the system and second is we need to maintain margins. So, actually w e are not, this year we will be maintaining margins and maybe next year , the margins will start inching up. I think that is what we have guided for this year and next year , largely to be worked on two things , one is growth and second is margins. So, growth, increasing our share on Affordable and Emerging . You have been seeing that we have been increasing our share with every passing quarter and that would continue. So, today , Company is on a very strong footing. We have a good supportive Board. Board oversees the vision of the Company
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Internal and I think as a Company we are well -placed today and I do not see any challenge in the Company doing well or meeting its guidance for the next couple of years.

Nilesh Vikamsey: Thank you, Girish.

Jaspreet Singh: Thank you so much , sir. We wish you all the best in your future career. A nd just last, a very humble suggestion /observation . Sir, we have been minority shareholders for a couple of years. Again, the 3 pillars, PNB is third largest, seen a business transformation last couple of years after having gone through some trouble a couple of years back, a fabulous job done. But the other two pillars were surely the fact that a leadership like Mr. Girish was the re and obviously a marquee named Private Equity Like Carlyle was there. And now with the latter two exiting one by one and timing obviously is so coincidental, it seems that Management or the board will have to do a lot more in terms of getting that confidence back in terms of and I am sure, just wanted to understand what are the timelines within which this has to be done and what would you be aspiring to close it in terms of closing this leadership? What are the outer timelines and what are your internal?

Nilesh Vikamsey: See, two things. One is though Carlyle has moved on, I think by and large, the replacement has been institutional shareholders. There have been some other leading sovereign funds as well as mutual funds almost across boards. A lot of mutual funds are invested for institutional holding which Carlyle was having has gone to the institutions, the substantial part of it. And coming to the timeline, as I told earlier, we also want to appoint as of yesterday, but the process, it may take time. I c an't assure you the time it will take. We will identify the successor. Assuming he is an external successor, he will also have to give a notice period. So, I can look at safely, Girish's term ends in October, maybe couple of 1- or 2-months outer is the timeline , I am thinking of. But having subjected, I will stand corrected if it doesn't happen. It should happen within that time is my gut feeling, is what I can say from my past experience.

Jaspreet Singh: And if the Board decides for course of internal candidate, it will be earlier than that.

Nilesh Vikamsey: That will be, absolutely.

Jaspreet Singh: And as of now, you wouldn't want to be able to

comment on where does the preference lie ?

Nilesh Vikamsey: The process has to be done. I can't comment at that time.

Jaspreet Singh: All right. I appreciate you guys doing this call today and best wishes. Thank you.

Moderator: Thank you. Next question is from Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Hi. So, a couple of questions. Firstly, given maybe the promotership of PNB and exit of the private equity and the representation, which is there on the board, in terms of the evaluation between the PSU candidate and someone from private bank, because PNB has the history of PNB Housing Finance Limited

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Internal maybe recruiting from the private side. So, would there be any change in the stance which would be taken this year, particularly with the change in the cap tables, if you can clarify on that part? And what maybe the succession plan which Company is now looking forward to just to manage this kind of a transitioning? This was all of a sudden, which seems to have happened. But now, maybe how to prepare with respect to the transitioning plan and related to it, maybe given that there have been exits, would investors be worried about any asset quality issues cropping up over next couple of quarters because I think there have been few exits which have happened in last 3-4 months since April. And we have seen in earlier cases that it follows with some kind of quality risk as well across the board, so how would maybe board maybe assure the investors on that part?

Nilesh Vikamsey: See, I will just go back to the statement of the Punjab National Bank, the promoter's MD on 1st of August when he gave the media interview. He said they will be supportive of the Company and the Management, and they don't want any other change, either the increase or decrease of their, I would say, stake in the Company, neither in the way the Company is being run is what the PNB envisaged. So, that is what I am just quoting. So, that is for that assurance. As regards all these exits having an impact on the asset quality, I can just share with you that your Company is a retail-focused housing finance Company with 99% of the loan assets in retail segment. The Company's gross NPA as of June 25 is 1.06% and net NPA is 0.69%. For the last few years, the Company has built a very good collection architecture with dedicated teams focusing on different buckets of the collection cycle. Collection efficiency of the last few quarters has been about 99%. As I mentioned in my opening remarks, early warning signals are encouraging and not showing any signs of stress in the new portfolio, for example, the 12 MOB 30+ is 0.16% and the 24 MOB 90+ is 0.17%. We have also discussed all segment-level asset quality metrics in our quarterly results, and we confirm that there are no signs of stress or any material deterioration in asset quality across all segments. We remain committed to our stated guidance on credit costs and NPA for the current financial year. The Company is geared up to achieve its growth targets while maintaining best-in-the-class asset quality. And just for information, we go through a number of audits, inspections and nothing of any significance has been caught. So, this is completely unrelated. There is no issue on the asset quality at all vis-à-vis the exits. Just to give you that assurance.

Moderator: Thank you. The next question is from Praful Kumar from Dymon Asia. Please go ahead.

Praful Kumar: Yes. Thank you, gentlemen, for doing the call. Most of the questions are answered. Just one question. In terms of current Management bandwidth, can you talk about 2-3 key people who will be spearheading the growth for the next, say, few quarters and who have been in the system, who will be taking responsibility and being the KMPs till we find the suitable replacements to come? So, obviously, we have generally

talked about the few important guys who have left, but there will be a lot more talent that will be in-grown and obviously part of the key team today that should come ahead. So, broadly, in terms of key people, key re-changes that you have done on the continuity of the strategy would be very useful?

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Internal Nilesh Vikamsey: Just to sort of, as you would imagine, we came out of the press release the day before yesterday late night.

Praful Kumar: Yes, on the two replacements.

Nilesh Vikamsey: One of them is Jatul. Jatul has been with the Company for the last 12 years and more than 20 years' experience in the sector and he has been a veteran and he's going to head the Prime and Emerging business. Valli Sekar, who sort of, we brought her 3 years back, piloted the Affordable Housing growth, Anuja joined later, in fact, started with Valli. So, she is now being made Complete Head of the Affordable business. Earlier, she had part of the role, now full role has been given to her and you already know.

Praful Kumar: So, the Affordable business that we have seen, the success of Affordable business has been instrumental by this person and that is why, very interesting.

Nilesh Vikamsey: We brought her into sort of focus on the Affordable business. She is the one who did it and Anuja was supporting her. So, just to tell you, we have got enough internal bench strengths. These are only the top names. I can't share all the names with you. We have got Vinay, who is

the CFO, we have got the Chief Risk Officer, Neeraj Manchanda and number of other people. I don't know how to get into the names right now, but a fantastic Management team what we have .
Praful Kumar: Superb. Now, this is very useful, sir. Thank you for doing this and giving the confidence that there are no asset quality issues, since it is just a coincidence that has happened. Thank you for the reassurance. Thank you.

Nilesh Vikamsey: Absolutely.

Moderator: Thank you. Next question is from Pranav Gokhale from Canara Robeco Asset Management. Please go ahead.

Pranav Gokhale: Hi, good morning. My question is to Girish, actually. Just wanted to confirm, has your exit anything to do with Carlyle moving out, one? Second, in this entire thing, I understand there is a future aspect associated with it, but is your future position in any way where Carlyle is associated in any form or shape?

Girish Kousgi: So, I can say that my exit is purely an independent decision. It is not connected with anything or anyone. I think that I can very well confirm. As I mentioned to you, my exit is because I have got a new wonderful opportunity, and it is not related to either the Board or any investor or anyone. It is an independent decision.

Pranav Gokhale: But in the new opportunity, has Carlyle is involved in any shape or form?

Girish Kousgi: Sir, I mentioned to you, my exit is an independent decision. It is not associated with anyone .

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Internal Pranav Gokhale: So, this was pertaining to the future, actually, which my question was. I understand with the past, it is not associated, or it is independent , so I take the point. The second thing, I just wanted to put a parking thought. There has been a couple of instances in your career now where you put in a strategy in place and before the strategy worked out, you moved on to a new organization.

So, for existing shareholders, it becomes a very difficult kind of a situation. So, I thought before wishing you the very best on your new journey, let me just park this thought. Thank you?

Girish Kousgi: Pranav, I think I would like to clarify one more thing. All these strategies were worked out 3 years back. So, in the first 2 or 3 months, we really worked on the strategy and vision for the Company, and we also had an investor da

y for this where we had given the roadmap. So, all this strategy is not something which we had worked out in the last couple of quarters. It was worked out almost close to 2 .5 years back and that is what we have been execut ing till now. So, the entire team, top level, middle level and lower level of PNB Housing, the team is aligned, and they are completely in alignment with t he Company 's vision and mission.

Pranav Gokhale: Sure, I am done with my questions. Thank you.

Moderator: Thank you. Next question is from Shubhankar Oj ha from SKS Capital. Please go ahead.

Shubhankar Oj ha, you may go ahead with your questions. There seems to be no response from Mr. Shubhankar Oj ha. We will move to the next question. The next question is from Shravan from S incere Sy ndication. Please go ahead.

Shravan: Hello, sir. Am I audible?

Nilesh Vikamsey: Yes.

Shravan: Yes, sir. So, my question was regarding this. I think most of my questions are answered. It is just that how were you working on to gain investors' confidence with the CEO's re signation and then their Head of Affordable stepped down a few months ago and then there was one more exit, apparently, a senior exit. If there is a lot of chatter in the market that even with the CEO exit and the MD exit, there is a lot of instability in the upper Management , which is losing investors' confidence because the next guidance about doubling Affordable book or increasing the share of Affordable and Emerging, all of this, will the newer Management that has stepped in, the new CEO or MD, will they be aligned with this goal or wil l there be a change in your strategy from here on? How do you intend to gain the investors' confidence back?

Nilesh Vikamsey: Shravan, a s I mentioned earlier, all the exits, the earlier exits have been filled up by internal positions and as I mentioned, for example, Affordable, Anuj ai was there. Anuj ai, in fact, came in for the transformation here. He was given additional responsibility of the Affordable. It was Valli who has initially started the whole, the Affordable thrust of the Company , if I can say so, and she continues and she is delivering well. We have added her responsibilities now, so that is one thing. Second, Jatul, who has been with the Company for the last 12 years, has been sort of

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Internal promoted to be the Executive Director. He is now look ing after Prime as well as Emerging. So, we have got enough and good bandwidth. For example, the HR had moved on Amit. He was there for 3 years. The next gentleman, Satish, who is heading, has been a Company veteran for I don't know how many years, 13 + years. So, we have got fantastic bench strength . So, rest

assured on that. We have got good quality team, Management team, not only the people who exited but people who continue with the Company and who are taking on the responsibilities now. So, I think it shouldn't be too much this thing. That is all I can say.

Shravan: And I would like to know the growth of Affordable, as of now, was Ms. Valli Sekar, was she a prominent part of it because you are betting a lot on Affordable growth?

Nilesh Vikamsey: She joined, she was part of the Affordable before Anuja. I was given that additional charge, if I can say so. As I say, the thrust of the Affordable housing in the Company, the whole thrust was we brought Valli on board and then we gave a full thrust to propel the Affordable housing.

Shravan: Thank you. No other questions.

Moderator: Thank you. Next question is from Mohit Surana from HDFC Asset Management. Please go ahead.

Mohit Surana: Hi, sir. I just wanted to check in any of the past regulatory audits that have happened over last few months or quarters, anything adverse that has been highlighted by the regulator? So, any clarification on that would be useful?

Nilesh Vikamsey: Mohit, just to tell you

u, the regulatory inspections have got better and better in the time the number of issues have gone down, mainly procedural matters, nothing on the asset quality or any other significant, on the financial numbers, no major outside challenges of the regulators. There is no divergence between what the audited accounts and the regulators focus. But yes, coming from their experience perspective, they give a lot of suggestions for improvement, which we keep on doing. That is the way we sort of look at it. And it has been better. The inspection there, I would say, impression of the Company has got better and better with the time which is there. That is the only thing. I can't share something more than that.

Mohit Surana: Got it, sir. Thank you and wish you all the best.

Moderator: Thank you. The next question is from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, I just wanted to know what happens to the unvested options of Girish?

Nilesh Vikamsey: That the Board will decide. I can't decide right now. The Board will decide.

Mahrukh Adajania: Thank you.

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Internal Moderator: Thank you. Next question is from Renish from ICICI. Please go ahead.

Renish: Yes, hi. So, just two broad questions. One, again, on the strategy. So, obviously, the Management who has left or leaving were the brain behind this revised strategy and obviously, I am just assuming that the board will be in line with the strategy. So, I just wanted to reconfirm that we have seen in past that whenever there is a Management change, Management comes with their own plan, etc., what is the stance currently? Board will continue to pursue this strategy and they will just say incoming MD that this is the strategy which you have to follow or they will sort of reconcile, rethink the entire strategy with the Management who comes in?

Nilesh Vikamsey: There are two things. Number one, it has not been only the Management strategy. Strategy is sort of, it is a board-driven strategy. The Board has been a key part on the strategy direction, if I can say so. And not only the board, the full senior Management team and right down up to the grassroots level people, all the layers of Management are fully aligned with the strategy. Having said that, the Board and the Management is always open to the changes happening in the sector and in the market and we will keep eyes and ears open as things evolve. But as of now, there is no I would say, move to change the strategy in any direction with any good ideas, suggestions coming. We are always open and we keep on looking at those things. But otherwise, we don't, as of now, I can say the Board is not looking at any change of strategic direction at this juncture. But we are open to newer things and to improve the Company, I would say, value.

Renish: No, that I agree, sir. But this is more from a number's perspective, right, so when we say that Affordable will be 15 %, Emerging will be 25 %-30% and the rest will be Prime. Now, all this combination will ideally lead to 4 % plus margin, what the outgoing Management has always stated. Now, if at all there is a change in strategy, the NIM strategy, everything go for a toss. So, I just wanted to reconfirm that?

Nilesh Vikamsey: Sir, just to add, Nilesh over here, it is not as if the whole Management team has moved on. As I told earlier, when Affordable, Valli started it, Anujai had joined later on. He was on transfer.

We just sort of strengthen that particular vertical, he was added. So, what are other exits? There is, the HR Head has gone and Dilip has gone, Dilip's role has been taken over by Jatul. So, we have got enough. It is not as if the whole Management has gone out of the Company. There is a fantastic team remain and there will be no change in the direction as of now. But I can't

tell about

the future. If some new changes happen in this sector, we will definitely be open to it and we will be guided by. Our idea is to create more value for all the stakeholders. That is, I would say, uppermost in the mind of all the people here. So, how do we enhance the value for everyone

involved . That is the whole sort of idea.

Renish: Got it. And just one last thing, when we are looking out for new CEO, are we preferring an external candidate? And if yes, then whether there is any preference for a private sector CEO or how is it? What is the thought process of Board about this?

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Internal Nilesh Vikamsey: I can't comment on the preference because we will be starting the process now. We will look at the candidates and we are sort of agnostic. We want the best person to head this Company who can do possibly do better than Girish is our expectation . We identify a very good industry leader or a successor, and it could be completely market driven is what I can say. But yes, I think all the people, we will look at the shortlist of candidates who are available and we will explore and do the best what is possible for the Company in the current time. That is what our direction is.

There we will be headed.

Renish: And if the internal candidates are also in preference, or no?

Nilesh Vikamsey: Absolutely.

Renish: Thank you and best of luck , gentlemen.

Moderator: Thank you. Next question is from Umang Shah from Kotak Mahindra Asset Management. Please go ahead.

Umang Shah: Hi, good morning and thanks for taking my question. I just have one question related to the previous participant. Sir, under what is the probability or what is the potential situation in which let us say, the parent or the NRC may look at candidates coming from the parent PNB. It could be on deputation or maybe as a permanent position. Do you think that is a possibility or that is sort of completely ruled out?

Nilesh Vikamsey: I can tell you till as of date, there is not a single person on deputation from PNB in the Company .

Last, I remember when I joined the Company 10 years back, we had the internal audit team which was on deputation. That also we brought in market -driven professionals who are very good. Not that they were bad, but just to bring in the best practices we brought in. Other than the two board nominees, there is no other, I would say, person who is in the Company from PNB as of now. And you heard the PNB MDs speaking on Friday that they don't intend any change as I told you of increasing or of the Management side, if I can say so.

Umang Shah: Understood. All right. Thank you so much.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference over to the Management team for any closing comments.

Deepika Gupta Padhi: Thank you. Thank you everyone for joining us on the call. If you have any questions unanswered, you can get in touch with Invest or Relations. And the transcript of this call will be uploaded on our website. Thank you very much.

Moderator: Thank you very much. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen, you may now disconnect your lines.

Call: Oct 2025

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Public
Ref: PNBHFL/ SE/EQ/ FY2025-26/105
October 30, 2025

The BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
The National Stock Exchange of India Limited
Listing Department
“Exchange Plaza”
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),
Sub: Transcript of Earnings Conference Call held on October 27 , 2025 – Q2FY26
Ref: i. Our letter PNBHFL/SE/EQ/FY2025 -26/95 dated October 17, 2025
ii. Our letter PNBHFL/ SE/EQ/FY2025 -26/100 dated October 27 , 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript pertaining to the earnings call held on October 27 , 2025 on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30 , 2025 .

The earnings call was commenced at 07:10 PM (IST) post submission of Audited Financial Results and Investor Presentation for the quarter and half year ended September 30, 2025 on Stock Exchanges (as against the scheduled commencement time of 06:00 P.M.) . The same was informed to the Investors during the call.

This intimation is pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same shall also be available on the website of the Company at www.pnbhousing.com

Kindly take the above document on record .

Thanking You,

Yours faithfully,
For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

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Internal

“PNB Housing Finance Limited Q 2 & H1 FY 25-26
Earnings Conference Call ”

October 27, 2025

MANAGEMENT : MR. JATUL ANAND – EXECUTIVE DIRECTOR , PNB HOUSING FINANCE LIMITED

MR. VINAY GUPTA - CHIEF FINANCIAL OFFICER , PNB HOUSING FINANCE LIMITED

MS. VALLI SEKAR – CHIEF BUSINESS OFFICER – AFFORDABLE BUSINESS , PNB HOUSING FINANCE LIMITED

MR. CHAITANYA YADAV – NATIONAL HEAD - CORPORATE PLANNING & INVESTOR RELATIONS , PNB HOUSING FINANCE LIMITED

PNB Housing Finance Limited
October 27, 2025

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Internal Moderator : Ladies and gentlemen, good day and welcome to the PNB Housing Finance Limited Q 2 & H1 FY 25-26 Earnings Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M r. Chaitanya Yadav – National Head - Corporate Planning and Investor Relations . Thank you and over to you , sir.

Chaitanya Yadav : Thank you, Robin . Good evening and welcome, everyone. We sincerely thank you for your patience given delay in starting the call, which was due to a technical issue while uploading the document to the stock exchange. We appreciate your understanding.

We are here to discuss the P NB Housing Finance Quarter 2 and 1st Half Results for Financial Year '2025-'26. You must have seen our business and financial numbers in the presentation and the press release , shared with the Indian Stock Exchanges and are also available on our website.

With me, we have our Management Team led by Mr. Jatul Anand – Executive Director of the company.

We will begin this call with the performance update by the Management Team , followed by an interactive Q&A session.

Please note that this call may contain forward -looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risk s and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. A detail ed disclaimer is on Slide 44 of the investor presentation.

With this, I will now hand over the call to Mr. Ja tul Anand. Over to you, Jatul.

Jatul Anand: Good evening , everyone. I hope you all had a bright and cheerful Diwali. Before we move into the performance update, I would like to briefly reflect on the business momentum. Despite the challenges we faced in Quarter 2, the business has continued to show steady progress, be it growth in loan book, disbursements, and improvement in asset quality . Guided by responsible leadership and strong sense of PNB Housing Finance Limited
October 27, 2025

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Internal ownership, our teams have delivered with consistency and focus, reaffirming the strong foundation and solidarity of P NB Housing Finance.

Talking on the company's performance based on audited financials for Q2 and H1 of FY 26, we have delivered yet another strong quarter with disbursements of almost INR 6 ,000 crores at a sequential growth of 20% versus Quarter 1 FY 26.

The retail loan book grew by 17% year -on-year, reaching INR 79,439 crore as on September 30, '25. It now contributes 99.6% of the total loan book, which stands at INR 79,771 crore. A key highlight is the Affordable and Emerging market segments, which together grew 34% year -on-year and account for 38% of the retail loan book.

This reflects our commitment to financial inclusion and penetration into high potential geographies and demographics while maintaining strong asset quality and risk adjusted returns. These segments not only diversify our portfolio but also position us to capture growth in India's expanding housing demand.

Overall collections remain strong with significant recoveries leading to a credit cost reversal of 53 bps during the quarter. The gross NPA continued to decline. We were at 1.04% as of Quarter 2, FY 26.

With seasoning of Affordable housing business, we have observed a sequential uptake in delinquencies, which was expected at this stage of t

he business cycle. Importantly,

these levels remain well within the industry benchmarks for the Affordable segment.

Having said that, Valli will cover the same in detail later, covering performance on Affordable housing business.

Our spread marginally improved to 2.26% in Quarter 2 FY 26 from 2.23 % in Quarter 1 FY26, while achieving a return on assets of 2.73% for Quarter 2 FY 26 and 2.65% for H1 FY26 on an annualized basis.

I would now like to delve deeper into the performance highlights achieved during the quarter .

On disbursements, the company continued its focus on high -yielding business as a strategy. Disbursement in Affordable and Emerging segments grew year-on-year by 31% and 23% respectively, contributing around 50% of the total retail disbursements.

Prime segment grew by 2% year-on-year, ensuring steady margins in a highly rate -sensitive market. The overall retail segment disbursement grew 12% year -on-year during the quarter to INR 5,995 crores. We will continue prioritizing growth in the Affordable and Emerging Market s segment .

PNB Housing Finance Limited

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Internal On loan books , the retail loan book grew by 3% quarter -on-quarter and 17% year -on-year as on 30th September 2025. The loan book for emerging markets and affordable segments grew by 34% year -on-year, reinforcing our commitment and focus on these segments. As stated earlier, the company c ontinues to focus on growth in these two segments , that is Emerging and Affordable , which contribute 38% of the retail book.

The corporate book now stands at INR 332 crores as on September 30, 2025 due to foreclosure of one of the corporate loans during the quarter. The total Loan Book stood at INR 79,779 crores and Asset under Management is at I NR 83,879 crores. The total account serviced by the company crossed INR 3.5 lakhs during the quarter. The growth in the Affordable and Emerging segment continues to remain strong in all the geographies.

Our network today spans out 356 branches across the country, out of which 198 are in Affordable segment, 85 in the Emerging markets and 73 in Prime . This reach gives us a strong foothold in the tier 2 and tier 3 cities, where we continue to seek growing demand. We plan to steadily expand our presence by adding around 40 to 50 branches each year in line with our growth strategy.

On Asset Quality, a s mentioned earlier, the gross NPA improved to 1.04% as on 30th September 2025, as compared to 1.06% on 30th June 2025 and 1.24% as on 30th September 2024. During the quarter, we recovered INR 59 crores from the overall return off pool.

In our retail portfolio, we have seen remarkable progress on asset recovery. During Quarter 2, we successfully auctioned 178 repossessed properties, bringing the total disposals for the first half of FY 26 to 276. This strong execution reflects our robust recovery strategy and our commitment to maintain asset quality. The company has a remaining written -off pool of around INR 1,000 crores, hav ing INR 675 crore in corporate and balance in retail.

On borrowing rates , our cost of borrowing declined by 7 bps sequentially to 7.69% in Quarter 2 of FY 26, driven by ongoing negotiations with banks and the impact of repo rate cuts.

On margins , the company was able to slightly improve the margin to 2.26% in Quarter 2, FY 26, from 2.23% in Quarter 1. NIM remained range bound at 3.67% for the quarter versus 3.74% in Quarter 1 of FY 26, and on an overall basis for H1, FY 26, it remained at 3.7%.

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Internal On profitability, all efforts across parameters aided in improving the profitability. Our return on asset improved to 2.73% in Quarter 2, FY26 and H1 stood at 2.65%. Return on equity was at 13.14% annualized for Quarter 2, FY25.

Let me now share some highlights on our Prime and Emerging segments.

Overall Prime and Emerging

business delivered growth of 10% year-on-year and 23% quarter-on-quarter. The Emerging business recorded quarterly disbursement of INR 2,122 crores up by 23% year-on-year and Prime business remained flat in line with our strategic approach to profitable growth. Emerging business now contributes 41% of overall Prime and Emerging segment up from 36% in Quarter 2 of last year.

The Affordable housing business will be covered up by Ms. Valli Sekar.

To sum it up, as we look ahead to FY 26, our strategic approach remains on exploring retail growth and expanding our Affordable housing footprint. We aim to enhance customer experience, reinforce risk frameworks, and sustain industry-leading asset quality while delivering consistent long-term value for all stakeholders. Backed by a strong leadership team and a resilient culture, we are well positioned for sustainable growth.

With this, I would like to hand over the call to Valli to take you through the update on the Affordable business. Thank you.

Valli Sekar : Thank you, Jatul. Good evening, everyone. This is Valli Sekar.

It is with great pleasure that I present the significant progress we have achieved in our Roshni business during this quarter. We closed the 2nd Quarter of this financial year with a robust loan book of INR 6,531 crores, marking an impressive 121% year-on-year growth from INR 2,949 crores in Q2 last year. This also represents a healthy 14% increase over the previous quarter, underscoring our continued momentum and strong execution.

Our disbursement performance this quarter is equally noteworthy, reflecting strong growth and deepening market traction. In Q2, FY26, we disbursed INR 828 crores, a strong 31% increase over INR 630 crores in Q2 last year, reflecting sustained momentum and growing market acceptance.

We also saw an improvement in incremental yields, which rose to 12.1% this quarter from 12% a year ago. This uptick is driven by our strategic focus on higher yielding segments and deeper penetration into tier 3 and tier 4 markets.

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Internal Over the past year, we have expanded our footprints by adding 40 new branches, bringing our total to 198 branches across 130 plus high potential districts in 15 states. I am pleased to share you that these branches are fully operational and already contributing meaningfully. We will continue to strengthen our presence in three newly added markets, Punjab, Chandigarh and the Northeast as a part of our strategic expansion plan for the upcoming fiscal.

Our Pan-India presence enables us to scale efficiency across regions. Our Pan-India operations are well balanced across three zones, North Zone at 33%, West zone at 35% and South zone at 32%. This geographical balance continues to be a key strength, ensuring both resilience and consistency in our growth.

Tamil Nadu leads our AUM, followed closely by Uttar Pradesh, Maharashtra and Madhya Pradesh.

Our customer profile continues to evolve positively. Self-employed customers now represent 43% of our base, up from 39% a year ago. Informal segment grew to 30%, up from 27% last year, forming a sizable portion of our portfolio. 72% of our portfolio is within the ticket size of INR 25 lakhs. 35% of our portfolio remains non-housing loan. The yield is at 12.13%, marching towards 12.25% in the coming quarters.

Importantly, our portfolio quality remains strong. The collection metrics are well within the predefined acceptance criteria. Bounce rates are well controlled at 11.4%, while 3.5% is due to technical reasons. Early reminders, omni-channel communications, customer segmentation, and diverse collection techniques wherein technical integration backed by human communication have helped us towards collecting efficiently.

The recent spike in NPA is attributed to the maturation of the portfolio. However, it remains low at 0.51% as against

not the Affordable housing industry level of 1.3%. 30 + remains at 1.40% as against Affordable housing industry standard of 3.7%. We have, however, proactively implemented loan amount based on tier levels, on city levels to enhance quality and keep the future delinquency low with a low, easy to serve EMI. Further, we have identified specific markets for course corrections. which is a part of our standard operations model.

We are deeply proud of the milestones we have achieved. With the solid foundation we have laid and the strong momentum we are building, we are entering the second half of the year with confidence and optimism. The road ahead is full of opportunity and we are well positioned to close the financial year on a truly high note, stronger, bolder and more impactful than ever.

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Internal Thank you very much for your continued support. And now I shall hand over the call to Vinay Gupta, the CFO of the company, to talk over the financial numbers. Thank you.

Vinay Gupta: Thank you, Valli, and a very good evening to everyone.

I am pleased to share that this quarter, again, we have delivered robust financial results across all key performance indicators. Revenue growth has been strong, margins have remained healthy and our cost optimization initiatives have further strengthened profitability.

Our total loan book as of 30th September stood at INR 79,771 crores, growing 15% year-on-year and retail loan book grew 17% year-on-year to reach around INR 79,440 crores.

Now I will cover some of the key major P&L highlights :

With respect to yield, despite the 10 bps rate pass through during the quarter, there is a marginal decline at 9.95 % versus 9.99 % in the previous quarter. Cost of borrowing declined by 7 bps sequentially to 7.69 % in Q2, driven by all the ongoing negotiations and the impact of recent repo rate cuts. The incremental cost of borrowing remains stable at 7.42 % in Q2 as compared to 7.44 % in previous quarter.

Our net interest income grew during the quarter to INR 765 crore at a growth rate of around 14% year-on-year. Spread marginally improved to 2.26 % versus 2.23 %. NIM declined marginally from 3.74 % to 3.67 %. This is due to lower investment yield. The gross margin is stable at 4.05 in Q2 versus 4.06 in Q1.

Similarly, OPEX -to-ATA is stable at around 1.02 %. We maintain the guidance of around 1% to 1.1% going ahead. Our pre-provision operating profit has grown 16% to INR 646 crores driven by positive operating leverage.

Our credit cost stood at minus 53 bps. This is due to recovery that we have been able to do of around INR 60 crores from written-off pool during the quarter and there is a release of ECL of INR 70 crores due to foreclosure of one corporate loan during the quarter.

All this has led to profitable growth for us. So, our PAT has grown to INR 582 crores at a growth rate of 24% year-on-year. ROA for Q2 stood at 2.73 % and ROE stands at 13.14 % for Q2.

With respect to capital, CRAR remains strong at 29.8 and tier 1 capital out of this is 29.2 and our book value has moved to around Rs. 690 per share.

I now hand over the call back to Chaitanya.

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Internal Chaitanya Yadav: Thank you, Vinay. Now we can open for the Q&A, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Devang Shah, an individual investor. Please go ahead.

Devang Shah: The first question is, what is the update on the new CEO who is coming on the ground? Is it from the internal or you are going to get it from the external? Because I think so, last date is gone.

Jatul Anand: The company is taking all necessary steps for filling up the vacancy. So, as per the protocol, the disclosures will be first made to stock exchanges at an appropriate time and

then definitely it will be released. So, in the interim, I am leading the team and accordingly reporting to the Board. So, that is how we are managing.

Devang Shah: No, no. Sir, just want to know, it's already one-and-a-half months back, your CEO told like it's going on, from the internal or from the external, that's the simple question I am asking.

Jatul Anand: You will appreciate that given the sensitivity of the process involved, it will be difficult to comment on that at the current time.

Devang Shah: Sir then what are we doing it from last one-and-a-half month? We know that one person

is leaving the company , and that's for sure, you have accepted the resignation. Then what the company did in 90 days . It affected the stock price, and your market cap.

Jatul Anand : There is a detailed process which has been followed , and as I have mentioned that we have travelled the distance and the disclosures will first go to the stock exchange s, and then it will be released . And the company is mindful of the position, and they are working very fast on closing the gap.

Devang Shah: Can I know what's the growth trajectory for the upcoming quarters, like is it on the loan side or the credit side ? It's on the retail portion as well as on the like big portion of the book , what's the growth trajectory?

Vinay Gupta : See, we have guided for the year to grow at around 17 % to 18 % , so that remains . This quarter and last quarter , we have grown between 17 % to 18 % , so that growth guidance remains intact.

Devang Shah: Okay. That's fine.

Moderator: Thank you. Our next question comes from the line of Praful Kumar from Dymonasia .

Please go ahead.

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Internal Praful Kumar: Congratulations, sir, on the very strong quarter . Just a couple of things, one in terms of, as the previous participant asked, the new CEO, so can you just give an update in terms of the process that you had? So, you had, I think, how many applicants came in, how many were from the private sector broadly? So, in terms of the process that was followed and when it was closed , and by when we should expect ? So, it should be next week, 10 days a month, a timeline for it. I am not asking the sensitivity of the candidature.

Jatul Anand : See, first of all, thank you for acknowledging the results. Thank you. And please appreciate that this is, again, given the sensitivity of the process. So, I would not be in position to share the details. This process was done by the Board directly , and they are following a transparent search for the right candidate. And definitely the results , as and when decided, as I mentioned earlier, will be disclosed to stock exchanges first , and will definitely reach to all of us.

Praful Kumar: Fair enough. So, what we understand is that the last date of the applications has gone say 2 to 3 weeks back and whenever the process is concluded, the exchanges will get to know first. That's the way it is.

Jatul Anand : Yes.

Praful Kumar: Okay sir. And many congratulations of standing up very tall . In spite of so -called leadership crisis, you guys have done a phenomenal job. Thank you, sir.

Jatul Anand : Thank you very much. Thank you.

Moderator: Thank you. The next question comes from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi, sir. Congratulations on a good set of numbers. Just 2 things. So, one on the spread and margin trajectory side, obviously this quarter , the incremental cost of borrowing has gone down materially. Obviously, NIM contracted a bit because of the incremental rates being lower in Prime and Emerging. So, how do you see NIM sort of spanning out over the next 2 quarters? I mean, do you see the NIM have bottomed out in Q2 and then Q3, Q4 should see some improvement?

Vinay Gupta : So, Renish, for this quarter if you see, we were able to m

aintain spreads . NIM has gone down due to some impact on the investment yield. And while we will continue to see some benefit coming in on the cost of borrowing , but at the same time, due to the mix being in favor towards Prime and Emerging. So, this will continue to have some impact going forward also. We have given a guidance of 3.6 % to 3.7 % as NIM guidance for this year. So, we expect it to remain range bound between this particular range for the second half of this year as well.

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Internal Renish: Okay. Got it. And the second question is on the affordable piece . So, obviously, I heard early on let's say, though there is an increasing 30 + and gross NPA , and it is far below the industry average , but can you throw some light on what has led to this spike in this quarter? Is there any particular geography , sort of product segment in terms of whether it is LAP, HL, what is driving this higher delinquency in this quarter?

Valli Sekar : Yes. Renish, you will appreciate that the portfolio is getting matured, and our portfolio more than 2 years itself is close to INR 2,500 crore plus. Now the portfolio is maturing, and we are in the Affordable business of handling EWS, LIG and we are getting into

Tier-3 and Tier-4 markets. We are getting into informal segments , we are getting into high yield products . So, this spike is going to be there. I would appreciate if we do not see affordable on quarter -to-quarter basis , because every quarter is going to be different. And the first quarter in particular was cyclical also. We had some rain problem and there were problems in 1 or 2 states because of the government ordinance coming into place , so everything is getting improved. So, from there it will slightly hike up and after a particular mark , it will get stabilized.

Renish: Got it. And maybe just relate d with that , as you said, given now this book will get season next maybe 3-4 quarters. So, when you see delinquencies going up, are we also looking to, let's say, recover yields accordingly to sort of price that risk? How should one see the asset yield moving in affordable segment?

Valli Sekar : Yes, we do. So, the first one -and-a-half years of operation, we were more concentrating on Salaried segment and Formal segment. So, in the note I had read that the Self-employed is significantly growing up and even the Informal has gone up to 30% from 27%. So, these are high -yield products. So, when we are talking about increase in this delinquency, we are also mindful of increasing the yield as well.

Renish: And that should start showing in numbers from next quarter or it might take a few more quarters before it shows up in yield?

Valli Sekar : So, periodically, quarter by quarter, you will see this happening.

Renish: Okay. That's it. Thank you and best of luck.

Valli Sekar : Thanks Renish .

Moderator: Thank you. Our next question comes from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Yes. Hi. Thank you for allowing this opportunity. First question is a bookkeeping question. I just want ed know what is a 1+ DPD on our affordable portfolio?

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Internal Vinay Gupta: 1+ is around 2.5%.

Prithviraj Patil: Okay. And a follow up that is, so we have shown that 30 + DPD and 90 + DPD below industry. So, 1+ DPD also I am assuming is below industry levels , right?

Vinay Gupta: Yes.

Prithviraj Patil: Okay. And the second question is, what is the asset pool that is pending for recovery? Like I have seen that there is write -back from corporate as well as the retail pool. So, I just wanted to know how do we see credit costs going forward? What could be the write -off? What is the pool that's pending

Jatul Anand: See t he write -off pool, which is available, as I mentioned in the op

ening remarks, is close

to INR 1000 crores , out of which , INR 675 crores is from Corporate and the balance is Retail . So, recover y has been steady so far, quarter -on-quarter from this pool. And we envisage this happening for some more quarters for now. So, credit cost will definitely be the range bound , the way it is as of now.

Prithviraj Patil: And the third, the last question is on the cost of borrowing. So, I saw that the incremental cost of borrowing has also come down to 7.4%. So, largely the whole of 66% of our book has been repriced, right?

Vinay Gupta : Right. And this is stable on incremental cost. We were at 7.44 last quarter. This quarter we are at 7.42. This will keep adding up on the overall cost of borrowing as well from the benefits standpoint , and we might have to look at passing on also some of the benefits.

Prithviraj Patil: Okay. Thank you.

Moderator: Thank you. Our next question comes from the line of Harshit Toshniwal from Premji Invest. Please go ahead.

Harshit Toshniwal: Hi, sir. Firstly, congratulations for managing the transition so well. I think the question was more regarding the disbursement growth , sir. So, clearly, wanted to understand that if I look at the affordable segment, even though our disbursement growth y-o-y looks north of 20%, but at the same time we have also expanded the branch count from 160 to 200.

So, basically, disbursement for branch, despite branch increasing , hasn't happened a lot this quarter. So, if you can just explain, is it because in the transition phase, we want to go slow, and we should expect the disbursement growth in general to be a bit more moderate in the next few quarters, till the Management is fully transitioned, or you think that it's a reason of the maturity itself, and then it's natural to expect a low disbursement growth because of the market's condition?

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Internal Valli Sekar: Yes. Your second point is right. It is more to attribute with the monsoons continuing, where in Affordable, we depend more on self-construction and plot-plus construction cases, where in the Retail cases, the construction stage did not come because of the monsoons. And you will appreciate that the first 2 quarters are slightly muted in terms of growth in Affordable. Now that the festival season has come in, now from here on, the numbers will start to come in.

Harshit Toshniwal: Going ahead. So, I think even on disbursement per branch, ma'am, on a y-o-y basis, the number didn't grow. So, was more asking that since our branches are seasoned, shouldn't the disbursement per branch should have shown a better result in Affordable?

Valli Sekar: Correct. I will explain it. Because the 40 new branches which have just now started to perform. They have not even reached their normal level. Optimum is very far off. So, when we take all the overall 198 into consideration, then the total overall business seems to be flat. That is the reason. Once these 40 branches also start performing to a normal level, then you will find the per-branch productivity slightly higher.

Harshit Toshniwal: Okay. That was one. And the second one was on the Corporate segment, ma'am, that I think we had some aspiration to restart the Corporate segment. But at present, how should we look at that business? So, I think if I am not wrong, we were wanting to do INR 500- INR 600 crore disbursement a year in '26, if it goes over there. But at least as of now, how should we look at that segment? What are our plans for re-entry? Have we halted that for now? And if at all, what could be the aspirational disbursement with which we want to restart the Corporate?

Jatul Anand: Yes. Harshit, we have revamped the corporate credit policies and there have been a couple of sanctions which should translate to disbursement in Q3 and Q4. So, Corporate is on the cards, as

already talked about. So, you will see some business happening on the Corporate side. But it is gradual and slow, it depends upon, you will appreciate each case has their own nuances. So, this business is being done in a very thoughtful manner. The disbursements will pick up.

Harshit Toshniwal: Okay. And if I remember correctly, we will be focusing more on the INR 50 crore - INR 60 crore ticket size, granular portfolio itself. So, even if, for example, 2-3 cases, when you say it would be more around INR 100 crore to INR 150 crore disbursement at max, nothing lumpier.

Jatul Anand: Not necessary that way that INR 50 crores to INR 60 crores will be the ticket size. So, it depends upon, as I said, that each case is different on Corporate, in particular, the nuances are different. So, it could be more also.

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Internal Harshit Toshniwal: If you can help, sir, you said that we have changed the corporate policy. Which is the segment then are we now planning to target or when we say the change in corporate policy, what are the guardrails in this segment which we want to adhere to while starting the segment?

Jatul Anand: See, when I said change in corporate policy, I meant the revamp in corporate policy, because the earlier one was, in fact, pretty old when we used to do Corporate business at a full-fledged manner. So, the guardrails largely remain the same, focusing on right segment, right choice of the builders and the project. So, the guardrails broadly are the same, but the policy is revamped, given the current nuances.

Vinay Gupta: And the ticket sizes would be, let's say, up to INR 150 crores to INR 200 crores.

Harshit Toshniwal: Okay. Okay. Sure, sir. Okay, sir. Perfect. Thank you. Thanks a lot.

Jatul Anand: Thank you, Harshit.

Moderator: Thank you. Our next question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Hi, good evening, everyone. Thank you so much. Sir, there's just 2 questions really. First things first, we have taken a PLR cut of 10 basis points until now, while if I look at some of our larger peers, LIC Housing, Bajaj, even a smaller player like Can Fin Homes, they have taken a higher PLR cut than what we have taken. While I appreciate the fact that we have been able to maintain very healthy yields and margins, are we not seeing higher BT outs, particularly in the Prime segment now?

And I remember Vinay sir saying that maybe at some point in time, we will look to pass on through some PLR cuts, maybe in the subsequent quarters. So, how are we thinking about that, if you could just explain that? And are there more benefits expected in the cost of borrowings? Why I asked this is I remember sir making that comment that even in the second half, margins will remain between 3.6% to 3.7%. So, are there more benefits which will be expected? Because from what I understand, yields will remain under

pressure if we were to pass on more PLR cuts in the coming quarters.

Vinay Gupta : That's right, Abhijit. So, if you see from Q4 till now, Q2, our cost of borrowing has gone down from 7.84 % to around 7.7 %. So, we have seen overall, if you see a benefit of somewhere around 14 to 15 basis points, out of which 10 bps we have passed on. So, we are monitoring it very closely. And once we see sizable benefit coming in, we intend to pass it on to the customers. We would be watching the next monetary policy as well. And then accordingly time it and see if we can align it with that change.

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Internal Abhijit Tibrewal : Got it, sir. And then, sir, in the opening remarks, we spoke about this corporate account, which has led to some initial release. So just two subparts, more of a data keeping question. One is, how much exactly was the ECL release on this account

? And also, if

you can, basically, qualitatively speak a little bit about this corporate account, which corporate account , without naming it, of course , some details about this corporate account, how much was the total exposure?

Jatul Anand: This was a standard account and they wanted to close the loan and so they did so. So , the ECL release was close to around Rs. 70 crores from the account. It was a standard performing account.

Abhijit Tibrewal: Understood. So basically, Stage-I account and the ECL release was about Rs. 70 crores. What was the total outstanding in this account?

Jatul Anand: Yes, it was a Stage -I account.

Vinay Gupta: Yes, around Rs. 330 crores.

Abhijit Tibrewal: Got it, sir. And lastly, for Valli ma'am , this thing has been asked by a previous participant. But I am just trying to kind of understand, while we are cognizant of the fact that we are moving towards more self -employed, more informal segment, which you shared is 30% now. Don't you think the risk quotient at least is going up, right and maybe going forward, right, if the yields increase is not commensurate with the risk increase, then probably, we might have problems later , if you could just share some thoughts on this dynamic of risk reward in the Affordable segment, given the fact that we are leaning more towards informal, more self -employed?

Valli Sekar: Yes. See, now that PMAY2 has come, there is a clear guideline of what are all the profiles we have to look in and they have even mentioned the type of customers that we have to service in. This time, the circular is very explicit. So , when we are wanting to promote PMAY2, the government initiative, then we have to get into EWS and LIG. When we get into EWS and LIG, we have to enter into this self -employed and informal segment. While we are talking about that, we internally have kept in mind that we will not cross self-employed at any point of time, more than 45 %-50%, which we have kept for ourselves. And same informal, we have kept in mind that we will not cross more than 35%-40% at any point of time. And you have to appreciate that still in our portfolio, close to 50 %-53% is formal vanilla salary accounts. So , we are even servicing those customers. So . we are balancing it out because we will have to bring in yield as well. Now, with the cost coming in, we will have to manage that as well. So , to promote PMAY, this is one measure we will have to take, but we are very mindful and we are going ahead with that.

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Internal Abhijit Tibrewal: Got it, ma'am. Thank you for patiently answering all my questions and I wish the PNB Housing team the best.

Jatul Anand: Thank you, Abhijit.

Moderator: Thank you. Our next question comes from the line of Sravan from Sincere Syndication. Please go ahead.

Sravan: Yes, sir. My question was rather focused on the next CEO, but as you have already given an answer, my follow -up question would be on credit growth. What is the credit growth this quarter, Q2?

Vinay Gupta: You meant loan growth?

Sravan: Yes, loan growth.

Vinay Gupta: Loan growth is 17%, 16.9% for the year-on-year.

Sravan: For the year-on-year. And have you got any update, possible update on the CEO? Because this has been going on for a while and the stock price really took a dive. So , we would appreciate an effort and an announcement maybe. Are you, any timeline that you can give in? Any information without leaking any sensitive material? I understand that

and I can appreciate that. But any information on how long would it take or where are you in the process right now? Have you streamlined any of your candidates? Something like that would be helpful .

Jatul Anand: See, Sravan, I have already answered that, but however, given the question from investors, let me say that leadership transitions are never easy, especially after a

phase

of success and momentum. But yes, what has stood out is share resilience and responsibility of PNB Housing leadership team that the business remains steadfast and we have delivered on all the parameters as expected. So, we continue to remain the same and grow quarter by quarter and the strategy remains the same. It is all about execution as already talked about in various calls with the investors. And while we appreciate the sensitivity of the process, meanwhile, patiently waiting for the new MD and CEO to take charge, the company remains responsible and accountable to grow the business in line with the expectation of the stakeholders.

Sravan: And could you just answer, this would be my last question. Will the new CEO being appointed, will he follow the same strategy of you focusing on the higher yield segment, upping or doubling your affordable loan book? Would he stick with the strategies or would there be any changes, any shocks?

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Internal Jatul Anand: We have already spoken about it, we will appreciate that the mortgage business is largely monoline what we do. And till March '27, we have already laid out a strategy and working towards the same. So most likely, the strategy should remain the same plus minus little variation.

Sravan: Thank you.

Moderator: Thank you. The next question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Thanks for taking the question. So firstly, maybe particularly with respect to the lower provisioning on when we look at it overall on, when I look at like cumulative provisioning, so one is obviously, I would tend to believe that the entire moment in gross Stage -I, the entire coverage is purely on account of the release of the provisioning. I think you mentioned like Rs. 70 odd crores kind of a number. Otherwise, the coverage has been broadly sustained in the Stage-I assets?

Jatul Anand: Yes. That is right, Kunal.

Kunal Shah: And secondly, on the consolidation part, on the branches side, so we have seen maybe 2 branches being lower, say in the Affordable Housing segment, obviously on the Emerging side, it is still growing. But again, on the Prime side, it has been lower by maybe 3 odd branches or so. So maybe do we expect to see this consolidation out there? What would be the branch expansion plans here on? And if you can give the number of employees breakup across these 3 businesses?

Jatul Anand: Yes, I would say that two branches here and there does not affect, it is part of BAU and it is more to do on increasing the operational efficiencies of the company. And so that is where it is and it does not change the business plan per se. And on employee numbers, I don't have the numbers handy as of now. But however, having said that out of 356 branches, the major number of branches are in Affordable and Emerging segments which resonate with the company strategy to grow these businesses faster and Prime continue to be a range bound growth given the economic, it has to make some economic sense for the company to accelerate that business. So accordingly, we are overall maintaining the retail as set growth.

Kunal Shah: But there has been any exiting with respect to the locations or not really, maybe it is like just maybe the branches within a particular locations, they have just got consolidated?

Valli Sekar: Yes, Kunal, see what we have done is it is as a process standard operating process, wherever we found that the branch is not profitable, we consolidated it. But well, as per the guidance we have given already, we are in the process of opening more branches in

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Internal This particular quarter. By the end of this year, we are talking about having 250 branches in Affordable housing so that remains. So this consolidation has happened

as a part of

our standard operation process and it is BAU.

Kunal Shah: And this would be the net number. So, at the gross level, how much would have been the

addition and the closure?

Vinay Gupta : No, this is the gross only . The additions will come subsequently . We are working on it.

Kunal Shah: Got it. Thanks.

Moderator: Thank you. Our next question is from the line of Sanket Chheda, an Individual Investor . Please go ahead.

Sanket Chheda: Yes, so just wanted to ask on the account that you mentioned was a Stage -I account. But then why the provision cover on the same was 20% to reverse the Rs. 70 crore amount that you just elaborated ?

Vinay Gupta : That was basically because of the past trend that happened during COVID crisis. So , the provisioning has been kept at a slightly higher level. However, it was a standard account has been paying regularly. It is more to do with the client that they had funds and they want to foreclose .

Sanket Chheda: Sure, sir.

Moderator: Thank you. The next question comes from the line of Siraj Khan from Ascendancy Capital. Please go ahead.

Siraj Khan: Yes. Thank you for the opportunity and good set of numbers. So , sir, first to clarify, the exit NIM for FY '26 that was mentioned was 3.6 -3.7. Was that correct? Did I catch that right?

Vinay Gupta: Yes, that is right.

Siraj Khan: And also another classification, our guidance that we had given for FY '27 that 15% of the portfolio, so approximately Rs. 15,000 crores will be the AUM for Affordable and 65% will be Prime and the balance will be Emerging. Is that still holding true or will that change?

Vinay Gupta: Yes. We are working on that strategy.

Siraj Khan: Understood. A few questions of data keeping and qualitative. I will get the data keeping ones out. What was the sanction amount during the quarter?

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Internal Vinay Gupta: Sanction to disbursement ratio is around 70%.

Siraj Khan: Sanction to disbursement ratio what?

Vinay Gupta: Around 68 %-70%. So, you can calculate.

Siraj Khan: The sanction amount if that could be shared?

Jatul Anand: I don't have it handy, Siraj, but I think it should be upwards of Rs. 8,000 crores.

Siraj Khan: Next question was, what is the BT in and BT out rate, specifically for the Affordable segment, if you could share and the overall also?

Vinay Gupta: So, for Affordable, it is around, BT in is around 9% and BT out is around 4%.

Siraj Khan: And final one. So , I think, Valli ma'am had said that with the branches that we have opened over the last few quarters, 40 new branches, they are still a bit away from their optimal level. So, what is the optimal level of business, like with respect to amount, like how much amount of disbursements or the number of files that we consider that the branch is now optimal and it should run on its own two feet and should start to be more productive? What is that level?

Valli Sekar: Yes. We will appreciate that we have different types of branches. We don't have uniform type of branches. We have large branch, medium branch and small branch, which we call it as Ganga, Yamuna, Kaveri. So , if a Ganga branch reaches close to 1.8 Cr, Yamuna reaches close to 1.3 Cr and the Kaveri starts doing close to 70 -80 lakhs, which is basically in the Tier-4 and Tier-5, then we feel it has reached its optimum level and from there, the takeoff happens.

Siraj Khan: So, this is per month disbursement that you said, 1.8, 1.3 and 70 -80 lakhs?

Valli Sekar: Yes. This is the different branches disbursement per month.

Siraj Khan: Under stood . And finally, on the asset quality, yes, our asset quality is still much below than our peers and everyone in the industry. But where do you see it settling, say, by the FY '27 target that we have placed? Where do you see it in that range? Because some of our peers are showing some

signs of, in Q1, they said there was a little bit of asset quality issue, although seasonal, but there is a little bit of a thing with respect to the ordinance in the MFI space and the lower ticket size not having the best of the bounce rates, all that stuff. So , could you give some color with respect to where do you see the asset quality 2 years on, one and a half years on, and a bit of a commentary on the asset quality?

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Internal Jatul Anand: See, Siraj, this will be range -bound and I think this should remain around 1% itself. And

we have been working very hard on asset quality over the last couple of quarters and we tend to maintain the guardrails. So, it should be range-bound around 1%.

Siraj Khan: The GNP A?

Jatul Anand: Yes.

Siraj Khan: Understood. And any commentary with respect to any product, category of customer, regions that you are seeing, say, early signs of warnings or anything of that sort?

Jatul Anand: Not really.

Vinay Gupta: Not really. It is like portfolio seasoning which is happening across.

Siraj Khan: Understood. And finally, on the asset pool, the Rs. 1,000 crores of asset pool that is pending, so I believe another 4-6 quarters would still continue to be on this negative credit cost trajectory. Is that understanding because then that is directly helping our ROA and the profitability for the business as a whole. So, the negative credit cost episode will continue, say, maybe another 4-5, 6 quarters or can we see lumpy recoveries in the coming few quarters and this gets extinguished maybe before the FY '27 closes?

Vinay Gupta: We have line of sight for next 2-3 quarters. That should happen. And then again, thereafter, it depends on timing of certain corporate accounts, etc.

Siraj Khan: Great. That was helpful. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Good evening. Sir, my question is on the Affordable side. I just wanted to understand, typically, what is the month on book after which you consider an account seasoned or when you see delinquency start flowing in?

Vinay Gupta: It is between 12-24 months, somewhere around.

Jatul Anand: This is a line with industry mortgage loan cycle. So, I think generally an account holds some maturity around 18 months to 24 months and that is when you see early signs of delinquency.

Chinmay Nema: Sir, is it fair to say that the spike in 30+ that we have seen in this quarter and the GNPA as well, this would primarily be from loans that were disbursed between 12-18 months prior. So, would that be a right assumption?

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Internal Valli Sekar: Yes. The maturity of the portfolio is attributing to the spike of this and as we told, please appreciate the factor in Affordable housing, we cannot see quarter-on-quarter. Every quarter there will be slight increase and the first quarter, there was some cyclical issues also. The monsoon, certain ordinance, pathways, state governments and all also came and hit us. But generally, it is a right statement to say that the portfolio maturity attributed to the spike.

Chinmay Nema: Got it. So ma'am, just lastly, in a steady state, what would be the 30+ and the 0+ numbers that you expect from this portfolio? I know you called out the 90+ number at 1%?

Valli Sekar: See, it will be as per the industry number. We don't have a number as such for that. We are only focusing on to keep the NPA less than 1% at the way. We would not actually have a number. You can take the industry guideline for that.

Chinmay Nema: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Chaitanya Yadav for closing comments. Over

to
you, sir.

Chaitanya Yadav: Thank you, everyone for joining us on the call. If you have any questions unanswered, please feel free to get in touch with Investor Relations. The transcript of this call will be uploaded on our website that is www.pnbhousing.com. Thank you all for your participation.

Moderator: Thank you. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2026

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Public

Ref: PNBHFL/ SE/EQ/FY 2025-26/136

January 27, 2026

BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir (s),

Sub: Transcript of Earnings Conference Call held on January 22, 2026 – Q3FY26

Ref: i. Our letter PNBHFL/SE/EQ/FY2025 -26/130 dated January 13, 2026

ii. Our letter PNBHFL/ SE/EQ/ FY2025 -26/133 dated January 22, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript pertaining to the earnings conference call held on January 22, 2026 on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31 , 2025 .

This intimation is pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same shall also be available on the website of the Company at www.pnbhousing.com

Kindly take the above document on record .

Thanking You,

Yours faithfully,

For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

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Internal

“PNB Housing Finance Limited
Q3 & 9M FY '26 Earnings Conference Call ”
January 22, 2026

MANAGEMENT : MR. AJAI KUMAR SHUKLA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – PNB HOUSING
FINANCE LIMITED

MR. VINAY GUPTA – CHIEF FINANCIAL OFFICER –
PNB HOUSING FINANCE LIMITED

MR. JATUL ANAND - EXECUTIVE DIRECTOR – PNB
HOUSING FINANCE LIMITED

MR. MUKESH AGGARWAL – CHIEF SALES OFFICER –
RETAIL -PNB HOUSING FINANCE LIMITED

MS. VALLI SEKAR – CHIEF BUSINESS OFFICER –
AFFORDABLE BUSINESS – PNB HOUSING FINANCE
LIMITED

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Internal MR. CHAITANYA YADAV – NATIONAL HEAD,
CORPORATE PLANNING AND INVESTOR RELATIONS –
PNB HOUSING FINANCE LIMITED

Moderator: Ladies and gentlemen, good morning and welcome to the PNB Housing Finance Limited Q3 & 9M FY26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone.

Please note that this conference is being recorded. I will now hand the conference over to Mr. Chaitanya Yadav, National Head - Corporate Planning and Investor Relations for opening remarks. Thank you and over to you.

Chaitanya Yadav: Thank you, Ryan. Good morning and welcome, everyone. We are here to discuss PNB Housing Finance Q3 & 9M FY 25-26 results. You must have seen our business and financial numbers in the presentation and the press release shared with the Indian Stock Exchanges and are also available on our website. With me, we have our management team led by Mr. Ajai Kumar Shukla, Managing Director and CEO of the company. We will begin this call with the performance update by the management team followed by an interactive Q&A session.

Please note that this call may contain forward-looking statements which exemplify our judgement and future expectations concerning the development of our business. These forward-looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward-looking statement to reflect future events or circumstances.

A detailed disclaimer is on slide 44 of the investor presentation. With that, I will now hand over the call to our MD and CEO, Mr. Ajai Kumar Shukla. Over to you, sir.

Ajai Kumar Shukla: Good morning, everyone. I am pleased to present our Q3 & 9M FY 26 performance. Let me give you some industry update and guidance. This quarter, RBI announced an additional 25 basis point reduction in the repo rate, bringing it down to 5.25% with immediate effect. With this step, the RBI has delivered a cumulative 125 basis point cut in 2025, marking one of the most meaningful easing cycles in recent years. This latest policy action is a clear positive for the real estate sector as we close out the year.

It builds on the earlier rate reductions and further strengthens home-buying affordability, particularly in the affordable and mid-segments. The customers are more sensitive to interest rate movements. The decline in EMI is expected to draw fence-sitters back into the market, supporting sustained demand momentum.

With housing prices across the top seven cities rising by around 10% to 15% over 2025, the rate cut acts as an important cushion to preserve affordability. It offsets part of the price appreciation witnessed during the year and ensures that home ownership remains accessible to a wide base of

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Internal buyers. Overall, the combination of softer borrowing costs, resilient buyer sentiment and stable economic fundamentals positions the housing market on a strong footing as we move into 2026.

Let me talk about the performance of PNB Housing Finance Limited.

The retail loan book grew by 16% Y-o-Y to INR 81,931 crore s as on 31st December 2025. The total loan book of the company stood at INR 82,203 crore s as on 31st December 2025.

The Affordable and Emerging Market segments now account for almost 39% of the retail loan

book. With continued focus on collections, our credit cost for Q3 FY26 remains at minus 19 bps. The gross NPA stood at 1.04% as on 31st December 2025. As Aff

ordable segment portfolio

continues to season, we have witnessed some delinquencies and an expected trend at this stage of the business cycle. Importantly, delinquency level remains well within industry benchmark for the affordable housing segment.

We remain deeply focused on maintaining portfolio discipline and continue to work forward in achieving our long-stated target of 1%-1.1% GNPA. NIM remains stable at 3.63% during the quarter. Achieved ROA of 2.57% for 9M FY 26 on an annualised basis.

Let me now talk about in more detail on the performance achieved during the quarter.

As far as disbursement is concerned, during the quarter, overall retail segment disbursement grew by 16% YoY reaching INR 6,217 crore s.

Within this, the Affordable segment saw a 15% Y-o-Y drop and 4.5% QoQ decline in disbursement, driven by our strategic decision to recalibrate affordable business in few challenging geographies due to government ordinances. However, the Emerging Market s segment continues to outperform delivering a strong 25% Y-o-Y growth in disbursement. As this impacted pocket stabilises, we expect affordable disbursement to revert back to growth trajectory of Q4 FY26.

The Prime segment delivered 20% Y-o-Y growth despite the broader pressure on yields following the rate cuts. Looking ahead, our strategic priorities remain unchanged. We will continue to reinforce our focus on scaling the Affordable and Emerging Market s segment given their strong underlying demand and long-term growth potential.

Also, we are going to start Construction Finance business in calibrated way in Tier 1 cities. Apart from that, we are also going to start Emerging Developer Finance with average ticket size up to INR 25-30 crore s range in selected cities to improve our yield and NIM.

As far as loan book is concerned, the retail loan book grew by 16% Y-o-Y as on 31st December 2025. The loan book for Emerging markets and Affordable segment grew 31% Y-o-Y, reinforcing our commitment and focus on these segments. As stated earlier, the company continues to focus on growth in Emerging and Affordable segments which contribute 39% of retail book. The corporate book now stands at INR 272 crore s as on 31st December, 2025.

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Internal The total Loan Book stood at INR 82,203 crore s and Asset Under Management is at INR 86,048 crore s. The total live accounts serviced by the company crossed 3.6 lakhs.

As far as geographical presence is concerned, the total pan India branch network of the company is 358 with Affordable and Emerging market segment accounting for 79% of total branch network. Our expanding footprint in Tier 2 and Tier 3 cities positions us well to capture increasing demand in these markets. Aligned with our long-term growth ambitions, we expect to add 40 to 50 new branches annually to deepen our presence in Tier 2 and Tier 3 cities.

If I talk about asset quality, the gross NPA improved to 1.04% as on 31st December 2025 as compared to 1.19% on 31st December, 2024 and 1.04% as on 30th September, 2025. During the quarter, we recovered INR 49 crore s from retail and corporate segments. The company has a remaining written off pool of around INR 650 crore s in corporate and around INR 350 crore s in retail.

As far as borrowing is concerned, our cost of borrowing improved by 19 bps sequentially to 7.50% in Q3 FY26, driven by ongoing negotiations with banks and the impact of repo rate cuts.

As far as margin is concerned, NIM remains in line with our guidance level at 3.63% for the quarter versus 3.67% in Q2 FY26.

In Profitability, Return on Asset stood at 2.57% annualised for 9M FY 26 as compared to 2.48% in 9M FY 25. Our ROE is at 12.31% annualised for 9M FY 26.

Let me reiterate that we will continue the guidance of retail book growth in the range of 17% to 18% with higher focus on Emerging Markets and Affordable

segments.

With this, I would like to hand over the call back to Chaitanya. Thank you so much.

Chaitanya Yadav: Thank you, sir. I will now request Vinay, our CFO, to talk about the financial numbers.

Vinay Gupta: Thank you, Chaitanya, and a very good morning to everyone.

I'm pleased to walk you through our financial results for the quarter ended 31st December 2025.

As you have already heard, our total loan book as of 31st December stood at INR 82,203 crore s, growing 14% year on year. Our retail loan book grew 16%, reaching to INR 81,931 crore s.

Affordable and emerging market segments grew 31% YoY put together and now constitute around 39% of our overall retail loan book.

Let me start with an overview of our financial performance.

This quarter, our yield declined to 9.72 % versus 9.95 % in Q2 FY26. This is driven by a reduction in corporate book. As we mentioned at the end of previous quarter, there was one large corporate account which got foreclosed. So that led to a reduction in our mix of corporate book and impacted 10 bps on my yield.

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Internal We covered it largely through reduction in cost of borrowing but there is still some marginal impact which was left out on the name. Also, the impact was there due to lower disbursement yields and higher run-offs.

At the same time, our cost of borrowings improved by 19 bps sequentially to 7.50% in Q3, driven by ongoing negotiations with banks and the impact of repo rate cuts. The incremental cost of borrowing improved to 7.2% in Q3 FY26 as compared to 7.42% in the previous quarter.

Our net interest income during the quarter was INR772 crore s which is a growth of around 11% year-on-year. NIM, as I mentioned, is at 3.63% compared to 3.67% in Q2 FY '26.

Our operating expenses grew 16.7% YoY and 10.5% QoQ to INR 240 crore s versus INR 217 crore s in Q2 FY26. This increase includes one-time expense of INR 6 crore s on account of implementation of new labour codes.

Plus, there is a timing difference in ESOP. There was a release last quarter on account of exit of previous MD and now the cost is normalized. So this cost looks a bit of an aberration. Overall, our opex to ATA for Q3 FY26 is 1.09%. We continue to maintain our opex to ATA guidance of being range-bound between 1% to 1.1%.

Our pre-provision operating profit has grown 8.4% YoY and ex-one-offs, it has grown 10% YOY. Credit cost continues to be benign. It is 19 bps negative. As MD sir also clarified, we recovered around INR 49 crore s from written-off pool during the quarter.

Our PAT stood at INR 520 crores, up 7.7% YoY.

ROA improved by 9 bps on a YoY basis at 2.57 in 9M FY26.

ROE is at 12.3% for 9M FY26 and our overall CRA R stands at 29.46% with Tier 1 capital at 28.92%. Our debt to equity is now 3.63 and our book value stands at INR 710.

With this, I now hand it over back to Chaitanya for taking the call forward.

Chaitanya Yadav: Thank you, Vinay. Ryan, we can now open the call for the Q&A, please.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Ladies and gentlemen, if you wish to ask a question, please press star and one.

We take the first question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Please go ahead.

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Internal Abhijit Tibrewal: Yes, good morning, sir and thank you for taking my question. First of all, congratulations to Sir Ajai Shukla on assuming the role

of MD/CEO at PNB Housing. Sir, first question on the affordable book.

You have called out in the presentation and in your opening remarks as well that you have restricted ticket sizes in certain geographies. So, just trying to understand which geographies are these, right, and what are the underlying reasons for restricting ticket sizes, if you could just help us understand that?

Ajai Kumar Shukla: Thank you, Abhijit. As far as Affordable book is concerned, we saw some challenges especially in some part of southern market. It was not all across India. So, we recalibrated our strategy in those markets. This was primarily because of some government ordinance and that is already out.

I think we will rework and we will come back again on the new methods of defining our affordable strategy for the southern market.

Abhijit Tibrewal: Got it. And sir, this ordinance that you are talking about, is it the MFI ordinance that came in last year, almost a year back?

Ajai Kumar Shukla: Yes, it was that, but it impacted the Affordable business also because when any information comes to the market, it impacts the other segments also.

Abhijit Tibrewal: Got it. And these are not geographies or customers which have got impacted by tariffs or anything, right?

Ajai Kumar Shukla: So, there was some partial impact on geography also. So, for example, Tamil Nadu, we saw some

challenge. Because of that, we decided to re-evaluate our strategy in the TN market. And since the market is again stabilized and the government ordinance is also stabilized now, I think we will be focusing again on those markets.

Abhijit Tibrewal: Got it. So, the second question I had was, I mean, late last night, you declared a corporate account as a fraud account, despite you having called out that you've written out this account back in FY '23. So, just trying to understand, I mean, this come up during any of your RBI or NH B inspections?

And a related question here is, I mean, while you've been around here for a little over a month now, have you had a chance to take stock of the loan book? Basically, how is the asset quality and would you need to take any higher provisioning on the book in the coming quarters?

Ajai Kumar Shukla: So, as far as this fraud which we reported, as you rightly said that we already written -off this account in 2022 -23. And there is no material adverse effect on financial of the company. And we are currently undertaking appropriate legal measures in this case. The amount sanctioned was INR275 crore s and the current outstanding is INR237 crore s around. And since this is already provisioned, so no financial impact . I don't think...

Vinay Gupta : On the asset quality front, Abhijit, we don't foresee any increase in any of the segments. We are adequately provisioned across all the stages and that may continue.

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Internal Abhijit Tibrewal: Noted and sir declaring this account as a fraud now, was there some technical reason behind it?

Vinay Gupta : Yes, it was basically due to some recent developments which have happened in that particular account. And hence, as per the process, after following the due process, you know, of giving principles of natural justice, we have then decided to declare it as a fraud.

Abhijit Tibrewal: Okay. And so, then the last question I had was, I mean, have you made any PLR changes in the last quarter or any changes effective January this year?

Vinay Gupta : No, not yet.

Abhijit Tibrewal: Okay. So, this is all from my side. Maybe I'll come back in the question. Thank you. And I wish you and your team the very best.

Moderator: Thank you. We take the next question from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah : Yes. Hi. Thanks for the opportunity and congratulations, Ajai, on the new role. It has been now one month since you joined PNBH F. I just w

anted to understand from your perspective, first of all, what is it that you are finding it, say, different versus your expectations when you were joining?

And secondly, more importantly, if there is any change or an update to the strategy of, say, growing the share of Affordable , Emerging, any, say, anything within, say, underwriting or the collection practices where you think you can make it more robust, any of those things, what are the – what will be your views on those things?

Ajai Kumar Shukla: Thank you, Viral. You know, I think, you know, last 30 days, what I observed that we are on the almost similar kind of path which, you know, any other housing finance company works. And as already said, and I reiterated that we'll continue the guidance which has already been given in the market.

We'll focus on our Emerging and Affordable business. So, there will not be much change in the strategy of the organization. We'll continue and we'll further improve and explore the opportunities where we can get the better yield and NIM.

I don't see any challenges, as Vinay also confirmed that on the quality of portfolio because even in Affordable also, we are much better than any affordable company in this industry. So, I don't see there is any change as far as the, you know, quality and all those things.

Viral Shah : And just as part of this only, so I think earlier guidance with regards to, say, the share of affordable and emerging mix, stated number was 40 %. And then I think a couple of quarters back, there was some reclassification in emerging and we had kind of highlighted that we can, that percentage now can look higher. Do you want to give any percentage target over a medium term?

Ajai Kumar Shukla: Yes, so currently we are 39 % and we are expecting this to grow in the range of 45 % to 50 %.

Viral Shah: As a share, right? The emerging and affordable?

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Internal Ajai Kumar Shukla: Emerging and affordable, ye s, put together.

Viral Shah: Got it. And just on the question that I asked, sorry if I am repeating, but with regards to the underwriting practices or collection practices, you don't anticipate any change because of which

there can be any disruption to our growth or anything?

Ajai Kumar Shukla: No, I don't see that there will be any, disruption because I think things are going very well as far as underwriting and collections are concerned.

Viral Shah: Got it. And my second question, Vinay, was to you. How soon can we get to, say or converge our overall cost of funds to now the incremental cost of funds of 7.2 %? And what would, we are, say medium term now, NIM trajectory guidance, if you could help us with that?

Vinay Gupta : We will, so this NIM as of now, due to pressure on account of runoff and the new disbursement yields already running lower than our portfolio yields, so that pressure is going to continue. We are offsetting it with the reduction in cost of borrowing. So we continue to maintain the guidance of NIM between 3.6 % to 3.7 %.

Post Q4, we will recalibrate, looking at, once the stability happens on repo, how it is going to play out in the next year. And once we launch CF, once we launch this Developer Finance, I think these will obviously add on to our overall yield profile. So next year, probably we might see, some expansion once these new segments start delivering.

Viral Shah: Got it. I think this was last question from my end. Thank you so much and all the very best.

Vinay Gupta : Thank you.

Moderator: Thank you. We take the next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Continuing on the question with respect to, say, under the new management, just wanted to understand any key priorities that would be there, or maybe it's the business as usual, any key priorities from your end. And in terms of the ROA, we are still guiding for

3.6 % to 3.7% ROA.

We still have the benefit of, say the recoveries, which is there. So maybe in terms of picking the ROAs up, and what would be the aspirational ROA target over next 3 years?

Ajai Kumar Shukla: So, thank you, Kunal. So let me, slightly correct here. I think you're talking about, NIM or you're talking about ROA?

Kunal Shah: No, no. So I was saying, like, margins, we are guiding for 3.6 % to 3.7% . And we still have the benefit of the recoveries, which would eventually go away over the medium term. So then maybe in that scenario of steady margins and maybe some normalization of credit cost, how do we see the ROA spanning out over 2 to 3 years?

Ajai Kumar Shukla: I think this will be in the range of 2.5 % to 2.6%. If I tell you that 9 month financial '26, my ROA is 2.57% as of now, and which will be in the, range of 2.5 % to 2.6 %.

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Internal Vinay Gupta : Just to add on, Kunal, there are three levers, as MD sir also mentioned. We are starting CF, so that will definitely support us on the NIM. Secondly, we are also starting a small developer finance, which is also going to be a new vertical, where average ticket size will range between 25% to 30 % and yields will be in the range of 11 % to 12%. So that will also be NIM accretive. And on cost of borrowing, again, we have few levers like, if the rating upgrade happens in a quarter or two, that will also lead to substantial benefits on our cost of borrowing. So these factors, apart from shift that we are making towards emerging and affordable, it will be somewhere around 50%, let's say by end of next year.

So by then, we would have some benefits on credit cost. And after that, these things will definitely support the current NIM profile. Actually, it will help in improving the NIM profile.

Kunal Shah: Yes, and in terms of this small developer and CF, we had gone through that cycle and we had run down this entire portfolio. So maybe learning from the past experiences, any differences in the business model that we would now incrementally cater to? And how much would it scale up to? Maybe is there any gap in terms of the proportion we would want to or maybe can it get towards like 3%- 5% of the AUM over a 3 year period or no, we'll not be so aggressive?

Ajai Kumar Shukla: Yes, so Kunal, I think what we have planned is that we will be having almost 8 % to 10% of my total book as our exposure in Construction Finance and Emerging Developer portfolio. Any given point of time, it would be in the range of 8 % to 10% only. That's the maximum exposure we want to keep.

That all will remain the retail business. As far as policy is concerned, so Emerging Developer and Construction Finance both will have a separate policy. Okay, there will be a difference between both the policies.

Because where the Emerging Developer Financing will end, the Construction Finance will start.

So we are in the process of designing Emerging Developer policy, the construction policy is already in place. And, that's how we have started, sourcing business also, but soon you will see that possible we'll start in Q4 or maybe first quarter of Q1.

Kunal Shah: Sure. And one last question, if I can squeeze in, that's with respect to affordable again. So you are maybe when you mentioned like you have recalibrated the growth in some geographies and ticket size cap in select geographies.

Overall, when we look at it, it's like still the ticket size of more than 15 lakhs is something which is coming up, which is coming down, actually. So is that maybe in terms of the ticket size capping or this is something similar to what indicated challenges in the southern market. And even in terms of the repayment rates in affordable housing, when we look at it with the disbursements, which have been there of INR 786 crores, we are still seeing almost INR 600 crores of addition. So the

re's hardly been any rundown, which has been there in that portfolio. So maybe what could be the reason for that? So, the repayment prepayment run-rate still appears to be quite low in the affordable housing. Yes. And where should we aim this segment to grow over the next 12 months in terms of the growth ratios?

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Internal Valli Sekar: Yes, hi, this is Valli Sekar. See, regarding this, you know, disbursement, which you are asking about in Q4, the ticket size will slightly go down, because now there is a slighter concentration towards the PM AY as well. So, the ticket size from the last year has slightly come down also. And this recalibration is particularly in the southern markets. As you all are aware that Tamil Nadu used to be our number one contributor in terms of the business.

So, when we faced that, you know, ordinance issue in the first quarter, end first quarter, by second quarter, we had recalibrated certain policies in certain branches and on the ticket size also. So, the effect has come as a spiral effect on the quarter three. But now in quarter three, since the ordinance, you know, has been retaken back, now we have again come back with the policies. And by Q4, we will be coming back again, as usual in those markets. And the guidance remains the same, we will be growing quarter on quarter in the, you know, in 25% to 30% is the level of growth, which we are expecting.

Kunal Shah: Okay. Yes. That's helpful. Yes. Thank you. Thank you and all the best.

Valli Sekar: Thank you.

Moderator: Thank you. We take the next question from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Yes, hi most of my questions have been answered, just a small one on competition. On the affordable side, you have kept the incremental rates stable sequentially. Do you see competition in the sector? And do you see these rates going down? And likewise in the prime side given the fact that we are probably towards the far end of rate cuts, do you see the intensity of competition to reduce?

Ajai Kumar Shukla: So Nischint, I think the competition is all across in this industry. So I think it's a very competitive industry. In Affordable also, there is enough and good competition as we see in Prime business.

But just that competition is there, you know, there will not be much impact on the pricing because the range wherein we are operating is already very competitive pricing in the market.

So I don't see there would be much more price drop in the market, especially in Affordable segment. I think this will remain as it is. And as far as Prime is concerned, there is definitely is, you know, because of recent repo rate cut, there is a challenge in the market from the nationalized banks and the private sector banks.

But we have segmentized ourselves in a very different way. So close to 45% of my portfolio is self-employed and 55% salaried. So, we get better margin in self-employment. That is why we are able to maintain our margin and NIM.

Nischint Chawathe: Have you called out a difference in rates between salaried and self-employed?

Ajai Kumar Shukla: So, yes, there is a risk-based pricing. So, we always use risk-based pricing. So salaried, always rates are softer than self-employed.

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Internal Nischint Chawathe: Got it. And you're increasing the share of construction finance and emerging developers, sort of technically increasing the risk profile of the company to some extent. In this backdrop do we really see a rating upgrade given the fact that the risk will incrementally be slightly higher?

Ajai Kumar Shukla: So, yes, definitely the construction finance business is always a riskier business in the market. But I think the kind of policy and underwriting standard we have set, I think we will be sail

through easily ...

Vinay Gupta: Nischint, also there is a cap on the overall growth. We are not going to grow very aggressively here. It will remain range bound between 5% to 7% in the next two to three years. So it will not grow so aggressively. And large part is still retail. So that is not going to be a challenge.

Nischint Chawathe: And you're expecting an upgrade probably next one or two quarters, right?

Vinay Gupta : Yes, I mean, we are hoping for it.

Nischint Chawathe: Sure. Thank you very much. And all the best. Thank you.

Moderator: Thank you. We take the next question from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. And good morning. So first question is on yield. There is a 25 -basis point decline in yields in this quarter. So if I look at the share of corporate that has slightly gone up, and I think share of emerging plus affordable has also been going up. So what explains the sharp drop in yield? Have we taken a price reduction on our back book? Because I see incremental yields are also broadly stable. So what is driving this sharp yield reduction and how you see yields going forward?

Ajai Kumar Shukla : Yes, see, Nidhesh, as I mentioned, out of this 25 or 23 bps, 10 bps is on account of one large corporate account, which got foreclosed at the end of previous quarter. So, since the book mix between retail and corporate has gone down, and that was a large account of around INR 340 crores. So that got foreclosed.

So that has impacted my yield mix for this particular quarter specifically by 10 bps. Rest 12 to 15 bps is on account of disbursement yield being lower than the book yield. And the higher runoff pressure which entire industry is going through on the Prime and Emerging segment.

Nidhesh: And how do you see yields going forward?

Vinay Gupta: Going forward, So this 10 bps obviously is one -off of this quarter. Unless we see more run off happening on the corporate side, this should not impact again. Then the next 10 bps to 12 bps is something which will remain and that is what we are trying to offset through the reduction in cost of borrowing.

Nidhesh : Sure. And secondly, the runoff rate has also increased. You also mentioned that. But if I look at the calculated repayment rate was around 15% till Q1 and it has now increased to almost 19% in this quarter. So how much is balance transfer of out of it and how do you see what we are doing to arrest this?

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Internal Vinay Gupta : So, as you rightly mentioned, yes it has gone up from 15, 16 to around 19 now. And large part of this is on account of BT outs. The increase is actually on account of BT outs. And this is true because of the current rate cycle we are trying to manage. But I think it will remain somewhere around 18 % to 19% till the rate stabilizes.

Ajai Kumar Shukla: So till quarter one, you know, Nidhesh the BT involves higher than the BT out. After the softening of rate of -- and repo rate cut by the RBI, the trend of BT in has changed. So if I talk about this quarter, earlier the story was whatever was the BT in, approximately same was the BT out. But now there is a difference between BT in and BT out of almost 2%, month -on-month. So quarter 3, there was a difference of almost 2% because the rates have softened. So customers are looking for better prospects or maybe where they can get a better rate. So this challenge is not with us. I think this is the industry challenge which industry is facing. Whenever there is a sharp rate cut, you will see this trend.

Nidhesh : Sure. And lastly, if you can also speak about the yields in the corporate, in the construction finance book. So on the Emerging Developer, you mentioned yield of around 11%. What will be the yield in the Construction Finance book of ticket size of more than INR30 crores?

Ajai Kuma

r Shukla: So yield, I think it would be in the range of around you can safely say between 12 % to 12.5%. That would be the range in construction finance.

Nidhesh : Because in the Emerging segment, you mentioned yield of 11%. So I thought the...

Ajai Kumar Shukla: No, so emerging it will start from 11% because this Emerging Developer will have a combination of cities like Delhi and all those. So the prime, the super prime developer of this segment will definitely look for a better rate. So it will start from 11 %, but it will go up to 13% and 14% also. So overall, we'll maintain in the range of 12.5 % to 12.75%. So largely the corridor would be between 12 % to 12.5%.

Nidhesh : Sure. Thank you, sir. That's it from my side.

Ajai Kumar Shukla: Thank you, Nidhesh .

Moderator: Thank you. We take the next question from the line of Bunty Chawla from A SK Investment Managers. Please go ahead.

Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity. Firstly, on this, as you said that you have reported the frauds, which is already written off. So any internal implications or any steps needs to be taken internally in the system because of this, if you can highlight on that?

Ajai Kumar Shukla: Thank you Bunty for first of all for the question. I don't think there is any internal implication because there's a process which have to be followed . And already legal measures are going on.

So I don't think there is any internal implication of this.

Bunty Chawla: Okay, that was very helpful, sir. And secondly, as you mentioned that you will be able to sustain

the 17% growth for retail segment for this year also. So that gives a -- if you see the Q4 number in terms of disbursement slightly higher on a sequential basis like 45%, 50%. Is it possible after PNB Housing Finance Limited
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Internal you have you already said that we are now moving to normalization in terms of affordable. So this gives a large task in terms of disbursement in Q4 ?

Ajai Kumar Shukla: Yes, so always in the industry, the Q4 disbursement is always high. So currently on Y-o-Y basis, we are at 16%. So 18% should not be a challenge because that's how it's historically you see the data talks about. So I think we would be able to achieve those numbers.

Bunty Chawla: Okay. And sir lastly, you said we will be able to maintain the margin 3.6 to 3.7, along with the stability in ROA of 2.5 % to 2.6%. But as we see currently, we are in the end of cycle of the negative provisioning. Next year, it should be normalization of credit cards and all. So what drives you to give the confidence of ROA remaining stable at this level?

Ajai Kumar Shukla: So -- see there are two aspects of this. First of all, I think we have a pool there in, at least in four to five quarters, we will have a recovery from our write-off pool. So that's the first confidence. The second confidence is that once we will improve over this Affordable business and Emerging business from the level of 39 % to 45 % to 50%, that will give us better yield as well as since we are going to start our Corporate Construction Finance and the Emerging Developer Finance. That will also give us edge to maintain the higher business volume and the higher yield. So this will maybe, if at all, we don't get much relief from after five -- four to five, six quarters, then I think by the time this business will build and will compensate from the scale of business and the margin.

Bunty Chawla: Okay. So you are saying that the recovery will continue still for next four to five quarters. So on that what should be the normalized credit cost for FY27?

Ajai Kumar Shukla: So FY27, I think it would be . we are expecting if I talk about next year from FY27 -28 onward, it would be in the range of 20 to 25 bps credit cost.

Bunty Chawla: Okay. That was very helpful, sir . Thank you and congratulations Ajai sir.
Ajai

Kumar Shukla: Thank you.

Moderator: Thank you. We take the next question from the line of Avinash Singh from Emkay Global Financial Services Limited . Please go ahead.

Avinash Singh: Yes. Good morning. Thanks for the opportunity. Again, a bit kind of continuing on that ROA and NIM question. So, I mean, currently that NIM is like 3.6, 3.7 that you kind of reaffirmed. And if we were to look at NIM plus fee, probably close to 4.1 %-odd.

Now, I mean, beyond this four, five quarters where you have this benefit of provision reversal, a normalized credit cost, if it is going to be within a 20 basis point, assuming that, okay, anyway, you are going into construction and development finance. Probably, basically this is a kind of a reversal of nearly a 40 -odd basis points in terms of where the credit cost is.

So mathematically speaking, to maintain ROA and also with your kind of, you know, growing book, the financial leverage will mathematically work against that NIM plus fee. Now, so when PNB Housing Finance Limited
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Internal you are looking, say, FY28 or even beyond two points, kind of a current level of ROA, basically that requires a NIM plus fee to go up mathematically by nearly 50 basis points.

So, I mean, of course there are push and pull factors, but are you sort of confident because we have very limited scope in opex, what I understand. And of course, credit cost side as like 40 basis point kind of a reversal. So do you see mathematically speaking that the 50 basis point is pull and pull factors taking this, let's put NIM and fee to 4.5% -odd, because that will be kind of a required level to deliver this 2.5 %, 2.6% ROA. Thanks.

Ajai Kumar Shukla: So, yes, Avinash, I think you rightly said that there would be impact of almost 40 to 50 bps to get that kind of ROA. I think we are very pretty much confident that we'll be able to do it because the kind of yield and the NIM, you know, we'll get in my construction finance and my small emerging developer funding. I think this will help us.

Plus scale up business will also help us because once the business scales up, you know, your cost always goes down because it gives, you know, benefit of your book also. So, I don't think there will be any challenge on that.

Avinash Singh: So, yes, thanks. So, beyond FY 26, I mean, what is kind of further now you are going to start sort of a new segments and all. So, medium term growth guidance or aspiration, what's that level?

Ajai Kumar Shukla: So, we are working on that. We'll come back on that, you know.

Avinash Singh: Got it. Thank you . All the best.

Ajai Kumar Shukla: Thank you.

Moderator: Thank you. We take the next question from the line of Himanshu Taluja from Aditya Birla Sunlife AMC Limited. Please go ahead.

Himanshu Taluja: Hi, sir. Thanks for the opportunity. Just a couple of questions at my end. Can you just, given you in your opening remarks, you called out certain with respect to few challenges in the Southern market related to the MFI ordinance, which triggered some calibration.

Is there anything apart from this? Is there any other, basically, any other challenges with respect to overheating of these geographies? Because we are seeing various players operating in the southern markets are seeing some slowdown. Can you just call out if there is any, apart from this, and how do you plan to react to this situation?

Second is on the affordable housing. We are seeing some of the industry, bureau data, which suggests that there is volume softness in the ticket size of up to 25 lakhs for the industry. How do you plan to deliver growth if the industry volumes remains on a muted?

If you can just help us, how do you plan to deliver growth in the affordable? Or can we see some bit of calibration in the growth for next few quarters as well in the affordable housing? Thanks.

And then I have one more question.

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Internal Valli Sekar: Yes, Himanshu, hi. So, this, as far as this, you know, ordinance issue was there, it was an issue that came up in the end of Q1, where the spiral effects continued in Q2 also. In our collections, we found some heat coming in the delinquency, early delinquencies were coming. So, we immediately took a proactive action.

And because that being our biggest contributor of the business numbers, we immediately got into ticket size. And we have already given in one or two of our meetings that we, you know, converted the country as Tier 1, 2, 3, 4, and we bifurcated the ticket size as per the Tier 3 and Tier 4 markets as well.

So, now, by, you know, by end of October, November, around the festivities, the ordinance circular has again come from the government and we find the situation normalized. And by end of December, we are finding even the collections strategy become, becoming normal. So, now, again, we will go back into our original policies, because we had, we had completely slowed down there. Now, we will come back to the original policy.

And secondly, regarding up to 25 lakh cases, see, I would have slightly deviated, you know, statement on this, because with PMAY coming in, all the players are getting into more into EWS and LIG. So, it might be a very temporary slowdown, but I would not say because the PMAY everybody is getting into it, because it is until 5 years, the customer cannot leave out of doing a BT out, it is a very good proposition, which is come, which is given by the government.

So, everybody is following that. So, taking that in queue, you know, we will be in the same level of growth, which we were posting in the previous quarters. Yes, we were growing very rapidly in the first 2 years, because we were a startup mode. But now we will come as per the industry standard to 20 % to 25% quarter-on-quarter growth ongoing, Himanshu.

Himanshu Taluja: Yes, sure. Just the last question, what proportion of the PMAY, what proportion of the PMAY is in the total disbursement currently? So, probably, what proportion that will be in terms of the total disbursement, PMAY contribution?

Ajai Kumar Shukla: So, PMAY 2.0 is not, see, it is just started. So, because the pool is building up now, till now. If I say the ballpark number, it would be the subsidy, which we customer have got is around in the range of INR 7 crores to INR 8 crores, which subsidy has been given. I think there were some challenges in teething trouble in initial days when the program was launched on technical challenges, which has been sorted now.

The process is also smoothed, because NHB and government has taken, you know, different measure for that, and they sorted it out. Now, I think this will scale up and it will move very fast in terms of getting subsidy to the customer. But as of now, if you talk about the contribution is very low, because the process was slightly cumbersome.

Himanshu Taluja: Okay, but can you expect this PMAY 2.0 to be the game changer in the next six to nine months, probably from post 6 to 12 months, basically, can it become a game changer in terms of your disbursement volumes?

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Internal Ajai Kumar Shukla: Yes, so no, it may not be a very high game changer, I would say, but definitely it will be a game changer, because there is enough push from the government and the National Housing Bank also

to promote this. And, that is how I think this again, some meeting is going to happen in few part of country, where a few of the, further deliberation will happen. And I think government focus is clearly on to improve this because the overall amount which they have allocated is substantial to facilitate to the underprivileged customers.

Himanshu Taluja: Okay, sure. Sir, just a small, if you can just provide even if Valli ma 'a

m can provide this data

point for the affordable housing, how is the 6 MOB and 12 MOB put for vintage portfolio for the affordable housing, how these numbers are trend and yes, thanks.

Vinay Gupta : We will get back to you separately.

Himanshu Taluja: Sure. Thank you.

Vinay Gupta : Yes, thank you.

Moderator: Thank you. We take the next question from the line of Harshit Toshnival from Premji Investment. Please go ahead.

Harshit Toshnival: Hi, sir. Am I audible?

Vinay Gupta : Yes, sure, you are audible.

Harshit Toshnival: Sir, the question was related to the 10 basis point impact, which you mentioned because of the corporate move, one of the account run down. When I look at the corporate developer loan movement this quarter, from I think INR 319 to INR 250 crores, since we haven't done any disbursement, I think everything that re payments are not very high. It is to the tune of INR 70- INR 80 crores itself.

So, actually, if you can help me tie up that 10 basis point impact on the yield seems too large for a run-down of INR 70 crore s number itself. How should we look at that 10 basis points? And you mentioned that next quarter onwards, the reversal will happen for that 10 basis points. So, should we expect that the yields of 9.55, which we have come to normalize number would be 9.72 number, a normalized number would be 9.85 to look at from the next quarter?

Vinay Gupta : Yes, Harshit, as you mentioned, so it should not be compared with the, you know, this run -off happened at the end of previous quarter. So, the run -off happened on 30th of September. So, the 30th September book was already lower by INR 350 crores. So, it has actually run down at the end of Q2. So, hence it is not showing in the run -off. But if you see Q2 beginning book, and then compare, you will be able to see the difference.

Harshit Toshnival: Got it, got it. So, in that case, then my 9.72% reported yield this quarter, shouldn't this be the normalized base rather than, why would that 10 basis points normalize?

Vinay Gupta : That is right. This I was explaining walk of yield versus previous quarter. So, it has impacted negatively versus previous quarter. But this is a new normal now 9.72, which will continue going forward.

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Internal Harshit Toshnival: Okay, got it, got it.

Vinay Gupta : Thank you, Harshit.

Moderator: Thank you. We take the next question from the line of Praful Kumar from Dymon Asia. Please go ahead. Praful, please unmute your line and proceed with your question. Since there is no response, we will move on to the next question, which is from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Most of my questions have been answered. I just had one question on the disclosures that were given. So, affordable, prime and emerging, have we changed any classification there? Because I see that the Q3 FY 25 numbers are different from the ones that were reported earlier. So, I just wanted to know if there is any classification change there. Thank you.

Ajai Kumar Shukla: So, Prithvi, there is no change of classification. The classification as it is, the geography, the segment is, there is a difference of only segment of the geography. So, what we were following, we are following still. So, there is no classification change, rather we will increase our footprint in emerging and affordable segment.

Prithviraj Patil: Okay. Thank you.

Moderator: Thank you. We take the next question from the line of Umesh Jain from Kotak Life Insurance. Please go ahead. Umesh, please unmute your line and proceed with your question.

Umesh Jain: Yes. Thank you for the opportunity. Have you answered the reason for no change in the branch addition? If I look at the branch addition in the affordable and emerging market, we have not seen sequential change while from last couple of quarters, th

ere was a very strong healthy branch

expansion. And how should we see this number going forward in Q4 and FY 27?

Ajai Kumar Shukla: So, Umesh, I think the practice which we are following is that at the end of last quarter, we add new branches. If you see, why it has not happened sequentially in Q3, because this quarter, we will add some 35 to 40 branches, which will reflect and will be operational in Q1 of next year.

Umesh Jain: Sure. And what will be net branch addition in FY27?

Ajai Kumar Shukla: In FY27, we are expecting 50 branches almost.

Umesh Jain: Oh, 50 branches put together and what will be the affordable make into this ?

Ajai Kumar Shukla: No, so 50 branches, if I take about end of FY27, it would be around 75 to 80 branches, but because these branches which will come up in Q4 will actually reflect in FY27, plus branches will also be working on that. So, the total number of branches put together for this year and next year would be around 70 to 80 branches.

Umesh Jain: And majority would be affordable?

Ajai Kumar Shukla: And majority would be affordable in Tier 3, Tier 4 cities.

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Internal Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to the management for their closing comments.

Chaitanya Yadav : Thank you, everyone, for joining us on the call. If you have any questions unanswered, please feel free to get in touch with Investor Relations. The transcript of this call will be uploaded on our website, that is www.pnbhousing.com . Thank you for your participation. Thank you.

Moderator: Thank you. On behalf of PNB Housing Finance Limited, that concludes this conference call.

Thank you for joining us and you may now disconnect your lines.

Call: Apr 2026

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Ref: PNBHFL/ SE/EQ/FY 2026-27/14

April 25, 2026

BSE Limited
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code : 540173
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Symbol : PNBHOUSING

Dear Sir/Madam ,

Sub: Transcript of Earnings Conference Call held on April 21, 2026 – Q4FY26

Ref: Our letters (i) PNBHFL /SE/EQ/FY2026 -27/05 dated April 13, 2026 (Earnings call invitee)

(ii) PNBHFL/SE/EQ/FY2026 -27/10 dated April 21, 2026 (Audio Link)

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time , please find attached the transcript pertaining to the earnings call held on April 21, 2026 on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended March 31, 2026.

This intimation is pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same shall also be available on the website of the Company at www.pnbhousing.com

Kindly take the above document on record .

Thanking You,

Yours faithfully,

For PNB Housing Finance Limited

Veena G Kamath
Company Secretary

Encl: As above .

"PNB Housing Finance Limited
Q4 & FY 25-26 Earnings Conference Call "
April 21, 202 6

MANAGEMENT : MR. AJAI KUMAR SHUKLA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – PNB HOUSING
FINANCE LIMITED
MR. VINAY GUPTA – CHIEF FINANCIAL OFFICER –
PNB HOUSING FINANCE LIMITED
MR. CHAITANYA YADAV – NATIONAL HEAD,
CORPORATE PLANNING AND INVESTOR RELATIONS –
PNB HOUSING FINANCE LIMITED

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Moderator: Ladies and gentlemen. Good day and welcome to PNB Housing Finance Limited Q4 and FY 2025 -26 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chaitanya Yadav, National Head, Corporate Planning and Investor Relations. Thank you and over to you, Mr. Yadav.

Chaitanya Yadav : Thank you, Renj u. Good morning and welcome everyone. We are here to discuss PNB Housing Finance Q4 and FY 25 -26 results. You must have seen our business and financial numbers in the presentation and the press release shared with the Indian Stock Exchanges and are also available on our website.

With me, we have our management team led by Mr. Ajai Kumar Shukla, Managing Director and CEO of the company. We will begin this call with the performance update by the management team, followed by an interactive Q&A session.

Please note this call may contain forward -looking statements which exemplify our judgment and future expectations concerning the development of our business. These forward -looking statements involve risks and uncertainties that may cause actual developments and results to differ materially from our expectations. PNB Housing Finance undertakes no obligation to publicly revise any forward -looking statements to re flect future events or circumstances. A detailed disclaimer is on slide 46 of the investor presentation.

With this, I will now hand over the call to our MD and CEO, Mr. Ajai Kumar Shukla. Over to you, sir.

Ajai Kumar Shukla : Good morning everyone. So it's a pleasure to address you today as we reflect on the significant developments shaping India's housing finance landscape and share our performance for the quarter and the full year. FY 26 has been a pivotal year for the housing finance industry. The sector continued to benefit from strong structural drivers - rising urbanization, improving affordability and a clear shift toward home ownership across income categories. Tier 2 and Tier 3 cities in particular remained strong demand centers supported by improved infrastructure and increasing economic activity.

Government initiatives and supportive regulatory measures have further strengthened the environment for affordable housing. A softening interest rate cycle supported by steady economic activity has helped sustain healthy credit growth across the sector. It may also be worth noting that the ongoing geopolitical conflicts may have an impact on growth projections for all sectors including housing finance sector.

The crude oil prices may keep inflation and interest rates elevated and may also marginally impact asset quality. However, if the situation remains contained, the overall impact is likely to be moderate and transient with underlying housing demand remaining structurally resilient. Overall,

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Internal the industry is on a strong growth trajectory with particularly high potential in the affordable and emerging market segments. These are the areas where we have built strong capabilities and remain strategically well positioned.

Now talking about the PNB Housing Finance. Despite the pricing pressure in the market, the company has shown a strong and balanced growth during the year. The retail loan book grew by 16% Y-o-Y to INR 86,946 crores as on 31st March 2026. The total loan book of the company stood at INR 87,347 crores as on 31 March 2026. The affordable and emerging market segments continue to increase their share in retail loan asset and is at 40% a

s on 31st March '26 compared to 37% as on 31st March '25.

The disbursement during Q4 grew by 36% Y-o-Y and 50% Q-o-Q to INR 9,355 crores. During the quarter, overall retail segment disbursement grew by 32% Y-o-Y to INR 9,020 crores. Within this, the Affordable rebounded and grew by 59% sequentially to INR 1,249 crores which is largely flat as Q4 '25. We are back on growth path for affordable segment and expect to deliver similar performance going forward.

The Emerging Market segment continued to outperform, delivering a strong 34% Y-o-Y growth in disbursement.

The Prime segment delivered 43% Y-o-Y growth despite the broader pressure on yield following the rate cuts.

Overall retail disbursement growth for full year came in at 19%.

Happy to share that we have facilitated 5,000 subsidies under PMAY marking a significant milestone in our journey towards enabling affordable housing and supporting the Government of India housing for all mission supported by National Housing Bank.

The company restarted corporate segment with disbursement of INR 335 crores in Q4 FY26. The corporate loan book stood at INR 401 crores as on 31 March 2026.

Presently our digital channels generate nearly 15% of our overall leads.

With focus digital transformation, we further enhanced our onboarding process with the launch of infinity application which is in-house developed by our team. This fully digitized paperless workflow is now fully adopted by our in-house sales team and is helping us materially reduce turnaround times and operating costs while significantly improving customer experience. We are also in the process of onboarding all our direct selling agents to the platform.

In addition, we deployed an AI-enabled calling solution for sanctioned but not disbursed cases, engaging 70% of our identified pool and securing disbursement confirmation from 50% through intelligent outreach and targeted WhatsApp follow-ups.

We continue to embed AI led initiatives across the end-to-end loan processing lifecycle. During the quarter, multiple use cases were successfully completed pilot run including AI driven calling for Re-KYC, pre-delinquency management, top up offering and fresh sales lead conversion.

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Internal As far as geographical presence is concerned, as planned we opened 35 branches taking the total network to 393 branches including 229 in affordable segment, 87 in emerging market segment.

Our extensive pan-India footprint enabled us to effectively capitalize on the growing opportunities in the affordable and emerging market segments, particularly across high potential Tier 2 and Tier 3 locations. In future also we will keep on focusing on increasing distribution but priority is to bring existing distribution or branches more productive.

Asset quality : I am pleased to share that we achieved a significant milestone during the year. Our GNPA continues to improve and is now below 1% mark, standing at 0.93% as of 31 March 2026.

This improvement is a direct result of our strengthened collection infrastructure and continued emphasize on portfolio quality across both retail and corporate segment.

Recoveries remained strong driven by focused collection and resolution efforts. In Q4 '26 we recovered INR 24 crores from retail return off pool and INR 143 crores from corporate return off pool. For the full year FY'26, total recoveries from return off pool accounts stood at INR 332 crores resulting in a negative credit cost of 45 bps. Operationally, momentum strengthened further with the sale of 689 retail properties during the year compared to 537 in FY'25, underscoring improved execution across recoveries.

The company has a remaining written-off pool of around INR 500 crores in corporate and around INR 325 crores in retail.

As far as margin is concerned, spread reduced by 10 bps Q-o-Q from 2.22 % to 2

.12 % due to

lower incremental yield and BT pressure in prime business. In our view, the yield have bottomed out and should start improving from Q1 FY'27.

Net interest margin improved by 6 bps Q-o-Q in Q4 FY'26 to 3.69%.

As far as profitability is concerned, in FY'26, Profit after tax increased by 18% Y-o-Y to INR 2,291 crores leading to an ROA of 2.66% and ROE of 12.73%. The capital adequacy ratio is 27.26% and Tier 1 is 26.89% as on 31 March 2026.

Glad to share the Board of Directors recommended a dividend of INR 8 per equity share having face value of INR 10/- for FY'26, subject to the shareholder's approval during next AGM.

I would like to present the guidance for FY 2026-27.

Given the industry outlook and our business performance so far, the guidance would be :

We are looking for loan book to cross more than INR 1 lakh crore s mark in FY'27.

Retail loan book projected to grow between 18 % to 20%.

NIM would be in the range of 3.55 % to 3.65%.

Credit cost continue to be benign due to recoveries from written -off pool , and

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Internal ROA would be in the range of 2.4% to 2.5%.

With this I would like to hand over the call back to Chaitanya. Thank you so much.

Chaitanya Yadav : Thank you, sir. I will now request Mr. Vinay Gupta, our CFO, to talk about the financials.

Vinay Gupta : Good morning, everyone and very warm welcome to our earnings call. I am pleased to share our strong Q4 and FY 2025-26 financial performance , reflecting continued focus on execution and the underlying resilience of our operating fundamentals.

Let me begin with business growth as highlighted by MD sir during his opening remarks. Q4 FY'26 has been one of the best quarters in terms of disbursements as we achieved 36% growth year-on-year in the current quarter. Similarly, our loan book also grew 15% YoY including retail disbursement growth of 16% YoY .

Moving to key financial parameters.

So, you would have seen net interest income has grown 11% during Q4 FY'26 and 13% for the full year FY'26.

Yields moderated this quarter by 25 bps to 9.47% . This is largely due to lower incremental yield versus book yield and higher run -offs. It seems that yield has now bottomed out and should start improving from Q1 with higher mix of Emerging and Affordable business.

On the liability side, cost of borrowing improved by 15 bps sequentially to 7.35% in Q4 FY '26, supported by gradual repricing with banks and transmission of policy rate cuts. For the full year , cost of borrowing improved by 29 bps to 7.57% in FY26 compared to 7.86 % in FY25.

However, the incremental cost of borrowing edged up slightly to 7.23 % in Q4 FY'26 from 7.2 % during previous quarter, in line with the current prevailing liquidity and market conditions. As a result , spread moderated by 10 bps to 2.12% in Q4 FY'26 compared to 2.22 % in Q3 FY'26 while remaining broadly stable at 2.2% for full year FY'26.

Net interest margin improved by 6 bps in Q4 FY'26 to 3.69% compared to 3.63% during previous quarter. This one -off inverse relationship between spread and NIM is due to difference in methodology. The spread is measured on a daily interest convention whereas NIM benefits from monthly averaging. This should smooth out from the next quarter onwards.

Operating expenses grew by 13% YoY to INR 920 crores compared to INR 813 crores in FY25.

This was largely driven by branch additions that we did in the later part of FY'25 and onetime impact of implementation of new Labor Code. We added 35 branches in Q4 FY'26. The full cost of which will be visible from next financial year onwards. However, we expect operating leverage and scale benefits to kick in from existing business to partially offset these costs.

Our opex to ATA is for Q4 FY'26 is at 1.08 % and full year is at 1.05 %. We expect it to remain range bound between 1 % to 1.1%.

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Internal Pleased to report a successful recovery of around INR 167 crores in Q4 FY'26 and around INR330 crores during full year FY26 which translated into a credit cost of - 78 bps in Q4 FY'26 and -45 bps in FY26.

Our GNPA improved further crossing the milestone of sub <1% level and now stands at 0.93 %.

Further there is marked improvement across all segments in 30 plus and 90 plus metrics.

Affordable business is also now showing signs of stabilization across all delinquency metrics.

Profitability remains strong. The reported PAT for Q4 FY'26 is INR 656 crores marking a 19% year-on-year growth and 26% sequential growth. For full year our net profit grew 18% to INR 2,291 crores .

ROA improved to 2.66% for FY'26 compared to 2.55% in FY'25. ROE stands at 12.73 in FY'26.

Our total CRAR stands at 27.26 % with Tier 1 at 26. 89%.

As of March, our net worth stood at INR19,219 crores and our book value increased to INR 738 per share. Thank you for your continued support and I now hand over the call back to Chaitanya.

Chaitanya Yadav : Thank you, Vinay. Renju, we can now open the call for the Q&A please.

Moderator : Thank you. The first question comes from the line of Sucrit D Patil with Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil : Good morning to the team. I have two questions. My first question to Mr. Shukla is, what are your key priorities for PNB Housing in the year ahead or in the quarters ahead to be very specific?

Specifically, how do you plan to expand lending reach, improve customer service and use digital platforms to make housing finance more accessible and transparent to all? That's my first question. I'll ask my second question after this. Thank you.

Ajai Kumar Shukla : Yes, Sucrit . Thank you so much. I think partly the answer was embedded in your question itself that how can we improve our footprint and increase the business. So , first of all , the use of digital and automation would be the key success mantra.

As I explained in my talk that we have started using infinity app , which is a n end to end on-boarding app which will save a lot of time of feet on street staff . And at the same time , the LOS which is a loan origination system will also help in fast processing.

So, we have now introduced digital end-to-end solution from sourcing to processing to disbursement . There will be no paperwork involved which will save a lot of time of my field force so that they are more in the field and generate more number of leads. In fact , they need not to visit the office for deposit of files for processing .

So it means whenever they are meeting with the customer, they can complete the work at one place and then they can move to the other customer. So that will give the efficiency not only in terms of sourcing , but processing also. The key priorities would be definitely, as we said that we are looking for the growth of 18 % to 20% in AUM.

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Internal The mantra would be growth with quality. We have reduced our GNPA from 1% to 0.93%. We will put up more focus on to improve it further . And also , the third key priority would be to make our existing branches and distribution more productive because we have almost 393 branches as of now and we can easily scale up our business by using this current infrastructure.

Sucrit D Patil : Thank you. My second question to Mr. Gupta is, again a forward looking one. How are you approaching risks such as rising funding cost, regulatory compliances that keeps on changing over the time and credit defaults , while ensuring profitability remains steady and growth remains constant for the company? Thank you.

Vinay Gupta : Sucrit, thank you for the questions. See , in Q4, you would have seen that we were able to still reduce our borrowing cost by around 15 bps and it's now stands at around

7.35 %.

We still have some scope as our incremental cost , it is still lower than the overall portfolio cost. So, there is still some scope.

We are also working with credit rating agencies as there is an opportunity for improvement in the credit rating as well based on the performance, that will further help on the cost of borrowing. At the same time, we are keeping adequate liquidity buffers and, keeping the adequate LCR to ensure that the company has adequate liquidity cover in the times of need.

And at the same time, we are also working with enhancing our distribution and our resource profile by adding more banks and going more towards debt market and diversifying our funding.

Moderator : Thank you. Next question comes from the line of Viral Shah with IIFL Capital. Please go ahead.

Viral Shah : Yes, hi. Congratulations on a good set of numbers and thank you for this opportunity. Ajai, I had two questions. One is can you give say more details of your growth guidance at a segment level. Specifically, how you are thinking about say the Affordable and the Emerging segment and also the disbursement growth kind of outlook over there ?

And the second question is if you can give some more color on the corporate disbursements that we did of INR 335 crores this quarter. Like what is, is this just one single account or multiple ones? Yields, which kind of geography is the builder in or the project is in? Thank you.

Ajai Kumar Shukla : Yes, so thank you, Viral . If I talk about segment wise we will grow almost 50% in Affordable segment. That's what we are targeting. So, like we did almost INR 3,800 crores disbursement in FY'26. We are expecting to grow by 50%. Our overall composition of Affordable plus Emerging currently is at 40%. We grew from 37 % to 40%. Two years down the line , we are expecting that we should be having composition of 50 %/50%.

So, growth in Emerging plus Affordable would be high. More particularly ,the Affordable growth will be much higher than Emerging. If I talk about sequentially the growth in Prime would be lesser. Further the growth in Emerging would be high and Affordable , it will be the highest growth. And that is not only AUM but also in terms of disbursement.

If I talk about corporate disbursement last year, we disbursed one case of almost INR 360 crores - 370 crores which is primarily of Mumbai.
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Internal So, our focus would be more on reputed good builders of the cities. We will be targeting almost seven to eight top category cities where the market is good, sell ability is high and the quality of developer is also, good. So, if I talk about geographical presence, we will be having presence in Pune, Bombay, Bangalore, Chennai, Hyderabad, Delhi.

These are the typical cities wherein we will be focusing as far as our corporate business is concerned. But still our focus on retail segment will be much high. Even if we have entered into Corporate finance business, it will not be more than 3% of my overall book in the FY '27

Viral Shah : Right. And can you just also mention the yields at which this loan was given, the corporate loan?

Ajai Kumar Shukla : See, the Corporate business, the idea of ours is to maintain the overall yield of almost 11.75 % to 12% because we don't want to go beyond that price band. Because if we go beyond this price band then that means we have to focus more on Tier C and Tier B kind of builders which we don't want. So, it would be in the range of 11.5 % to 12% only.

Viral Shah : Got it. And if I may, can I ask one more question?

Ajai Kumar Shukla : Yes, please.

Viral Shah : Vinay, so basically on the margin front, just wanted to check how are you thinking first of all given how the market rates are, the bond markets. First of all, on cost of funds and secondly given now the book mix probably will be changing, especially with the re

-entry into the corporate

finance segment, is there a scope for say some higher margins versus what was guided?

Vinay Gupta : Yes, Viral. So, as we mentioned, on the yield front, we expect, you know, that the yields have now bottomed out and it should start improving from here because now our incremental yield and book yield has coincided. With the higher mix coming in from Affordable Emerging and Corporate now, so I should see our yields improving going forward. On the cost of borrowing front there are certain headwinds right now considering the current liquidity conditions and most of the benefits that we were supposed to get we have realized from the rate cut cycle.

So going forward, that is where it is going to remain stable or maybe 5 bps to 10 bps improvement.

So hence, overall there are upsides which are expected. So, you know, it all depends on the current economic, geopolitical situations. If that stabilizes there is definitely a scope to do better but otherwise it should remain range bound.

Moderator: We have lost the line of the participant. We'll promote the next that is Gaurav Toshniwal with ICICI Securities.

Renish: Hello. Yes, hi sir. This is Renish here from ICICI. Just two things. So, one on this disbursement pickup in Q4. So, you highlighted about transformation, helping us getting better volumes but when we are guiding for 18% to 20% growth in retail assets how we ensure the improvement which we saw in Q4 will sustain in FY'27. So can you just briefly tell us let us say two three major changes you might have done at ground level which is helping us getting these volumes and which is a sustainable going forward?

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Internal Ajai Kumar Shukla: So Renish, you know, I think largely I would say the idea was to engage more on the field. So we did some events which were related to our distribution and partners in some top four -five cities of the country where we invited even surrounding cities distribution also. So the idea was to engage more with the partners who are doing housing finance business in the market. They might be doing lesser volume of business with us, but with the engagement, I think the commitment was high.

So overall what happened, it helped us to grow this volume by way of engaging the partners. Entire team was also fully engaged with visiting the branches, understanding the challenges of the market and getting them solved at very high pace. So that was one thing, I think that has helped really us very well and we will keep on focusing on that distribution engagement from April itself I would say going forward for the full year.

So engagement will always be there. And this is the success mantra of the retail business. You keep on engaging with the people and you will keep on getting business from the market. I think that's the only new thing which has happened, otherwise the focus was on to sort out the challenges which team was facing at the ground with speed.

Renish: Got it. So basically, what you're trying to say sir is that there is no big bang changes we have done but it is just that more engagement with ground is sort of motivating them and helping us to

get better volumes?

Ajai Kumar Shukla: Yes, so market is there. See we are third largest player in this industry, market is very large. Housing finance industry is very large, is going by pace of 12% to 13%. And so there is a opportunity if you keep on engaging with the market and the people, I think business will definitely flow into your kitty.

Renish: Got it, got it. And sir, just last clarification on the credit side. So you did mention about retail asset growth being at 18% -20% but since we have also entered into corporate business in Q4 and obviously we'll do some more in FY '27, so does that mean the overall book growth could be touching 20%?

Ajai Kumar Shukla: Yes, so it will be in the

range of 18 % to 20%. I think overall growth should come. While corporate finance composition will be 3% of my book, but the focus will remain on Emerging and Affordable.

Renish: Got it. But it will still help us do better numbers on the blended basis?

Ajai Kumar Shukla: Definitely, yes. Because my Emerging plus Affordable would be higher than my Prime business. So that is how it will help in improving my overall margins.

Renish: Okay, got it sir. Thank you so much and best of luck sir.

Moderator: Thank you. Next question comes from the line of Kunal Shah with Citi Group. Please go ahead.

Kunal Shah: Yes, thanks for taking the question. So firstly, with respect to the yields on the affordable housing side, that seems to be down almost 75 basis points quarter-on-quarter when the disbursements

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Internal have actually picked up. So, was this maybe what Vinay was also indicating in terms of catching up with the lower incremental yields or there would be more re-pricing and maybe we will continue to operate at this level of yields in the affordable housing, that has come down to as low as 11.35 %, so just wanted to check if that's the level which we will operate in Affordable housing?

Ajai Kumar Shukla: So Kunal, I think it's a combination of both I would say, in fact while the overall yield is looking low, but if you see we are able to maintain our NIM because we also got the benefit of cost. So when the repo rate went down by almost 1.25% last year, the yield has also gone down in this business and so is true with the market.

But we were able to compensate by way of cost of fund which has also given us benefit and yes there was intense competition in terms of pricing especially in the last quarter in the market. And that is how you have to deal with that. But I think since we are able to maintain our NIM, it is not impacting much to us. This is on Affordable I am talking about this thing.

Kunal Shah: Sure. So the question was also on affordable products. And when we look in terms of the recoveries which we anticipate getting into FY'27, if you can quantify that you indicated that that will help the overall credit cost, but how much is the recovery we are expecting?

Vinay Gupta: For FY'27 we are expecting around INR 200 crores to INR 250 crores recovery in total.

Kunal Shah: In this year. any reason for increase in 30 plus in Prime. It has gone up by almost 30 basis points to 3.31 %?

Ajai Kumar Shukla: No specific reason, if you see year-on-year it is stable. It was 3.4 last year and it is still 3.3. The Q3 numbers were aberration actually.

Vinay Gupta: No even 30 -plus I think it has gone down from 3.4% to 2.72, . The 30+ DPD figures presented for Q4 FY'26 across all verticals in the Investor Presentation reflect Stage 2 numbers, which include accounts flagged under SICR. On a like-for-like basis, excluding SICR and consistent with the methodology followed in previous quarters, the Q4 FY'26 30+ DPD ratios are 2.72% for Prime, 2.11% for Emerging, and 1.32% for Affordable

Kunal Shah: Sure.

Moderator: Next question comes from the line of Prithviraj Patil with Investec. Please go ahead.

Prithviraj Patil: So I have a couple of questions. So the first question is on the NIM. So in the opening question we mentioned that the NIM would converge with the spread. So the ROA that looks higher this quarter, it's largely because of accounting and that will sort of move over next quarter or like how do we look at the NIM going forward? And the second question is on the SR as mentioned in one of the footnotes in our financial statement. So what is the fair value gain that we have booked on sale of these SR?

Vinay Gupta: See, actually, on the SR bit, this is one account which we have fully realized. So this is not like a fair value gain, it is a cash receipt that has happened and

hence SR is closed fully. So that is the

recovery which has come, that is on the corporate side. And on the NIM, as I mentioned it is more

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Internal of an aberration or the methodology, which has led to this change. It will normalize next quarter. But at the same time, next quarter, as I mentioned, we should see some benefits on the overall key trajectory. And hence, we should be able to maintain the current NIM trajectory that we have to the gap of between 5 to 10 basis.

Moderator: Next question comes from the line of Avinash Singh with Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Hi, good morning. Thanks for the opportunity. Couple of questions. The first one, when you are guiding kind of odd 2.4% to 2.5% ROA for next year, what kind of credit cost is being built into decision and my question is basically that if I were to look at, say, last year's ROA 2.66%, of course, that has a kind of a 35 basis point negative credit cost. So, if we were to build a normalized case, possibly the ROAs are more into a 2-point full year. I mean, for the last quarter, it will come closer to maybe 2.1 odd percent.

And if we were kind of looking in a normalized case, 30, 40 basis point improvement in ROA that heavy lifting has to be done by yields and maybe some bit on the cost of funds if you were to see a rating upgrade. So in this context, just wanted because opex is at very optimal level already.

So just if you can help us what kind of credit cost will be there for 2.4% to 2.5% kind of ROA?

And I mean, going forward, June FY '27, when recovering kind of nearly goes a way and you swing to more like a 20, 30 basis point whatever ideal credit cost will build. I mean how are you going to start on a deliver 2.4% to 2.5% ROA that's one.

Second one on the product front, are there some products? I mean, now you are there into Affordable, Emerging as well as the developer side of these loans. Are there some product offering yet to be launch or you see, I mean, particularly in the non-housing side, will you be looking for Micro LAP in a category, say, 8 lakh, 10 lakh, 12 lakh something in near future?

Ajai Kumar Shukla: So, I will answer the second question first, then Vinay will take over. As far as this product development is concerned, we are already in the segment of Emerging and Affordable. Yes, you are right, we are looking the segment which is between 14% to 16%, where we are going to start operation and the branches, where my affordable business were already present. So, it would be not only Micro LAP, it will be micro housing also. That introduction will happen in the Q1 itself.

On the financial aspect Vinay if you can give.

Vinay Gupta: Yes, on the overall ROA tree, as you mentioned, so the guidance is around 2.4% to 2.5% and even for next year, we expect the benefit on the recoveries from the written off tool to continue.

So, we still expect the credit cost to remain negative next year in the range of around 15 to 20 bps. So, this is what is factored in. And overall improvement and ensuring that it remains sustainable.

Also, as you also rightly mentioned in your query itself that it has to be picked up through the higher mix of Emerging, Affordable and Corporate. So this is where we are working on. Currently we are at 40%, we expect in the next 2 to 3 years this mix to move towards 50+% and with higher mix of Corporate as well.

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Internal So, the benefit is going to come on the NIM over a period of next 2 to 3 years to cover up the gap which we have on the credit cost and it should ensure that we maintain the similar trajectory on a longer run.

Moderator: Next question comes from the line of Gaurav Khandelwal with JP Morgan.

Gaurav Khandelwal: I've got a couple of questions. I'll ask

those one by one. First if I can just understand that our

focus is to grow Affordable, but if I look at the disbursements on Affordable side it was quite weak in FY 26, 4Q in fact affordable disbursements came down minus 3% vis-a-vis Prime which is not our key focus area but we still see higher disbursements. Is this something to do with the ongoing rates in the market or is this more to do with asset quality?

Ajai Kumar Shukla: So Gaurav, Affordable has started shaping up now. In last quarter we disbursed almost similar what we disbursed last year. As far as Prime business, basically, Prime business is nothing but the replenishment of what book you lost during the year. If you see my growth on Prime business is only 9%, while Affordable growth is very high.

So, whatever book you lose in the Prime segment during the year, you replenish it. And that is why the growth looks high in the Prime in terms of disbursement, but actually the growth is not very high. So, focus will remain on Affordable business.

It is not related or any significant relevance with the quality because quality you see in Affordable is good. We are now below 0.6% in our GNPA. Our bouncing is under control. Our 30+ is under control now. In all the parameters of quality in Affordable, we are under control.

Gaurav Khandelwal : Got it. In that case sir, is it fair to say that because the incremental yields have been so low at minus 75 bps Q -o-Q, that was one of the key reasons of disbursing Affordable at a slower pace?

Ajai Kumar Shukla : No, I think disbursement was not in slow pace. I would say that there were some challenges which we faced during mid of the year which we corrected. And that is why , deliberately we wanted to check those markets first and then we wanted to grow. Now, as we have checked those markets and we found that those issues were temporary which we overcome now.

The yield dip is not because of, as I said in my earlier conversation also, yield dip was because of drop in the repo rate. That is how now going forward when we are entering into segment of micro housing and Micro LAP, we will overcome with that and we will try to improve overall yield of Affordable business.

Gaurav Khandelwal : My other question is, can you share some early indicators of how the bounce rates are shaping up in the first half of April?

Ajai Kumar Shukla : First half of April? I think the bounce in April is more or less similar to what it was in March. So there is no significant jump in the bounce this year. There was one set of customer which we identified by way of doing some data science analysis that some customer of government's employee segment got EMI their bounce because maybe and that got even paid a very next day. When we deep dive into that we found that because March is generally a month of taxation , people have to clear their taxes within March itself.

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Internal So might be their planning was not as per their requirement and that is why there could be some shortfall in their banking . But very next day , most of them paid. So that was the only one indicator which came and since they paid very next day , so I think other than that there nothing which we found significant .

Gaurav Khandelwal : Got it. Effectively no early signs of asset quality stress due to the ongoing geopolitical issues and what have you?

Ajai Kumar Shukla : I don't think so as of now.

Moderator : Next question comes from the line of Nischint Chawathe with Kotak.

Nischint Chawathe : One was on the yield side, when you mentioned that we expect that yields have bottomed out and will go up from here on. What gives you that confidence? You know given the fact that your incremental yields are going down, I understand the book composition but apart from that ?

Ajai Kumar Shukla : So I think Nischint, why I am saying that it has bottomed out because

se one is that there is no

change in repo rate in last few months. Because whenever there is change in repo rate you know the tendency of people is to do the BT out from your portfolio. Rather I would say I think there is some upside in the market in the rate of interest. So , the chances of dropping the rate doesn't seem to be there. And that is why the BT out will be restricted. When BT out will be restricted you know your overall yield will maintain. That's how I think.

Nischint Chawathe: Sure. Any color you could give as to how the BT out ratios have trended over the last four quarters?

Ajai Kumar Shukla : I think overall if I talk about , BT out of my entire portfolio is almost for the full year is 8%. And for the Q4, it was 8.6 % . So it's a hardly a half percent difference between Q4 and overall.

Vinay Gupta : And just to add Nischint, Q4 has actually improved from Q3. Q3 it was 8.95 %.

Ajai Kumar Shukla: So it means we have acquired more new customers than balance transfer.

Nischint Chawathe: So I think basically you are saying that balance transfer trends are on an improvement, and which kind of gives you this confidence.

Ajai Kumar Shukla : From Q3, Q4 has improved.

Nischint Chawathe: Sure. Got it, got it. And sir, I just missed your guidance on the overall loan growth. I think you mentioned something like INR1 lakh crores plus, but what exactly are you really looking at?

Ajai Kumar Shukla : We are looking at 18 % to 20% growth in loan book.

Nischint Chawathe: Got it, got it. Thank you very much.

Moderator : Next question comes from the line of Nidesh with Investec. Please go ahead.

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Internal Nidesh : Thanks for the opportunity. Sir, my question is on the loan growth and loan mix. If we look at this quarter there is a sharp increase in non -individual home loans. And I think it grew some 12% QoQ as per our calculation, while housing loan growth was relatively soft at 3% Q oQ. So what is happening here and what is our strategy in terms of loan mix going forward?

Ajai Kumar Shukla : So, loan mix , I think well it would be more in non -home loan in this quarter. But overall the non-housing versus housing would be around the range of 38 % to 40% overall at vertical level. It will

be in the same range . You know in Q4 our non-housing loan grew from Q3 , I would say 32.4% from 30.6%. So while there is a increase but increase is not very large I would say. It is hardly 2% growth which we witness.

Overall yearly basis , I would say that we grew by almost 3.5% and it was you know to keep in mind that we have to improve our NIM also. You know , keeping under consideration the regulatory norms are also met. So that is how we are focusing on that , because we have scope to do more non housing loan but we are also keeping our watch that there should not be any breach on regulation which will help us in longer term to improve our margin.

Nidesh : From P BC criteria, what is the share of retail home loans? At what percentage we are operating at right now?

Vinay Gupta : We are at 65% Nidesh.

Nidesh : Okay, so there is significant room to reduce it. And the last question is on corporate loans. How do you see growth and share of corporate loans let's say 12 months down the line and 24 months down the line in overall loan mix?

Ajai Kumar Shukla : So this year , I think we will be having almost 3% of our book would be corporate loan book. We will be very moderate on that , we will not be focusing very high on corporate book because we want to go into this business in a very calibrated and sustainable way , I would say. So if I talk about first year , it would be around 3%, second year it would be around 5 % to 6% of my overall book. Maybe down the line 3 year it will be in the range of 8 % to 9% of my overall book .

Nidesh : And sir what is the incremental yield on corporate book?

Ajai Kumar

Shukla : It would be in the range of 11.5 % to 12%. 12% almost.

Nidesh : Sure, sure. Thank you sir, that's it from my side.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question and answer session. I now hand the conference over to Chaitanya Yadav for closing comments.

Chaitanya Yadav : Thank you everyone for joining us on the call. If you have any questions unanswered, please feel free to get in touch with Investor Relations. The transcript of this call will be uploaded on our website, that is www.pnbhousing.com. Thank you everyone.

Moderator : Thank you. On behalf of PNB Housing Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.